

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

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In re:	:	Chapter 11
	:	
ENRON CORP., <i>et al.</i> ,	:	Case No. 01-16034 (AJG)
	:	
Debtors.	:	Jointly Administered
	:	
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APPENDIX D

(Roles of Lay, Skilling and Outside Directors)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report"). This Appendix constitutes an integral part of the Report. All capitalized terms not otherwise defined herein shall have the meanings set forth in the Report.

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	BACKGROUND REGARDING LAY AND SKILLING	9
	A. Biographies	9
	B. Involvement in Enron's Business	14
	C. Involvement with the Board.....	25
	D. Compensation	26
III.	BACKGROUND REGARDING OUTSIDE DIRECTORS	30
	A. Biographies	30
	B. The Board's Structure and Processes.....	34
	C. Independence	38
IV.	ACTIONS OF LAY, SKILLING AND OUTSIDE DIRECTORS REGARDING SPE TRANSACTIONS.....	45
	A. Duty to Make Informed Business Judgments	46
	B. Duty to Monitor	80
	C. Duty to Inquire.....	118
	D. Duty of Candor	147
V.	ANALYSIS OF EVIDENCE OF BREACH OF FIDUCIARY DUTIES BY LAY, SKILLING AND OUTSIDE DIRECTORS	154
	A. Duty to Make Informed Business Judgments	155
	B. Duty to Monitor	160
	C. Duty to Inquire.....	162
	D. Duty of Candor	167
VI.	DEFENSES.....	168
	A. Reliance on Officers	168
	B. Reliance on Professionals	171
	C. Reliance on Committees of the Board	173
	D. Good Faith	174
	E. Exculpation and Indemnity	175
VII.	CONCLUSIONS.....	178

Annex 1 – Lay's and Skilling's Use of Enron Stock to Repay Loans

Annex 2 – Legal Standards Applicable to Lay, Skilling and Outside Directors

I. INTRODUCTION

In the Second Interim Report, the Examiner described numerous Enron SPE transactions and identified many accounting, disclosure and other issues arising from those transactions. In the Third Interim Report, the Examiner determined that sufficient evidence existed for a fact-finder to conclude that certain senior officers, including, among others, Causey, Fastow, McMahon and Glisan (the “Senior Officers”), breached their fiduciary duties to Enron by manipulating Enron’s financial statements through the design, implementation and materially inadequate disclosure of certain SPE transactions. The use and disclosure of these SPE transactions resulted in the dissemination of financial information known by the breaching officers to be materially misleading. This wrongful conduct caused direct and foreseeable harm to Enron, and resulted in harm to innocent parties that dealt with Enron, including certain creditors in the Bankruptcy Case. In this Appendix, the Examiner now considers the roles of Kenneth Lay (“Lay”) and Jeffrey Skilling (“Skilling”), as well as the Enron directors during the relevant period other than Lay and Skilling (collectively, the “Outside Directors”), in the Debtors’ SPE transactions.

Legal Standards. As discussed in Annex 2 to this Appendix and Annex B (Legal Standards) to the Third Interim Report, officers and directors have fiduciary duties to the corporation and its shareholders, including duties of care and good faith.¹ These duties require, among other things, that officers and directors as corporate fiduciaries make decisions on an informed basis, following a decision-making process that takes into consideration all material information reasonably available. Absent conflicts of interest

¹ A director also has a duty of loyalty, as discussed later in this Appendix.

on the part of the decision-makers, decisions made in good faith and on an informed basis generally will be protected by the business judgment rule and will not be subject to judicial second-guessing. However, a decision that lacks any rational business purpose will not be protected from judicial scrutiny by the business judgment rule and, if challenged, the decision-makers may be required to prove that their decision was fair to the corporation. Absent such proof of fairness, the decision-makers may be found to have breached their fiduciary duty if the evidence shows they made the decision in bad faith. The lack of a rational business purpose for the decision can support an inference of bad faith.

The fiduciary duties of officers and directors also require the exercise of diligence in overseeing the business and affairs of the corporation. Thus, officers and directors have a duty to monitor corporate affairs, as well as a duty to inquire into circumstances, or “red flags,” indicating that potential problems exist within the corporation. A director who negligently fails to fulfill his or her duty of oversight, but who does not (i) abdicate his or her monitoring responsibilities, (ii) exhibit a conscious disregard for known risks, or (iii) otherwise fail to act in good faith, may be protected from liability to a corporation and its shareholders, if the corporation has adopted a director exculpation provision in its charter.² However, a director exculpation provision does not protect a director who is also an officer of the corporation from liability for negligence when acting in his or her capacity as an officer.

² Enron adopted such a director exculpation provision in its articles of incorporation. See Section A, Article VII, Articles of Incorporation of Enron, Oct. 8, 1996 [AB0785 03888-AB0785 04147]. As a result of this, and for other reasons, the Examiner has not attempted to reach conclusions as to whether conduct of the Outside Directors, or of Lay and Skilling acting in their capacities as directors, constitutes negligence not rising to the level of bad faith.

Available Evidence. The evidence available to the Examiner regarding the roles of Lay, Skilling and the Outside Directors was limited. Lay submitted to a one-day interview with the Examiner,³ but Skilling invoked his Fifth Amendment privilege and did not provide the Examiner either testimony or an interview.⁴ Lay has provided no sworn testimony to any party in connection with any examination of Enron conducted after the Petition Date,⁵ and his only known interviews granted since that date are his interview with the Examiner and an interview conducted in January 2002 by the Powers Committee.⁶ Skilling provided sworn testimony to a subcommittee of the House of Representatives Energy and Commerce Committee (the “HEC”) on February 7, 2002,⁷ and to the SEC in December 2001 and November 2002.⁸ Skilling also submitted to two interviews with the Powers Committee.⁹

³ In-Person Interview with Kenneth L. Lay, former CEO, Enron, by William C. Humphreys, Jr., A&B, Oct. 18, 2003 (the “Lay In-Person Interview”).

⁴ Letter from Bruce A. Hiler, O’Melveny & Myers, L.L.P., to William C. Humphreys, Jr., A&B, Sept. 15, 2003.

⁵ Lay In-Person Interview (confirming that he has provided no sworn testimony).

⁶ Memorandum from Lisa Henriques, Wilmer Cutler, to Enron Files, regarding Ken Lay Interview, Jan. 16, 2002 (the “Lay 1/16/02 Wilmer Cutler Interview”) [AB000000491-AB000000507].

⁷ Transcript of the *Financial Collapse of Enron*, Subcomm. on Oversight and Investigations, Comm. on Energy and Commerce, 107th Cong. (Feb. 7, 2002) (the “2/7/02 HEC Hearing Transcript”). Skilling testified to the HEC: “I am here today because I think Enron’s employees, shareholders and the public at large have the right to know what happened. I have done all I can to help this investigation. I have testified for two days at the Securities and Exchange Commission. I have spoken on three occasions to the special committee of the board. And have spoken to the committee of this staff as well. I have not exercised my rights to refuse to answer a single question. Not one. And I don’t intend to start now.” *Id.* at 108.

⁸ See Testimony of Jeffrey K. Skilling before the SEC, Dec. 5, 2001, Dec. 6, 2001, Nov. 1, 2002, Nov. 4, 2002 and Nov. 5, 2002. When the SEC asked to conduct additional testimony in January 2003, Skilling invoked his Fifth Amendment privilege. See Testimony of Jeffrey K. Skilling before the SEC, Jan. 31, 2003, at 5-7.

⁹ Memorandum from Steven Rosen, Wilmer Cutler, to Enron Files, regarding Interview of Jeffrey Skilling, Nov. 27, 2001 (the “Skilling 11/27/01 Wilmer Cutler Interview”) [AB000000740-AB000000748]; Memorandum from Steven Rosen, Wilmer Cutler, to Enron Files, regarding Interview of Jeffrey Skilling, Jan. 18, 2002 (the “Skilling 1/18/02 Wilmer Cutler Interview”) [AB000000750-AB000000760]. Skilling told the HEC that he was interviewed three times in connection with the Powers Report, but the Examiner obtained written reports from Wilmer Cutler for only two interviews. 2/7/02 HEC Hearing Transcript, at

None of the Outside Directors invoked their Fifth Amendment privilege when requested to provide testimony to the Examiner. However, more than twenty of the Enron officers invoked their Fifth Amendment privilege and refused to provide testimony to the Examiner, including the Senior Officers who participated in virtually all of the Board and committee meetings.¹⁰

With respect to documentary evidence, both Lay and Skilling were infrequent users of emails,¹¹ and they also apparently did not retain many documents.¹² They produced very little relevant written material in response to the Examiner's subpoenas.

As a result, the evidence available to the Examiner with respect to Lay, Skilling and the Outside Directors consisted primarily of: (i) Lay's one-day interview by the Examiner that was not taken under oath; (ii) Skilling's sworn testimony to the HEC and

108. It is unclear whether a third interview took place and, if so, whether Wilmer Cutler made a written record of that interview.

¹⁰ To date, the following former Enron officers and employees, other than Lay and Skilling, invoked their Fifth Amendment privilege against self-incrimination in response to subpoenas for testimony and documents served by the Examiner: Kelly Boots, Robert Butts, Richard B. Buy, Causey, Wes Colwell, David Delainey, Rodney Faldyn, Julia Fang (formerly Chin), Fastow, Lea Fastow, Glisan, Kopper, Lawrence Lawyer, Cheryl Lipshutz, Kathy Lynn, R. Davis Maxey, McMahon, Kristina Mordaunt, Lou L. Pai, Michael Patrick, Kenneth D. Rice, Ryan Siurek, AnnMarie Tiller, and Anne Yaeger Patel. Alan Quaintance provided testimony to the Examiner, but invoked his Fifth Amendment privilege as to questions regarding the Nigerian Barge Transaction.

¹¹ Testimony of Jeffrey K. Skilling before the SEC, Dec. 6, 2001, at 497. Skilling indicated that he preferred direct contact with the employees and that he spent a considerable part of his working time walking around the company's offices to have informal and impromptu meetings. Testimony of Jeffrey K. Skilling before the SEC, Nov. 1, 2002 (the "Skilling 11/1/02 SEC Testimony"), at 76. *See also* Phone Interview with Rosalee Fleming, former Assistant to Lay, Enron, by A. Annette Teichert and H. Sadler Poe, A&B, Sept. 10, 2003 (the "Fleming Phone Interview") (Fleming described Lay as not being proficient with computers and stated that she or another assistant typically printed his emails for his review, and either Lay responded with a phone call or a letter, or she responded if the response was via email); Phone Interview with Sherri Sera, former Assistant to Skilling, Enron, by A. Annette Teichert and H. Sadler Poe, Sept. 10, 2003 (the "Sera Phone Interview") (stating that Skilling was not proficient with computers and did not make regular use of email to communicate with business associates).

¹² Administrative assistants for both Lay and Skilling told the Examiner in interviews that neither officer tended to retain copies of letters or documents, nor did they keep copies of written presentations that they may have obtained while meeting with subordinates. Fleming Phone Interview; Sera Phone Interview. One of the assistants indicated that written materials were either discarded or, if appropriate, sent to the part of the company for which the materials had relevance. Fleming Phone Interview.

SEC; (iii) Lay's and Skilling's interviews with the Powers Committee; (iv) sworn testimony of Outside Directors; (v) interviews with and testimony of certain Enron officers; (vi) minutes of the meetings of the Board and its committees, along with related presentations and other materials preserved with such minutes; and (vii) other documentary evidence produced to the Examiner by Enron and other individuals and entities involved in this examination.

Conclusions. Although limited by the lack of sworn testimony from certain key officers, and by the small amount of relevant documents, the evidence is sufficient to show that Lay, Skilling and the Outside Directors were actively engaged in performing their monitoring functions. Lay and Skilling were hands-on managers involved in the daily operation of Enron's business. The Outside Directors on the Board and its committees were not involved in the day-to-day operations, but they were generally engaged in activities designed to fulfill their supervisory roles.

However, the evidence shows that, as a result of their day-to-day involvement at the company, Lay and Skilling knew or should have known their subordinate officers misused the SPE transactions in a manner that resulted in the dissemination of materially misleading financial information. Both Lay and Skilling failed to respond to indications of potential problems related to the use of SPE transactions. In addition, Skilling failed to respond to red flags regarding the SPE transactions Enron entered into with LJM1 and LJM2. These were entities in which the company's CFO had a personal interest and from which he received substantial compensation; when his compensation was ultimately revealed, the Board terminated his employment. By failing to respond to red flags that Lay and Skilling either knew or, as Enron's two most senior officers, should have known

indicated potential problems with the SPE transactions, Lay and Skilling were at least negligent and, therefore, breached their fiduciary duties as officers.

The Outside Directors, however, may not have recognized the same red flags as indicators of the wrongful conduct of the Senior Officers. They did not have the intimate knowledge of Enron's day-to-day operations that Lay and Skilling shared. In addition, although Enron officers often provided voluminous information to the Outside Directors, helping the Outside Directors understand fully the financial activities at Enron was apparently not a high priority for Enron management.¹³ The officers often presented information to the Board and its committees in ways that obfuscated the facts, and there are several instances of apparent intentional misrepresentations by officers. Although the Outside Directors may be criticized for failing to inquire about aspects of Enron's financing activities that might have led them to knowledge of the Senior Officers' wrongful conduct, the evidence does not support a conclusion that the Outside Directors acted in bad faith or with a conscious disregard for known risks in failing to recognize and respond to red flags.

The Outside Directors, however, together with Lay and Skilling, authorized Enron to enter into the "Rhythms" hedge and three of the "Raptors" hedges, none of which had

¹³ For example, Jordan Mintz ("Mintz"), General Counsel of Enron's Global Finance Group, testified regarding the decision of Enron officers, including him, not to tell the Audit Committee of the Board in February 2001 about transactions in which Enron had repurchased assets from LJM2. When Mintz was asked why the officers did not disclose those transactions, he said: "I felt that there was a substantial opportunity for the board to ask questions, perhaps as we as lawyers are trained, Is there anything else that we should be aware of, and I don't recall them doing that" Deposition of Jordan Mintz, former Vice President and General Counsel, Enron Global Finance, by Rebecca M. Lamberth, A&B, Sept. 29, 2003 (the "Mintz 9/29/03 Deposition"), at 130. However, Outside Director Herbert Winokur testified, when asked if he had been interested in learning the identity of the person who purchased Fastow's interest in LJM1 and LJM2: "[I]t's management's responsibility to tell me what I should know I didn't inquire because I assumed somebody would tell me if I needed to know." Sworn Statement of Herbert S. Winokur, Jr., former Director, Enron, to John L. Latham, A&B, Nov. 21, 2002 (the "Winokur 11/21/02 Sworn Statement"), at 240 (second day of testimony).

a rational business purpose. In these transactions, Enron transferred substantial value for non-economic hedges, meaning the value of each hedge to Enron was based solely on the value of securities and cash that Enron itself transferred to the hedging vehicles, providing Enron a financial statement benefit but no economic value. There is evidence that Lay, Skilling and the Outside Directors were aware of facts demonstrating this lack of rational business purpose before approving the transactions. From this evidence, an inference can be drawn that they acted in bad faith by approving the transactions.

Thus, as discussed in detail in this Appendix, based on the evidence available to the Examiner with respect to Lay, Skilling and the Outside Directors, and the reasonable inferences that may be drawn from such evidence, the Examiner has determined that there is sufficient evidence for a fact-finder to conclude that:

- Lay, Skilling and the Outside Directors who were members of the Board in June 1999, breached their fiduciary duty of good faith in authorizing Enron to enter into the Rhythms hedging transaction;
- Lay, Skilling and the Outside Directors who were members of the Board in May through August 2000 breached their fiduciary duty of good faith in authorizing Enron to enter into three of the Raptor hedging transactions; and
- Lay and Skilling were at least negligent in fulfilling their duty of oversight by failing to respond to red flags regarding the Senior Officers' misuse of the SPE transactions, which Lay and Skilling either knew or should have known were indications that the Senior Officers were disseminating materially misleading financial information.

The evidence also shows that, between May 1999 and October 2001, Lay borrowed from Enron a total of over \$94 million and repaid this amount using shares of his Enron stock. In May 1999, Skilling repaid \$2 million of an Enron loan with shares of his Enron stock. The Compensation and Management Development Committee (the "Compensation Committee") of the Board had granted its approval for Lay and Skilling

to make repayments with stock, but Enron's Board apparently never ratified the decision and did not otherwise grant its approval for what was essentially Enron's repurchase of shares from Lay and Skilling.

As described in Annex 1 to this Appendix, the Compensation Committee did not have authority to grant such approvals under Oregon law; that authority was vested solely in the Board. Because the Board neither approved, nor apparently ratified the Compensation Committee's approval of, the repayments by Lay and Skilling, the evidence is sufficient for a fact-finder to conclude that such repayments are voidable at the election of Enron. Upon such event: (i) Enron would return to Lay 2,131,282 shares of common stock, and Lay would be liable to repay loans in the amount of \$94,267,163 plus any applicable interest;¹⁴ and (ii) Enron would return to Skilling 26,425 shares of common stock, and Skilling would be liable to repay his loan in the amount of \$2,000,042 plus any applicable interest.

¹⁴ The Examiner concluded in the Second Interim Report that Enron has an alternative cause of action against Lay for \$74.025 million of this amount under Section 548(a)(1)(B) of the Bankruptcy Code. *See* Second Interim Report, Annex 1 to Appendix P (Avoidance Actions).

II. BACKGROUND REGARDING LAY AND SKILLING

During the period 1997 through the Petition Date, Lay and Skilling held the top two officer positions at Enron. They also served on the Board, and Lay served as Chairman. Lay joined the predecessor of Enron in 1984, and Skilling joined Enron in 1990. They led Enron during its steep climb to become the seventh largest public company in America,¹⁵ and then during its dramatic plummet to become, in December 2001, the world's then largest bankruptcy petitioner.¹⁶ Lay remained with Enron until January 2002.¹⁷ Skilling resigned his positions with the company in August 2001, only months before the Petition Date.¹⁸ Both officers held advanced degrees, enjoyed significant professional successes, and had extensive experience in corporate operations. Both officers were fully engaged in the daily affairs of Enron.

A. Biographies

Lay

Lay was born in Missouri¹⁹ in 1942²⁰ and received a master's degree in economics in 1965 from the University of Missouri.²¹ Following graduation, he accepted

¹⁵ *The 500 Largest U.S. Corporations*, Fortune, Apr. 16, 2001, at F-1.

¹⁶ In its Chapter 11 bankruptcy petition, Enron estimated its assets at \$63.4 billion. In July 2002, World Com Inc. filed a Chapter 11 petition estimating its assets at \$107 billion. Bankruptcy Data, *available at* http://www.bankruptcydata.com/Research/15_Largest.htm (last visited Oct. 24, 2003).

¹⁷ Enron Press Release, "Enron Announces Kenneth L. Lay Resigns From Board," Feb. 4, 2002 (the "2/4/02 Enron Press Release") (announcing Lay's resignation that was effective January 23, 2002) [AB1128 01359].

¹⁸ Enron Press Release, "Enron Announces Skilling Resignation; Lay Assumes President and CEO Duties," Aug. 14, 2001 (the "8/14/01 Enron Press Release") [AB1128 00072-AB1128 00073].

¹⁹ Laura Goldberg & Mary Flood, *The Fall of Enron*, Hous. Chron., Feb. 3, 2002 (the "2/3/02 Hous. Chron. Article"), at 1.

²⁰ Bryan Gruley & Rebecca Smith, *Anatomy of a Fall: Keys to Success Left Kenneth Lay Open to Disaster*, Wall St. J., Apr. 26, 2002 (the "4/26/02 Wall St. J. Article"), at A1.

²¹ 2/3/02 Hous. Chron. Article, at 1.

a position as an economist in the Corporate Planning Department of Humble Oil, a predecessor to Exxon Mobile Corporation.²² While in this position, he wrote speeches for the company's president and represented the company in connection with the Wharton Business School's development of econometric models.²³

In 1967, he joined the Navy, and his assignments included work on a study to gauge the impact of a Vietnam pullout on the national economy.²⁴ At the same time, he pursued a Ph.D. in economics from the University of Houston, which he received in 1970.²⁵ After being released from the Navy in 1971, Lay served as Technical Assistant to the Commissioner of the Federal Energy Regulatory Commission,²⁶ and as Deputy Undersecretary of the Department of Interior focusing on energy policy.²⁷

In 1974, Lay joined the Florida Gas Company, where he held the positions of Vice President of Corporate Planning, Vice President of Gas Supply, President of the Pipeline division, and then ultimately President of the entire company.²⁸ In 1981, Lay moved to Houston and took the position of President and COO of Transco Energy Corp. ("Transco").²⁹

In 1984, Transco offered to acquire Houston Natural Gas Company ("HNG"), when HNG was the target of an attempted hostile takeover by Coastal Corp.³⁰ Neither

²² Lay 1/16/02 Wilmer Cutler Interview, at 2; 4/26/02 Wall St. J. Article, at A1.

²³ 2/3/02 Hous. Chron. Article, at 1.

²⁴ *Id.*

²⁵ *Id.*

²⁶ Lay 1/16/02 Wilmer Cutler Interview, at 2.

²⁷ *Id.*

²⁸ *Id.*

²⁹ 4/26/02 Wall St. J. Article, at A1.

³⁰ *Id.*

takeover occurred, but Lay left Transco to become HNG's Chairman and CEO.³¹ Within less than a year, in May 1985, InterNorth Inc. acquired HNG, creating the nation's largest coast-to-coast pipeline network.³² The combined company changed its name to Enron Corp., and Lay became Chairman and CEO in 1986.³³ Lay held the position of CEO at Enron for fifteen years until February 2001, when the company promoted Skilling to that position.³⁴ Lay remained, however, as Chairman of the Board. Then in August 2001, when Skilling resigned from the company, Lay returned to the position of CEO.³⁵ Lay resigned from Enron in January 2002, after its bankruptcy filing.³⁶

During his tenure at Enron, Lay became active in political, community and charitable activities, particularly in the Houston area. In 1990, he played a leading role in Houston's Economic Summit of Industrialized Nations,³⁷ and in 1992, he was Chairman of the Host Committee for the Republican National Convention.³⁸ He also served as Chairman of the University of Houston System Board of Regents and, in 1996, he led the successful campaign to build a new stadium in Houston when the Astros professional baseball team threatened to leave the city.³⁹ Lay and his wife formed their own charitable

³¹ *Id.*

³² *Id.*

³³ *Id.*

³⁴ Lay 1/16/02 Wilmer Cutler Interview, at 2.

³⁵ *Id.*

³⁶ 2/4/02 Enron Press Release (announcing Lay's resignation that was effective January 23, 2002).

³⁷ 2/3/02 Hous. Chron. Article, at 1.

³⁸ 4/26/02 Wall St. J. Article, at A1.

³⁹ 2/3/02 Hous. Chron. Article, at 1.

foundation, reported to have \$52 million of assets in 2000 and to have made about \$3.6 million in charitable contributions that year.⁴⁰

Skilling

Skilling was born in Pittsburgh in 1953⁴¹ and grew up in Aurora, Illinois.⁴² He received a bachelor's degree from Southern Methodist University in 1973⁴³ and accepted a position in asset and liability management with First City National Bank.⁴⁴ He left that position to attend Harvard Business School, where he received an M.B.A. in 1979,⁴⁵ graduating in the top 5% of the class.⁴⁶ Following his Harvard graduation, Skilling went to work for the management consulting firm McKinsey & Company ("McKinsey"), where he oversaw the firm's worldwide energy and North American chemical consulting practices and rose to be a senior partner.⁴⁷

In 1990, Skilling left McKinsey to join the Enron Finance unit, a division reportedly created for him.⁴⁸ According to an article in *The Wall Street Journal*, Skilling built that unit "into a multibillion dollar juggernaut that traded everything from electricity

⁴⁰ *Id.*

⁴¹ Wendy Zellner, *Derring-Do in the Corner Office*, Bus. Wk., Feb. 12, 2001 (the "2/12/01 Bus. Wk. Article"), at 80.

⁴² John R. Emshwiller & Kathryn Kranhold, *A Year Later, Ex-CEO Skilling Is Waiting His Fate*, Wall St. J., Aug. 14, 2002 (the "8/14/02 Wall St. J. Article"), at C1.

⁴³ 2/12/01 Bus. Wk. Article, at 80.

⁴⁴ *Id.*

⁴⁵ Mike Tolson & Alan Bernstein, *Power Failure, Skilling Energized Enron But Draws Suspicion After Its Fall*, Hous. Chron., Feb. 10, 2002 (the "2/10/02 Hous. Chron. Article"), at 1.

⁴⁶ *Id.*

⁴⁷ An internal Enron biography states that Skilling also worked as an associate with MJH Nightingale and Company, Ltd., an investment banking firm in London, England, but it does not provide the dates of this employment. Biography of Jeffrey K. Skilling, President and COO, Enron (the "Skilling Biography"), at AB0971 02982 [AB0971 02982-AB0971 02983].

⁴⁸ 8/14/02 Wall St. J. Article, at C1.

to space on the information superhighway.”⁴⁹ In December 1996, Skilling was promoted to President and COO of Enron,⁵⁰ and he was elected to the Board in February 1997.⁵¹ He was promoted again in February 2001, this time to President and CEO.⁵² Six months later, on August 14, 2001, Skilling resigned all positions with the company.⁵³

Like Lay, Skilling was active in the community. Skilling sat on the boards of directors for the Greater Houston Community Foundation, the Houston Technology Center, and the Houston Branch of the Federal Reserve Bank of Dallas.⁵⁴ He was a member of the Advisory Board for the North American Electric Reliability Council.⁵⁵ He reportedly formed his own foundation and donated significant amounts to the Houston Ballet, Junior Achievement, the Multiple Sclerosis Society and other charities.⁵⁶

Skilling’s resignation from Enron was unexpected by most accounts. The Outside Directors uniformly testified that they were surprised, because he was viewed as ambitious and had held the position of CEO for such a short period of time.⁵⁷ Skilling told the Board that his resignation was for personal reasons, and that he wanted to spend

⁴⁹ *Id.*

⁵⁰ Enron Press Release, “Enron Names Jeffrey K. Skilling President & Chief Operating Officer,” Dec. 10, 1996 [AB1128 00074-AB1128 00075].

⁵¹ Minutes of Enron Board Meeting, Feb. 11, 1997 (the “2/11/97 Board Minutes”), at 11 (nominating Skilling as a director and resolving to place him on shareholder proxy) [AB000185043-AB000185066].

⁵² Minutes of Enron Board Meeting, Feb. 13, 2001, at 23 [AB000203924-AB000203947].

⁵³ 8/14/01 Enron Press Release.

⁵⁴ Skilling Biography, at AB0971 02982.

⁵⁵ *Id.*

⁵⁶ 2/10/02 Hous. Chron. Article, at 1.

⁵⁷ See, e.g., Sworn Statement of Robert A. Belfer, former Director, Enron, to Steven M. Collins, A&B, July 31, 2003 (the “Belfer Sworn Statement”), at 178-79; Sworn Statement of John House Duncan, former Director, Enron, to John L. Latham, A&B, Nov. 26, 2002 (the “Duncan Sworn Statement”), at 92; Sworn Statement of Wendy L. Gramm, former Director, Enron, to William C. Humphreys, Jr., A&B, Aug. 20, 2003 (the “Gramm Sworn Statement”), at 221; Sworn Statement of Charles A. LeMaistre, former Director, Enron, to William C. Humphreys, Jr., A&B, July 17, 2003 (the “LeMaistre Sworn Statement”), at 64-66.

more time with his family.⁵⁸ However, in an interview he granted to *The Wall Street Journal* on the day after Enron announced his resignation, Skilling acknowledged that he might have stayed with the company had its stock price not dropped.⁵⁹ Skilling's voluntary departure in August 2001 meant that he had to repay \$2 million that he had borrowed from Enron, which Enron would have forgiven under the terms of his employment agreement if he had stayed employed for just four more months, through December 31 of that year.⁶⁰

B. Involvement in Enron's Business

Lay

The evidence available to the Examiner indicates that Lay was fully engaged in the daily affairs of Enron. The record made by the Powers Committee of its interview with Lay shows that Lay was able to discuss at length and in detail Enron's business direction in the 1990s.⁶¹ Lay's only indication in that interview of any disengagement from the daily operations was his discussion of Skilling becoming CEO in February

⁵⁸ See, e.g., Belfer Sworn Statement, at 178-79; Duncan Sworn Statement, at 92-93; Sworn Statement of Frank Savage, former Director, Enron, to Steven M. Collins, A&B, Aug. 13, 2003 and Sept. 4, 2003 (the "Savage Sworn Statement"), at 268-69; Minutes of Enron Board, Aug. 13-14, 2001 (the "8/13-14/01 Board Minutes"), at 3, 20 [AB000203059-AB000203079]. Skilling's wife, Rebecca Carter, who was also an Enron employee, testified that Skilling left the position because "[h]e was not happy." Sworn Statement of Rebecca Comeau Carter, former Senior Vice President and Corporate Secretary, Enron, to William C. Humphreys, Jr., A&B, Sept. 3, 2003 (the "Carter Sworn Statement"), at 195. She testified: "He hadn't wanted the job in the first place and it was not what he enjoyed doing. . . . Jeff liked building businesses . . . and that's not what he was doing anymore." *Id.* at 195.

⁵⁹ John R. Emshwiller, *Enron's Skilling Cites Stock-Price Plunge As Main Reason for Leaving CEO Post*, Wall St. J., Aug. 16, 2001, at A2. After Enron's October 23, 2001 analyst call, Skilling called Lay and offered to return to the company, but the Board decided not to accept his offer. Lay In-Person Interview; Gramm Sworn Statement, at 56-57.

⁶⁰ Section 2.3(d), Third Amendment to Employment Agreement between Enron and Skilling, Feb. 7, 2000 ("The outstanding amount of 2 Million Dollars shall be forgiven by Employer if Employee fully performs all duties and responsibilities expected of him in his position and under this Agreement through December 31, 2001.") [AB000517418-AB000517426]; Sections 2.02 and 2.07, Loan Agreement between Enron and Skilling, Oct. 13, 1997 [AB000517438-AB000517442].

⁶¹ Lay 1/16/02 Wilmer Cutler Interview, at 2-3.

2001, a job Lay relinquished to Skilling for just over six months. The Powers Committee's record of the interview with Lay states:

When Lay stepped down as CEO, he wanted to make the transition seamless. He started to turn responsibilities over to Skilling. Skilling would take the responsibilities over and run with them. After Lay stepped down as CEO, Skilling appropriately slowed the flow of information to Lay. After stepping down as CEO, Lay concentrated on other areas of Enron business, like problems in California.⁶²

However, Lay also told the Powers Committee that Skilling "always kept him well informed on Enron business."⁶³ Others have testified that Lay and Skilling continued to work closely together. For example, Outside Director Frank Savage ("Savage") testified regarding Skilling's appointment to CEO:

Q. Now, at that point, as far as you could tell, did Mr. Lay kind of back off from the executive responsibilities of the business? Was he less involved?

A. He was still involved, but he had to give Skilling the reins to be the CEO. So it was natural that he would back up somewhat, you know, from the day-to-day running of the company. But he still was very much involved.⁶⁴

One example of Lay's involvement is his participation in weekly management meetings. From at least 1994, Lay and Skilling began each week with a one to two hour Monday morning "operating committee" meeting.⁶⁵ In addition to these two senior

⁶² *Id.* at 4.

⁶³ *Id.*

⁶⁴ Savage Sworn Statement, at 264.

⁶⁵ Lay In-Person Interview; Sworn Statement of Rebecca Mark-Jusbasche, Enron, to William C. Humphreys, Jr., A&B, Aug. 28, 2003 (the "Mark-Jusbasche Sworn Statement"), at 66. Mark-Jusbasche testified that the average length of the meeting was one or two hours. *Id.* at 67. Skilling testified that the meetings took place "[v]irtually every Monday." Skilling 11/1/02 SEC Testimony, at 43-44. The name of this committee changed over time and was also called the Executive Committee and Management Committee depending on the time period. See, e.g., Draft Transitioning to a Professional Partnership Model, Presentation to the Board of Directors, Dec. 11, 2000 [AB1128 01378-AB1128 01398]; Email from Ken Lay, Enron, to All Enron Worldwide, Aug. 24, 2001, regarding Executive Committee [AB1128 01399]; Email from Enron Announcements, to All Enron Worldwide, regarding Formation of Enron

officers, the attendees at each meeting included “all the business heads, and their number two person[s]”⁶⁶ along with “the staff people,” described by Skilling as including “the head accountant, chief accountant, chief risk officer, head of investor relations, [and] chief of staff”⁶⁷ Skilling testified that these meetings were “attended by all of the key people in the company.”⁶⁸

According to Skilling, each “meeting was, essentially, everyone going around and just reporting out what was going on in their business, and if there were issues or things that they felt that Ken [Lay] and I, and other members of management should be aware of.”⁶⁹ These meetings would often be used to discuss the company’s performance compared to budgets and other expectations,⁷⁰ and Causey would report on any below-budget performance to both Lay and Skilling.⁷¹ Skilling testified that the participants in the meetings would sometimes discuss “the financial statements, and what the current estimate was versus actual.”⁷²

According to Rebecca Mark-Jusbasche (“Mark-Jusbasche”) who, as an Enron senior officer, regularly attended the meetings:⁷³

Management Committee, Aug. 21, 2001 [AB1128 01400]; Enron Memorandum from Ken Lay and Jeff Skilling, to Enron Corporate Policy Committee, Dec. 6, 2000 [AB1128 01401].

⁶⁶ Skilling 11/1/02 SEC Testimony, at 43.

⁶⁷ *Id.* at 44. According to Lay, the group included 20-25 people. Lay In-Person Interview.

⁶⁸ Skilling 11/1/02 SEC Testimony, at 78.

⁶⁹ *Id.* at 78. Lay stated that the head of each operating unit and each major staff group would report on important projects as well as legal and regulatory items. Lay In-Person Interview.

⁷⁰ Skilling 11/1/02 SEC Testimony, at 59.

⁷¹ *Id.* at 57-59.

⁷² *Id.* at 43. Lay stated that Causey would give these reports at least once each month. Lay In-Person Interview.

⁷³ Mark-Jusbasche Sworn Statement, at 66 (testifying that she attended from about 1994 through 2000). Mark-Jusbasche, who was also a director, left Enron in August of 2000. *Id.* at 104.

[E]ither Ken [Lay] or Jeff [Skilling], depending upon who was in town, was in charge of the meeting. So if one of them happened to have a conflict, the other one was there and in charge of the meeting. And I cannot recall a time when one of them wasn't there Often -- often they were both in the meetings, and I also can't recall a time when they both didn't actively participate. There wasn't one person sitting silent while the other did all the heavy-lifting.⁷⁴

Lay also appears to have been involved alongside Skilling in many areas of approval and control at Enron. For example, Skilling testified that both he and Lay received reports of trading violations from the trading controls group within Enron.⁷⁵ With respect to certain units of Enron, such as the pipeline unit, Lay and Skilling met twice each quarter with the heads of those units and with accounting and risk control staff to review "performance against current estimate, and discuss the business strategy that was going on."⁷⁶ In addition, Lay sometimes met with Skilling and the "head of systems"⁷⁷ to discuss systems development projects that were underway.⁷⁸ Lay stated that when he and Skilling were in the office, they would meet at least once or twice each week for thirty to forty minutes, to bring each other up to date on various issues.⁷⁹

Mark-Jusbasche testified: "It was my impression that Ken [Lay] and Jeff [Skilling] worked together really closely and that they spoke often, multiple times a day, for example, and that they were focused at different areas, focused on doing different

⁷⁴ *Id.* at 72-73.

⁷⁵ Skilling 11/1/02 SEC Testimony, at 47-48.

⁷⁶ *Id.* at 48.

⁷⁷ *Id.* at 67.

⁷⁸ *Id.* at 67.

⁷⁹ Lay In-Person Interview.

things, but that they shared information on a regular basis.”⁸⁰ She characterized Skilling’s focus as the operational areas of the business, such as the trading business, broadband and The New Power Company.⁸¹ She and Skilling both characterized Lay as being more involved in the international operations.⁸² According to Mark-Jusbasche, Lay was “always more organizationally involved,”⁸³ handling matters like compensation for senior level employees in the international area.⁸⁴ Skilling testified that Lay

would have had much more information on what was going on, on that side of the business than I would. . . . [W]hen I was president and chief operating officer, I was rarely involved in the international assets, and did not receive notification of things that were going to the board, for example. . . . Ken was involved in those, where he’d fly to Indonesia and meet with people, or India, or other places. South America and so forth.⁸⁵

Lay said that he and Skilling generally split responsibility for business strategy, which was a high priority for both of them.⁸⁶ Lay also said that he spent more time than Skilling on legal matters, governmental affairs, communications, overseeing the pipeline and regulated group, international projects, employee relations and Enron’s global presence.⁸⁷

As a top executive officer, Lay was also active in matters involving the Enron Board, including determining what information would be presented to the Board and making certain that he had a detailed understanding of that information. He presided at

⁸⁰ Mark-Jusbasche Sworn Statement, at 50.

⁸¹ *Id.* at 51.

⁸² Skilling 11/1/02 SEC Testimony, at 82-83.

⁸³ Mark-Jusbasche Sworn Statement, at 51.

⁸⁴ *Id.* at 53.

⁸⁵ Skilling 11/1/02 SEC Testimony, at 82-83.

⁸⁶ Lay In-Person Interview.

⁸⁷ *Id.*

all Board meetings, and he developed the agendas for the Board meetings.⁸⁸ In addition, he and Skilling held a rehearsal several days in advance of each meeting to review with the presenters the business unit presentations.⁸⁹ According to Rebecca Carter (“Carter”), who served as corporate secretary from 1999 to 2001, at these review sessions, Lay and Skilling “went through every slide, so it was pretty – fairly detailed.”⁹⁰ Lay said that he would often make comments and suggestions on the presentations during this review.⁹¹

Mark-Jusbasche testified that Lay was not detached or disengaged from the operations of Enron: “You know, he was not involved in a number of activities that Jeff may have been involved with, but he was very busy and very involved in the activities that he was taking direct responsibility [sic].”⁹² Other Outside Directors shared this impression of Lay. Dr. Charles LeMaistre testified:

I would say to you that [I] was very familiar with all of Mr. Lay’s outside activities in Houston, and I did not think they were excessive or detrimental to his position at Enron.

Indeed, I never found Mr. Lay uninformed on an issue because he had been spending time elsewhere. He understood the issues thoroughly. He presented them to the board, and we felt that Mr. Lay was on top of all that was going on at Enron.⁹³

Dr. John Mendelsohn (“Mendelsohn”) testified that Lay was “substantially engaged” in Enron’s operations.⁹⁴ Mendelsohn stated that he

⁸⁸ Skilling 11/1/02 SEC Testimony, at 128, 130.

⁸⁹ Carter Sworn Statement, at 114-17; Lay In-Person Interview (confirming agenda review sessions).

⁹⁰ Carter Sworn Statement, at 114. *See also id.* at 17 (stating that she became corporate secretary in May 1999), 6 (stating that she left the position in August 2001).

⁹¹ Lay In-Person Interview.

⁹² Mark-Jusbasche Sworn Statement, at 53.

⁹³ LeMaistre Sworn Statement, at 44-45.

⁹⁴ Sworn Statement of John Mendelsohn, M.D., former Director, Enron, to William C. Humphreys, Jr., A&B, Sept. 9, 2003 (the “Mendelsohn Sworn Statement”), at 121-22.

had the impression that he [Lay] delegated certain aspects. He depended on Mr. Buy for certain things and Jeff Skilling for certain things and Derrick for certain things. He was not the kind of man who assumed he knew everything, but I had the feeling that he was in touch with their thinking and that he was the synthesizer.⁹⁵

Several Outside Directors testified that their concern about the operations of the company when Skilling resigned were reduced when Lay agreed to resume the position of CEO:

- Ronnie Chan testified: “I think I expressed to Ken my taking comfort in the fact that he would be returning to the CEO post.”⁹⁶
- John Duncan testified that he told Skilling, upon learning of Skilling’s resignation: “I’m grateful that Ken Lay can step back into that position, if he’s willing to, because after all he’s the guy that got us where we are up until six months before your resignation.”⁹⁷
- Savage testified regarding his conversation with Lay at the time Skilling resigned. According to Savage:

[Lay said] I’m willing to come back as CEO. And when he said that, whew, I was relieved. I was very relieved, and very comforted, because I felt that okay, well, Ken is going to come back, and I knew he was interrupted – actually I thanked him for this, because I thought that that would – it gave me a lot of comfort, personally, when he said that.

So quite frankly, Skilling was history in my mind from that point on. There now was another CEO, and that was Ken. Whom I had – I had a lot of confidence in. I had a lot of confidence in him.⁹⁸

⁹⁵ *Id.* at 122-23.

⁹⁶ Sworn Statement of Ronnie C. Chan, former Director, Enron, to William C. Humphreys, Jr., A&B, Aug. 9, 2003 (the “Chan Sworn Statement”), at 65.

⁹⁷ Duncan Sworn Statement, at 93.

⁹⁸ Savage Sworn Statement, at 266-67. Savage was asked: “Did you believe that there would be a seamless transition from Mr. Skilling to Mr. Lay?” *Id.* at 168. He replied: “It was only six months that Skilling was in office. So yes, I did think that there would be a seamless one. And they worked closely together.” *Id.* at 268.

Skilling

The evidence is clear that Skilling was a hands-on manager at Enron. In five days of testimony provided to the SEC, Skilling discussed Enron's operations in great detail. In describing his duties as COO and then CEO, he estimated the allocation of his time among routine internal and external matters and special focus areas, evidencing that he was involved in virtually all aspects of the business.⁹⁹

Skilling estimated that he spent approximately 40% of his time dealing with "internal" matters with the company's strategic business units, including "strategic planning activities and budgeting, and financial performance review and that sort of thing."¹⁰⁰ These internal matters also included handling:

personnel issues, and that would be management of personnel – you know, performance evaluation, promotions, reorganizations. We had a very complex performance evaluation process in place, which took an enormous amount of time. And just general personnel; you know, making sure you have the right people in the right places.¹⁰¹

Internal matters also included dealing with:

a number of different policy issues . . . all the way from employment practices to . . . the trading policy – which . . . specified what standardized transactions could be undertaken by the company. And then the other policy area was our capital investment and contracting policies, which had a whole system in place for managing and overseeing capital investments in contracts.¹⁰²

According to Skilling, he spent approximately 30% of his time on "external" matters, which included:

⁹⁹ Testimony of Jeffrey K. Skilling before the SEC, Dec. 5, 2001 (the "Skilling 12/5/01 SEC Testimony"), at 13-19.

¹⁰⁰ *Id.* at 15.

¹⁰¹ *Id.* at 16.

¹⁰² *Id.* at 16.

dealing with investors. I would meet with equity analysts; I would meet with mutual funds; I would meet with investors, pension funds, those sorts of things.

Another big piece was debt. People who had provided us with debt, meeting with banks, partners that we had in various businesses. That's – credit rating agencies, that sort of thing.

....

And then the other component of external – there's just a whole range of other interested people that you met with. . . . I spent a reasonable amount of time speaking at universities for recruiting purposes. Government officials, we would brief the FERC, the Federal Energy Regulator[y] Commission, and whether there were issues or glitches in the deregulation of the electricity and natural gas businesses.¹⁰³

Finally, Skilling described some of the special focus areas, which he estimated required 30% of his time:

[T]here was always something that was a major focus of effort, in addition to those that were more recurring-type activities.

And in 1997, it was J-Block, which was a large contract, troubled contract, that we had for purchase of natural gas in the North Sea. And that had to be completely restructured in 1997, and I spent probably a third of my time during 1997 working on the restructuring of that contract.

In 1998 and 1999, one of the emphasis areas was to modify and change our international strategy. You know, we had made large investments in the developing countries, in the power plants and the pipelines, and these were not earning compensatory rates of return. And so we had to make major efforts to reduce investment activity there, and to manage those investments more aggressively, to try to make them work.

In 1999 and 2000, the focus changed to selling those assets, selling those international assets. And I spent an incredible amount, a large portion of that 30 percent, on trying to sell those assets. And then also in 1999 and 2000, the creation of our telecommunications business . . . in 1999 and 2000.

In 2000 and 2001, I spent a great deal of time dismantling our telecommunications business after that marketplace fell apart.

....

¹⁰³ *Id.* at 17-18.

And then in 2000 and 2001, the other big one was California, just the energy problems in California were significant, and took an enormous amount of time, an enormous amount of time.¹⁰⁴

As Outside Director Bruce Willison testified:

[M]y impression was that Jeff was the chief operating officer and basically had his – his hands on the pulse of all the various activities of the company.

....

My impression of Jeff was that he was a [sic] very hands on, you know, very knowledgeable about what was going on, very involved in decision making. Very smart individual.¹⁰⁵

Another Outside Director, Jerome Meyer (“Meyer”), characterized Skilling as “a very control-oriented manager”¹⁰⁶ with detailed knowledge about the business.¹⁰⁷

According to Outside Director John Urquhart (“Urquhart”), Skilling was

[o]ne of the brightest people in the industry at that time. It was the view of several CEO’s that I knew personally who were exposed to him that he was very, very bright, and could have easily been the CEO of any major company.¹⁰⁸

Relationship to Certain Senior Officers

During the years 1997 through 2001, the highest office at Enron was the Office of the Chairman, which Lay and Skilling shared. At times, the Office of the Chairman officially included other executives, but the office appears to have been more honorary

¹⁰⁴ *Id.* at 18-19.

¹⁰⁵ Sworn Statement of Bruce G. Willison, former Director, Enron, to Jenna L. Moore, A&B, Sept. 3, 2003 (the “Willison Sworn Statement”), at 42-43, 46.

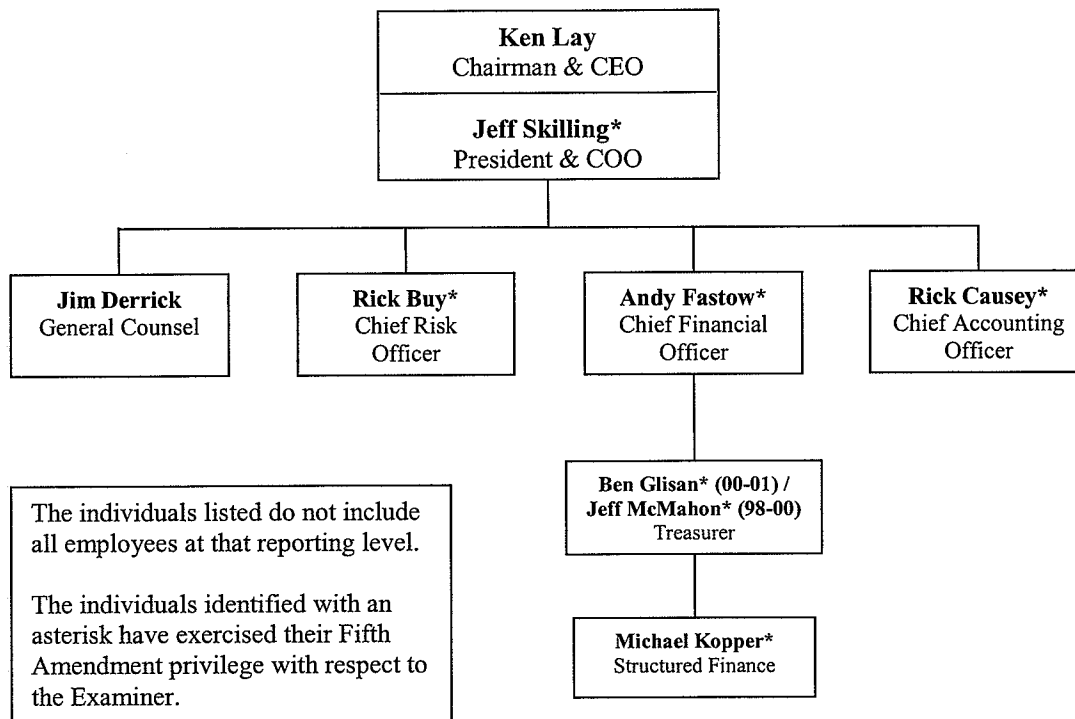
¹⁰⁶ Sworn Statement of Jerome J. Meyer, former Director, Enron, to Steven M. Collins, A&B, Aug. 29, 2003 (the “Meyer Sworn Statement”), at 49.

¹⁰⁷ *Id.* at 50 (“Q. So was it your view that Mr. Skilling appeared to be – have a detailed familiarity with all of the operations of the business? A. Absolutely.”).

¹⁰⁸ Sworn Statement of John A. Urquhart, former Director, Enron, to Steven M. Collins, A&B, Sept. 5, 2003 (the “Urquhart Sworn Statement”), at 133.

than substantive with respect to those other officers.¹⁰⁹ As the top two officers, Lay and Skilling supervised certain of the officers at Enron who were involved with designing and implementing the SPE transactions. Fastow and Causey reported directly to Lay and Skilling, and Glisan and McMahon reported to Fastow. The following chart shows the relevant portion of Enron's organizational structure as of June 2000:

¹⁰⁹ The office included the following individuals serving as Vice Chairman at various times: Ken Harrison ("Harrison"), who was CEO of Portland General Electric ("PGE"); Mark-Jusbasche, who was CEO of Enron International; Joe Sutton, Mark-Jusbasche's successor as CEO of Enron International; Cliff Baxter, who was CEO of Enron North America; and Mark Frevert, who was CEO of Enron Wholesale Services and Enron Europe. Enron Press Release, "Enron Announces Management Appointments," May 6, 1998 [AB1129 00615]; Enron Press Release, "Enron Promotes Joseph Sutton to Vice Chairman," July 1, 1999 [AB1129 00616-AB1129 00617]; Enron Press Release, "Enron Promotes Cliff Baxter to Vice Chairman," Oct. 18, 2000 [AB1129 00618]; Enron Press Release, "Greg Whalley, Mark Frevert Promoted to Office of the Chairman," Aug. 28, 2001 [AB1129 00619-AB1129 00620]. Greg Whalley joined the Office of the Chair in August 2001, when he was promoted to President and COO after Skilling's resignation. Enron Press Release, "Greg Whalley, Mark Frevert Promoted to Office of the Chairman," Aug. 28, 2001 [AB1129 00619-AB1129 00620]. The function of the office, however, was not clear. Harrison testified that his responsibilities in that office were "ambiguous." Sworn Statement of Ken L. Harrison, former Director, Enron, to Steven M. Collins, A&B, Aug. 27, 2003 (the "Harrison Sworn Statement"), at 20-21 (testifying that the Office of the Chairman never held meetings, and that his title "was intended to sound good but didn't really entail much activity"). Skilling testified to the HEC that "[t]he office of the chairman was a concept that we applied for reporting purposes," and stated that it included himself, Lay, Mark-Jusbasche and Sutton, with no mention of Harrison. 2/7/02 HEC Hearing Transcript, at 153. Mark-Jusbasche testified that her position in the office was simply a "label," and that she did not "function as a part of the decision making body of the Office of the Chair." Mark-Jusbasche Sworn Statement, at 48-49.



C. Involvement with the Board

From 1997 through the Petition Date with respect to Lay, and through his August 2001 resignation with respect to Skilling, both officers attended every regularly scheduled and special Board meeting. Lay presided as Chairman at each meeting. Lay was also a member of the Executive Committee, but he attended most meetings of other committees. Skilling was also a member of the Executive Committee, and he attended all Finance and Audit Committee meetings and most Compensation Committee meetings.¹¹⁰

Other members of the Board recalled Lay as taking “a very active role in leading the discussion” at Board meetings,¹¹¹ “going from agenda item to agenda item, as well as

¹¹⁰ Both Lay and Skilling left certain meetings of the Audit and Compensation Committees when those committees held “executive sessions” at which those committees did not want management present. *See, e.g., Minutes of Enron Audit Committee Meeting, Oct. 12, 1998 (the “10/12/98 Audit Committee Minutes”), at 4 [AB000191694-AB000191697]; Minutes of Enron Compensation Committee Meeting, Jan. 10, 2000 (the “1/10/00 Compensation Committee Minutes”), at 2 [AB000202328-AB000202330].*

¹¹¹ Chan Sworn Statement, at 224.

making relevant comments along the way.”¹¹² “[H]e ran the board meetings and was very much in command of the business planning that was being discussed at the board.”¹¹³ Several of the Outside Directors testified about the level of involvement of both Lay and Skilling. For example, Robert Belfer testified:

I would say that Ken ran the board meetings with a pretty firm hand and that he, you know, expressed his views and recommendations, in effect, and responded to various comments and questions made by directors during discussions.

....

Mr. Skilling was similar to Mr. Lay at finance committee meetings, and at board meetings when he wasn't a presenter he would tend to be somewhat more passive than Mr. Lay.¹¹⁴

Meyer testified regarding Lay specifically:

I would say that whenever we had a dialogue in either committee or board meetings, Ken would interject himself. He would be conversant. He appeared to know a lot about whatever subject that we were dialoguing about, but, clearly, he was more focused to the outside.¹¹⁵

D. Compensation

Lay and Skilling received substantial cash compensation from Enron, as well as significant value in the form of stock options, restricted stock and other stock-based incentives. Enron's March 2001 proxy statement reported Lay's and Skilling's compensation as follows:

¹¹² *Id.*

¹¹³ Mendelsohn Sworn Statement, at 122.

¹¹⁴ Belfer Sworn Statement, at 66.

¹¹⁵ Meyer Sworn Statement, at 50.

Lay's Compensation in 2000¹¹⁶

Base Salary	\$ 1,300,000
Cash Bonus	7,000,000
Restricted Stock Awards	7,500,025
Long-Term Incentive Plan Payout	1,218,750
Options ¹¹⁷	14,816,188
Other Compensation ¹¹⁸	<u>1,238,867</u>
Total	<u>\$33,073,830</u>

Skilling's Compensation in 2000¹¹⁹

Base Salary	\$ 850,000
Cash Bonus	5,600,000
Restricted Stock Awards	3,500,037
Options ¹²⁰	6,914,195
Other Compensation ¹²¹	<u>168,228</u>
Total	<u>\$17,032,460</u>

According to Enron's proxy statement, at least the cash bonus for each officer was determined taking into consideration the financial performance of the company. The proxy statement provided that Lay's \$7 million bonus was determined after a review of management's performance report, which "reflected an increase in total recurring net

¹¹⁶ Enron Schedule 14A filed with the SEC on Mar. 27, 2001 (the "Enron 2001 Proxy Statement"), at 19-21.

¹¹⁷ As explained in the Enron 2001 Proxy Statement, this amount represents the potential realizable value on 769,235 shares, assuming the market value of Enron stock appreciated in value at an annual rate of 5%. See Enron 2001 Proxy Statement, at 21.

¹¹⁸ This amount, which is explained in detail in the Enron 2001 Proxy Statement, includes such items as split dollar life insurance benefits and allocations under an employee stock ownership plan. See Enron 2001 Proxy Statement, at 19-20.

¹¹⁹ Enron 2001 Proxy Statement, at 19-21.

¹²⁰ As explained in the Enron 2001 Proxy Statement, this amount represents the potential realizable value on 358,975 shares, assuming the market value of Enron stock appreciated in value at an annual rate of 5%. See Enron 2001 Proxy Statement, at 21.

¹²¹ This amount, which is explained in detail in the Enron 2001 Proxy Statement, includes such items as allocations under an employee stock ownership plan. See Enron 2001 Proxy Statement, at 19-20.

income of 28% from the previous year” among other financial measures.¹²² As the Examiner reported in the Second Interim Report, however, the six accounting techniques employed by Enron in certain of its SPE transactions accounted for almost one-third of Enron’s reported income before interest, minority interests and income taxes in 2000.¹²³ Thus, a substantial part of Lay’s and Skilling’s compensation was related to the use of the SPE transactions.

Lay and Skilling also received substantial sums from selling their Enron stock. During the four-year period 1998 through 2001, Lay had gross proceeds of over \$209 million from Enron stock sales.¹²⁴ Of that amount, \$94 million was derived from selling stock back to Enron to repay money that Lay borrowed from the company under a line of credit.¹²⁵ During the same four-year period, Skilling had gross proceeds of over \$96 million from Enron stock sales,¹²⁶ of which \$2 million was derived from selling stock back to Enron to repay a loan.¹²⁷

The use of Enron stock to repay corporate loans is discussed in Annex 1 to this Appendix. As described in that Annex, the Compensation Committee, which approved Lay’s and Skilling’s use of Enron stock to repay loans, did not have authority to grant such approvals under Oregon law, and the repayments were apparently never approved or ratified by the Board. Therefore, the repayments by Lay and Skilling are likely voidable

¹²² Enron 2001 Proxy Statement, at 15.

¹²³ See Second Interim Report, Appendix Q (Schedules Depicting Impact of Enron’s Six Accounting Techniques).

¹²⁴ This amount was reported by Lay in filings he made with the SEC during 1998 through 2001 pursuant to Section 16(a) of the Securities Exchange Act of 1934, as amended (the “Exchange Act”).

¹²⁵ List entitled “Sales to Enron Corp. to Repay Loan, produced by Enron” [AB000430358].

¹²⁶ This amount was reported by Skilling in Section 16 filings he made with the SEC during 1998 through 2001 pursuant to Section 16(a) of the Exchange Act.

¹²⁷ Enron Corp. – Account Reconciliation, Officers’ Loans, as of Sept. 30, 2001 [AB0522 08492].

at the election of Enron. Upon such event: (i) Enron would return to Lay 2,131,282 shares of common stock, and Lay would be liable to repay loans in the amount of \$94,267,163 plus any applicable interest; and (ii) Enron would return to Skilling 26,425 shares of common stock, and Skilling would be liable to repay his loan in the amount of \$2,000,042 plus any applicable interest.

III. BACKGROUND REGARDING OUTSIDE DIRECTORS

During the five-year period 1997 through the Petition Date, the total number of directors on Enron's Board ranged from fifteen to nineteen,¹²⁸ and a majority of the directors served Enron in no role other than that of director. There were five directors who had other roles at Enron, namely Lay, Skilling, Mark-Jusbasche, Ken Harrison and Urquhart. Harrison and Mark-Jusbasche were full-time Enron employees, and Urquhart provided full-time consulting services for Enron for a period of time.

For purposes of this Appendix, however, the term "Outside Directors" includes all of the members of Enron's Board who served during the period 1997 to the Petition Date other than Lay and Skilling. Although Harrison, Mark-Jusbasche and Urquhart were employed or engaged by Enron, based on the evidence available to the Examiner, their positions with the company were such that they would have had effectively no involvement with the SPE transactions beyond that of the non-officer and non-employee directors.

A. Biographies

Each of Enron's Outside Directors was an accomplished, successful business person or professional. Most had advanced degrees, many held senior leadership positions in U.S. and international businesses, and many served on the boards of other for-profit U.S. corporations. Enron's Outside Directors included, for example, four people who held Ph.D.s and one with an honorary doctorate, two medical doctors who each served as president of one of the world's leading cancer treatment centers, and two

¹²⁸ All directors were elected for one-year terms each May at the company's annual meeting of shareholders. Thus, Enron's Board was not staggered. Occasionally, Enron added new directors or replaced resigning directors at times other than the annual meeting, with the Board, rather than the shareholders, voting on the election of such new or replacement directors.

law school graduates. The group also included twelve people who had served as CEOs, a Dean of the Stanford University School of Business, a member of Great Britain's House of Lords who also served as Energy Secretary under Margaret Thatcher, and a former chair of the Commodity Futures Trading Commission. As one director testified to the PSI, "[t]hese directors were a smart and talented group of people who brought a diversity of experience and expertise to the Board."¹²⁹

The following chart sets forth the name of each Outside Director who served during the period 1997 to the Petition Date, such director's dates of service and age as of the Petition Date, and the Board committees on which such director served.

Enron Directors¹³⁰

Name	Date Board Service Began¹³¹	Date Board Service Ended	Age at Petition Date¹³²	Committees
Robert A. Belfer ("Belfer")	1983 ¹³³	June 2002 ¹³⁴	65	Finance Executive
Norman P. Blake, Jr. ("Blake")	1993 ¹³⁵	June 2002 ¹³⁶	59	Finance Compensation

¹²⁹ *The Role of the Board of Directors in Enron's Collapse: Hearing before the Permanent Subcomm. on Investigations, Senate Comm. on Governmental Affairs*, 107th Cong. (May 7, 2002) (the "5/7/02 PSI Hearing Transcript"), at 27 (testimony of Norman Blake).

¹³⁰ Enron was formed in May 1985, when InterNorth Inc. ("InterNorth") merged with HNG. The merged entity changed its name to Enron Corp. in 1986. To the extent that dates in this chart refer to time periods prior to the merger, they refer to Board service with either HNG or InterNorth.

¹³¹ For directors whose Board service commenced before 1997, the month they joined the Board is not included.

¹³² These ages have been determined using the ages stated in Enron's proxy statements filed with the SEC during the years 1998 through 2001 and were, therefore, determined without the benefit of knowing each director's date of birth. Thus, these ages could be in error by one year.

¹³³ Belfer Sworn Statement, at 15.

¹³⁴ *Id.*

¹³⁵ Enron 2001 Proxy Statement, at 2. However, Blake testified that he joined the board in 1994. Sworn Statement of Norman P. Blake, Jr., former Director, Enron, to John L. Latham, A&B, Dec. 13, 2002 (the "Blake Sworn Statement"), at 12.

¹³⁶ Enron Press Release, "Enron Board Reports Progress on Planned Transition," June 6, 2002 (the "6/6/02 Enron Press Release"), at AB1128 00088 [AB1128 00088-AB1128 00091].

Ronnie C. Chan ("Chan")	1996 ¹³⁷	March 2002 ¹³⁸	51	Audit Finance
John H. Duncan ("Duncan")	1968 ¹³⁹	March 2002 ¹⁴⁰	73	Executive (Chair) Compensation
Joseph H. Foy ("Foy")	1970 ¹⁴¹	May 2000 ¹⁴²	74	Audit Executive
Wendy L. Gramm ("Gramm")	1993 ¹⁴³	June 2002 ¹⁴⁴	56	Audit Nominating
Ken L. Harrison ("Harrison")	August 1997 ¹⁴⁵	May 2001 ¹⁴⁶	58	None
Robert K. Jaedicke ("Jaedicke")	1984 ¹⁴⁷	March 2002 ¹⁴⁸	72	Audit (Chair)
Rebecca Mark-Jusbasche ("Mark-Jusbasche")	July 1999 ¹⁴⁹	August 2000 ¹⁵⁰	46	None
Charles A. LeMaistre ("LeMaistre")	1980 ¹⁵¹	March 2002 ¹⁵²	77	Compensation (Chair) Executive

¹³⁷ Enron Schedule 14A filed with the SEC on Mar. 24, 1997 (the "Enron 1997 Proxy Statement"), at 2.

¹³⁸ Enron Press Release, "Enron Board of Directors Announces Plan to Restructure Board," Feb. 12, 2002 (the "2/12/02 Enron Press Release"), at AB1128 00084 [AB1128 00084-AB1128 00085].

¹³⁹ HNG Schedule 14A filed with the SEC on Oct. 30, 1984 (the "HNG 1984 Proxy Statement"), at 2.

¹⁴⁰ 2/12/02 Enron Press Release, at AB1128 00084.

¹⁴¹ HNG 1984 Proxy Statement, at 3.

¹⁴² Enron Press Release, "Enron Board Director Joe H. Foy Retires," May 2, 2000 [AB1128 00082].

¹⁴³ Enron 1997 Proxy Statement, at 3.

¹⁴⁴ 6/6/02 Enron Press Release.

¹⁴⁵ Harrison Sworn Statement, at 13, 22-23.

¹⁴⁶ *Id.* at 9.

¹⁴⁷ Sworn Statement of Robert K. Jaedicke, former Director, Enron, to John L. Latham, A&B, Dec. 19, 2002 and Dec. 20, 2002 (the "Jaedicke Sworn Statement"), at 16.

¹⁴⁸ *Id.*

¹⁴⁹ Enron Press Release, "Enron Promotes Joseph Sutton to Vice Chairman," July 1, 1999 (the "7/1/99 Enron Press Release"), at AB1128 00078 [AB1128 00078-AB1128 00079].

¹⁵⁰ Enron Press Release, "Enron Announces Board Resignation," Aug. 25, 2000 [AB1128 00083].

¹⁵¹ HNG 1984 Proxy Statement, at 5.

¹⁵² 2/12/02 Enron Press Release.

John Mendelsohn ("Mendelsohn")	May 1999 ¹⁵³	May 2002 ¹⁵⁴	64	Audit Nominating
Jerome J. Meyer ("Meyer")	August 1997 ¹⁵⁵	February 2001 ¹⁵⁶	63	Finance Nominating
Paulo V. Ferraz Pereira ("Pereira")	October 1999 ¹⁵⁷	March 2002 ¹⁵⁸	46	Audit Finance
Frank Savage ("Savage")	October 1999 ¹⁵⁹	May 2002 ¹⁶⁰	62	Finance Compensation
John A. Urquhart ("Urquhart")	1990 ¹⁶¹	May 2001 ¹⁶²	72	Finance Board Vice Chair ¹⁶³
John Wakeham ("Wakeham")	1994 ¹⁶⁴	March 2002 ¹⁶⁵	68	Audit Nominating (Chair)
Charls E. Walker ("Walker")	1984 ¹⁶⁶	May 1999 ¹⁶⁷	77	Finance

¹⁵³ Enron Press Release, "Enron Corp. Elects John Mendelsohn to Board of Directors," May 19, 1999 (the "5/10/99 Enron Press Release") [AB1128 00076-AB1128 00077].

¹⁵⁴ Enron Press Release, "Enron Names Two New Board Members," May 30, 2002 (the "5/30/02 Enron Press Release"), at AB1128 00087 [AB1128 00086-AB1128 00087].

¹⁵⁵ Minutes of Enron Board Meeting, Aug. 11, 1997 (the "8/11/97 Enron Board Minutes"), at 1 (first meeting with record of Meyer's attendance) [AB000183958-AB000183991].

¹⁵⁶ Meyer Sworn Statement, at 7.

¹⁵⁷ Enron Press Release, "Enron Corp. Elects Paulo V. Ferraz Pereira and Frank Savage to Board of Directors," Oct. 12, 1999 (the "10/12/99 Enron Press Release") [AB1128 00080-AB1128 00081].

¹⁵⁸ 2/12/02 Enron Press Release.

¹⁵⁹ 10/12/99 Enron Press Release.

¹⁶⁰ 5/30/02 Enron Press Release, at AB1128 00087.

¹⁶¹ Enron 1997 Proxy Statement, at 5.

¹⁶² Urquhart Sworn Statement, at 13. The last Board meeting he attended was in February 2001. *Id.*

¹⁶³ Urquhart became the Vice Chair of the Board in August 1991. 1997 Proxy Statement, at 5.

¹⁶⁴ *Id.*

¹⁶⁵ 2/12/02 Enron Press Release.

¹⁶⁶ HNG 1984 Proxy Statement, at 5.

¹⁶⁷ 5/10/99 Enron Press Release, at AB1128 00076.

Bruce G. Willison ("Willison")	August 1997 ¹⁶⁸	December 1998 ¹⁶⁹	52	Audit Finance
Herbert S. Winokur, Jr. ("Winokur")	1984 ¹⁷⁰	June 2002 ¹⁷¹	57	Finance (Chair) Executive

Despite many of the Outside Directors being age sixty-five or older, all appear to have been either employed full time or otherwise engaged in activities that required significant commitments in addition to their service to Enron. Attachment A to this Appendix provides a brief description of certain aspects of each Outside Director's accomplishments and qualifications, as well as his or her business and professional activities in addition to the Enron Board service.

B. The Board's Structure and Processes

Committees

The Board had five standing committees, including four that were either required or customary for public companies: Audit and Compliance (the "Audit Committee"); Compensation and Management Development (the "Compensation Committee"); Nominating and Corporate Governance (the "Nominating Committee"); and Executive (the "Executive Committee").¹⁷² The fifth standing committee was Finance (the "Finance

¹⁶⁸ 8/11/97 Board Meeting Minutes (first meeting with record of Willison's attendance); Willison Sworn Statement, at 17.

¹⁶⁹ Willison Sworn Statement, at 17.

¹⁷⁰ HNG 1984 Proxy Statement, at 6.

¹⁷¹ 6/6/02 Enron Press Release.

¹⁷² The Audit Committee and the Finance Committee typically had six to eight members each; the Compensation Committee and the Nominating Committee typically had four to five members each. The Executive Committee consisted of each committee chair, plus Lay, Skilling and typically two other directors. Generally, when a new director joined the Board, Lay suggested the committees, if any, that the director would join, and there was no shifting of directors among committees during the period 1997 to 2001. See, e.g., Sworn Statement of Paulo V. Ferraz Pereira, former Director, Enron, to William C. Humphreys, Jr., A&B, Sept., 12, 2003 (the "Pereira Sworn Statement"), at 27-29; Gramm Sworn Statement, at 33; Meyer Sworn Statement, at 28.

Committee”), which served “as a monitor of the Company’s financial activities.”¹⁷³ Outside Directors most involved with overseeing Enron’s SPE transactions were the members of the Finance Committee, who were charged with, among other things, reviewing and approving the company’s significant financings,¹⁷⁴ and the members of the Audit Committee, who were responsible for reviewing Enron’s publicly disseminated financial statements.¹⁷⁵

Meeting Process

During the years 1997 through 2001, Enron’s directors met for regularly scheduled meetings five times per year, in February, May, August, October and December.¹⁷⁶ Typically, these sessions encompassed ten to twelve hours of meetings spanning a two-day period.¹⁷⁷ In addition to the regularly scheduled meetings, the Board

¹⁷³ Enron Finance Committee Charter, undated (the “Finance Committee Charter”), at 1 [AB1114 00003-AB1114 00004].

¹⁷⁴ Finance Committee Charter, at 1.

¹⁷⁵ Enron Audit and Compliance Committee Charter, as amended Feb. 12, 2001 (the “2/12/01 Audit Committee Charter”), at AB000203950 [AB000203948-AB000203951]. Many of the SPE transactions were not brought to the Board or its committees for review and approval. As discussed in more detail in the Report to which this Appendix is attached, it appears that the structures used in many of the SPE transactions meant that they were subject to certain Enron approval policies that allowed the officers to enter into the transactions without Board approval. The Board appears to have approved SPE transactions involving the issuance or transfer of Enron stock, including Chewco, Whitewing, Marlin, Rhythms and Raptors.

¹⁷⁶ These meetings were held on February 10-11, 1997; May 5-6, 1997; August 10-11, 1997; October 13-14, 1997; December 8-9, 1997; February 9-10, 1998; May 4-5, 1998; August 10-11, 1998; October 12-13, 1998; December 7-8, 1998; February 7-8, 1999; May 3-4, 1999; August 9-10, 1999; October 11-12, 1999; December 13-14, 1999; February 7-8, 2000; May 1-2, 2000; August 7-8, 2000; October 6-7, 2000; December 11-12, 2000; February 12-13, 2001; April 30-May 1, 2001; August 13-14, 2001; October 8, 2001; and December 20, 2001. Enron held the regularly scheduled meetings most often at its offices in Houston, but occasionally it held the meetings at off-site locations. For example, in August 1997, the Board met in Portland, Oregon in connection with the acquisition of Portland General Electric. In February 1998, the Board met in Philadelphia, following Pennsylvania’s decision to deregulate the electricity market in that state. Gramm Sworn Statement, at 102-03. In February 1999, the Board met in London, which permitted the Board to tour Enron’s Wessex water plant. In October 2000, the Board met in Palm Beach, Florida.

¹⁷⁷ Beginning in the afternoon of the first day, the standing committees met, followed by a dinner that was primarily a social event but at which the directors might hear presentations about various company matters. On the morning of the second day, the full Board met, usually ending around noon or mid-afternoon. In

and some of the committees held special meetings on an ad hoc basis. For example, in 2000, the Board held four special meetings, the Compensation Committee held five special meetings, and the Executive Committee held seven such meetings.¹⁷⁸

The Outside Directors were rarely absent from the regularly scheduled Board meetings.¹⁷⁹ Even though the special meetings of the Board were generally scheduled on short notice, few of the Outside Directors missed those meetings.¹⁸⁰

The committee meetings were also regularly attended. For example, of the twenty-four regularly scheduled Finance Committee meetings held from 1997 to 2001, there was perfect attendance for twelve of those meetings, and at six of the meetings only one member was missing. Additionally, during this period, several of the Outside Directors made it a practice to attend meetings of committees on which they did not

addition, any committee that did not meet or complete its meeting on the first day would meet on the second day. Skilling 12/5/01 SEC Testimony, at 39-40.

¹⁷⁸ The following chart shows the number of special meetings held, according to the records of Enron's Board and its committees:

Special Meetings

	1997	1998	1999	2000	Jan. – Sept. 2001	Oct. 2001 – Petition Date
Board	3	3	8	4	4	24
Audit	1	0	0	0	0	4
Compensation	3	2	3	5	5	4
Executive	11	13	10	7	3	0
Finance	0	1	0	0	0	0
Nominating	0	0	1	0	1	0

¹⁷⁹ For example, from 1997 through the fall of 2001, there were 24 regularly scheduled Board meetings, with perfect attendance at 10 of these meetings, one director absent from nine of the meetings, and two directors absent from five of the meetings.

¹⁸⁰ For example, from 1997 through October 22, 2001, there were 25 special meetings, with perfect attendance at nine of the meetings, one director missing from eight meetings, two directors missing from three meetings and four or more directors missing from four meetings. Attendance information was omitted from the minutes of one of the meetings.

officially serve. For example, LeMaistre often attended the Finance Committee meetings “because of [his] interest in what the finance committee was doing,” even though he was never a member of that committee.¹⁸¹

In advance of each regularly scheduled meeting, Enron usually provided to each Outside Director a package containing the meeting agendas and voluminous amounts of preparatory materials, often exceeding several hundred pages in length.¹⁸² Despite the Outside Directors’ busy schedules and the volume of material they received, the Outside Directors testified that they read the materials and were generally impressed by the level of preparedness of their colleagues.¹⁸³ The number of hours that each Outside Director estimated he or she spent in a year on all matters related to Enron, including reviewing

¹⁸¹ LeMaistre Sworn Statement, at 93-94. According to attendance records as reflected in the meeting minutes, LeMaistre attended 10 of the Finance Committee’s 24 meetings during 1997 through 2001. Other non-Finance Committee members who regularly attended that committee’s meetings included Harrison (who attended 14 of the meetings) and Duncan (who attended 11). From time to time, other Board members, including Mendelsohn, Gramm, Foy and Jaedicke, also attended Finance Committee meetings.

¹⁸² These materials typically included copies of the presentations that would be made at the meetings, as well as reports on various company matters. *See* Gramm Sworn Statement, at 121 (“I would say that the finance committee would have up to a foot of documents, sometimes even more, because I wouldn’t necessarily see everything that they got beforehand that they read while they were at home The audit committee got a substantial amount of, I would say, several inches of documents.”). *See also* Meyer Sworn Statement, at 35-36; Savage Sworn Statement, at 46-49; LeMaistre Sworn Statement, at 88-89; Chan Sworn Statement, at 49-50; Willison Sworn Statement, at 24-26; Blake Sworn Statement, at 33-35. Occasionally, there were problems getting the materials to the directors traveling from other countries before the meetings. Chan (who lived in Hong Kong), Pereira (who lived in Brazil), and Wakeham (who lived in England) indicated that when this happened, they would review the materials in their hotel rooms before the committee meetings began. Chan Sworn Statement, at 42-45; Pereira Sworn Statement, at 38-40; Sworn Statement of Lord John Wakeham, former Director, Enron, to Oni A. Holley and John L. Latham, A&B, Dec. 5, 2002 (the “Wakeham Sworn Statement”), at 72.

¹⁸³ LeMaistre Sworn Statement, at 90-91 (“I don’t recall any board member who appeared not to be prepared when they came to the meeting.”); Savage Sworn Statement, at 156 (“I thought that the board was a very strong board, very intelligent asked a lot of questions. And we met frequently. So I didn’t have any concerns about the board or the board structure or the board practices.”); Meyer Sworn Statement, at 35-38; Chan Sworn Statement, at 35; Pereira Sworn Statement, 32-34; Duncan Sworn Statement, at 47.

materials and attending meetings, varied widely, ranging from 100 to over 400 hours per year.¹⁸⁴

The Board and committee meetings were not tape recorded.¹⁸⁵ The corporate secretary took handwritten notes of all Board and committee meetings, and Carter confirmed in testimony that, for 1999 through 2001 while she held that position, handwritten notes on the presentation and other materials preserved with the Board and committee minutes were made contemporaneously by her at the meetings.¹⁸⁶

C. Independence

The Outside Directors received substantial compensation from Enron each year in the form of cash and stock options. Towers Perrin valued compensation for the year 2000 at more than \$300,000 per director.¹⁸⁷ In addition, certain Outside Directors had consulting agreements or other financial connections to the company. During the period

¹⁸⁴ Belfer Sworn Statement, at 45-64 (390-410 hours); Blake Sworn Statement, at 31-37 (200-300 hours); Chan Sworn Statement, at 42-44 (130-140 hours); Duncan Sworn Statement, at 45-47 (300-400 hours); Sworn Statement of Joe H. Foy, former Director, Enron, to William C. Humphreys, A&B, Aug. 26, 2003 (the "Foy Sworn Statement"), at 50-51 (240-300 hours); Gramm Sworn Statement, at 61-62 (125-150 hours); LeMaistre Sworn Statement, at 84-89 (300-325 hours); Meyer Sworn Statement, at 44-45 (100-150 hours); Savage Sworn Statement, at 38-53 (125-175 hours); Wakeham Sworn Statement, at 17 (350-400 hours); Sworn Statement of Herbert S. Winokur, Jr., former Director, Enron, to John L. Latham, A&B, Nov. 20, 2002 (the "Winokur 11/20/02 Sworn Statement"), at 52, 57 (200-250 hours) (first day of testimony).

¹⁸⁵ Carter Sworn Statement, at 140-41.

¹⁸⁶ *Id.* at 140-41. Following the meetings, the secretary then drafted minutes, which would usually be reviewed and revised by a number of people, including Enron's General Counsel, James Derrick. Sworn Statement of James V. Derrick, Jr., General Counsel, Enron, to Rebecca M. Lamberth, A&B, Sept. 26, 2003, at 333-37. Carter had a financial background and, thus, a good understanding of many of the topics covered at the Board and committee meetings relating to the SPE transactions. *See* Carter Sworn Statement, at 8-9 (testifying that she holds a master's degree in accounting and worked for Andersen for three and one-half years, before moving to Enron); *Id.* at 14-21 (testifying that she worked in Enron's financial reporting area, that she also served as Enron's chief control officer, and that at one point in her Enron career she helped draft the MD&A section of Enron's SEC filings). Lay asked Carter to resign as corporate secretary in August 2001 when Skilling resigned from the company. *Id.* at 6. Carter and Skilling were married in March 2002. *Id.* at 4.

¹⁸⁷ Materials from Enron Compensation Committee Meeting, May 1, 2000 (the "5/1/00 Compensation Committee Materials"), at AB000496605 (slide from Towers Perrin presentation entitled "Enron Corp. Board of Director Compensation") [AB000496545-AB000496612].

1997 through the Petition Date, twelve of the Outside Directors sold or otherwise engaged in transactions involving Enron stock from which they received aggregate proceeds of over \$217 million. Despite the significant financial benefits that many of the Outside Directors received in connection with their services for Enron, the evidence available to the Examiner is not sufficient for the Examiner to conclude that any of the Outside Directors engaged in self-dealing in connection with Enron's transactions or that such financial benefits resulted in the Outside Directors being beholden to Enron's officers or otherwise unable to exercise independent judgment so as to amount to a breach of their duty of loyalty.¹⁸⁸

Compensation

Beginning in 1999, each of Enron's Outside Directors¹⁸⁹ received a \$50,000 annual service fee¹⁹⁰ and \$1,250 per Board or committee meeting attended.¹⁹¹ Each committee Chair received an additional \$10,000 per year.¹⁹² As of 2000, the Outside Directors were required to defer 50% of their annual service fee into a "phantom stock

¹⁸⁸ The Examiner has not conducted a separate analysis of claims based on insider trading under federal or state corporate law. The key elements of a state corporate law claim for breach of fiduciary duty based on insider trading (to the extent such claims have been recognized) generally are subsumed within the elements of a federal securities law claim for insider trading under the Exchange Act Section 10(b), Rule 10b-5 thereunder, and Section 20A. Federal insider trading claims were asserted against certain of the Outside Directors in the Newby Class Action. By order dated March 12, 2003, the district court in the Newby Class Action dismissed the insider trading claims against the Outside Directors.

¹⁸⁹ Harrison and Mark-Jusbasche, who were also Enron employees, did not receive any additional compensation for serving as Board members. Harrison Sworn Statement, at 64-65.

¹⁹⁰ Enron Schedule 14A filed with the SEC on Mar. 30, 1999 (the "Enron 1999 Proxy Statement"), at 12; Enron Schedule 14A filed with the SEC on Mar. 21, 2000 (the "Enron 2000 Proxy Statement"), at 12; Enron 2001 Proxy Statement, at 12. In 1998, the annual service fee was \$40,000. Enron Schedule 14A filed with the SEC on Mar. 24, 1998 (the "Enron 1998 Proxy Statement"), at 12.

¹⁹¹ Enron 1999 Proxy Statement, at 12; Enron 2000 Proxy Statement, at 12; Enron 2001 Proxy Statement, at 12. In 1998, the attendance fee was \$1,250 for each Board meeting and \$1,000 for each committee meeting. Enron 1998 Proxy Statement, at 12.

¹⁹² Enron 1999 Proxy Statement, at 12; Enron 2000 Proxy Statement, at 12; Enron 2001 Proxy Statement, at 12. In 1998, committee chairs received an additional \$5,000 per year rather than \$10,000. Enron 1998 Proxy Statement, at 12.

plan” and were allowed to receive the remaining fees in cash, deferred compensation, phantom stock units or stock options.¹⁹³ Although Enron’s 2000 Proxy Statement reported an average of \$86,829 per director in annual directors’ fees for 1999,¹⁹⁴ an analysis performed by Towers Perrin for the Compensation Committee that same year estimated the average annual compensation for Enron’s Outside Directors at \$304,565 when including the value of stock-based compensation.¹⁹⁵

Personal, Business and Financial Relationships with Enron and its Officers

Certain of the Outside Directors had personal, business and financial relationships with Enron and certain Enron officers during the period 1997 through the Petition Date. The list below describes all such relationships of which the Examiner has found evidence:

- *Belfer*. Beginning in 1996, a subsidiary of Enron entered into natural gas and crude oil commodity swap agreements and option agreements with Belco Oil & Gas Corp. (“BOGC”), of which Belfer was Chairman and CEO.¹⁹⁶ According to Enron’s annual proxy

¹⁹³ Enron 2000 Proxy Statement, at 12; Enron 2001 Proxy Statement, at 12.

¹⁹⁴ Enron 2000 Proxy Statement, at 12.

¹⁹⁵ 5/1/00 Compensation Committee Materials, at AB000496596-AB000496608 (the Towers Perrin Presentation). In 2000, Enron engaged Towers Perrin to help evaluate the appropriateness of its Outside Director compensation and “determine if the level of compensation for non-employee Directors was competitive with the marketplace.” Minutes of Enron Compensation Committee Meeting, May 1, 2000 (the “5/1/00 Compensation Committee Minutes”), at 2 [AB000202343-AB000202348]. Towers Perrin compared Enron’s director compensation to that of “a select group of comparable companies,” *id.* at 2, including Exxon Corp., GE, IBM Corp., Dynegy, Inc., and Williams Corporation. 5/1/00 Compensation Committee Materials, at AB000496605 (slide from Towers Perrin Presentation). Towers Perrin concluded that Enron’s cash compensation exceeded the 75th percentile, but that the annual stock value given to directors was below the 75th percentile. 5/1/00 Compensation Committee Minutes, at 2. Towers Perrin further observed that Enron’s cash compensation “appear[ed] to be in line with the intended level,” and recommended “that Enron increase its long-term incentive awards for outside directors to a level consistent with the 75th percentile of the comparable companies.” 5/1/00 Compensation Committee Materials, at AB000496599-AB000496600 (slides from Enron Board of Director Compensation Presentation by Towers Perrin). In response, the Compensation Committee granted an additional 3,335 stock options to each of the Outside Directors to bring the stock value compensation to the 75th percentile target. 5/1/00 Compensation Committee Minutes, at 2.

¹⁹⁶ Enron 1998 Proxy Statement, at 28.

statements, BOGC made net payments to the Enron subsidiary under the contracts in every year except 1997.¹⁹⁷

In November 1997, BOGC purchased Coda Energy, Inc. ("Coda") from JEDI I for approximately \$325 million of cash and assumption of liabilities.¹⁹⁸ Goldman Sachs represented BOGC in the transaction, and the engineering firm of Miller & Lents separately analyzed the value of Coda's reserves.¹⁹⁹

- *Foy*. In 1998 and 1999, Enron retained the law firm of Bracewell & Patterson L.L.P., from which Foy is a retired partner.²⁰⁰
- *Gramm*. From 1989 through 2002, Enron and its employees contributed a total of \$97,350 to political campaigns of Gramm's husband, U.S. Senator Phil Gramm.²⁰¹

In addition, during the period 1996 through 2001, Enron and Lay's personal foundation donated approximately \$50,000 to the Mercatus Center of George Mason University, which employs Gramm.²⁰² Gramm testified that part of Enron's donations occurred before she was affiliated with the Mercatus Center,²⁰³ and that she never solicited contributions from Enron other than through mass mailings.²⁰⁴

- *LeMaistre and Mendelsohn*. From 1997 through 2002, Enron and Lay donated approximately \$600,000 to the M.D. Anderson Cancer Center located in Houston, of which LeMaistre and Mendelsohn served as

¹⁹⁷ Enron 1998 Proxy Statement, at 28 (showing net payment from Enron to BOGC of \$1,808,537.60 in 1997); Enron 1999 Proxy Statement, at 28 (showing net payment from BOGC to Enron of \$1,682,110 in 1998); Enron 2000 Proxy Statement, at 27 (showing net payment from BOGC to Enron of \$4,065,000 in 1999); Enron 2001 Proxy Statement, at 27 (showing net payment from BOGC to Enron of \$33,000,000 in 2000).

¹⁹⁸ Enron 1998 Proxy Statement, at 28-29; Belfer Sworn Statement, at 22.

¹⁹⁹ Belfer Sworn Statement, at 23.

²⁰⁰ Enron 1998 Proxy Statement, at 29; Enron 1999 Proxy Statement, at 28. In addition, Foy testified that Enron made contributions totaling \$100,000 to the Cowboy Artists of America Museum, of which Foy served as president and chairman. Foy Sworn Statement, at 39-40. Although Foy did not state when these contributions were made, it appears they occurred prior to 1997, because he testified that he solicited the contributions through an executive assistant to Lay who left Enron in 1997. *Id.* at 40.

²⁰¹ Jeff Gerth & Richard A. Oppel, Jr., *Enron's Collapse: The Power Couple*, N.Y. Times, Jan. 18, 2002, at C1. Gramm testified that she had no knowledge of Enron's contributions to her husband. Gramm Sworn Statement, at 47-51.

²⁰² Gramm Sworn Statement, at 43-44; Reed Abelson, *Enron's Collapse: The Directors*, N.Y. Times, Nov. 30, 2001 (the "11/30/01 N.Y. Times Article"), at C6.

²⁰³ Gramm Sworn Statement, at 46-47.

²⁰⁴ *Id.* at 44-45.

president at different times.²⁰⁵ Both LeMaistre and Mendelsohn testified that they never solicited donations from anyone at Enron on behalf of that institution.²⁰⁶

- *Savage*. Until 2001, Savage served on the board of directors of Alliance Capital Management (“Alliance”), which held Enron stock in the investment funds it managed. Savage testified that when he joined Enron’s Board in 1999, Alliance erected an ethical wall to prevent him from having any involvement with the Enron investments.²⁰⁷
- *Urquhart*. From 1991 through 2001, Urquhart had a consulting agreement with Enron, pursuant to which Enron paid Urquhart between \$410,000 and \$632,000 per year.²⁰⁸ Urquhart testified that he performed services under this agreement relating to Enron’s international projects, utilizing his knowledge of power generation equipment gained during his career at General Electric Company.²⁰⁹ He supervised the construction of the Teeside plant in England, which required almost full time work, in addition to working on other international projects.²¹⁰
- *Walker*. According to the PSI, for more than ten years ending in 2001, Enron contributed up to \$50,000 annually to the American Council for Capital Formation, a non-profit corporation that lobbied on tax issues and was chaired by Walker.²¹¹
- *Wakeham*. From 1997 through 2000, Enron paid Wakeham a monthly retainer of \$6,000 for “his advice and counsel on matters relating specifically to European business and operations.”²¹² Wakeham

²⁰⁵ 11/30/01 N.Y. Times Article, at C6. In 1993, the Enron Foundation pledged \$1.5 million to the M.D. Anderson Cancer Center. *See id.* at C6.

²⁰⁶ LeMaistre Sworn Statement, at 74-76; Mendelsohn Sworn Statement, at 16-17. Mendelsohn also testified that Enron made no substantial gifts to the M.D. Anderson Cancer Center after he became president in 1996. Mendelsohn Sworn Statement, at 16-17.

²⁰⁷ Savage Sworn Statement, at 37-38. Savage testified that he had no involvement in recommendations by Alliance as to whether to buy or sell Enron stock. *Id.* at 38.

²⁰⁸ Enron 1998 Proxy Statement, at 27; Enron 1999 Proxy Statement, at 27; Enron 2000 Proxy Statement, at 25; Enron 2001 Proxy Statement, at 26. Enron also granted Urquhart options on 100,000 shares of Enron phantom stock, with an exercise price of just over \$19 per share. Enron 2000 Proxy Statement, at 25; Enron 2001 Proxy Statement, at 26.

²⁰⁹ Urquhart Sworn Statement, at 25.

²¹⁰ *Id.* at 25-28 (testifying that, in addition to Teeside, he worked on a pipeline project in Russia, and power plant activities in South America, China and Spain).

²¹¹ Chart of Enron Board of Directors – Financial Ties to Enron, May 2000 (prepared by the PSI) (Exhibit 43 to the PSI Report) [AB000150808]. The Examiner did not receive testimony from Walker and has otherwise found no evidence of these contributions.

²¹² Enron 1998 Proxy Statement, at 27.

testified that, in return for his fees, he advised Enron on the “fast-moving energy scene in Europe”²¹³ and that as “clearly a public figure” in Europe, he “could do things for Enron that Enron couldn’t do for itself. I mean, I was better known than Enron was in Europe.”²¹⁴

- *Winokur*. National Tank Company (“Natco”), with which Winokur was indirectly affiliated through his work as an investment manager, sold equipment, parts and service to Enron from 1996 through 2000. Natco recorded annual revenues from these sales ranging from \$316,000 to \$1,035,000.²¹⁵

Stock Transactions

The Examiner has reviewed each Outside Director’s stock transactions during 1997 through 2001, using information obtained from the Outside Directors’ transaction reports filed with the SEC.²¹⁶ Attachment B to this Appendix contains a chart showing the proceeds received by each Outside Director as a result of those transactions.

Seven of the Outside Directors reported no Enron stock transactions during the five years 1997 through 2001.²¹⁷ Of the twelve Outside Directors who engaged in Enron stock transactions during that period,²¹⁸ six received proceeds of more than \$1 million each. Belfer received approximately \$98 million, of which approximately \$80 million was derived from costless collars he entered into with JPMorgan Chase and Morgan

²¹³ Wakeham Sworn Statement, at 22.

²¹⁴ *Id.* at 23.

²¹⁵ Enron 1998 Proxy Statement, at 28; Enron 1999 Proxy Statement, at 28; Enron 2000 Proxy Statement, at 26; Enron 2001 Proxy Statement, at 26-27.

²¹⁶ These reports were filed by the respective directors with the SEC on Forms 3, 4 and 5 pursuant to Section 16(a) of the Exchange Act.

²¹⁷ These seven Outside Directors were Mendelsohn, Meyer, Pereira, Savage, Wakeham, Willison and Winokur. Mendelsohn is included in this list because he reported only one *de minimis* stock sale of 50 shares in November 2001 for which he received total gross proceeds of \$40. See Attachment B to this Appendix.

²¹⁸ These twelve Outside Directors are Belfer, Blake, Chan, Duncan, Foy, Gramm, Harrison, Jaedicke, LeMaistre, Mark-Jusbasche, Urquhart and Walker. See Attachment B to this Appendix.

Stanley. Harrison and Mark-Jusbasche, each of whom were senior officers of Enron, also received substantial sums—in excess of \$50 million each—from exercising options and selling the related shares.²¹⁹ Duncan received just over \$2 million from his Enron stock transactions, and Blake and Foy received just over \$1 million each.

²¹⁹ Belfer and Harrison held substantial Enron stock and stock options acquired when Enron purchased companies they owned or worked for, rather than through their service on Enron's Board.

IV. ACTIONS OF LAY, SKILLING AND OUTSIDE DIRECTORS REGARDING SPE TRANSACTIONS

The responsibilities of Lay, Skilling and the Outside Directors included a decision-making function and an oversight function. In order to fulfill their decision-making function, these fiduciaries were required to make decisions on an informed basis, following a decision-making process that took into consideration all material information reasonably available. A decision that lacked any rational business purpose may support an inference that the decision-makers did not make the decision in good faith.

To fulfill their oversight responsibility, Lay, Skilling and the Outside Directors were required to monitor the affairs of Enron by undertaking reasonable efforts to remain attentive to and informed of the company's business and affairs. They also had a duty to inquire when indications of potential problems, or "red flags," arose.

The evidence shows that Lay, Skilling and the Outside Directors did not make informed business judgments attributable to a rational business purpose when they approved: (i) the "Rhythms" hedging transaction, a non-economic hedge with LJM1; and (ii) the "Raptors" hedging transactions, also non-economic hedges that were completed with LJM2.

With respect to their oversight obligations, the evidence shows that Lay, Skilling and the Outside Directors were all active in monitoring Enron's financial affairs. Although their actions may be subject to criticism, none of Lay, Skilling or the Outside Directors appears to have abdicated his or her monitoring responsibilities.

Another element of their oversight responsibilities, however, required Lay, Skilling and the Outside Directors to respond to the red flags alerting them to potential wrongful conduct of Senior Officers in connection with the SPE transactions. Because of

Lay's and Skilling's full-time positions as CEO and COO, they were more familiar with the affairs under their supervision and had greater access to information regarding SPE transactions than the Outside Directors. Thus, they had more occasion to encounter red flags than the Outside Directors and, correspondingly, more responsibility to respond to them.

The failure to recognize or respond to red flags by the Outside Directors, who necessarily could not have a detailed knowledge of the day-to-day operations of the company, is subject to criticism. However, the evidence reviewed by the Examiner is not sufficient for a fact-finder to conclude that any of the Outside Directors failed to act in good faith, or that they acted with a conscious disregard for known risks. This is particularly true in an environment in which management often failed to provide the Board with meaningful information and even intentionally misled the Board from time to time.

The evidence shows that Lay and Skilling, however, given their far more intimate involvement with the daily activities of Enron, either knew or should have known from the existence of red flags they encountered that the Senior Officers were misusing SPE transactions in a manner that resulted in the dissemination of materially misleading financial information.

A. Duty to Make Informed Business Judgments

As described in the Second Interim Report, Enron entered into a hedging transaction involving LJM1 relating to Enron's investment in stock of Rhythms NetConnections, Inc. ("Rhythms"), and a series of hedging transactions involving LJM2

referred to as the Raptors, which related to a number of Enron's portfolio assets.²²⁰ The Rhythms and Raptors hedges were non-economic, meaning that (i) Enron used them purely to achieve the ability to offset the income statement impact of any decline in the hedged assets' value by writing up the value of the hedge, and (ii) the only assets available to pay any hedge obligations to Enron were the securities or cash Enron itself transferred to the structures. Enron gave substantial value to LJM1 and LJM2 to accomplish these structures, which were designed solely to provide a financial statement benefit and had no economic benefit to Enron.

Rhythms

Background. In March 1998, Enron purchased equity in Rhythms for approximately \$10 million.²²¹ Following Rhythms' initial public offering, its stock price was volatile, and the value of Enron's investment increased to over \$500 million at one point²²² and was approximately \$260 million as of June 1, 1999.²²³ Because the Rhythms stock was a fair value asset in Enron's portfolio, Enron had recognized the large increase in value as income and was concerned about the adverse effect on its income statement if the value were to decline. Enron was contractually prohibited from selling or hedging the stock for a period of six months.²²⁴ Even if Enron were not prohibited from hedging the

²²⁰ See Second Interim Report, Appendix L (Related Party Transactions).

²²¹ See Rhythms NetConnections, Inc. Form S-1 filed with the SEC on Apr. 6, 1999 (the "Rhythms S-1"), at Item 15.

²²² Memorandum from Rebecca C. Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, Apr. 16, 1999 (the "4/16/99 Weekly Board Update"), at 2 (reporting that the stock price had reached as much as \$110 per share) [AB000448792-AB000448797]. Enron held approximately 5.3 million shares of Rhythms common stock.

²²³ Rhythms S-1, at Principal Stockholders Table. Rhythms' closing stock price on June 1, 1999 was \$48.50 per share. *NASDAQ National Market Issues*, Wall St. J., June 2, 1999, at C12.

²²⁴ Letter from Gil Melman, Senior Counsel, Enron Communications Investments Corp., to Rose Stroud, Legal Transfers Area, American Securities Transfer & Trust Inc., Mar. 20, 2000, at AB000468667

stock, due to the large percentage of Rhythms' total equity represented by Enron's investment—approximately 50% of Rhythms' publicly traded shares—and the volatility of the stock price in the market, Enron was unlikely to find a third party willing to enter into a hedge on economic terms acceptable to Enron.

Enron's Board was aware of the concern over the potential volatility in the company's reported income resulting from changes in the Rhythms stock price, and they had been told about contractual and market restrictions on Enron's ability to sell or hedge the stock. In at least four of her regular weekly updates to the Board, the corporate secretary kept the Board apprised of developments. On April 9, 1999, she told the Board that Rhythms priced its stock at \$21 per share in the initial public offering, and that the stock price closed at over \$69 per share on the first day.²²⁵ She wrote:

Enron will be analyzing the investment during the second quarter to determine how much of an additional write-up will be taken. There will likely be **considerable** reserves taken against any write-up since Enron has a 6-month hold requirement related to the investment, the limited public float of the stock and the size of Enron's holding [sic].²²⁶

One week later, she told the Board that "[t]he stock was very volatile this week, trading at \$110/share at one point."²²⁷ She also wrote: "Our investment in Rhythms was questioned by an analyst during the earnings release conference call. In addition, we

(attaching a copy of Rhythms NetConnections, Inc. stock certificate registered in the name of Enron Communications Investments Corp.) [AB000468665-AB000468668].

²²⁵ Memorandum from Rebecca C. Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, Apr. 9, 1999 (the "4/9/99 Weekly Board Update"), at 2 [AB000448815-AB000448820].

²²⁶ *Id.* at 2 (bolded in original).

²²⁷ 4/16/99 Weekly Board Update, at 2.

received some additional press coverage related to our investment.”²²⁸ One week after that, she reported that the stock price had continued to be volatile, trading between \$56 and \$88 per share during the previous week.²²⁹ She again pointed out to the Board members that Enron was subject to a “six-month hold requirement on the stock,”²³⁰ and stated that Enron was “hedging our investment by buying puts on other internet stocks. This will protect us in the event the entire sector falls out of favor.”²³¹ Finally, on May 7, 1999, the corporate secretary responded to questions from “[s]ome of the Board members [who] had asked how we were hedging Rhythms”²³² by explaining that Enron had purchased individual stocks in the internet sector, and was also utilizing an index comprised of twenty leading internet companies such as Amazon.com, America Online and Yahoo, Inc.²³³

The hedge that Enron structured in response to its concerns and entered into with LJM1 is described in detail in Annex 2 to Appendix L (Related Party Transactions) to the

²²⁸ *Id.*

²²⁹ Memorandum from Rebecca C. Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, Apr. 23, 1999 (the “4/23/99 Weekly Board Update”), at 1 [AB000448792-AB000448797].

²³⁰ *Id.* In addition to the Board members being told on two occasions about the six-month hold restrictions, Harrison, who served on Rhythms’ board of directors, had signed a letter agreement with the underwriters of Rhythms’ initial public offering, agreeing to similar restrictions on any Rhythms stock he owned personally. See Letter from Ken L. Harrison, former Director, Enron, to Merrill Lynch & Co., *et al.*, Mar. 12, 1999, at 1-2 (agreeing that he would not enter into “any swap or any other agreement or any transaction that transfers, in whole or in part, directly or indirectly, the economic consequence of ownership of the Common Stock, whether such swap or transaction is to be settled by delivery of Common Stock or other securities, in cash or otherwise . . .”). [AB000468663-AB000468664]. Harrison testified that he had recommended to Enron that it invest in Rhythms, Harrison Sworn Statement, at 43, and that he became a director of Rhythms when Enron made that investment. *Id.* at 45.

²³¹ 4/23/99 Weekly Board Update, at 1.

²³² Memorandum from Rebecca Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, May 7, 1999, at 1 [AB000448785-AB000448790].

²³³ *Id.* (“The index is an equal-dollar weighted index made up of 20 leading companies involved in internet commerce, service and software. The index was developed with a base value of 200 as of September 30, 1998. The current value of the index is 614. A few of the companies in the index are Amazon.com, America Online, Egghead.com, Realnetworks, Inc., and Yahoo, Inc.”).

Second Interim Report. In summary, Fastow invested \$1 million personally in LJM1 and served as its sole general partner. Two third party financial institutions invested \$7.5 million each and served as the limited partners.²³⁴ Enron transferred to LJM1 shares of Enron common stock (which were then subject to certain forward contracts with UBS)²³⁵ having an aggregate stock price of \$276 million.²³⁶ LJM1 then transferred approximately half of the shares to a “Swap Sub,” which LJM1 had formed to serve as the hedging vehicle.²³⁷ Enron received promissory notes from LJM1 for \$64 million and a put right that Enron could exercise in the future to force Swap Sub to purchase the Rhythms stock at \$56.125 per share.²³⁸ Enron took the position for accounting purposes that it could record an increase in the value of its put right that would equal and therefore offset any amount by which the Rhythms stock price fell below \$56.125.

However, only Swap Sub, and not LJM1, was liable to Enron for the put, and Swap Sub’s only asset was the portion of the Enron stock that LJM1 had transferred to it, plus \$3.75 million in cash that represented proceeds from selling some of the Enron

²³⁴ These financial institutions were ERNB Ltd., an affiliate of CSFB, and Campsie Ltd., an affiliate of RBS. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions); Report, Appendix F (Role of CSFB and its Affiliates); Report, Appendix E (Role of RBS and its Affiliates).

²³⁵ At the same time Enron was considering the hedge of its Rhythms stock, it was also looking for a way to take advantage of increases in the value of its stock that was subject to forward contracts with UBS AG (“UBS”). These contracts obligated Enron to purchase shares of its stock from UBS at approximately \$45 per share and, in June 1999, Enron’s stock was trading at around \$81 per share. Until these forward contracts matured, however, Enron could not purchase the stock and actually realize this gain. In connection with the Rhythms hedge, Enron restructured the forward contracts with UBS and caused UBS to transfer a portion of the shares to LJM1, thereby realizing some of the otherwise unrealized gain. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

²³⁶ The shares were actually transferred by UBS at Enron’s direction. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

²³⁷ LJM1 capitalized Swap Sub with approximately one-half of the stock from Enron and \$3.75 million in cash, which represented proceeds from selling a portion of the Enron stock.

²³⁸ Within two weeks after closing the Rhythms transaction, Enron became concerned about the continued volatility of the Rhythms stock. Thus, on July 13, 1999, Enron entered into a “costless collar” with Swap Sub that, among other things, protected Enron from Rhythms’ stock price falling below \$65 per share. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

stock. Thus, Enron did not transfer any of its true economic risk in the Rhythms investment to any third party with assets other than assets provided by Enron. Instead, Enron gave up \$276 million to receive promissory notes of \$64 million and a hedge that was supported only by about half of the stock that Enron itself had transferred to the structure.²³⁹

The Board heard a presentation about the Rhythms transaction, and approved the necessary components relating to the use of Enron stock, on June 28, 1999 at a specially called meeting.²⁴⁰ The Board also ratified a determination by Enron's Office of the Chairman (meaning Lay and Skilling)²⁴¹ under the company's Code of Ethics²⁴² that Fastow's role as general partner of LJM1 would "not adversely affect the interests of the

²³⁹ As discussed in Appendix L to the Second Interim Report, LJM1 and Enron unwound the Rhythms hedge in March 2000. As part of the unwinding, the parties terminated the hedge and the related put option. LJM1 returned or sold all of the Enron stock to Enron, and Enron paid LJM1 approximately \$30 million. At the time of this unwind, the LJM1 subsidiary Swap Sub was owned by the Southampton partnership, whose partners were Fastow, Kopper, other Enron employees (including Glisan and Kristina Mordaunt), LJM employees and three investment bankers at National Westminster Bank. Southampton had acquired Swap Sub from LJM1's limited partners for an aggregate of \$11 million (\$10 million to CSFB and \$1 million to RBS) and Fastow negotiated a \$30 million payment to Swap Sub (leaving a net of \$19 million to split among the Southampton partners). This unwinding was apparently never discussed at any Board or committee meeting, although the members of the Audit Committee may have reviewed Enron's broad disclosure of the unwind transaction in Enron's Form 10-Q for the first quarter of 2000 (filed in May 2000). Although there are outstanding criminal indictments against certain participants in the Southampton partnership, the Examiner has found no evidence that Lay, Skilling or the Outside Directors were involved in that partnership or had knowledge of the alleged criminal activities.

²⁴⁰ Minutes of Enron Board Meeting, June 28, 1999 (the "6/28/99 Board Minutes"), at 6-7 [AB000196728-AB000196740]. The Board approved: (i) amendments to certain forward stock purchase contracts that Enron had with UBS, since these were the shares that Enron would transfer to the Rhythms hedging SPE; and (ii) a new forward contract with LJM1 and the early cancellation of that agreement. *Id.* at 7.

²⁴¹ Skilling 12/5/01 SEC Testimony, at 6-7.

²⁴² Enron's Code of Ethics provided: "[N]o full-time officer or employee should: . . . (c) Own an interest in or participate, directly or indirectly, in the profits of any other entity which does business with or is a competitor of the Company, unless such ownership or participation has been previously disclosed in writing to the Chairman of the Board and Chief Executive Officer of Enron Corp. and such officer has determined that such interest or participation does not adversely affect the best interests of the Company." Enron Code of Ethics, Conflicts of Interests, Investments, and Outside Business Interests of Officers and Employees, at 56 [AB000343329-AB000343358].

Company.”²⁴³ The following discussion describes the information presented to the Board, which included facts about the transaction from which the Outside Directors could reasonably have determined that the hedge was non-economic and had no rational business purpose. If, as several of the Outside Directors testified, they did not in fact understand the transaction,²⁴⁴ it may have been the result of a meeting process, also described below, that did not allow them to consider carefully all material information reasonably available.²⁴⁵ Finally, as described below, Lay and Skilling conducted the meeting and likely knew even more about the transaction than the Outside Directors.

Economic Terms. After noting that “due to changes in the accounting treatment of off-balance sheet transactions [Enron] has been analyzing new types of financing vehicles,” Skilling asked Fastow to make a presentation regarding “a proposed investment partnership.”²⁴⁶ Fastow made a presentation using a ten-page PowerPoint handout, in which he included a transaction structure chart and several slides showing the economic terms.

²⁴³ 6/28/99 Board Minutes, at 7.

²⁴⁴ See, e.g., Harrison Sworn Statement, at 146 (“Q: Do you recall what the structure of the . . . hedging transaction with LJM1 was to be? A: I don’t believe they described it exactly. If they did, I don’t recall it.”); Urquhart Sworn Statement, at 136-37; Winokur 11/21/02 Sworn Statement, at 106-07; Gramm Sworn Statement, at 182-87; Wakeham Sworn Statement, at 87-92.

²⁴⁵ The process by which the Outside Directors reviewed and approved the Rhythms transaction may raise process due care issues. The duty of care imposes on directors the obligation to make informed business judgments, taking into consideration all material information reasonably available. Under Oregon law, the adequacy of the decision making process (i.e., whether the business decision was sufficiently informed) would likely be measured by concepts of ordinary negligence. The business judgment rule will not protect an uninformed business judgment from judicial scrutiny. See Third Interim Report, Appendix B (Legal Standards); Annex 2 (Legal Standards) to this Appendix. Moreover, where directors know they are making material decisions without adequate information and without adequate deliberation, a court may find such conduct not to be in good faith. *In re Walt Disney Co. Derivative Litig.*, 825 F.2d 275 (Del. Ch. 2003). See Annex 2 (Legal Standards) to this Appendix. The review and approval processes followed in the Raptor transactions may raise similar issues.

²⁴⁶ 6/28/99 Board Minutes, at 6.

During the presentation, Fastow told the Board that PricewaterhouseCoopers (“PWC”) would render a fairness opinion that would state “the value the Company was receiving in the transaction was in excess of the value of the forward contract the Company was giving up.”²⁴⁷ He then explained that Enron would contribute to LJM1 shares of stock with a total value of \$234 million (which had increased to \$276 million by the time the transaction was consummated).²⁴⁸ He also showed the Board a slide that said Enron would receive “Direct Value” of \$165 million.²⁴⁹ That amount included \$50 million for the LJM1 promissory notes (which increased to \$64 million after closing), but the remainder of the purported value was derived from the stock that Enron was transferring.

Outside Directors did not recall any discussion of the substantial difference between the value being contributed and the value being received. Meyer’s testimony included the following exchange: “Q. Do you recall any discussion at this board meeting about the difference between the \$165 million value to Enron on this chart and the \$234 million stock value in the UBS forwards on the other chart? A. I don’t remember the conversation.”²⁵⁰ Gramm demonstrated a similar lack of recollection: “Q. You don’t recall anyone asking questions about the numbers that were presented and why and how those numbers did or didn’t make any sense? A. I don’t recall people questioning the actual numbers, no.”²⁵¹

²⁴⁷ *Id.* at 6-7.

²⁴⁸ Materials from Enron Board Meeting, June 28, 1999 (the “6/28/99 Board Materials”), at AB0254 00464 (slide from Fastow’s LJM Presentation) [AB0254 00452-AB0254 00499].

²⁴⁹ *Id.* at AB0254 00467 (slide from Fastow’s LJM Presentation).

²⁵⁰ Meyer Sworn Statement, at 114.

²⁵¹ Gramm Sworn Statement, at 193. Lay stated that the Board discussion focused more on Fastow’s conflict than the economics of the transaction. Lay In-Person Interview.

Fastow's transaction structure chart showed that Swap Sub was the hedging vehicle and that it would receive only half of the Enron stock.²⁵² Nothing on the chart indicated that Swap Sub would receive any other capitalization from LJM1, and nothing explained why LJM1 retained half of the Enron shares. Fastow also did not tell the Board the amount of capital that the limited partners would contribute to LJM1, or the identity of those limited partners.²⁵³ Thus, even if the Outside Directors thought that LJM1 would contribute sufficient third party capital to Swap Sub to allow it to honor its obligations to Enron under the put, the Outside Directors did not know how much third party capital LJM1 had available for that purpose. The "hold" restriction on the Rhythms stock, which had been mentioned to the Outside Directors in two communications prior to the Board meeting,²⁵⁴ was apparently not discussed, even though the Rhythms transaction may have violated those restrictions.²⁵⁵

With respect to outside accounting or legal approval, representatives of PWC did not attend the meeting,²⁵⁶ and the fairness opinion had not been delivered, so no copy was provided to the Board.²⁵⁷ Also, there is no evidence in the minutes of the meeting or

²⁵² 6/28/99 Board Materials, at AB0254 00471 (slide from Fastow's LJM Presentation).

²⁵³ See 6/28/99 Board Minutes; 6/28/99 Board Materials.

²⁵⁴ 4/9/99 Weekly Board Update, at 2; 4/23/99 Weekly Board Update, at 1.

²⁵⁵ See Letter from Ken L. Harrison, former Director, Enron, to Merrill Lynch & Co., *et al.*, Mar. 12, 1999 [AB000468663-AB000468664]; Letter from Gil Melman, Senior Counsel, Enron Communications Investments Corp., to Rose Stroud, Legal Transfers Area, American Securities Transfer & Trust Inc., Mar. 20, 2000, at AB000468667 (attaching a copy of Rhythms NetConnections, Inc. stock certificate registered in the name of Enron Communications Investments Corp.) [AB000468665-AB000468668].

²⁵⁶ 6/28/99 Board Minutes, at 1.

²⁵⁷ *Id.* at 6-7. None of the Outside Directors who testified about this matter had ever seen the opinion. Harrison Sworn Statement, at 145; Urquhart Sworn Statement, at 142-43; Meyer Sworn Statement, at 105-06 (testifying that he didn't recall seeing a fairness opinion, but stating that he would not have expected to see it if management represented there was one); Blake Sworn Statement, at 160-61. However, many of the Outside Directors testified that they relied on the PWC opinion in reaching their decision to approve the transaction. Winokur 11/21/02 Sworn Statement, at 106-08; Blake Sworn Statement, at 159-60; LeMaistre Sworn Statement, at 223-24; Harrison Sworn Statement, at 142, 144-46, 155; Belfer Sworn Statement, at

presentation materials that Fastow told the Board, or that the Board asked, whether Andersen or outside legal counsel had reviewed the transaction.²⁵⁸ In addition, no representatives from Andersen or outside law firms were present.²⁵⁹ Several Outside Directors nevertheless recalled that Andersen had approved the transaction. Blake testified that: "My recollection is that – let me say it this way: I certainly was left with the impression that Arthur Andersen had reviewed this transaction and was okay with it."²⁶⁰ In addition, Duncan testified that: "We were also told that Arthur Andersen had signed off on the concept"²⁶¹

Unusual Conflict of Interest. Fastow's involvement in this transaction created a highly unusual conflict of interest. Several of the Outside Directors testified that they had never encountered this kind of conflict before, even though they had significant experience in senior management positions and as directors of large public companies.²⁶²

184-85; Duncan Sworn Statement, at 56; Foy Sworn Statement, at 86; Jaedicke Sworn Statement, at 279-80. At the time PWC rendered the opinion, it was performing accounting services for LJM1, but Fastow did not inform the Board of this fact. See Wire Transfer Request, Aug. 18, 1999 [PSI00134216]; Related Invoice from PWC, July 29, 1999 [PSI00134217-PSI00134218]. Outside Directors testified that, had Fastow told them about PWC's engagement with LJM1, they would have asked more questions about the transaction. See, e.g., Blake Sworn Statement, at 160-61; Jaedicke Sworn Statement, at 280; Winokur 11/21/02 Sworn Statement, at 109.

²⁵⁸ See 6/28/99 Board Minutes.

²⁵⁹ Causey, Enron's Chief Accounting Officer, also was not present. See *id.* at 1.

²⁶⁰ Blake Sworn Statement, at 159. See also Jaedicke Sworn Statement, at 279 ("And I was also familiar enough with not the details of but familiar enough with the requirements of an accounting hedge of which this was. I mean it was accounting in the sense that they were going to account for it as a hedge, at least had to be reviewed by management and before the end of the quarter would have to be reviewed by Arthur Andersen, it didn't surprise me that apparently both of them had reviewed it prior to the – prior to bringing this to the board, that was my understanding anyway.").

²⁶¹ Duncan Sworn Statement, at 56.

²⁶² Winokur 11/21/02 Sworn Statement, at 106 ("Q. Are you aware of any precedent for having the chief financial officer of a public company serve in a role similar to Mr. Fastow's role in LJM1? A. No, sir."); Meyer Sworn Statement, at 106-07 ("Q. In your prior business experience, had you ever had an instance where a transaction like this; that is, the company engaging in a transaction with an entity managed by one of its senior officers, where that was presented to you for approval? A. Not an entity just like this."). But see Urquhart Sworn Statement, at 137 ("Q. Before this time in your business life, had you ever been involved in a situation where a company proposed to engage in business where an entity is managed by one

That potential conflict, which the Outside Directors recognized would create questions of disclosure for the company,²⁶³ should have been of special concern to all the members of the Board. There is no evidence in the record of the meeting, however, to indicate any discussion of why Fastow, as opposed to an unrelated third party, needed to serve as general partner of LJM1.²⁶⁴ Several of the Outside Directors testified that they understood Fastow's serving as general partner of LJM1 would allow Enron to "effect the transaction more quickly and more cheaply than if they went out on the market to hedge this capital,"²⁶⁵ because "he would know the players involved and therefore could get it done more cheaply"²⁶⁶

The Board knew that Enron might engage in multiple transactions with LJM1.²⁶⁷ Pursuant to two slides in his ten-page presentation, Fastow told the Board that LJM1 would engage in additional transactions with Enron after the Rhythms hedge. On one slide, Fastow wrote: "LJM . . . Negotiates with Enron for purchase of additional merchant

of the company's own officers? A. I believe I have, because again you've got GE Capital Company that buys and sells things constantly, and sometimes the products involved may be products from operations, but I can't cite an example.").

²⁶³ See Jaedicke Sworn Statement, at 289-90 ("Well, it had to be disclosed. I guess I didn't think hard about that issue, but one way to handle conflicts are to disclose them. And I didn't think about - I don't think I thought about, well, what would come downstream."); Winokur 11/21/02 Sworn Statement, at 109-10; Savage Sworn Statement, at 274-75.

²⁶⁴ In addition, there was apparently no discussion at the meeting about the company's efforts to find a third party hedging partner. According to Blake, "I do not recall any recital of specific initiatives that had been taken or anything of that nature." Blake Sworn Statement, at 164.

²⁶⁵ Gramm Sworn Statement, at 186.

²⁶⁶ Urquhart Sworn Statement, at 137-38 ("It was presented to us by Mr. Lay that it would facilitate the efficient operation of LJM if he was the managing partner or director of LJM1. Q: And how would he do that? A: Because he knew the assets that were going to be put on the market. He had the confidence of people who might be buying them, and he could get the thing done quicker."); see also Blake Sworn Statement, at 96-98. It was unclear, however, if some of the Outside Directors were confusing LJM1 with LJM2, which they approved three months later and which was set up in advance of any specific transactions with Enron.

²⁶⁷ 6/28/99 Board Minutes, at 6-10.

assets.”²⁶⁸ On another slide, he suggested that LJM1 would be a “future investment management company” that could “capture Cuiaba / Elektro value.”²⁶⁹ The minutes of the meeting reflect that Fastow stated: “LJM may negotiate with the Company regarding the purchase of additional assets in the Merchant Portfolio.”²⁷⁰

The Board authorized Fastow’s involvement in LJM1, however, without requiring any controls be implemented to ensure that Enron’s transactions with LJM1 would be fair to Enron.²⁷¹ Also, there is no evidence that the Board discussed how Fastow’s compensation from LJM1 would be monitored to ensure that it would not adversely affect his performance for and loyalty to Enron. Fastow’s presentation materials described his interest in LJM1 as general partner and stated that he would not receive any current or future appreciated value of the Enron stock.²⁷² He told the Board that he would receive a fee of \$500,000 plus 2% of the limited partners’ invested capital.²⁷³ However, he never told the Board, nor did any Outside Director apparently ask, the amount of that invested capital.

Outside Directors were asked why the Board included no other controls, such as a requirement about who other than Fastow would have to authorize transactions with LJM1, or a requirement that Fastow report to Lay or Skilling the amount of his compensation from LJM1. In response, several testified that they understood LJM1

²⁶⁸ 6/28/99 Board Materials, at AB0254 00466 (slide from presentation regarding LJM).

²⁶⁹ 6/28/99 Board Materials, at AB0254 00468 (slide from presentation regarding LJM) (capitalization omitted).

²⁷⁰ 6/28/99 Board Minutes, at 6.

²⁷¹ *Id.* at 6-8.

²⁷² 6/28/99 Board Materials, at AB0254 00466 (slide from Fastow’s LJM Board Presentation).

²⁷³ *Id.* at AB0254 00469.

would be used only for the Rhythms transaction,²⁷⁴ even though some testified that they recalled Fastow stating that LJM1 might be used for additional transactions.²⁷⁵

Internal Andersen email correspondence, that apparently was not shared with the Board, showed skepticism that the Board would approve a transaction with the conflict of interest created by Fastow being the general partner of LJM1. Benjamin Neuhausen, an Andersen technical expert in the Chicago office, wrote:

Setting aside the accounting, idea of a venture entity managed by CFO is terrible from a business point of view. Conflicts of interest galore. Why would any director in his or her right mind ever approve such a scheme?²⁷⁶

David Duncan, the Enron engagement partner, replied:

“[O]n your point 1 (i.e., the whole thing is a bad idea), I really couldn’t agree more. Rest assured that I have already communicated and it has been agreed to by Andy that CEO, General [Counsel], and Board discussion and approval will be a requirement, on our part, for acceptance of a venture similar to what we have been discussing.”²⁷⁷

²⁷⁴ See, e.g., Mendelsohn Sworn Statement, at 32; Winokur 11/21/02 Sworn Statement, at 106. See also Lay In-Person Interview (stating that he thought LJM1 was established primarily to hedge the Rhythms stock).

²⁷⁵ Belfer Sworn Statement, at 186; Meyer Sworn Statement, at 108; Harrison Sworn Statement, at 152-53. At the October 11, 1999 Finance Committee meeting, at which the Finance Committee approved LJM2 for recommendation to the Board, Fastow gave the Finance Committee an update on LJM1 transactions. He told the Finance Committee that LJM1 had completed several transactions with Enron, including (i) that LJM1 had purchased \$15 million of equity in Osprey/Condor, which had “[b]ridged Project Margaux” and had purchased Promigas and Sarlux, and (ii) that LJM1 had purchased an interest in Cuiaba. Materials from Finance Committee Meeting, Oct. 11, 1999 (the “10/11/99 Finance Committee Materials”), at AB0247 00846 (slide entitled “LJM1 Update, from Fastow’s Chief Financial Officer (“CFO”) Report”) [AB0247 00818-AB0247 00894].

²⁷⁶ Email from Benjamin S. Neuhausen, Andersen, to David B. Duncan, Andersen, May 28, 1999, at 1 [ELIB00003903-00001-ELIB00003903-00002].

²⁷⁷ Email from David B. Duncan, Andersen, to Benjamin S. Neuhausen and copy to John E. Stewart, Andersen, June 1, 1999, at 1 [ELIB00003904-00001-ELIB00003904-00002].

Process of the Meeting. The special meeting at which the Board authorized the Rhythms transaction was held by telephone²⁷⁸ and lasted only one hour.²⁷⁹ During that time, seven topics were considered in this order: (i) a two-for-one stock split; (ii) a Compensation Committee report regarding Black-Scholes values for the company's grant of stock options and restructuring of stock-based incentive plans for several business units; (iii) an increase in the number of shares authorized under the Enron Corp. stock plan; (iv) the Rhythms transaction; (v) an agreement to lease an aircraft that the Board had previously approved for the company to purchase; (vi) a proposal to build a power plant in the Gaza Strip, which would be the first independent power plant in Palestine; and (vii) a reorganization of the company that was currently underway and that would be discussed further at the next Board meeting.²⁸⁰

The Board made decisions, and approved resolutions, with respect to all of the agenda items except the pending reorganization.²⁸¹ The minutes of the meeting reflect only that certain officers made presentations or reports on all seven of the topics, and that "discussions" ensued regarding the Rhythms transaction, the aircraft lease and the Gaza Strip power plant.²⁸² There is no record as to how much time was spent on each topic.²⁸³

²⁷⁸ See 6/28/99 Board Minutes, at 1; Facsimile Cover Sheet from Rebecca C. Carter to Members of the Board of Directors, June 22, 1999 (providing formal notice of a June 28, 1999 telephonic special meeting of the Enron Board) [AB0254 00500-AB0254 00501]. At least two of the Outside Directors testified that the conditions were not ideal. Wakeham Sworn Statement, at 62 ("I was there by telephone, over a transatlantic telephone line, which is not the best of arrangements"); Gramm Sworn Statement, at 184-85 ("I was in transit and I was at a pay phone on the side of the road in Northern Virginia and the light was fading [I]t was physically more difficult hearing, and my papers weren't exactly standing still in front of me. It was not an enclosed pay phone.").

²⁷⁹ 6/28/99 Board Minutes, at 1, 13.

²⁸⁰ *Id.*

²⁸¹ *Id.*

²⁸² *Id.*

²⁸³ Meyer testified that he had difficulty recalling, but that he thought maybe the Board spent "15 minutes, minimum" on the topic of the Rhythms transaction. Meyer Sworn Statement, at 104. Lay told the

To prepare directors for the 10:00 a.m. Monday Board meeting, the corporate secretary faxed each Outside Director forty-eight pages of materials on Friday afternoon between approximately 4:00 p.m. and 9:00 p.m. central time.²⁸⁴ These materials included twelve pages about the Rhythms transaction²⁸⁵ and twenty-one pages about the Gaza Strip power plant.²⁸⁶ In addition, four of the Outside Directors who were on the Compensation Committee also received an additional twenty pages in preparation for a special meeting of that committee, which was held from 9:00 a.m. to 10:00 a.m. immediately preceding the special Board meeting.²⁸⁷ The proposed transaction with Rhythms was not reviewed by the Finance Committee before it was introduced to the entire Board.

Finally, the record of the meeting does not reflect a reason for urgency. Blake testified:

Q. Was the need for speed related at all to the fact that you would be closing the quarter two days later, and if the volatility did not get hedged, you could report a number attributable to Rhythms in the second quarter which, if the stock declined, could be disadvantageous in the third quarter?

A. No, there was no discussion to that effect.²⁸⁸

Examiner that he thought the Board may have spent 30 to 40 minutes on this topic. Lay In-Person Interview.

²⁸⁴ See Facsimile Cover Sheet from Rebecca C. Carter to Members of the Board of Directors, June 25, 1999 (with transmission confirmations attached) [AB0254 00507-AB0254 00524].

²⁸⁵ 6/28/99 Board Materials, at AB0254 00463-AB0254 0474 (Project LJM Presentation and Proposed Resolutions).

²⁸⁶ *Id.* at AB0254 00476-AB0254 00496 (Palestine Electric Company Presentation and Proposed Resolutions).

²⁸⁷ Minutes of Enron Compensation Committee Meeting, June 28, 1999, at 1 [AB000197877-AB000197881]; Materials from Enron Compensation Committee, June 28, 1999 [AB000495866-AB000495910].

²⁸⁸ Blake Sworn Statement, at 165.

Lay confirmed in his interview with the Examiner that there was no apparent economic urgency that required the Board to act on such an unusual matter on such short notice.²⁸⁹

Additional Involvement of Lay and Skilling. The concept of hedging the Rhythms investment in some fashion apparently started with Skilling,²⁹⁰ and Causey was skeptical of the idea.²⁹¹ Wincenty Kaminski (“Kaminski”), a Ph.D. in economics and head of

²⁸⁹ Lay In-Person Interview. Nevertheless, Meyer testified that he did not recall anyone on the Board asking for more time to study the matter. Meyer Sworn Statement, at 107.

²⁹⁰ Skilling 12/5/01 SEC Testimony, at 185. Skilling was apparently a proponent of hedging Enron’s merchant asset portfolio, even at significant cost to Enron. In August 1998, Skilling and Fastow engaged McKinsey & Company, Inc. (“McKinsey”) to assist Enron “in developing and implementing your vision of a merchant asset portfolio.” Letter from Ron Hulme, McKinsey, to Jeff Skilling, President and COO, and Andrew S. Fastow, Senior Vice President and CFO, Enron, Aug. 17, 1998, at 1 [MCK 0136019-MCK 0136028]. McKinsey described the project, in part, as follows:

The primary goal of the effort is to create a more liquid merchant asset portfolio. This portfolio will give Enron the ability to raise sizable sums of capital when needed and potentially cause the rating agencies to treat these assets the same way they do those in a bank’s portfolio. This includes both leveragability and treatment of sales as funds flow.

Id. at 2. One of several factors identified by McKinsey that would affect the stated goal was “Hedging policies for portfolio positions.” McKinsey Engagement Letter, at Exhibit 1. In a report prepared for a discussion with Skilling on November 6, 1998, McKinsey listed as one of the action items: “Develop hedging, funding, and securitization strategies for enhancing the risk/return profile of the merchant portfolio.” McKinsey Portfolio Project Presentation: Update on Valuation Progress, Discussion with Jeff Skilling, Nov. 6, 1998, at 1 [MCK 0058624-MCK 0058633]. As one of the “Key activities/issues,” the report listed “Implications of merchant asset hedging and leveraging upon NI, RAROC, EPS.” *Id.* Presumably the capitalized abbreviations refer to Net Income, Risk Adjusted Return on Capital and Earnings Per Share.

Then, on July 13, 1999, just two weeks after the effective date of the Rhythms hedge, McKinsey sent a memorandum to Jeff Donahue and Ray Bowen of Enron addressing McKinsey’s concern that the cost of hedging the portfolio would be so expensive as to make the portfolio unprofitable. The memorandum focused on economic hedges:

Our recent discussions regarding the merchant equity hedging program clarified that the primary goal of hedging is to provide insurance against a major market downturn, not to minimize quarter-to-quarter earnings volatility through regression-based modeling. In this sense, hedging represents a “cost of doing business” in the equity arena of merchant finance.

Memorandum from Ron Hulme, McKinsey, *et al.*, to Jeff Donahue and Ray Bowen, Enron, regarding Hedging Equity Market Risk in the Merchant Portfolio, July 13, 1999, at 1 [MCK 0082562-MCK 0082564]. Although Skilling was not an addressee of that memorandum, he was involved in the project with McKinsey. He also attended a meeting on July 1, 1999 at which he emphasized that a hedging program like the one being considered by McKinsey would be worthwhile despite the implications of the significant associated costs for the merchant portfolio. *Id.* at 3.

²⁹¹ Skilling 12/5/01 SEC Testimony, at 188.

Enron's research group that often analyzed hedging transactions,²⁹² had already been asked to find a way to hedge the Rhythms exposure.²⁹³ Kaminski testified that he had led a task force that had failed at finding a hedge that would not be "prohibitively expensive."²⁹⁴

Apparently, Fastow then created the idea of completing the hedge with a newly formed private equity fund.²⁹⁵ According to Skilling's testimony, Fastow and Causey approached him and suggested using the LJM1-type structure.²⁹⁶ Skilling testified that they told him very little about the structure but simply said they were "working on something" with Andersen, that was "a long shot, because it's very complicated."²⁹⁷

Skilling, however, attended several meetings with Causey and other Enron personnel working on the hedging structure:

- Kaminski recalled two communications with Skilling about Rhythms. On June 2, 1999, Richard Buy ("Buy"), the Chief Risk Officer, and Skilling called Kaminski from Buy's office and asked Kaminski to have his group price the put option that would be involved.²⁹⁸ Sometime after that call Skilling came to Kaminski's office, which was a highly unusual occurrence, to explain the transaction to

²⁹² Memorandum from Steven Rosen, Wilmer Cutler, to Enron Files, regarding Interview of Wincenty Kaminski, Dec. 19, 2001 (the "Kaminski 12/19/01 Wilmer Cutler Interview"), at 2 [AB000000462-AB000000470].

²⁹³ Sworn Statement of Wincenty Kaminski, Managing Director, Enron Wholesale Services, to William C. Humphreys, Jr., A&B, May 9, 2003 (the "Kaminski Sworn Statement"), at 106-07.

²⁹⁴ *Id.*

²⁹⁵ Testimony of Jeffrey K. Skilling before the SEC, Nov. 4, 2002 (the "Skilling 11/4/02 SEC Testimony"), at 94-95.

²⁹⁶ Skilling 11/4/02 SEC Testimony, at 96. Skilling testified that Glisan may have also been present for this discussion. *Id.*

²⁹⁷ *Id.* In his interview with the Powers Committee, Skilling also linked the idea for LJM1 with the difficulties Enron was having finding a buyer for a portion of Enron's interest in Cuiaba, a Brazilian power plant. According to the record of the interview, Skilling said that Fastow suggested forming LJM, with Fastow as general partner, to expedite complex transactions that otherwise would require time and expensive investigation by buyers. Skilling 11/27/01 Wilmer Cutler Interview, at 5.

²⁹⁸ Kaminski 12/19/01 Wilmer Cutler Interview, at 3.

Kaminski.²⁹⁹ Skilling told Kaminski this was “the highest priority for him.”³⁰⁰

- Vasant Shanbhogue, a member of the Enron research group who also holds a Ph.D., recalled when interviewed by the Powers Committee that he attended only one meeting regarding the Rhythms hedge.³⁰¹ He recalled, however, that Skilling attended that meeting for the purpose of emphasizing the importance of creating a hedge for the Rhythms investment.³⁰²
- Kristina Mordaunt, a lawyer at Enron who worked on the hedging transaction, recalled a presentation about the transaction made to Lay and Skilling.³⁰³ Lay confirmed that this meeting occurred on June 18, 1999, ten days before the Board meeting, however, he did not remember Mordaunt attending.³⁰⁴ In an interview conducted by the Powers Committee, Mordaunt stated that Fastow made a 15-20 minute PowerPoint presentation, and both she and Rex Rogers, an Enron lawyer, were present.³⁰⁵ According to the Powers Committee’s record of the interview, Mordaunt stated that “Skilling already seemed familiar with the concept.”³⁰⁶ She also said that it was her impression the meeting was held for the purpose of getting Lay comfortable with the transaction.³⁰⁷ She could not recall that Lay asked any questions,

²⁹⁹ *Id.* Kaminski told the Powers Committee in the interview that he found Skilling’s explanation during that office visit to be “somewhat incoherent, and so he called Buy for an explanation, but found that also to be “extremely confusing.” *Id.* at 3. In testimony provided to the Examiner, Kaminski stated that Causey told him “to price an option, but, you know, I want you to use as high volatility as possible.” Kaminski Sworn Statement, at 104. Kaminski then explained that when Causey used the term “high volatility,” he meant to “[e]ffectively make it as expensive as you can, as you can justify it.” *Id.* at 105. According to Kaminski, this “confused us even more because effectively he was telling us to make sure that Enron price – pays the highest price we can justify for the option.” *Id.*

³⁰⁰ Kaminski Sworn Statement, at 105.

³⁰¹ Memorandum from Steven Rosen, Wilmer Cutler, to Enron Files, regarding Interview of Vasant Shanbhogue, Dec. 28, 2001, at 2 [AB000000720-AB000000722].

³⁰² *Id.*

³⁰³ Memorandum from Renee Barnett, Wilmer Cutler, to Enron Files, regarding Second Interview of Kristina Mordaunt, Jan. 12, 2002 (the “Mordaunt 1/12/02 Wilmer Cutler Interview”), at 10. [AB000000617-AB000000635].

³⁰⁴ Lay In-Person Interview. Lay acknowledged that his calendar listed Mordaunt as a meeting attendee, but said he only remembered Skilling and Fastow being in the meeting. *Id.*

³⁰⁵ Mordaunt 1/12/02 Wilmer Cutler Interview, at 10.

³⁰⁶ *Id.*

³⁰⁷ *Id.*

and at the end of the meeting he congratulated Fastow for doing a good job and told the lawyers to “get it done.”³⁰⁸

Skilling also testified to the SEC that he understood much of the detail of the Rhythms hedge. Importantly, Skilling understood that the credit capacity of Swap Sub and, therefore, its ability to meet its obligations under the hedge, was supported only by the stock Enron contributed.³⁰⁹ He also knew that the Enron stock being contributed had a market value of \$234 million, because Fastow presented that information to the Board.³¹⁰ Finally, Skilling confirmed that the \$165 million “Direct Value” on Fastow’s slide provided to the Board represented the credit capacity of Swap Sub, which was derived from the value of the stock Enron had contributed.³¹¹ Thus, it is reasonable to infer that Skilling understood that the Rhythms transaction was a non-economic hedge, for which Enron had paid significant value.

According to Lay, his first involvement with the Rhythms hedge occurred ten days before the Board meeting, at the meeting described by Mordaunt as discussed above.³¹² Skilling testified to the SEC that it was possible he had discussed Rhythms with Lay before that date:

Q. Do you have any memory of any meeting with Mr. Lay about Rhythms Net hedge?

³⁰⁸ *Id.*

³⁰⁹ Skilling 11/4/02 SEC Testimony, at 115-16.

³¹⁰ 6/28/99 Board Materials, at AB0254 00464 (slide from Project LJM Board Presentation). Apparently, at the time the Board presentation was prepared, Enron’s shares that would be contributed to LJM1 had an aggregate market value of \$234 million. By the time the hedging transaction closed, Enron’s stock price had increased, causing the aggregate value of the contributed stock to be approximately \$276 million.

³¹¹ Skilling 11/4/02 SEC Testimony, at 117. Skilling testified that he understood there was third party capital in LJM1, but he could not recall the amount. *Id.*

³¹² Lay In-Person Interview.

A. In the normal course of activity we would meet once or twice a week just to update things. I don't specifically remember updating, but I would imagine we went through it.³¹³

Regardless of when Lay first learned of the Rhythms transaction and LJM1, he stated to the Examiner his clear understanding that a hedge in which economic risk is not transferred to a third party is not a true hedge.³¹⁴ He then explained that he believed Enron had transferred economic risk to Swap Sub, because he thought LJM1 had sufficient capital from outside investors to support Swap Sub's obligations to Enron.³¹⁵ However, he did not recall ever learning the amount of LJM1's third party capital or that Swap Sub only received half of the stock Enron contributed, and he did not recall any discussion at the Board meeting regarding Fastow's transaction structure chart.³¹⁶

Lay acknowledged in his interview with the Examiner that, before the Rhythms transaction was presented to him, he had never seen a company complete a hedge using its own stock as the underlying credit for the hedge.³¹⁷ He also stated that he had never encountered a conflict of interest situation like the one created by Fastow's dual roles as CFO of Enron and general partner of LJM1.³¹⁸ Nevertheless, he not only approved the transaction as a member of the Board, but he and Skilling also apparently assisted the Board in reaching its decision. According to the minutes of the Board meeting, following Fastow's presentation, "[a] discussion ensued, with Messrs. Derrick, Fastow, Lay and

³¹³ Skilling 11/4/02 SEC Testimony, at 112.

³¹⁴ Lay In-Person Interview.

³¹⁵ *Id.*

³¹⁶ *Id.*

³¹⁷ *Id.*

³¹⁸ *Id.* Lay stated that he asked Fastow whether related party transactions were unusual and Fastow replied that they were fairly common in large companies. *Id.*

Skilling answering questions from the Directors regarding Mr. Fastow's involvement in the partnership and the economics of the transaction."³¹⁹

Raptors

In 2000, Enron created a series of four hedging structures called Raptors I through IV that, although structured somewhat differently from the Rhythms transaction, were also non-economic hedges. The Raptors were established to hedge various merchant assets, rather than one single investment like the Rhythms stock. However, in each of the Raptors, the only assets available to pay Enron any amount under the hedge were the securities and cash that Enron itself transferred to the hedging vehicles. These transaction structures are described in detail in Annex 5 to Appendix L (Related Party Transactions) to the Second Interim Report.

Raptor III, in which Enron transferred to the hedging vehicle securities Enron held in The New Power Company rather than Enron's own stock, was not presented to the Board or any committees for approval. Also, the Examiner has found no evidence that Lay and Skilling approved Raptor III in their capacities as officers. Each of Raptors I, II and IV, however, were approved by the Board or the Executive Committee, and each had a similar capital structure.

³¹⁹ 6/28/99 Board Minutes, at 6. Mendelsohn testified regarding his recollection of the Board meeting: "Well, of course, the board member I recall the most is [sic] Ken Lay and Jeff Skilling, both of whom commented on this, commented on the -- rationale for this arrangement with Mr. Fastow and commented on the need for this." Mendelsohn Sworn Statement, at 30. See also Derrick 9/26/03 Sworn Statement, at 361-62 ("I did not make a presentation, not with respect to the details of the transaction, but with respect to the fact that this was a matter that presented a conflict of interest; that it was not something under our -- under the Enron code of business conduct that was required to be brought before the board. It was required to be taken to the Chairman and chief executive officer; but given the nature of the transaction, we felt it appropriate to bring it to the board of directors for their -- whatever decision they wanted to make with respect to it.").

In each of Raptor I, II and IV, LJM2 contributed \$30 million, and Enron contributed substantial amounts of its stock or rights to receive its stock. Although LJM2 contributed cash to the hedging vehicles, those vehicles were effectively required to return the money to LJM2 with interest within a very short period of time after each transaction was consummated. Each of Raptors I, II and IV was structured so that LJM2 could unwind the transaction if it did not receive from the hedging SPE a distribution equal to the greater of \$41 million or a 30% annualized rate of return on its investment within six months. In order to give the hedging SPEs the cash with which to pay the distributions, Enron purchased a put in each of Raptors I, II and IV that allowed Enron to put shares of its own stock to the SPE in the future, for which Enron paid an upfront fee equal to exactly \$41 million per structure.³²⁰ In each of the Raptor transactions, LJM2 received its required cash distribution within three months after closing.

Thus, the hedging vehicles were left with the securities Enron had transferred to them, plus the cash Enron had paid, meaning the only assets available to pay Enron under the hedges were assets Enron had given up. Net of the \$90 million returned to LJM2, Enron had paid a total of \$33 million (\$11 million for each of Raptor I, II and IV) to purchase hedges that gave it no economic value.³²¹ The hedges gave Enron only a financial statement benefit, allowing Enron to take the position that it could record an increase in the value of the hedges that would equal and therefore offset any amount by which the hedged merchant assets might decline.

³²⁰ As additional protection for LJM2, Enron guaranteed the obligations of the Raptor SPEs to make the required distributions. *See* Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

³²¹ In connection with the subsequent terminations of the puts and cash distributions to LJM2, Enron received "termination payments" from the Raptor SPEs totaling \$17.1 million. *See* Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

Just a few months after the Raptors were formed, Enron began to experience adverse consequences of having recorded non-economic hedges where the hedging vehicle had no third party credit support. As the value of Enron's merchant assets hedged with the Raptors steadily and substantially declined, and the market price of Enron's stock also began to decline, the hedging vehicles needed more assets to create more credit capacity. In response, Enron restructured the Raptors three times, in November 2000, December 2000 and April 2001.³²² Finally, in September 2001, Enron terminated the four Raptors hedges altogether. As a result of the termination, Enron incurred a pre-tax charge to earnings of \$710 million. In addition, as a result of an Andersen accounting error, the Raptors caused Enron to restate its financial statements and reduce shareholders equity by \$1 billion.

Although the restructurings and termination of the Raptors were not reviewed and approved by the Board or any of its committees, the Finance Committee and the full Board reviewed and approved the formation of Raptor I in May 2000. The Executive Committee approved the formation of Raptor II in June 2000,³²³ and the Finance

³²² As the value of the hedged assets declined, in order to continue being able to avoid charges to earnings, Enron needed for the Raptors' credit capacity to increase in value correspondingly. To provide the Raptors hedges with at least temporary support, in November 2000 Enron put into place with each of the Raptor I, II and IV SPEs a "costless collar," pursuant to which Enron would pay those SPEs any amount by which the Enron stock price fell below a specified amount. Enron took the position that the SPEs could then record the value of this Enron promise to help give the SPEs more credit capacity to support higher hedge values. By mid-December 2000, the decline in Enron's merchant asset values had continued. To avoid a charge to earnings on its 2000 financial statements, Enron had the Raptor SPEs temporarily cross-collateralize their obligations under the hedges to Enron. By spring 2001, Enron's merchant asset values had not improved, and Enron was facing a charge to earnings of more than \$500 million. In response, Enron restructured the Raptor SPEs in April, backdated to March so that it would apply to the first quarter financial statements. The restructuring involved, among other things, Enron's infusion of 12 million additional shares of its stock having an aggregate stock price in excess of \$600 million. *See* Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

³²³ Duncan, the Chair of the Executive Committee, reported to the full Board at the August 8, 2000 meeting that the Executive Committee had approved Raptor II in June. However, the Board was not asked to, and did not, take any action to approve or ratify Raptor II. Minutes of Enron Board Meeting, Aug. 7-8, 2000 (the "8/7-8/00 Board Minutes"), at 3 [AB000199696-AB000199729].

Committee and the full Board approved the formation of Raptor IV in August 2000. At each of the relevant meetings, the Outside Directors who were present adopted resolutions approving the necessary stock-related components of the transactions. Lay and Skilling were present at each meeting and participated in explaining the transactions, and they voted in favor of the transactions as Board and Executive Committee members. They also had significantly more access to the Senior Officers who worked directly on structuring the transactions, and it is reasonable to infer Lay and Skilling, therefore, knew even more about the transactions than the Outside Directors. In approving Raptors I, II and IV, Lay, Skilling and the Outside Directors authorized three transactions that had no rational business purpose.³²⁴

Raptor I. Glisan presented Raptor I to the Finance Committee, with Lay and Skilling present, at a regularly scheduled meeting on May 1, 2000.³²⁵ The Finance Committee meeting was relatively short, lasting one hour and thirty minutes, and it had a full agenda.³²⁶ In addition to Raptor I, agenda items included a CFO report, during which Fastow discussed, among other items, Glisan replacing McMahon as Treasurer, the effect of the proposed sale of Portland General Electric on key financial ratios, and a report on LJM.³²⁷ It also included the Treasurer Report, during which McMahon discussed, among other items, Enron's intention to "monetize \$1 billion in investments" by year end, and

³²⁴ Although it may be reasonable to infer that Lay and Skilling approved Raptor III in their capacities as officers, the Examiner has found no evidence of such approvals.

³²⁵ The minutes reflect that Finance Committee members Chan, Meyer, Pereira and Urquhart were absent, but that Finance Committee members Belfer, Blake, Savage and Winokur, along with Lay, Skilling and Outside Directors Duncan and Harrison attended the meeting. Minutes of Enron Finance Committee Meeting, May 1, 2000 (the "5/1/00 Finance Committee Minutes"), at 1 [AB000201467-AB000201471].

³²⁶ *Id.* at 1, 5; 5/1/00 Finance Committee Materials, at 1.

³²⁷ 5/1/00 Finance Committee Minutes, at 2-3.

requested the committee approve issuance of up to \$1 billion of additional debt securities.³²⁸ There was also a Chief Risk Officer report from Buy, in which he discussed, among other items, changes in the risk management policy, including the addition of Japanese Electricity as a new commodity group, and reasons why Enron Energy Services and the Risk Assessment Control group had developed different values for proposed transactions.³²⁹

At the meeting, Glisan used a four-page PowerPoint presentation regarding Raptor I.³³⁰ This presentation and the record of the meeting reflect that Glisan told the Finance Committee information that made the transaction sound beneficial for Enron, yet he also presented information that was inconsistent with an economic hedge that had a rational business purpose.

Glisan stated on his first slide that the purpose of the transaction was to “[e]stablish a risk management program in order to hedge the Profit & Loss volatility of Enron investments.”³³¹ The corporate secretary’s handwritten notes on the second slide entitled “Structural Highlights” show that Glisan stated the transaction “[d]oes not transfer economic risk but transfers P&L volatility.”³³² Thus, in the event the true nature of the hedge was not otherwise clear from the rest of Glisan’s presentation, Glisan told the directors orally that the hedge was non-economic. Lay, who acknowledged in his

³²⁸ *Id.* at 1-2.

³²⁹ *Id.* at 3-4.

³³⁰ 5/1/00 Finance Committee Materials, at 21-25 (the Project Raptor Presentation).

³³¹ *Id.* at 22 (slide from Project Raptor Presentation).

³³² *Id.* at 23 (slide from Project Raptor Presentation).

interview with the Examiner that a non-economic hedge was not a true hedge, said that he did not recall Glisan making this statement.³³³

Glisan's presentation included other information that indicated the hedge provided no economic benefit to Enron. Glisan effectively told the directors present at the meeting that this financial statement benefit was only available to the extent of Enron's own stock price. A slide included the following: "Initially, vehicle can provide approximately \$200 million of P & L protection to ENE. As ENE stock price increases, the vehicle's P & L protection capacity increases as well."³³⁴ The converse was also true. As Enron's stock price declined, so would the ability of the vehicle to provide any hedging value to the company. Winokur testified that he understood this. Reviewing a copy of the third slide in Glisan's presentation, which is discussed and reproduced below, Winokur said "it's quite clear to me from the structure on the next page that if the Enron stock declines, the credit capacity of the vehicle goes down"³³⁵

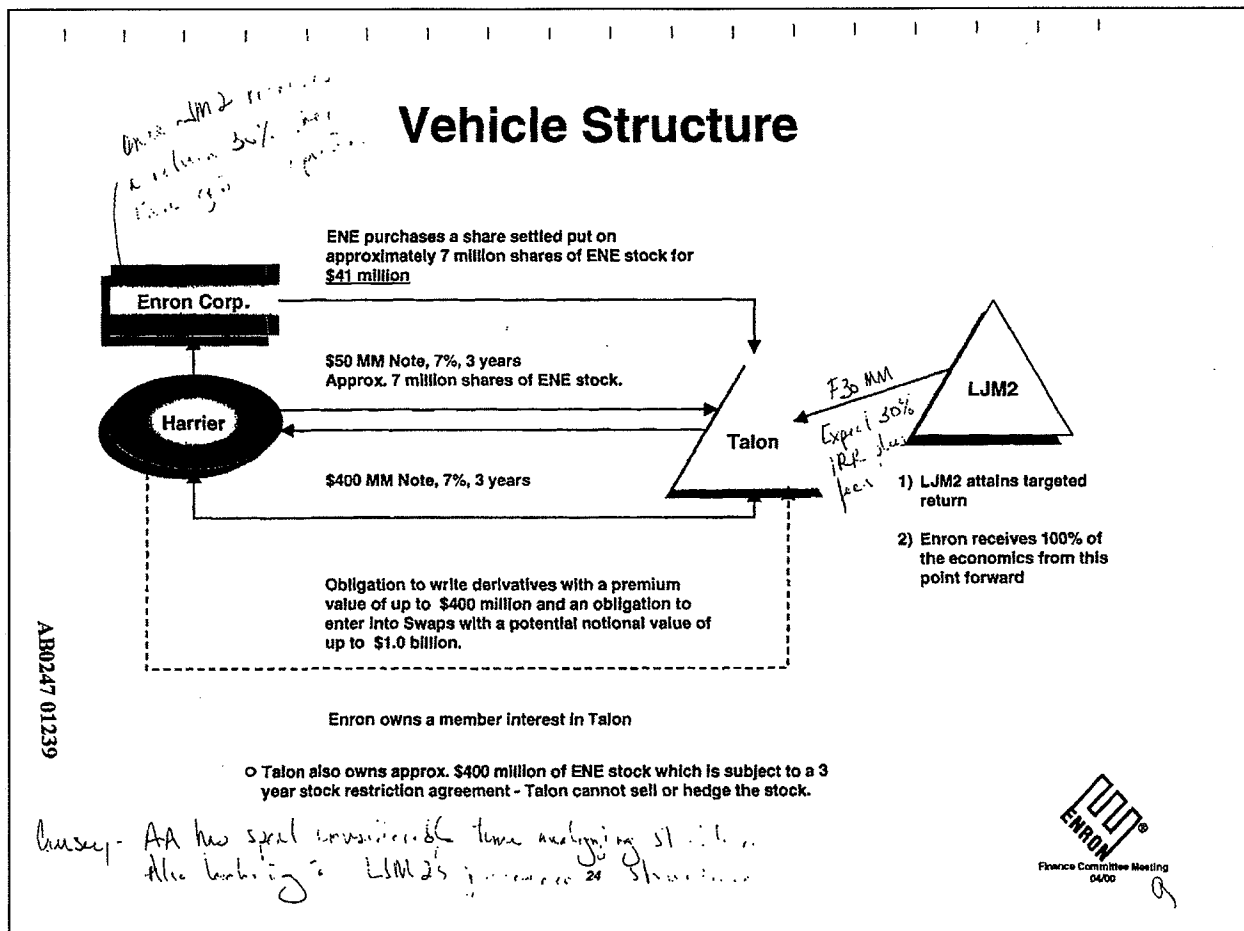
The slide Winokur referred to, which is reproduced below, disclosed the \$41 million put payment, which apparently was never questioned by any of the Finance Committee members.³³⁶

³³³ Lay In-Person Interview. Blake, who was present at the meeting, testified that he understood "[t]hat economic risk was transferred in the transaction. Otherwise, I don't believe Arthur Andersen would have approved it." Blake Sworn Statement, at 198.

³³⁴ 5/1/00 Finance Committee Materials, at 23 (slide from Project Raptor Presentation).

³³⁵ Winokur 11/21/02 Sworn Statement, at 168.

³³⁶ 5/1/00 Finance Committee Materials, at 24 (slide from Project Raptor Presentation). One of LJM2's reports to its investors disclosed the true purpose of the put. The report stated that the put from Enron was designed "to provide LJM2 return of and return on capital when the put expired." Report to Limited Partners of LJM2 from the General Partner, Feb. 6, 2001, at 6 [AB000214509-AB000214517].



One of the corporate secretary's handwritten notes on this slide indicated that Glisan said "once LJM2 receives a return of 30% then Enron gets all upside."³³⁷ This was not entirely accurate, since LJM2 was entitled immediately to the greater of \$41 million or a 30% return, and it was entitled to an additional \$30 million upon termination.³³⁸

The minutes of the meeting reflect that Causey told the Finance Committee that Andersen had "spent considerable time"³³⁹ analyzing the structure and LJM2's corporate

³³⁷ 5/1/00 Finance Committee Materials, at 24 (slide from Project Raptor Presentation).

³³⁸ See Second Interim Report, Annex 5 to Appendix L (Related Party Transactions).

³³⁹ 5/1/00 Finance Committee Minutes, at 3.

governance and was “comfortable with the proposed transaction.”³⁴⁰ However, one of the slides identified “accounting scrutiny” as a significant risk in the project.³⁴¹

Following the May 1 Finance Committee meeting, Winokur reported on the project to the full Board on May 2 and told the members of the Board that the Finance Committee recommended their approval.³⁴² The full Board voted to approve Raptor I as part of a package of five unrelated items that Winokur included in his report, but the Board did not receive any presentation on the transaction or a copy of Glisan’s PowerPoint presentation.³⁴³

Raptor II. Fastow made the request to the Executive Committee for approval of Raptor II. This request was made at a special, telephonic meeting of the Executive Committee held on June 22, 2000.³⁴⁴ The meeting lasted thirty-five minutes, and the

³⁴⁰ *Id.* at 3.

³⁴¹ 5/1/00 Finance Committee Materials, at 25 (slide from Project Raptor Presentation).

³⁴² The Board meeting was also relatively short with a full agenda. It lasted 3 hours and 55 minutes, during which the directors accomplished the following: (i) Duncan reported on the Executive Committee’s prior meeting; (ii) LeMaistre reported on the Compensation Committee’s prior meeting, and the Board voted to change the vesting schedule for directors’ options and to increase the number of options granted to directors; (iii) Jaedicke reported on the Audit Committee’s prior meeting, and the Board approved a new charter for that committee; (iv) Winokur reported on the Finance Committee’s prior meeting, and the Board approved over 10 pages of resolutions, including approval of Raptor I, the election of Glisan as Treasurer, authority for the new \$1 billion debt issuance, and changes to the transaction approval process; (v) Lay reported on the company’s aviation budget and consideration of purchasing new aircraft; (vi) Causey provided a “Financial and Earnings” report; (vii) Mark Koenig, head of Investor Relations, provided a report that discussed, among other things, the company’s returns to shareholders and a number of analysts’ issues; (viii) Derrick reported on two lawsuits pending with respect to operations in India and the North Sea, and also on tax disputes with certain provinces in Argentina; (ix) Skilling reported on “Project California,” which would involve the sale of certain international assets; (x) Lou Pai, one of Enron’s officers, gave a presentation on the Enron Energy Services business unit; (xi) David Delainey, an Enron employee, gave a presentation on ENA; (xii) Whalley gave a presentation on the Enron NetWorks business unit; (xiii) Mark-Jusbasche gave a presentation on Azurix Corp.; (xiv) Lay presented several corporate matters for consideration, including the declaration of a common stock dividend, the declaration of a preferred stock dividend, and the election of a new assistant corporate secretary; and (xv) Skilling reported on the progress with Enron Broadband Services. 5/2/00 Board Minutes.

³⁴³ 5/2/00 Board Minutes, at 4-14; Materials from Enron Board Meeting, May 2, 2000 [AB0245 06452-AB0245 06587].

³⁴⁴ Minutes of Enron Executive Committee Meeting, June 22, 2000 (the “6/22/00 Executive Committee Minutes”), at 6-12 [AB000467341-AB000467358]; Materials from Enron Executive Committee Meeting,

Executive Committee considered and approved five significant items: (i) the purchase of a power plant in Texas and the related restructuring of long-term power contracts; (ii) the election of two new officers; (iii) the utilization of power barges in Nigeria and construction of related facilities; (iv) Raptor II; and (v) the issuance of up to \$1 billion of additional debt securities.³⁴⁵

In his presentation regarding Raptor II, Fastow told the Executive Committee that the company needed to establish a second Raptor hedging vehicle, just one month after the first Raptor had been formed, because “there had been tremendous utilization by the business units of Raptor I”³⁴⁶ He “stated that the structure of Raptor II would be identical to Raptor I” and would provide \$200 million of hedges.³⁴⁷ Fastow gave the Executive Committee a one-page chart identifying some of the benefits of Raptor II, including one of the same statements that Glisan had told the Finance Committee in the previous month: “As ENE stock price increases, the vehicle’s P&L protection capacity increases as well.”³⁴⁸

Fastow’s slide also included a statement that “[t]he structure requires 6 months from the closing of the transaction before hedges can be executed.”³⁴⁹ There is no indication that anyone asked why this was the case. In fact, it was because LJM2 had to receive a cash distribution before Enron could make any hedges, and Enron had six

June 22, 2000 (the “6/22/00 Executive Committee Materials”) (Agenda includes call-in numbers for meeting) [AB000473317-AB000473372]. The minutes reflect that all Executive Committee members were present, which included Lay, Skilling, Duncan, Belfer, LeMaistre and Winokur.

³⁴⁵ 6/22/00 Executive Committee Minutes.

³⁴⁶ *Id.* at 6.

³⁴⁷ *Id.*

³⁴⁸ 6/22/00 Executive Committee Materials, at AB000473356.

³⁴⁹ *Id.*

months under the terms of the transaction in which to ensure that payment was made.³⁵⁰

The minutes of the Executive Committee's approval of Raptor II state only that "[f]ollowing a discussion," the committee members voted to approve the transaction,³⁵¹ and there is no indication of the extent or content of any such discussion.

Raptor IV. To obtain approval for Raptor IV, Glisan requested the approval during his customary Treasurer report at the regularly scheduled Finance Committee meeting on August 7, 2000.³⁵² Glisan did not include any information about the terms of Raptor IV, although he "discussed Raptor I and Raptor II, previously approved by the Board, and note[d] that Raptor I was almost completely utilized and that Raptor II would not be available for utilization until later in the year."³⁵³ Thus, Glisan at least implied that Raptor IV would have the same structure as Raptors I and II, and he once again highlighted the six-month restriction imposed to protect LJM2 that no one appeared to question.

³⁵⁰ See Second Interim Report, Annex 5 to Appendix L (Related Party Transactions). LJM2 received the required cash distribution on August 3, 2000, and Enron began hedging effective the same day. *Id.*

³⁵¹ 6/22/00 Executive Committee Minutes, at 6.

³⁵² The minutes reflect that all of the Finance Committee members were present, which included Belfer, Blake, Chan, Meyer, Pereira, Savage, Urquhart and Winokur. Lay and Skilling were also present, along with Gramm, Harrison and Mendelsohn. Minutes of Enron Finance Committee, Aug. 7, 2000 (the "8/7/00 Finance Committee Minutes"), at 1 [AB000454174-AB000454187]. Jaedicke and LeMaistre were also present for Glisan's portion of the meeting. *Id.* at 2. The minutes for this meeting, as well as those for the meeting at which the Board approved Raptor IV, referred to the transaction as "Raptor III," even though the true Raptor III, involving The New Power Company securities, had already been structured by that time. Report of Investigation, Special Investigative Committee of the Board of Directors of Enron Corp., Feb. 1, 2002, at 112 n.53.

³⁵³ 8/7/00 Finance Committee Minutes, at 2.

Glisan presented a single PowerPoint slide at this meeting regarding Raptor IV entitled “2000 Balance Sheet Management.”³⁵⁴ According to the minutes, it was a “schedule describing the vehicles the Company was utilizing to manage its balance sheet debt.”³⁵⁵ The schedule listed Whitewing’s purchase of assets from Enron, FAS 140 “asset sales to third parties supported by Enron total return swaps,” Hawaii and LJM2.³⁵⁶ Glisan apparently considered the hedging capacity of Raptor IV to be important in managing the company’s balance sheet, and the Finance Committee approved it “[f]ollowing a discussion” that is not described in the minutes.³⁵⁷

One day later, at the regularly scheduled August 2000 Board meeting, Skilling requested that the full Board approve Raptor IV.³⁵⁸ Winokur was not present at the meeting and, thus, did not make his typical report to the Board as Chair of the Finance Committee.³⁵⁹ Skilling apparently did not provide any presentation materials to the Board, but he stated that “Raptor [IV] would be similar in structure to Raptor I and Raptor II.”³⁶⁰ Again, “[f]ollowing a discussion,” of which there is no description in the minutes, the Board approved Raptor IV.³⁶¹

Additional Involvement of Lay and Skilling. In addition to the information presented to the Finance Committee, there is evidence that Skilling was involved in

³⁵⁴ Materials from Enron Finance Committee Meeting, Aug. 7, 2000 (the “8/7/00 Finance Committee Materials”), at 23 (slide from Treasurer Report) [AB0247 01347-AB0247 01516].

³⁵⁵ 8/7/00 Finance Committee Minutes, at 2.

³⁵⁶ 8/7/00 Finance Committee Materials, at 23 (slide from Treasurer Report).

³⁵⁷ 8/7/00 Finance Committee Minutes, at 2.

³⁵⁸ 8/7-8/00 Board Minutes, at 28.

³⁵⁹ *Id.* at 1 (noting Winokur’s absence). Carter, the corporate secretary, made a report on the Finance Committee meeting held the previous day, but she did not mention the Raptor IV transaction. *Id.* at 7.

³⁶⁰ *Id.* at 28.

³⁶¹ *Id.*

discussions about the Raptors with Enron officers charged with structuring and implementing the transactions. Wesley Colwell ("Colwell"), the Chief Accounting Officer for ENA, recalled in an interview conducted by the Powers Committee that Skilling had been an initiator of the hedges.³⁶² According to Colwell, Causey told him in 1999 that Skilling wanted to create a vehicle to hedge Enron holdings in technology stocks.³⁶³ Internal documents at Enron also show that Skilling was apprised in May 2000 of the potential projects that would be hedged in Raptor I.³⁶⁴ In addition, Skilling testified that he understood Raptor I "was based on capacity in the vehicle. So if Enron stock went up, you had additional capacity. And, conversely, if Enron stock went down, you would have less capacity."³⁶⁵

Skilling told the Powers Committee, however, that he did not know about the \$41 million put payment, and did not know why Enron would buy a put on its own shares.³⁶⁶ According to the record of Skilling's interview made by the Powers Committee, Skilling said that "[p]rior to the Board meeting, [he] was not told the details of the transaction. Even if he were told, he would not understand."³⁶⁷

³⁶² Memorandum from Christopher P. Simkins, Wilmer Cutler, to Enron Files, regarding Interview of Wesley Colwell, Jan. 15, 2002 (the "Colwell 1/15/02 Wilmer Cutler Interview"), at 2 [AB000001235-AB000001240]. In October 2003, Colwell settled accusations by the SEC that he manipulated Enron's earnings by, among other things, improperly avoiding the write-down of an asset to prevent losses. Kurt Eichenwald, *Fraud Case at Enron is Settled*, N.Y. Times, Oct. 10, 2003, at C-3. He paid a fine of \$500,000 but did not admit or deny any wrongdoing. *Id.*

³⁶³ Colwell 1/15/02 Wilmer Cutler Interview, at 2.

³⁶⁴ Email from David W. Delainey, Chairman and CEO, Enron North America, to Ben F. Glisan and copy to Jeff Skilling, Andrew S. Fastow, Raymond Bowen, *et al.*, Enron, May 10, 2000 [CCLL 0010140-CCLL 0010142].

³⁶⁵ Skilling 11/5/02 SEC Testimony, at 71.

³⁶⁶ Skilling 1/18/02 Wilmer Cutler Interview, at 3.

³⁶⁷ *Id.* at 3.

Lay told the Examiner and the Powers Committee in separate interviews that he “became aware of the Raptor transactions either at a Board meeting or in an agenda-review meeting prior to the meeting.”³⁶⁸ Lay stated in the interview with the Powers Committee that he did not recall why Enron would buy a put on its own stock and that he did not recall any conversation about the Raptor SPE’s ability to pay should the price of Enron stock decline.³⁶⁹ He also stated that he did not know why accounting would be a risk with respect to the Raptors, which Glisan had reported at the meeting.³⁷⁰

There is evidence that Skilling was aware of the Raptor restructurings that took place in early 2001. Rodney Faldyn (“Faldyn”), head of Enron’s accounting transactional support group, told the Powers Committee that he, Causey, Glisan and several other employees were involved in “brainstorming sessions” to devise the restructuring, and that Causey told him that Skilling was aware of the credit capacity deficiencies.³⁷¹ According to Faldyn, Causey reported that “Skilling said the restructuring was a top priority.”³⁷²

Skilling confirmed in an interview with the Powers Committee that he had told Causey to take actions to solve the problems, but Skilling said that he did not know what actions Causey took.³⁷³ This is inconsistent with statements Causey made to the Powers Committee. Causey stated in an interview that

³⁶⁸ Lay 1/16/02 Wilmer Cutler Interview, at 9. *See also* Lay In-Person Interview (stating that he first learned of the Raptor transactions upon receiving the materials of the May 1, 2000 Finance Committee meeting, or at the meeting itself).

³⁶⁹ Lay 1/16/02 Wilmer Cutler Interview, at 9.

³⁷⁰ *Id.*

³⁷¹ Memorandum from Reed M. Brodsky, Wilmer Cutler, to Enron Files, regarding Interview of Rodney Faldyn, Jan. 14, 2002 (the “Faldyn 1/14/02 Wilmer Cutler Interview”), at 7 [AB000001315-AB000001328].

³⁷² *Id.* at 8.

³⁷³ Skilling 1/18/02 Wilmer Cutler Interview, at 4.

[w]hen they found what Causey felt was a solution, Causey sought and obtained Skilling's approval. Causey updated Skilling before executing the Raptor Restructuring plan, during development of the restructuring plan, and after determining the solution of the problem.³⁷⁴

Lay told the Powers Committee that "he never heard of the restructuring in the first quarter 2001 and would have remembered a discussion of this magnitude."³⁷⁵

To date, one Enron Senior Officer—Glisan—has admitted wrongdoing in connection with Raptor I and acknowledged that the transaction had "no true business purpose."³⁷⁶ On September 10, 2003, Glisan entered into a plea agreement with the U.S. Department of Justice, agreeing to serve a five-year prison sentence and admitting that he knew at the time Raptor I was created (i) that it violated GAAP because, in part, the cash distribution to LJM2 was a return of LJM2's investment, (ii) that the put for which Enron paid \$41 million was designed solely to provide LJM2 a return of its investment, and (iii) that "he and others" had arranged for Enron to make the \$41 million payment before allowing the Raptor I SPE to engage in any hedging transactions with Enron.³⁷⁷

³⁷⁴ Memorandum from Reed M. Brodsky, Wilmer Cutler, to Enron Files, regarding Interview of Richard Causey, Jan. 22, 2002, at 1 [AB000001221-AB000001222].

³⁷⁵ Lay 1/16/02 Wilmer Cutler Interview, at 11.

³⁷⁶ Plea Agreement, *United States v. Glisan*, No. 02-CR-665 (S.D. Tex. Sept. 10, 2003), at Ex. 1 (Glisan Statement – Count Five).

³⁷⁷ *Id.* In a statement attached to the Plea Agreement, Glisan said:

As I knew, this transaction [Raptor I] violated existing accounting principles in that its form was misleading and was accounted in a manner inconsistent with its economic substance. As I also knew, Talon [the name of the Raptor I SPE] was not properly off-balance-sheet. I and others arranged for Enron to pay \$41 million to LJM before Talon would engage in the hedging transactions for which it was created. Enron and Talon entered into a "put", that is, a transaction that purportedly served to hedge Enron against a decline in its own stock value. Although there was no true business purpose, the "put" option was purchased by Enron for \$41 million. The put was designed by me and others as an ostensible reason to make a distribution of \$41 million to LJM, economically providing a return of and return on capital. Since the put failed to have a true business purpose, Talon failed to meet the minimum equity test as required by applicable accounting rules. As a result of this failure, LJM lacked substantive control of Talon. This failure, in turn, led to the substantive control of Talon by Enron.

Id.

B. Duty to Monitor

The evidence suggests that Lay, Skilling and the Outside Directors took actions designed to satisfy their monitoring obligations with respect to Enron's SPE transactions. Even though these actions were flawed, it cannot be said that these officers and directors abdicated their responsibilities or exhibited a sustained inattention to Enron's financial activities.

Lay and Skilling

Both Lay and Skilling appear to have had substantial knowledge of Enron's financial condition, including knowledge of the company's capital investments and financings. Skilling's testimony to the SEC described routine processes within the company that make it clear both Lay and Skilling were involved in supervising the financial aspects of Enron.

For example, Lay and Skilling received information about the company's capital investments from Buy, the Chief Risk Officer, in frequent periodic meetings. Buy and his staff met with Skilling on a weekly or biweekly basis to discuss the list of all projects then underway or being evaluated across the company.³⁷⁸ According to Skilling, "in some cases, Ken would go to this meeting."³⁷⁹

Skilling also described how he and Lay reviewed and helped shape the company's financial performance each quarter. Throughout a typical quarter, he and Lay met with Buy and Fastow on an ad hoc basis to receive updates, sometimes meeting with these

³⁷⁸ Skilling 11/1/02 SEC Testimony, at 67, 78-79.

³⁷⁹ *Id.* at 79. In addition, Mark-Jusbasche testified that Lay "was present for virtually all of the discussions about investments in our [Enron's] international activities." Mark-Jusbasche Sworn Statement, at 52-53.

officers together and sometimes separately.³⁸⁰ Then “a couple of days before”³⁸¹ the end of the quarter, Lay and Skilling met with Causey to “ask how we’re doing.”³⁸² At this pre-quarter-end meeting, Causey provided an estimate for the quarter, along with a list of pending transactions.³⁸³ Skilling testified:

You’d have, here’s what our plan was for the quarter; here’s what the most recent, current estimate is, knowing what was going on; you’d have a number that would say, here’s what Wall Street is expecting; and then you’d have here’s where we are right now; and then you’d have up sides and down sides, as you just look at all those numbers.³⁸⁴

According to Skilling, this meeting “was kind of your last opportunity to allocate resources to the organization to try to get things timed properly.”³⁸⁵ Thus, it appears that Lay and Skilling were involved in the process of reviewing pending transactions and helping determine if resources should be allocated to complete those transactions in order to meet the financial community’s expectations for Enron. Lay and Skilling were also involved in preparing the earnings press releases with the investor relations staff, and they held “lots of meetings associated with that.”³⁸⁶ In addition, both officers were involved in the annual budgeting process, at which capital expenditure levels for the coming year were determined.³⁸⁷

³⁸⁰ Skilling 11/1/02 SEC Testimony, at 81; Lay In-Person Interview.

³⁸¹ Skilling 11/1/02 SEC Testimony, at 144-45.

³⁸² *Id.* at 145.

³⁸³ *Id.* at 146-47.

³⁸⁴ *Id.* at 147.

³⁸⁵ *Id.*

³⁸⁶ *Id.* at 142.

³⁸⁷ *Id.* at 178-79 (stating that Lay attended budget review meetings). In addition, both Lay and Skilling helped develop the presentation for the company’s annual analyst conference held in January or February each year. *Id.* at 161, 164-66. The evidence reflects that Lay attended the 1999 and 2001 conferences, and that Skilling attended in 1997, 1998, 2000 and 2001. Enron Credit Conference, Feb. 5-6, 2001 [CIBC 1020329-CIBC 1020331]; Enron Credit Conference 2000 (handwritten notation suggests Skilling gave the Company Performance Review) [RBS 1087008-RBS 1087017]; Enron Credit Conference, Enron

There is evidence that Skilling also reviewed the company's Form 10-Q quarterly and Form 10-K annual filings with the SEC before they were submitted. In interviews conducted by the Powers Committee, both Enron's Controller and its Director of Financial Reporting described sending these filings to Skilling. According to records of the interviews:

- "Butts [the Controller] would always send drafts of the 10-Q's and 10-K's to Jeff Skilling and make sure that Skillings' [sic] comments were received. Skilling definitely went through the financial disclosures in the 10-K. . . . Skilling always provided his comments to Butts' team in Skilling's office."³⁸⁸
- "After Peng [the Director of Financial Reporting] prepared the draft 10-Q or 10-K, he distributed it for comments to approximately 50 people. . . . A smaller group were [sic] required to sign off on the 10-Qs and 10-Ks before release. These included the Chief Accounting Officer (Rick Causey), the Legal Department, Jeff Skilling, and, under new disclosure rules, Enron's Board."³⁸⁹

Attendees, Feb. 24-25, 1999, at 2 [STB11861-STB11864]; 1998 Enron Credit Conference Agenda, Feb. 11, 1998 [AB1128 01506]; 1997 Enron Credit Conference Agenda, Feb. 19, 1997 [BDR00683]. The 1999 conference, for which the Examiner obtained a copy of the conference materials, was held over a two-day period and included presentations by major business units. Enron Credit Conference Meeting Materials, Feb. 24-25, 1999, at AB1128 00104-AB1128 00105 [AB1128 00103-AB1128 00430]. It also included a credit profile presented by McMahon and a controls review presented by Buy. Enron Credit Profile Presentation, Feb. 24, 1999 (presented at the February 1999 Enron Credit Conference) [AB1128 00123-AB1128 00153]; Enron Controls Review Presentation, Feb. 24, 1999 (presented at the February 1999 Enron Credit Conference) [AB1128 00155-AB1128 00191]. The credit profile included detail about the company's funds flow, debt and equity levels, and investment performance. Enron Credit Profile Presentation, Feb. 24, 1999 (presented at the February 1999 Enron Credit Conference) [AB1128 00123-AB1128 00153].

³⁸⁸ Memorandum from Reed M. Brodsky, Wilmer Cutler, to Enron Files, regarding Interview of Bob Butts, Jan. 20, 2002, at 3 [AB000001148-AB000001156].

³⁸⁹ Memorandum from Lowry A. Crook, Wilmer Cutler, to Enron Files, regarding Interview of Gary Peng, Jan. 19, 2002, at 2 [AB000000649-AB000000667].

In addition, Paula Rieker, an Enron employee responsible for drafting many of the disclosures in the company's SEC filings, testified that Skilling "had a general satisfaction with the level of disclosure" ³⁹⁰

Lay described his involvement with the SEC filings in his interview with the Examiner. He said that he typically scanned the final or almost final drafts of those filings, including the financial statements and disclosures, and that he would sometimes offer comments. ³⁹¹ However, he did not recall any specific comments that he might have made. ³⁹²

Both Lay and Skilling also attended the Finance, Audit and Executive Committee meetings and the full Board meetings. Their involvement in preparing for these meetings, as well as their participation in presentations at these meetings, evidences a substantial level of knowledge about the company's financial activities. ³⁹³

³⁹⁰ Sworn Statement of Paula H. Rieker, Enron, to William C. Humphreys, Jr., A&B, Apr. 23, 2003, at 103-04 (recalling meetings where Mark Koenig, an Enron investor relations employee, communicated to Skilling the analysts' desire for more information).

³⁹¹ Lay In-Person Interview.

³⁹² *Id.* He stated that he was usually more involved in helping prepare the annual proxy statement and letter to shareholders that was included in the annual report. *Id.*

³⁹³ For example, minutes of the Finance Committee meetings, which Lay and Skilling always attended, reflect that Glisan, Fastow and other senior managers made detailed reports. Illustrative of a typical meeting, in August 2000 Glisan presented his customary Treasurer Report (the "Treasurer Report"), and the minutes describe the beginning of his presentation as follows:

Mr. Glisan reviewed the liquidity report as of July 25, 2000 and noted that the Company's total liquidity was over \$7 billion. He reviewed year-to-date investments and proceeds on sales of assets and he stated that without additional action by the Company the year-end debt balances would be over the target levels.

8/7/00 Finance Committee Minutes, at 2. The minutes then continue, reflecting Skilling's involvement: "Messrs. Fastow and Skilling joined him [Glisan] in a discussion of the Company's capacity in the bank markets, the constraints facing the Company, and the projected cash flows from new businesses." *Id.* Later in that same meeting, Skilling joined Buy and Joe Sutton in discussing "international investments included in the troubled assets detail and a general discussion of Project Summer." *Id.* at 3. Project Summer was an unsuccessful effort to sell a large number of Enron's international assets to a third party. Following the collapse of that transaction, in May 2001 Enron prepared an internal valuation of its international assets, showing that assets with a carrying value of \$10.1 billion had an estimated value of only \$5.5 billion. The report refers to this as "Jeff Skilling's Estimate." Joint Audit and Compliance/Finance Committee Meeting

Lay and Skilling also attended periodic meetings with the rating agencies to review Enron's financial performance.³⁹⁴ These presentations were necessarily focused on the financial aspects of Enron that were important to the rating agencies, including primarily Enron's debt, equity and cash flows.³⁹⁵ Lay and Skilling were aware of the importance of Enron's financial ratios in maintaining the company's investment grade credit ratings, since these ratios were discussed at every Finance Committee meeting.³⁹⁶ The "Targeted Key Financial Ratios" presented by Fastow at these meetings included interest coverage, funds flow interest coverage, total obligations to total capital, debt to balance sheet capital, and funds flow from operations to total obligations.³⁹⁷ Skilling testified that understanding the ratios

was just real simple. I mean, you had net income and you had cash flow, and we knew which ratios the credit agencies looked for, and when it was rolled up, you'd look at those ratios and were they okay with the credit agencies, and if they weren't, then you'd go back to the business units and,

Supplemental Schedules – Investment Revaluations, Aug. 13, 2001, at 2 (Distribution List includes Skilling, Rick Buy and Dave Gorte, all of Enron) [AB1128 00431-AB1128 00441]. In another example of Skilling's involvement, at the December 1998 Audit Committee meeting, Skilling joined with Andersen in discussing the effects of the pending implementation of EITF 98-10 (which involves accounting for energy trading contracts and was a principle relied on by Andersen with respect to Enron's Prepay Transactions). Minutes of Enron Audit Committee Meeting, Dec. 7, 1998, at 1 [AB000191699-AB000191700]. This also evidences Skilling's knowledge of some of the sophisticated accounting principles employed at Enron.

³⁹⁴ Letter from Rebecca Carter, Enron, to Enron Board of Directors, Sept. 10, 1999 [AB000448723]; Skilling 12/5/01 SEC Testimony, at 17.

³⁹⁵ See, e.g., Rating Agency Presentation Enron Corp., Nov. 22, 1999, at EC000469153-EC000469159 [EC000469120-EC000469169]; Skilling 12/5/01 SEC Testimony, at 17.

³⁹⁶ See, e.g., Minutes of Enron Finance Committee Meeting, Oct. 11, 1999 (the "10/11/99 Finance Committee Minutes"), at 1-2 [AB000196890-AB000196893]; 10/11/99 Finance Committee Materials, at AB0247 00829 (slide from CFO Report); Minutes of Enron Finance Committee Meeting, Dec. 11, 2000, at 2 [AB000201489-AB000201494]; Materials from Enron Finance Committee Meeting, Dec. 11, 2000 (the "12/11/00 Finance Committee Materials"), at AB0247 01653, AB0247 01664 (slides from CFO Report) [AB0247 01641-AB0247 01895]; Minutes of Enron Finance Committee Meeting, Feb. 12, 2001 (the "2/12/01 Finance Committee Minutes"), at 1-2 [AB000205010-AB000205014]; Materials from Enron Finance Committee Meeting, Feb. 12, 2001, at AB0247 01923-AB0247 01924 (slides from CFO Report) [AB0247 01908-AB0247 02041]; Belfer Sworn Statement, at 58.

³⁹⁷ See, e.g., Materials from Enron Finance Committee Meeting, Dec. 13, 1999 (the "12/13/99 Finance Committee Materials") at 8-9 (the CFO Report) [AB0247 00947-AB0247 01075].

you know, tell them, “Hey, look, we’ve got surplus capacity, less capacity, here’s what needs to be done.”³⁹⁸

Lay and Skilling also participated in “road shows” to help sell the company’s securities.³⁹⁹ In addition, Skilling regularly conducted the quarterly calls with Wall Street analysts following Enron’s earnings releases.⁴⁰⁰ Skilling’s initial remarks during these calls were most often scripted, but his prepared remarks were followed by the opportunity for the analysts to ask questions, requiring that Skilling have sufficient knowledge about the company’s finances to respond appropriately on behalf of Enron.⁴⁰¹

Skilling also apparently had regular contact with the financial institutions that provided financing and services to Enron. Evidence of this involvement includes:

- Rick Walker, an Enron relationship manager at JPMorgan Chase, wrote to a colleague at the bank in October 1998 that Skilling and Fastow were planning a visit to the bank in order “to kick off your relationship with Jeff Skilling,” and “to provide assurance that Enron is working very hard to bring their relationship pull over the bank market to bear in order to make all of their 4th quarter deals (including Project Apache) successful.”⁴⁰²

³⁹⁸ Skilling 11/1/02 SEC Testimony, at 34.

³⁹⁹ See, e.g., Letter from Rebecca Carter, Enron, to Enron Board of Directors, July 16, 1999 [AB000448723]; Letter from Rebecca Carter, Enron, to Enron Board of Directors, Jan. 14, 2000 [AB000448696]; Letter from Rebecca Carter, Enron, to Enron Board of Directors, Apr. 14, 2000 [AB000448680].

⁴⁰⁰ See, e.g., Enron Q2 2001 Conference Call Transcript, July 7, 2001 (the “7/12/01 Call Transcript”) [ELIB0001900-00001-ELIB00001900-00029]; Enron Q1 2001 Conference Call Transcript, Apr. 17, 2001 (the “4/17/01 Call Transcript”) [ELIB00001897-00001-ELIB00001897-00028]; Enron Q2 2000 Conference Call Transcript, July 24, 2000 (the “7/24/00 Call Transcript”) [ELIB00001899-00001-ELIB00001899-00034]; Enron Q1 2000 Conference Call Transcript, Apr. 12, 2000 (the “4/12/00 Call Transcript”) [ELIB00001896-00001-ELIB00001896-00026]; Enron Q2 1999 Conference Call Transcript, July 13, 1999 (the “7/13/99 Call Transcript”) [ELIB00001898-00001-ELIB00001898-00027]; Enron Q3 1998 Skilling on Q3 Results Call Transcript, Oct. 13, 1998 (the “10/13/98 Call Transcript”) [ELIB00001902-00001-ELIB00001902-00008].

⁴⁰¹ See, e.g., 7/12/01 Call Transcript; 4/17/01 Call Transcript; 7/24/00 Call Transcript; 4/12/00 Call Transcript; 7/13/99 Call Transcript; 10/13/98 Call Transcript.

⁴⁰² Memorandum from Rick Walker, JPMC, to James B. Lee, III, *et al.*, JPMC, regarding October 27, 1998 meeting with Jeff Skilling and Andy Fastow, Oct. 23, 1998, at 1 [PSI00414581-PSI00414588].

- In 1999, Skilling called Rick Walker at JPMorgan Chase to discuss several pending transactions.⁴⁰³ During the call, Skilling complimented the bank's responsiveness and said it had been "very helpful to [Enron] for [JPMorgan Chase] to commit to use [the bank's] balance sheet to get a transaction done."⁴⁰⁴
- CSFB talked with Skilling about broadband,⁴⁰⁵ Enron's business segment by segment,⁴⁰⁶ and Enron's need to maintain funds flow at a minimum of 3.5.⁴⁰⁷
- Skilling confirmed to CSFB that the LJM1 transaction had been reviewed and approved by Enron's Board and had the support of senior management of Enron.⁴⁰⁸
- Skilling led a call with bankers from RBS, in which Fastow and Glisan also participated.⁴⁰⁹ During that call, Skilling discussed a number of issues, including Enron's "perennial challenge" of matching cash to earnings and the "need to bridge the gap in cashflow,"⁴¹⁰ as well as Enron's strategy to sell assets, its credit ratings, and its relationship with RBS.⁴¹¹
- Skilling and Fastow met with senior executives of Toronto Dominion in October 1998 to discuss the bank's involvement in Enron's

⁴⁰³ Email from Marc Shapiro, JPMC, to Richard S. Walker and copy to James B. Lee and Todd Maclin, JPMC, June 25, 1999, at 2 [JPMCBKR0017759-JPMCBKR0017760].

⁴⁰⁴ *Id.*

⁴⁰⁵ Email from Spider, CSFB, to Adebayo Ogunlesi, *et al.*, CSFB, Sept. 19, 2000 (client meeting information sent by Spider, a CSFB computer program) [CSFBCO 005138930].

⁴⁰⁶ Memorandum from Robert Jeffe, *et al.*, CSFB, to The Investment Banking Committee, CSFB, regarding Enron Primary Stock Offering, Feb. 2, 1999, at CSFBCO 000004998 [CSFBCO 000004992-CSFBCO 000005015].

⁴⁰⁷ Email from Adam de Courcy Ling, CSFB, to Jeremy Mead, *et al.*, CSFB, July 26, 1999 [CSFBCO 005128689].

⁴⁰⁸ Sworn Statement of Adebayo Ogunlesi, Energy Group Head, CSFB, to M. Russell Wofford, Jr., A&B, May 19-20, 2003 (the "Ogunlesi Sworn Statement"), at 168.

⁴⁰⁹ Royal Bank of Scotland, Meeting/Telephone Call Report, Jan. 24, 2001, at 1 [RBSC256566-RBSC156568].

⁴¹⁰ *Id.* at 2.

⁴¹¹ *Id.* at 2-3. During the call, Skilling discussed Enron's strategy "to sell its physical assets and operate via contracts." *Id.* at 1. According to the call report: "Coupled with this concept is the need to fully diversify risk, in many ways making Enron's strategy similar to that [of] an investment bank, which tends to 'churn' assets by collecting fees and then selling down position to free up capital." *Id.* at 2.

financings.⁴¹² According to one of the bankers present, Skilling led the meeting and appeared knowledgeable about the matters discussed.⁴¹³

Outside Directors

The Outside Directors most responsible for monitoring Enron's SPE transactions were the Finance and Audit Committees, with the full Board being involved from time to time. All of these groups of directors were generally active, and the following discussion reviews the evidence about their activities related to the SPE transactions. This discussion also highlights their actions with respect to LJM2. Given the conflict of interest created by Fastow serving as both CFO of Enron and general partner of LJM2, those circumstances required a higher level of director supervision.

Generally. Enron's Board and Board committees met often. During 1997 through 2001, the Board met at least eight times each year and often more frequently, counting both regularly scheduled and specially called meetings. Attendance was strong, and prior to each regularly scheduled meeting, directors received agendas and large quantities of preparatory materials.

Certain aspects of the Board's oversight activities generally, however, are subject to criticism. Board meetings typically lasted a total of about four to five hours, and committee meetings were generally not more than ninety minutes each. With the large number of significant agenda topics presented at each meeting, these circumstances raise questions of whether the Outside Directors always had sufficient time to discuss and understand the matters fully. Although none of the Outside Directors admitted in

⁴¹² Briefing Memorandum, prepared by Toronto Dominion, Oct. 23, 1998 (the "10/23/98 Toronto Dominion Memo") (regarding upcoming meeting with Enron executives) [TDB-EX 002419-TDB-EX 002422].

⁴¹³ Sworn Statement of Julian Mark Bott, Toronto Dominion, to Robb E. Hellwig, A&B, Oct. 8, 2003, at 66; 10/23/98 Toronto Dominion Memo.

testimony that they felt the Board or committee meetings were too short,⁴¹⁴ several directors provided such criticism in a Board self-assessment they completed in 2001 (the “2001 Board Assessment”):

- “This is a great board (in my opinion). And, if anything, more meeting time (especially committees) would be nice. It is a working board and lots going on in the company!”⁴¹⁵
- “We may need to meet beyond noon more often, to allow for in-depth briefings, and to leave sufficient time for the special reports to present risks, hurdles, alternative scenarios, and requests for specific advice.”⁴¹⁶
- “I think I would support a move to six meetings a year (but not too strongly.)”⁴¹⁷

Even with 15 to 19 directors, which was large for a public company,⁴¹⁸ Enron’s Board did not include a large number of Outside Directors who had hands-on experience

⁴¹⁴ See, e.g., Meyer Sworn Statement, at 45-46 (“Q. With respect to the board meetings, did you feel that the time that was allotted to the board meetings was sufficient for you to have all your questions answered about the matters that were brought before the board? A. Yes. I never felt like we were without time to address everything that needed to be addressed. I’m comfortable with that. Again, time is a commodity you’d always like more of.”).

⁴¹⁵ Materials from Enron Nominating Committee Meeting, Feb. 12, 2001 (the “2/12/01 Nominating Committee Materials”), at AB000467840 (part of 2001 Board Assessment) (underlining in original) [AB000467834-AB000467851].

⁴¹⁶ *Id.* at AB000467840 (part of 2001 Board Assessment).

⁴¹⁷ *Id.*

⁴¹⁸ A recent survey of public companies reported an average board size of 9.4 total directors, with an average of 6.9 “independent” or outside directors. Financial Executives International Survey of Corporate Governance Best Practices, May 2002, *available at* <http://www.fei.org/download/feigovsur.pdf#xml=http://fei.org.master.com/taxis/master/search/mysite.txt?q=corporate+governance&order=r&id=3860184834ad7a56&cmd=xml> (last visited Oct. 24, 2003). Several of the directors noted that the Board was too large in the 2001 Board Assessment. Comments in the 2001 Board Assessment included: “Board too large”; “Need to reduce the size of the board . . .”; “Board slightly too big.” 2/12/01 Nominating Committee Materials, at AB000467839 (part of 2001 Board Assessment). The large size can undermine the individual director’s sense of personal responsibility for understanding complex matters. Several of the Outside Directors testified that they might not have understood an area of the company’s operations or a particular matter, but they were not concerned because they expected that someone else on the Board did. For example, Chan, who served on both the Audit and Finance Committees, testified that he relied on Jaedicke, Gramm and Duncan to understand whether it was appropriate for Andersen to provide both external and internal audit functions at Enron: “For something like that, I do rely on my colleagues at the audit committee – such as Bob Jaedicke was much more qualified in this regard, and certainly he has, you know, mentioned about – these concepts, and that’s how I learned about it.” Chan Sworn Statement, at 208. Chan also testified that

in the types of sophisticated finance employed by Enron. In the 2001 Board Assessment, the directors acknowledged this lack of depth on the Board. A summary of the self-assessment responses quoted the directors' responses, but without attributing the quotes to individual directors. Regarding this lack of financial expertise, the directors wrote:

- "Board is too large, but missing skills in technology and very sophisticated finance."⁴¹⁹
- "Need more technology/risk management and finance skills."⁴²⁰
- "Add expertise in derivatives/hedging/trading."⁴²¹
- "Another person with strong background on financial derivatives may also help."⁴²²
- "Need to reduce the size of the board and add more expertise in finance, technology and possibly entertainment/media."⁴²³

he considered the Audit Committee to have "experts on this field" and said Duncan and Gramm were "very qualified" when asked to name those experts. Chan Sworn Statement, at 210. Gramm, however, testified:

A. I took accounting in, one accounting course in undergraduate school.

Q. Other than that course and just sort of a normal knowledge you picked up reading financial statements and balance sheets, did you have any other particular expertise in dealing, or knowledge, I should say, about accounting and auditing issues?

A. No.

Gramm Sworn Statement, at 34.

⁴¹⁹ 2/12/01 Nominating Committee Materials, at AB000467839 (part of 2001 Board Assessment).

⁴²⁰ *Id.*

⁴²¹ *Id.*

⁴²² *Id.*

⁴²³ *Id.*

The Board also included two employees, Harrison⁴²⁴ and Mark-Jusbasche,⁴²⁵ who were heads of Enron business units and whose conflicting positions rendered them somewhat ineffective in questioning or otherwise monitoring management. As Harrison testified, in his role as head of a business unit, he was “competing for capital” with other business unit managers, which he testified was difficult because of “the internal competitiveness of Enron.”⁴²⁶ He stated that his role on the Board gave him authority to oversee the other business units, while at the same time competing on the same level with those business units,⁴²⁷ which made his position “awkward at times.”⁴²⁸ Harrison noted that he was uncomfortable being a director where he oversaw Skilling’s performance, while at the same time reporting to Skilling like other business unit heads.⁴²⁹ In Harrison’s opinion, “I don’t think it works to sit in both – in both views, in both seats.”⁴³⁰

⁴²⁴ Harrison joined the Board in August 1997 following Enron’s acquisition of Portland General Electric, and he served until May 2001. For all of that time, he also served as CEO of Portland General Electric, which operated as a business unit of Enron. He described his “oral participation” in Board meetings as “modest.” Harrison Sworn Statement, at 13, 32.

⁴²⁵ Mark-Jusbasche joined the Board in 1999 and served for one year while holding the position of Chairman and CEO of Azurix Corporation, a global water company Enron formed in 1998 and took public. When Enron took Azurix private in 2000, Mark-Jusbasche resigned from Enron’s Board at Lay’s request. Mark-Jusbasche Sworn Statement, at 145.

⁴²⁶ Harrison Sworn Statement, at 179-80.

⁴²⁷ *Id.* at 179-81.

⁴²⁸ *Id.* at 179.

⁴²⁹ *Id.* at 180-81.

⁴³⁰ *Id.* at 181.

Another Outside Director indicated tension with Skilling. Meyer testified that he did not stand for reelection in 2001 in part because Skilling thought Meyer was too “negative” in his questioning. Meyer Sworn Statement, at 27. Meyer offered not to stand for reelection and Lay accepted the offer saying, according to Meyer: “Jeff thinks you’re one of a couple of directors that are too negative in your questioning and he thinks we need some folks that maybe have a background much more aligned with the trading business.” *Id.* As an example of his interaction with Skilling at Board meetings, Meyer testified regarding Skilling’s development of the broadband business:

I come from the world of technology. Enron was going into the broadband business – a business that I knew a little bit about from a technological standpoint. And I recall . . . [t]here was a status report in a presentation by the management about broadband, and I questioned exhaustively.

Finance Committee. The Finance Committee, which had responsibility for reviewing and monitoring all aspects of the company's financial plans, appears to have taken actions designed to meet its monitoring obligations. Although those actions had discernible flaws, the evidence shows some action on the part of the committee and, thus, the members of the Finance Committee do not appear to have abdicated their monitoring responsibilities.

For example, the Finance Committee always received reports from the CFO (the "CFO Report") and the Treasurer (the "Treasurer Report"), and often received reports from the Chief Risk Officer (the "CRO Report"), along with presentations and deal approval sheets ("DASHs") about specific transactions being considered. These reports provided information about Enron's key financial ratios, credit ratings, cost of capital, liquidity sources and financing transactions, among other items. Some of these reports were so detailed that, according to Belfer's description of a 1998 capital status report, "the level of detail is numbing rather than elucidating."⁴³¹

The Finance Committee also regularly considered many matters designed to fulfill its obligations under its charter. These included, for example:

I remember the consultants were there and I said, "I don't quarrel with what you're seeing strategically, and with what you're expecting to have as steps in that business." But I said, "I seriously question the timing." I said, "You know, you can't – until you get broadband to the home, the last mile thing, I'm not sure that you want to do all these things first," and I said, "That's my view."

And that's the kind of dialogue where I would interject myself, you know, and I think I interpreted Jeff didn't necessarily agree with what I was saying.

Id. at 47-48.

⁴³¹ Belfer Sworn Statement, at 119-23. The chart Belfer referred to was a list that identified many types of Enron's on and off balance sheet liabilities, listing Prepays under the heading "Debt Classified as Non-Debt Liabilities." Draft Enron Capital Management Capital Activity Report, Jan. 27, 1998, at AB0246 00815 [AB0246 00725-AB0246 01638]; Agenda for Joint Audit and Finance Committee Meeting, Feb. 9, 1998 [AB000473540].

- Approving debt and equity offerings.⁴³² The Finance Committee regularly considered and recommended for approval shelf registrations and other issuances of public debt and equity.⁴³³
- Reviewing the company's activities with rating agencies.⁴³⁴ The CFO Report and the Treasurer Report always reported the company's current credit ratings, key financial ratios used by the rating agencies, and the "credit rating implications of certain transactions."⁴³⁵
- Reviewing the company's "Capital Risk Policy," which covered, among other matters, "capital expenditures, investments and risk limits for the commodity and capital books"⁴³⁶ The Finance Committee spent a great deal of time reviewing Enron's "value at risk" limits relating to the trading operations,⁴³⁷ as well as reviewing risks in the company's merchant portfolio. Buy often presented the CRO Report,⁴³⁸ discussing the "trade and merchant credit quality, with specific emphasis on the top 25 credit exposures, and the top and bottom ten performing investments."⁴³⁹

⁴³² Finance Committee Charter, at 1.

⁴³³ See, e.g., Minutes of Enron Finance Committee Meeting, Aug. 10, 1997, at 2 (shelf registration/credit facilities) [AB000186620-AB00018662]; Minutes of Enron Finance Committee Meeting, Dec. 8, 1997, at 2 (shelf registration) [AB000469806-AB000469809]; Minutes of Enron Finance Committee Meeting, Oct. 12, 1998, at 2 (shelf registration) [AB000192038-AB000192042]; Minutes of Enron Finance Committee Meeting, Aug. 9, 1999, at 2 (issuance of exchangeable security) [AB000196885-AB000196888]; 10/11/99 Finance Committee Minutes, at 3 (shelf registration); 5/1/00 Finance Committee Minutes, at 2 (debt authority).

⁴³⁴ Finance Committee Charter, at 1.

⁴³⁵ Minutes of Enron Finance Committee Meeting, May 3, 1999 (the "5/3/99 Finance Committee Minutes"), at 2 [AB000196881-AB000196883].

⁴³⁶ Finance Committee Charter, at 1.

⁴³⁷ See Winokur 11/20/02 Sworn Statement, at 197-201.

⁴³⁸ See, e.g., Materials from Enron Finance Committee Meeting, Dec. 7, 1998 (the "12/7/98 Finance Committee Materials"), at AB0247 00438 (the Agenda) and AB0247 00479-AB0247 00551 (the Chief Risk Officer Report (the "CRO Report")) [AB0247 00436-AB0247 00557]; Materials from Enron Finance Committee Meeting, Feb. 7, 1999 (the "2/7/99 Finance Committee Materials"), at AB0247 00561 (the Agenda) and at AB0247 00603-AB0247 00623 (CRO Report) [AB0247 00561-AB0247 00623]; Materials from Enron Finance Committee Meeting, Feb. 7, 2000 (the "2/7/00 Finance Committee Materials"), at AB0247 01086 (the Agenda) and at AB0247 01123-AB0247 01144 (CRO Report) [AB0247 01084-AB0247 01209]; 5/1/00 Finance Committee Materials, at AB0247 01213 (the Agenda) and at AB0247 01263-AB0247 01323 (CRO Report); 2/12/01 Finance Committee Materials, at AB0247 01910 (the Agenda) and AB0247 01997 (CRO Report).

⁴³⁹ Minutes of Enron Finance Committee Meeting, May 3, 1999 (the "5/3/99 Finance Committee Minutes"), at 2-3 [AB000196881-AB000196883].

- Reviewing the company's "exposure under outstanding letters of indemnity, letters of credit and corporate guaranties" ⁴⁴⁰ The Treasurer Report delivered at almost every regularly scheduled meeting included lists of Enron's active letters of credit and guaranties, even providing comparisons of the current amounts to prior periods. ⁴⁴¹

The Finance Committee did not appear as strong, however, in monitoring the company's "liquidity, including debt maturities, and its contingent liabilities." ⁴⁴² The Finance Committee regularly received liquidity reports showing sources and amounts of cash available to Enron, and on several occasions it also received "stress testing" analyses showing the adverse effect of certain events on that liquidity. However, the liquidity reports were never combined with any information as to the amount of liquidity that the company needed. A sample of one of the liquidity reports, which was provided to the Finance Committee in August 1999, is reproduced below: ⁴⁴³

⁴⁴⁰ Finance Committee Charter, at 1.

⁴⁴¹ See, e.g., Materials from Enron Finance Committee Meeting, Oct. 12, 1998 (the "10/12/98 Finance Committee Materials"), at AB0247 00254-AB0247 00255 (slides from Treasurer Report) [AB00247 00224-AB0247 00418]; 2/7/99 Finance Committee Materials, at AB0247 00582 (slide from Treasurer Report); 10/11/99 Finance Committee Materials, at AB0247 00855-AB0247 00856 (slide from Treasurer Report); 2/7/00 Finance Committee Materials, at AB0247 01111 (slide from Treasurer Report); 10/6/00 Finance Committee Materials, at AB0247 01561-AB0247 01562 (slides from Treasurer Report); Materials from Enron Finance Committee Meeting, Aug. 13, 2001 (the "8/13/01 Finance Committee Materials"), at AB0247 02312-AB0247 02313 (slides from Treasurer Report) [AB0247 02285-AB0247 02359].

⁴⁴² Finance Committee Charter, at 1.

⁴⁴³ Materials from Enron Finance Committee Meeting, Aug. 9, 1999 (the "8/9/99 Finance Committee Materials"), at 19 (slide from Treasurer Report) [AB0247 00716-AB0247 00815].

Enron Corp.
Liquidity Report
as of July 23, 1999

(\$000's)

	Overnight	1-30 Days	31-60 Days	61-90 Days	91 and over	Total
Commercial Paper & Uncommitted Lines	2,029,000					2,029,000
Bank Facilities:						
Multi-currency	71,460					71,460
BHF	15,800					15,800
19 Accounts Receivable Facility	51,050					51,050
Short Registration - Debt		500,000				500,000
Short Registration - Equity ¹		629,063				629,063
Monetizations:						
Commodity Books			250,000			250,000
Merchant Equity Portfolio				1,000,000	2,310,000	3,310,000
	2,167,310	1,129,063	250,000	1,000,000	2,310,000	6,856,373

AB0247 00739

¹ Reflects 7.5mm shares at \$83 ⁷/₈ per share.



The report reflected the amount of cash Enron could raise within specified time periods, in this case as of July 23, 1999, but it did not indicate how much liquidity Enron needed at that time. The stress testing reports also did not provide that information. The first slide of the stress testing report provided at the same August 1999 meeting is reproduced below:⁴⁴⁴

⁴⁴⁴ *Id.* at 24 (slide from Treasurer Report).

Liquidity Stress Analysis (\$ Billions)

	<i>Spitting Agency Plan</i> Per Plan (Adjusted)			
	<u>Cash Flow</u>	<u>Investing</u>	<u>Financing</u>	<u>Cash Needs</u>
Exploration & Production	369	(474)	-	(105)
Transmission & Distribution	504	(53)	-	451
24 Wholesale Energy Operations & Services	1,309	(1,941)	-	(632)
Enron Energy Services	(100)	(56)	-	(156)
Corporate & Other	18	(497)	(928)	(1,407)
TOTAL	<u>2,100</u>	<u>(3,021)</u>	<u>(928)</u>	<u>(1,849)</u>
1999 Interest Expense	<u>613</u>			

AB0247 00744



As shown on this slide, the stress test analysis was performed using the amount of cash that Enron needed according to its annual plan. But as discussed later in this Appendix, by May of each year Enron had typically already spent more than its entire annual capital investments budget. By August 1999, Enron was \$2 billion over plan, having committed to capital investments totaling over \$3.6 billion,⁴⁴⁵ which reached over \$5 billion by the end of the year.⁴⁴⁶ Thus, a liquidity analysis based on a plan that showed a need for \$1.8 billion of cash was not relevant.

⁴⁴⁵ *Id.* at 8 (slide from CFO Report).

⁴⁴⁶ 12/13/99 Finance Committee Materials, at 22 (part of Treasurer Report).

There also does not appear to have been any report in the materials provided to the Finance Committee showing a maturity schedule for Enron's obligations. The only information the Finance Committee received regarding the maturities of debt and other obligations was apparently the information Enron distributed publicly in its financial statements. The Examiner has found no evidence in the Finance Committee materials indicating that the Outside Directors requested more information on this topic. When Belfer was shown the Finance Committee materials for the August 1999 meeting and asked if it contained a report of "the maturities of the company's obligations,"⁴⁴⁷ he testified:

Q. I take it, then, there's not, to your understanding, a sort of a standard section of the report [to the Finance Committee] that covers that?

A. I believe that's accurate, but, again, I mentioned that in the footnotes to the financial statements that are audited by Arthur Andersen there is a schedule of debt, of aggregate debt maturities by year.⁴⁴⁸

Similarly, the Finance Committee did not appear to have a clear understanding of Enron's total obligations. The committee regularly reviewed Enron's "key financial

⁴⁴⁷ Belfer Sworn Statement, at 140-41.

⁴⁴⁸ *Id.* at 141. See also Willison Sworn Statement, at 111-12 (testifying that the Board did not need to monitor the maturities of individual debts because it monitored the matching of debt maturities to financings by reviewing "the overall funds flow on a year-to-year basis," and that he "would be looking to management to structure the maturity schedule"). But see Meyer Sworn Statement, at 59 ("Q. In analyzing liquidity issues, did the finance committee evaluate the maturities of the company's obligations? A. I recall that we looked at the maturities. I recall one of the things that we had was, you know, the top 25 list to see – the top 25 meaning what did I – What are the top 25 things that are sort of out of the range of where we would like them to be. And so we did look at those things."); Chan Sworn Statement, at 145 ("Q. Okay. Did you ever see anything that looked like a – that was a maturity schedule . . . that tried to, you know, show when various obligations or categories of obligations were maturing and how Enron expected to either pay or refinance those obligations? A. Yes, there's always projections this year, next year, the year after and so forth, year by year, what the obligations are likely going to be, and, hence, what the cash position is going to be. There's always rather comprehensive information of that sort. Q. Okay. So you recall some sort of maturity schedule presented or a plan, what? A. Yes."). Savage testified: "As I recall, we would typically get a schedule of debt maturities over a period of years to show those debt maturities, and when they were coming up and how we were going to meet them." Savage Sworn Statement, at 65. However, there is no such report in the records of the Finance Committee or Board meetings provided to the Examiner.

ratios, including funds flow and the debt to total capitalization ratio, for both consolidated and unconsolidated obligations.”⁴⁴⁹ Beginning in October 1998, the CFO Report at each regularly scheduled meeting included a chart showing, among other calculations, Enron’s ratio of “debt / B/S capital” and “FFO/Total Obligations.”⁴⁵⁰ However, the chart did not provide the amounts used to calculate the ratios, and it did not explain whether “Total Obligations” included Enron’s unconsolidated obligations. Since the names of the ratios presented in the CFO Report were identical to the names of the ratios published in Enron’s annual financial statements,⁴⁵¹ it is reasonable to infer that these were the same ratios.⁴⁵² Per the annual financial statements, “total obligations” did not include debt of Enron’s unconsolidated affiliates, because that debt was “non-recourse and therefore is excluded from Enron’s obligations.”⁴⁵³

The amount of total obligations also was not included in the cost of capital report that Fastow regularly provided to the Finance Committee. The first such report that is reflected in the Finance Committee minutes was provided in October 1998. That report showed the cost of capital computed three ways. First, the cost was calculated “using the CAPM [capital asset pricing model] Model.” Second, the chart showed the “[t]rue cost

⁴⁴⁹ Finance Committee Charter, at 1.

⁴⁵⁰ Materials from Enron Finance Committee Meeting, Oct. 12, 1998 (the “10/12/98 Finance Committee Materials”), at AB0247 00242 (slide from CFO Report) [AB0247 00231-AB0247 00417].

⁴⁵¹ See, e.g., Enron Annual Report for 2000, at Selected Financial and Credit Information (Unaudited) [AB1128 01916-AB1128 01975]; Enron Annual Report for 1999, at Selected Financial and Credit Information (Unaudited) [AB000524031-AB000524090].

⁴⁵² On one occasion, however, Fastow’s presentation to the Board included ratios derived from total obligations that included “funding sources unknown to the rating ag[encies].” Enron Capital Management Capital Activity Report, at 5 (presented at 5/4/98 Finance Committee Meeting) [AB0247 00011-AB0247 00017]. None of the directors who were asked about this notation could explain what sources it referred to. Belfer Sworn Statement, at 129-30 (“I have no idea of what this is about, and I have no recollection of ever having seen this before.”); Harrison Sworn Statement, at 118.

⁴⁵³ See, e.g., 2000 Selected Financial and Credit Information, at AB1128 01969; 1999 Selected Financial and Credit Information, at AB000524084.

of capital including off balance sheet obligations” and, finally, it showed the “[t]rue cost of capital including off balance sheet obligations and non-recourse obligations.”⁴⁵⁴ Thereafter, Fastow always included a cost of capital report in his CFO Report to the Finance Committee, but he never again showed the “true costs” of capital, only the calculation using CAPM.

Thus, it does not appear that the Finance Committee actually made a meaningful review of the total obligations. Belfer testified that although the Finance Committee materials included “a chart of total assets, I suspect one would have to work a little harder to find out what the total liabilities were.”⁴⁵⁵

While this lack of information about total obligations might have been avoided if the Finance Committee had asked for more or clearer information, it also resulted at least in part from the officers’ failure to provide certain information to the Finance Committee and the other Outside Directors, and the failure to provide it in a clear and meaningful fashion.

Fastow, Glisan and others often used misleading or unclear terms or jargon. For example, the CFO Reports and Treasurer Reports used terms like “balance sheet

⁴⁵⁴ 10/12/98 Finance Committee Materials, at AB0247 00246 (slide from CFO Report).

⁴⁵⁵ Belfer Sworn Statement, at 130-31. At seven Finance Committee meetings beginning in August 2000, Fastow gave the Finance Committee an indication of the amount of Enron’s total obligations on a chart that tracked Enron’s interest rate exposure. 8/7/00 Finance Committee Materials, at AB0247 01363 (slide from CFO Report); 10/6/00 Finance Committee Materials, at AB0247 01538 (slide from CFO Report); 12/11/00 Finance Committee Materials, at AB0247 01656 (slide from CFO Report); 2/12/01 Finance Committee Materials, at AB0247 01927 (slide from CFO Report); Materials from Enron Finance Committee Meeting, Apr. 30, 2001 (the “4/30/01 Finance Committee Materials”), at AB0247 02071 (slide from CFO Report) [AB0247 02055-AB0247 02280]; 8/13/01 Finance Committee Materials, at AB0247 02302 (slide from CFO Report); Materials from Enron Finance Committee Meeting, (the “10/8/01 Finance Committee Materials”), at AB0247 02545 (slide from CFO Report) [AB0247 02536-AB0247 02696]. For example, the August 2001 chart showed \$36 billion of total obligations. 8/13/01 Finance Committee Materials, at AB0247 02302. Despite the amount increasing from \$26 billion in February 2001 to \$36 billion in August 2001, Lay and the Outside Directors who testified about this chart did not recall any discussion or concern about the information presented. Lay In-Person Interview; Savage Sworn Statement, at 251-52; Belfer Sworn Statement, at 171-72.

management”⁴⁵⁶ transactions and “funds flow management transactions”⁴⁵⁷ to describe the SPE transactions generally, but with no explanation of the “management” those transactions might have effected. The records of the Finance Committee meetings show frequent use of the term “monetization”—for example, Fastow referred to the Rhythms transaction as a “monetization of value”⁴⁵⁸—but testimony from the Outside Directors indicated that they did not all share the same understanding of that term and may not have understood how the term was being used by management. Skilling testified that “to monetize” an asset meant to

[c]onvert an asset into cash, if we needed to. You know, for example, as a part of our merchant business we created, the business created a lot of accounts receivable. Accounts receivable [sic] is an asset, but is not cash, you know. But you can monetize an accounts [sic] receivable by factoring it.

....

And then there would be all sorts of other assets that you could do some of the same things with. You know, power plant [sic].⁴⁵⁹

Outside Directors understood “monetizations” as follows:

- Chan, who was a Finance Committee member, testified that he believed “asset monetizations” meant “just selling outright.”⁴⁶⁰
- LeMaistre, who often attended Finance Committee meetings, testified that if an asset were underperforming, the company could “monetize it in order to free up the money to reinvest it elsewhere at a better rate of return,” which would “in most instances” mean selling or disposing of the asset in some fashion.⁴⁶¹

⁴⁵⁶ See, e.g., 8/7/00 Finance Committee Materials, at 23 (slide from Treasurer Report); 10/11/99 Finance Committee Materials, at AB0247 00840 (slide from CFO Report using term “Balance Sheet Vehicles”); 12/13/99 Finance Committee Materials, at 18 (slide from CFO Report).

⁴⁵⁷ See, e.g., 10/11/99 Finance Committee Materials, at AB0247 00836 (slide from the CFO Report).

⁴⁵⁸ *Id.* (slide from CFO Report).

⁴⁵⁹ Skilling 12/5/01 SEC Testimony, at 72-73.

⁴⁶⁰ Chan Sworn Statement, at 169.

⁴⁶¹ LeMaistre Sworn Statement, at 142-43.

- Foy and Willison testified that “monetization” could include either selling or borrowing against an asset.⁴⁶²
- Urquhart, a Finance Committee member, testified that “monetization” was “converting hard assets to several vehicles.”⁴⁶³

Some of the Outside Directors also appeared to have varying understandings of the difference between the terms “off balance sheet” and “non-recourse debt.” For example, Urquhart testified that the terms were synonymous, “because once you stop your balance sheet, there is no recourse. Your debt is off your balance sheet, not something they have recourse to.”⁴⁶⁴ Other Outside Directors testified as follows:

- Savage testified that “typically” off balance sheet meant non-recourse, with some exceptions.⁴⁶⁵
- Belfer testified that “non-recourse” financing would refer to outright dispositions, whereas “off balance sheet” financings would refer to structured financings in which Enron had continuing involvement.⁴⁶⁶
- Chan testified that sometimes off balance sheet debt was non-recourse, but that sometimes it was recourse, depending on the situation.⁴⁶⁷
- Harrison testified that he “most of the time would equate” the terms off balance sheet debt with non-recourse debt, but believed that there was a “technical accounting difference” between the two.⁴⁶⁸

Other examples of ambiguous language include Fastow’s reference to a collateralized loan obligation transaction as a “CBO translation,”⁴⁶⁹ which he explained

⁴⁶² Foy Sworn Statement, at 113 (“In general it means either selling an asset or borrowing up to its full market value.”); Willison Sworn Statement, at 88 (“Q. [Is monetization] different than a sale? A. No. I think usually it probably is a sale, but in some cases, perhaps you might borrow against a commodity . . .”).

⁴⁶³ Urquhart Sworn Statement, at 57.

⁴⁶⁴ *Id.* at 80.

⁴⁶⁵ Savage Sworn Statement, at 73.

⁴⁶⁶ Belfer Sworn Statement, at 132.

⁴⁶⁷ Chan Sworn Statement, at 53.

⁴⁶⁸ Harrison Sworn Statement, at 101.

⁴⁶⁹ 10/11/99 Finance Committee Materials, at AB0247 00836 (slide from CFO Report).

was a “3rd party credit being monetized.”⁴⁷⁰ One of the Global Finance unit’s objectives for 2000 was to “Provide Platform(s) for Increased Capital Velocity to Achieve Return on Equity Target.”⁴⁷¹ Officers often cited “financial flexibility,” without further explanation, as the reason for a proposed transaction.⁴⁷² Although such obfuscating terminology might have given the Outside Directors reason to ask more questions about the SPE transactions than they appear to have asked, the terminology Enron’s officers employed could not have been designed to clarify, simplify or provide a meaningful understanding of Enron’s financial activities.

Audit Committee. Like the Finance Committee, the Audit Committee appeared to have taken actions generally to fulfill its monitoring responsibilities with respect to the SPE transactions. Also like the Finance Committee, the Audit Committee took actions designed to meet its obligations under its charter that, although subject to criticism, would not appear to support a conclusion that members of the Audit Committee abdicated their monitoring responsibilities.

⁴⁷⁰ *Id.* (Carter’s handwritten notes on slide from CFO Report).

⁴⁷¹ 2/7/00 Finance Committee Materials, at 16 (slide from CFO Report).

⁴⁷² *See, e.g.*, 10/6/00 Finance Committee Materials, at AB0247 01549 (slide from CFO Report); 10/11/99 Finance Committee Materials, at AB0247 00846 and AB0247 00848-AB0247 00849 (slides from the CFO Report).

The schedule reproduced below is illustrative of the Audit Committee's process for ensuring compliance with its charter:

*Audit and Compliance Committee
Calendar of 2001 Activities*

	Scheduled Meetings				
	February	May	August	October	December
I. Audit Committee Composition and Meetings					
• Assess independence and financial literacy of audit committee, submit written affirmation to NYSE		X			
• Review charter (publish in proxy every 3 years)	X				
• Audit Committee Chair to approve meeting agenda	X	X	X	X	X
• Executive session with auditors, internal audit, management, committee	X	•	•	•	•
• Maintain minutes and report to Board	X	X	X	X	X
II. Audit Committee Responsibilities and Duties					
• Recommend appointment of auditors	X				
• Approve audit fees		X			
• Discuss auditor independence, obtain written statement of all relationships	X		X		
• Review plans for financial statement audit		X			
• Review annual financial statements prior to release—discuss with mgmt, auditors	X				
• Discuss quality of accounting principles—approve major changes	X	•	•	•	•
• Review adequacy of financial and EDP internal controls					X
• Review internal control plan	X				
• Discuss results of year-end audit and other matters required by SAS 61	X				
• Prepare report to shareholders to be included in the annual proxy	X				
• Review quarterly results and findings prior to filing	X	X	X	X	
• Review policies and practices for management's communications with analysts	X				
• Review/Approve for recommendation to the Board policies and procedures regarding compliance with laws and significant policy				X	
• Review credit and market risk with RAC	X	X	X	X	X
• Review legal matters with general counsel	X	•	•	•	•
• Conduct special investigations, studies or tests	•	•	•	•	•
• Review director and officer use of aircraft	X				

X = Recommended Timing
• = As Needed

EXHIBIT

This schedule, which was included with the minutes of the Audit Committee's February 2001 meeting, identified the material responsibilities of the committee and the meetings at which those items would be addressed.⁴⁷³ Minutes of the Audit Committee's meetings show a general effort by the Outside Directors on that committee to comply with its charter and these targets, even though their efforts are subject to criticism.

⁴⁷³ Materials from Enron Audit Committee Meeting, Feb. 12, 2001 (the "2/12/01 Audit Committee Materials"), at AB0246 01764 [AB0246 01755-AB0246 01881].

A primary responsibility of the Audit Committee was to review Enron's annual financial statements prior to their publication.⁴⁷⁴ At its February meeting in each of 1997 through 2001, with at least two Andersen representatives present at each meeting,⁴⁷⁵ the Audit Committee engaged in a discussion of the annual financial statements led by a member of Enron's senior management.⁴⁷⁶

The minutes of the meetings do not mention any specific questions or items of discussion raised by Audit Committee members, but they generally reflect areas discussed by the Enron officer. For example, in February 2000, Causey discussed the 1999 financial statements, which had been provided in advance to the committee members.⁴⁷⁷ He "discussed some of the changes from the prior year," he "commented on the Statement footnotes regarding related party transactions and asset impairments," and Derrick "joined him in a discussion of the legal matters disclosed in the Statements."⁴⁷⁸

Outside Directors who sat on Enron's Audit Committee testified that they did not review the annual financial statements in detail. For example, Wakeham testified that

⁴⁷⁴ 2/12/01 Audit Committee Charter, at AB000203950.

⁴⁷⁵ See Minutes of Enron Audit Committee Meeting, Feb. 10, 1997 (the "2/10/97 Audit Committee Minutes"), at 1 (Thomas H. Bauer, Michael L. Bennett, David Duncan and D. Stephen Goddard of Andersen present) [AB000186257-AB000186260]; Minutes of Enron Audit Committee Meeting, Feb. 9, 1998 (the "2/9/98 Audit Committee Minutes"), at 1 (Thomas H. Bauer, David Duncan and D. Stephen Goddard of Andersen present) [AB000191552-AB000191554]; Minutes of Enron Audit Committee Meeting, Feb. 7, 1999 (the "2/7/99 Audit Committee Minutes"), at 1 (Thomas H. Bauer, David Duncan, D. Stephen Goddard and Douglas King of Andersen present) [AB000469810-AB000469812]; Minutes of Enron Audit Committee Meeting, Feb. 7, 2000 (the "2/7/00 Audit Committee Minutes"), at 1 (Thomas H. Bauer, David Duncan and D. Stephen Goddard of Andersen present) [AB000201248-AB000201251]; Minutes of Enron Audit Committee Meeting, Feb. 12, 2001 (the "2/12/01 Audit Committee Minutes"), at 1 (Thomas H. Bauer and David Duncan of Andersen present) [AB000204423-AB000204428].

⁴⁷⁶ 2/10/97 Audit Committee Minutes, at 2; 2/9/98 Audit Committee Minutes, at 2; 2/7/99 Audit Committee Minutes at 2; 2/7/00 Audit Committee Minutes, at 3; 2/12/01 Audit Committee Minutes, at 3.

⁴⁷⁷ Materials from Enron Audit Committee Meeting, Feb. 7, 2000 (the "2/7/00 Audit Committee Materials") [AB0246 01470-AB0246 01568].

⁴⁷⁸ 2/7/00 Audit Committee Minutes, at 3.

prior to the meeting, he would review the draft financial statements “as best I could.”⁴⁷⁹

He went on to say:

But I also took the view that it was extremely important – and, if I may say so, I think the primary duty of an audit committee is to satisfy themselves that the auditors and the legal advisers have studied these things, are in agreement with them, . . . and they report to us that they are right. I think that is actually the most important question that an audit committee has to ask of the auditors; it is their prime duty.⁴⁸⁰

While the Audit Committee members may not have examined the financial statements in detail, they did receive constant reassurances from Andersen that the audit firm was “comfortable” with the financial statements.⁴⁸¹ In addition, even though a detailed examination of the financial statements might have led the Audit Committee members to question whether the SPE transactions were disclosed adequately, there is evidence that in at least two instances management made material changes to the annual financial statements after the Audit Committee’s review:

- *Nahanni*. In the 1999 financial statements, Enron changed a footnote to add government securities to the definition of “merchant investments.”⁴⁸² This was done to facilitate the Nahanni transaction, in which Enron recorded \$500 million of cash flow from operations from the sale of U.S. treasury securities.⁴⁸³ The change was not included in the draft of the financial statements provided to the Audit Committee.⁴⁸⁴
- *Related Party Transactions*. A footnote in the draft 1999 financial statements provided to the Audit Committee stated that LJM1 and

⁴⁷⁹ Wakeham Sworn Statement, at 72.

⁴⁸⁰ *Id.* at 72-73. When asked “did you go through that exercise of trying to find all those things [off-balance sheet obligations] in the annual report,” Chan replied “I cannot say everything, but I certainly looked at the balance sheet and looked at the notes and so forth.” Chan Sworn Statement, at 203.

⁴⁸¹ *See, e.g.*, 2/7/99 Audit Committee Minutes, at 2.

⁴⁸² Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 1999, at Note 4 to the Consolidated Financial Statements.

⁴⁸³ *See* Second Interim Report, Annex 3 to Appendix I (Minority Interest Transactions).

⁴⁸⁴ 2/7/00 Audit Committee Materials, at AB0246 01497-AB0246 01551.

LJM2 had acquired \$60 million of merchant assets and investments from Enron, while the final published financial statements showed this amount as \$360 million.⁴⁸⁵

Another important responsibility of the Audit Committee was to review with Andersen and Enron management the adequacy of Enron's internal financial controls and the plan for auditing those controls, as well as Andersen's judgments about the quality of the company's accounting principles.⁴⁸⁶ Each February, discussions of these areas were led at the Audit Committee meetings by Andersen and Causey, Enron's Chief Accounting Officer. The minutes do not reflect the extent of any discussion or questioning by the Audit Committee members, but they show that Andersen and management repeatedly led the Audit Committee to believe there were no problems. For example, according to the minutes of the Audit Committee meeting in February 2001, David Duncan of Andersen told the Audit Committee:

AA's financial statement opinion was expected to be unqualified and that there were no significant audit adjustments, new accounting policies, changes not previously communicated to the Committee, modifications to interim financial information, disagreements with management, significant difficulties encountered during the audit, major issues discussed with management affecting retention, or consultation with other accountants on the application of Generally Accepted Accounting Principles ("GAAP").⁴⁸⁷

The Audit Committee also typically offered to meet with Andersen with no Enron management present. However, the minutes of the various meetings reflect that either (i) Andersen told the Audit Committee that such non-management sessions were not

⁴⁸⁵ Neither amount was consistent with the aggregate amount of LJM-related transactions shown to the Audit Committee at the same February 2000 meeting at which the financial statements were reviewed. In a presentation made by Causey, he told the Audit Committee that LJM1 had completed Rhythms for \$104 million, and that LJM2 had done seven transactions totaling \$107 million, for an aggregate of \$211 million. 2/7/00 Audit Committee Materials, at AB0246 01568.

⁴⁸⁶ 2/12/01 Audit Committee Charter, at AB000203949.

⁴⁸⁷ 2/12/01 Audit Committee Minutes, at 1-2.

necessary,⁴⁸⁸ or (ii) the Audit Committee held such non-management sessions with Andersen, during which Andersen reported that it had no concerns with Enron's accounting.⁴⁸⁹

There is evidence, however, that Andersen gave the Audit Committee indications that Enron's accounting for its SPE transactions included certain risks. As discussed below in connection with the Outside Directors' duty to inquire about red flags, Andersen typically noted during these annual reviews that "the Company's sophisticated business practices introduced a high number of accounting models and applications requiring complex interpretations and judgement."⁴⁹⁰ Although it is reasonable to criticize the Audit Committee members for apparently failing to question Andersen about these kinds of statements, the Examiner has concluded in Appendix B (Role of Arthur Andersen) to this Report that the evidence regarding Andersen's conduct with respect to Enron is sufficient to support a conclusion that Andersen failed in its professional responsibility to discuss with the Audit Committee Enron's selection and use of accounting principles.⁴⁹¹

⁴⁸⁸ Minutes of Enron Audit Committee Meeting, Oct. 13, 1997, at 2 [AB000186558-AB000186560].

⁴⁸⁹ See, e.g., 2/7/99 Audit Committee Minutes, at 3 ("Mr. [David] Duncan indicated there were no areas of significant concern."); 10/12/98 Audit Committee Minutes, at 4. Occasionally, the Audit Committee held non-management sessions during which "[m]inutes were not recorded for the record." See, e.g., 2/7/00 Audit Committee Minutes, at 4; Minutes of Enron Audit Committee Meeting, Apr. 30, 2001, at 5 [AB000204284-AB000204288].

⁴⁹⁰ 2/7/00 Audit Committee Minutes, at 2.

⁴⁹¹ Another obligation under the Audit Committee's charter was for the Audit Committee to "institute special investigations and, if appropriate, hire special counsel or experts to assist." Audit Committee Charter 2/12/01, at AB000203949. The letter and follow-up memorandum that Sherron Watkins wrote to Lay in August 2001 (the "Watkins Letter") may have been a situation that merited such an investigation, had the Audit Committee been informed of the existence of the letter on a timely basis. Enron management, however, did not disclose the existence of the letter until the October 8, 2001 Board meeting, at which time management gave the Board a copy of the Vinson & Elkins investigation report that had been done at management's direction. Minutes of Enron Board Meeting, Oct. 8, 2001 (the "10/8/01 Board Minutes"), at 5 [AB000469876-AB000469885]. Management did not, however, give the Board a copy of the Watkins Letter. Even if the Board had felt comforted by Vinson & Elkins' cursory investigation of the Watkins allegations, it is difficult to understand why none of the Outside Directors asked for a copy of the Watkins Letter. Testimony from several of the Outside Directors confirmed that they did not ask to see the

LJM2

LJM2 is discussed in detail in Appendix L (Related Party Transactions) to the Second Interim Report. It was a limited partnership, formed with Fastow as the general partner and with outside investors as limited partners, that engaged in transactions with Enron beginning in the fall of 1999. LJM2 completed a total of twenty-one Enron-related transactions, including the Raptors non-economic hedges, investing a total of \$405 million during the period December 1999 through mid-2001.⁴⁹²

These transactions made a significant contribution to Enron's financial results.⁴⁹³ As a direct and indirect result of its transactions with LJM2, Enron reported earnings of over \$1.3 billion and cash flow of over \$3.5 billion. However, the Raptors hedges resulted in significant costs to Enron and ultimately resulted in material financial statement restatements that occurred just prior to Enron's bankruptcy. LJM2's purchases of assets from Enron were not arm's length transactions, and LJM2 rarely lost money on an investment with Enron, even when the underlying asset declined in value. Regardless of the effect on Enron, though, Fastow received a material economic benefit from his role in LJM2. He received over \$60 million in fees and other proceeds in less than a three-year period from LJM1 and LJM2 transactions.⁴⁹⁴

letter, and that they first received a copy in January 2002. 5/7/02 PSI Hearing Transcript, at 36-37 (testimony of Duncan, Winokur, Jaedicke, LeMaistre, and Blake). *See also* Facsimile from Paula Rieker, former Corporate Secretary, Enron, to Board of Directors, Enron, Jan. 1, 2002 (distributing the Watkins Letter to the Board) [AB1128 01497-AB1128 01503].

⁴⁹² LJM2 also invested approximately \$46 million in two transactions that were not Enron related. *See* LJM2 Co-Investment, L.P. Annual Partnership Meeting Presentation, Oct. 15, 2001, at 22 [AB000350511-AB000350553].

⁴⁹³ *See* Second Interim Report, Appendix L (Related Party Transactions).

⁴⁹⁴ *See id.*

Thus, Fastow's conflicting roles as CFO of Enron and as general partner of LJM2 presented a heightened risk that Enron's transactions with LJM2 might not be fair to the company. The evidence shows, however, that the Board and its committees implemented only minimal controls to ensure that the LJM2 transactions were done at arm's length and that the compensation Fastow received from LJM2 did not adversely affect his performance for and loyalty to Enron. The Board and its committees also may be criticized for failing to monitor the controls that it did impose, particularly with respect to the amount of Fastow's compensation from LJM2. The following text describes the chronology of the Outside Directors' actions with respect to LJM2.

October 1999. At the October 11, 1999 Finance Committee meeting, just three and one-half months after the Board had ratified Fastow's involvement in LJM1 and authorized the Rhythms transaction, Fastow requested approval to serve as the general partner of LJM2 in order to "provide the company with an alternative, optional source of private equity to manage its investment portfolio risk, funds flow and financial flexibility."⁴⁹⁵ Fastow told the Finance Committee that two controls "would be put in place to manage any transactions between the Company and LJM 2, the fund fees and promote [effectively, Fastow's compensation], and any required disclosure."⁴⁹⁶ Fastow said the first control would be "review and approval of all transactions by the Chief Accounting Officer [Causey] and the Chief Risk Officer [Buy]."⁴⁹⁷ For the second control, he stated that "the Audit and Compliance Committee would, on an annual basis, review all transactions completed within the past year and make any recommendations

⁴⁹⁵ 10/11/99 Finance Committee Minutes, at 2.

⁴⁹⁶ *Id.*

⁴⁹⁷ *Id.*

they deemed appropriate.”⁴⁹⁸ There was no discussion of how or by whom Fastow’s compensation would be monitored.

At the Board meeting on the following day, Winokur reported that the Finance Committee recommended ratification of the determination regarding Fastow’s involvement in LJM2, with these controls. Thereafter, Enron and LJM2 began entering into transactions with those minimal controls in place, namely that Causey and Buy would review all LJM2 transactions, and that the Audit Committee would once each year review transactions that had already closed.

Foy, who was a member of the Audit Committee, testified that he believed the controls in place, including Fastow’s continued fiduciary duties to Enron, were sufficient to protect Enron:

Q. [D]id you have concerns about Enron engaging in transactions with a company whose general partner was going to be the Enron chief financial officer so that he would be on both sides of the transaction?

A. I thought that we had in place plenty of reasons to believe that Enron would be fully protected, in any event; and to tell you the truth, I was really more concerned about Andy’s potential liability to third parties than I was any particular harm to Enron.⁴⁹⁹

February 2000. The Audit Committee conducted its first annual review of the LJM2 transactions in February 2000.⁵⁰⁰ At that meeting, Causey “outlined the transactions that had been completed during the year including a description and the total amount of each transaction. He stated that in his opinion all of the transactions had been

⁴⁹⁸ *Id.*

⁴⁹⁹ Foy Sworn Statement, at 91-92 (“Andy retained all of his fiduciary duties to the company. He was still subject to supervision by Jeff Skilling and Ken Lay . . .”).

⁵⁰⁰ See 10/11/99 Finance Committee Minutes, at 2.

negotiated on an arms-length basis.”⁵⁰¹ The report Causey provided was a one-page document that listed seven LJM2 transactions and the Rhythms transaction with LJM1.⁵⁰² It provided a very brief (three to ten word) description of each transaction and a dollar amount.⁵⁰³

There is no evidence in the minutes of the meeting that the Outside Directors who comprised the Audit Committee questioned Causey about the process applied in negotiating the transactions. For example, the Audit Committee apparently did not question whether the transactions had been offered to third parties to ensure a fair bidding process, whether fairness opinions had been obtained, or who had negotiated on behalf of each of Enron and LJM2. Chan, a member of the Audit Committee, testified that he believed Enron management and Andersen should review the transactions, and that “it is not right for the audit committee to delve into each of the transactions”⁵⁰⁴ Chan testified:

Q. Is it fair, then, that you believe that the audit committee’s duty was to receive reports from Causey and Andersen, that the LJM transactions were satisfactory and done at arm’s length with the company and that that was the function of the audit committee in monitoring the LJM transactions?

A. Yes.⁵⁰⁵

October 2000. During the six-month period between February and October 2000, the Board and its committees did not receive any reports regarding LJM2 or Fastow’s

⁵⁰¹ 2/7/00 Audit Committee Minutes, at 3-4.

⁵⁰² Materials from Enron Audit Committee Meeting, Feb. 7, 2000 (the “2/7/00 Audit Committee Materials”), at AB0246 01568 (slide entitled “LJM Investment Activity 1999”) [AB0246 01470-AB0246 01568].

⁵⁰³ *Id.* (e.g., “Yosemite” is identified at \$34 million and described only as “Equity in vehicle used to finance ENE natural gas prepaids”).

⁵⁰⁴ Chan Sworn Statement, at 120.

⁵⁰⁵ *Id.* at 121.

related compensation. Outside Directors dealt with LJM2-related transactions during that period, however, with the Board and the Finance Committee approving Raptors I and IV, and the Executive Committee approving Raptor II. The Finance Committee and the Board were then asked in October 2000 to approve LJM3, a third private equity fund with Fastow serving as general partner. At its October 6, 2000 meeting, the Finance Committee discussed a longer list of internal controls that were apparently intended to apply to both LJM2 and LJM3. During his presentation to the Finance Committee, Fastow outlined

mechanisms that had been put in place to mitigate any potential conflicts including: 1) his fiduciary responsibilities to the Company, 2) the Office of the Chairman of the Board could ask him to resign from the LJM funds at anytime, 3) Messrs. Buy, Causey, and Skilling approve all transactions between the Company and the LJM funds, 4) there is an annual Audit and Compliance Committee review of the Company's transactions with the LJM funds, 5) a review of his economic interest in the Company and the LJM funds is presented to Mr. Skilling, and 6) there is no obligation for the Company to transact with the LJM funds.⁵⁰⁶

In addition, Blake suggested that the Finance Committee also review the transactions between Enron and any of the LJM funds on a quarterly basis, and Winokur suggested that the Compensation Committee should "review the compensation received by Mr. Fastow from the LJM funds and the Company."⁵⁰⁷ The Finance Committee then voted to recommend that the full Board provide the necessary ratification under the Code of Ethics to allow Fastow to participate in LJM3, with the noted "mitigation mechanisms" in place. On the following day, Winokur's report to the Board on this matter mentioned that the Finance Committee's recommendation included an

⁵⁰⁶ Minutes of Enron Finance Committee Meetings, Oct. 6, 2000 (the "10/6/00 Finance Committee Minutes"), at 2 [AB000201481-AB000201486].

⁵⁰⁷ *Id.* at 3.

understanding that the controls would be in place. The Board ratified the decision to allow Enron to engage in transactions with LJM3, which would be controlled by Fastow,⁵⁰⁸ but LJM3 was never formed.

At that same time in October 2000, Andersen mentioned the LJM-related transactions to the Audit Committee in a discussion of “selected observations.” Andersen stated that LJM1 and LJM2 had entered into certain transactions with Enron, including hedging transactions with \$750 million of notional value, “equity participation in certain Enron structured entities,” and the “purchase of TNPC [The New Power Company] warrants and various other assets.”⁵⁰⁹ However, there is no record that Andersen discussed any review it might have done with respect to the arm’s length nature of the transactions.

February 2001. In February 2001, both the Finance and Audit Committees received a list of transactions that Enron had completed with LJM2 during 2000, showing for each the name, a brief description and the notional amount.⁵¹⁰ There is evidence that certain Enron officers intentionally omitted from this list transactions in which LJM2 had sold assets back to Enron. Jordan Mintz (“Mintz”), General Counsel of Enron’s Global Finance Group, deleted those resale transactions from a draft of the list prior to the Audit and Finance Committee meetings and distributed it internally, with an email attaching “a revised draft of those ‘disclosable’ LJM transactions for use with the Audit Committee at

⁵⁰⁸ Minutes of Enron Board Meeting, Oct. 7, 2000 (the “10/7/00 Board Minutes”), at 7-9 [AB000497391-AB000497409].

⁵⁰⁹ Materials from Enron Audit Committee Meeting, Oct. 6, 2000 (the “10/6/00 Audit Committee Materials”), at AB0246 01662 (2000 Financial Reporting) [AB0246 01654-AB0246 01703].

⁵¹⁰ 2/12/01 Finance Committee Materials, at AB0247 01936 (slide entitled “LJM Investment 2000 Activity With Enron”).

this month's Board Meeting."⁵¹¹ His email said that he had "reviewed this draft with Rick [Causey] and he is comfortable with it. A copy has also been sent to Andy [Fastow]."⁵¹² Thus, Audit and Finance Committee members were not made aware that Enron was repurchasing assets from LJM2.

At these committee meetings, in addition to the edited list of transactions, Fastow and Causey presented a list of "internal policies and procedures that were in place to monitor transactions between the Company and LJM."⁵¹³ Causey's presentation to the Audit Committee identified the following controls:

- 1) LJM senior professionals do not ever negotiate on behalf of the Company,
- 2) Company professionals negotiating with LJM report to senior Company professionals separate from Mr. Andrew S. Fastow,
- 3) numerous groups monitor compliance with procedures and controls and regularly update him and Mr. Buy, and
- 4) the Company regularly consults with internal and outside counsel regarding disclosure obligations.⁵¹⁴

In presenting the controls to the Finance Committee, Fastow "commented that the process was working effectively."⁵¹⁵

⁵¹¹ Email from Jordan Mintz, Enron, to Ron Baker, Enron, Feb. 2, 2001 (the "2/2/01 Mintz Email") [AB0911 2838-AB0911 2840].

⁵¹² Email from Jordan Mintz, Enron, to Tod A. Lindholm, Enron, and copy to George McKean, Gordon McKillop, Ryan Siurek, Enron, Feb. 2, 2001 [AB0911 2841-AB0911 2843]; 2/2/01 Mintz Email. When asked why LJM2's sales to Enron were omitted from the Board presentation, Mintz testified:

I think my recollection was that those transactions were not the type of transactions that fit the parameters of what the – what was required to be reviewed by the board.

. . .

I initially included them in the draft I was preparing, and my recollection – I think it was from Rick because I believe I spoke mostly with Rick Causey, not with Andy Fastow on this – is that technically they don't fit the new transactions and we'll just talk it through with the board.

Mintz 9/29/03 Deposition, at 122-23. Mintz went on to testify that the Board could have asked if there was anything else they should be aware of, but that no one asked such a question. *Id.* at 129-30.

⁵¹³ 2/12/01 Finance Committee Minutes, at 5.

⁵¹⁴ 2/12/01 Audit Committee Minutes, at 3.

⁵¹⁵ 2/12/01 Finance Committee Minutes, at 5.

The Board and its committees apparently received no further reports on LJM2 transactions until the fall of 2001. Also, until October 2001, when *The Wall Street Journal* estimated that Fastow's LJM-related compensation was \$7 million,⁵¹⁶ there were never any reports to and almost no actions taken by the Board or its committees regarding Fastow's compensation. In response to the newspaper article, LeMaistre and Duncan arranged a call with Fastow and asked for his LJM-related compensation, and Fastow disclosed that it was \$45 million.⁵¹⁷ The Board promptly discharged him.⁵¹⁸

With respect to reviewing LJM2 transactions, one of the Finance Committee members was asked why the Outside Directors did not require the Board or an appropriate committee to review and approve each transaction done between Enron and the LJM entities. His answer focused on speed of completing the deals rather on ensuring proper arms length transactions for Enron:

It's totally inconsistent with what the purpose of these vehicles were. The purpose of these vehicles was to move efficiently and quickly to be able to securitize or monetize assets, as the case may be, and the timing was an issue. Were it required that the board, irrespective of size, that it had to review and approve each of these transactions, it would defeat the actual purpose that this was intended to serve, namely speed and efficiency and cost effectiveness. Moreover, it was an understanding that on a postmortem basis, after-the-fact basis, that there was subject post-review of these transactions as part of our overall management process and control.⁵¹⁹

The Private Placement Memorandum for LJM2 (the "LJM2 Offering Memo") focused on how Enron officers' inside knowledge of Enron's investment information

⁵¹⁶ Rebecca Smith & John R. Emshwiller, *Enron CFO's Partnership Had Millions in Profit*, Wall St. J., Oct. 19, 2001, at C1.

⁵¹⁷ LeMaistre Notes of Phone Call with Fastow (noting that Fastow said his compensation was approximately \$23 million from LJM1 and \$22 million from LJM2) [AB000150719].

⁵¹⁸ By that time, Fastow had already sold his general partnership interest in LJM1 and LJM2 to Kopper.

⁵¹⁹ Blake Sworn Statement, at 223.

would provide a financial benefit to the potential limited partners. The LJM2 Offering Memo defined the “Principals” of the partnership as Fastow, Glisan and Kopper,⁵²⁰ and then stated:

The Principals believe that LJM2 provides investors with an unusually attractive investment opportunity for the following reasons:

. . . .

Due to their active involvement in the investment activities of Enron, the Principals will be in an advantageous position to analyze potential investments for LJM2. . . . The Principals believe that their access to Enron’s information pertaining to potential investments will contribute to superior returns.⁵²¹

None of the Outside Directors reviewed the LJM2 Offering Memo,⁵²² even though one Outside Director stated that he received a copy and discarded it.⁵²³ It appears that none of the Outside Directors were advised that Glisan and Kopper were also principals in LJM2, even though at least two in-house lawyers at Enron and two Vinson & Elkins lawyers were aware of this fact.⁵²⁴

⁵²⁰ LJM2 Offering Memorandum, compiled as of Oct. 13, 1999 (the “LJM2 Offering Memo”), at 2 [MLBE 0006895-MLBE 0006944]. Neither Glisan nor Kopper received permission under Enron’s Code of Ethics to participate in LJM2.

⁵²¹ *Id.* at 3.

⁵²² *See, e.g.*, Winokur 11/21/02 Sworn Statement, at 125 (“Q. I believe I have asked you and you told me that you did not receive or review the LJM2 prospectus; is that correct? A. Yes, sir, I did not receive it.”); Wakeham Sworn Statement, at 144 (“Q. Did you ever have any occasion to receive or review the prospectus that was used to solicit funds for the LJM/2 entity? A. I can’t recall having done so. No, I simply can’t recall that at all, no.”). The LJM2 Offering Memo was dated October 13, 1999, just one day after the Board authorized Fastow’s involvement in LJM2, indicating that it likely had been drafted prior to the Board meeting. LJM2 Offering Memo, at iii.

⁵²³ Permanent Subcomm. on Investigations, Senate Comm. on Governmental Affairs, Report on the Role of the Board of Directors in Enron’s Collapse, 107th Cong., July 8, 2002 (Belfer told the PSI that he received the document in the mail, offering him an opportunity to invest in LJM2, but that he discarded it without reading it), at 28.

⁵²⁴ Email from Bob Baird, Vinson & Elkins, to Scott Sefton and Rex Rogers, Enron, and copy to Ronald Astin, Vinson & Elkins, Oct. 4, 1999 [AB000520797-AB000520798].

With respect to Fastow's compensation from LJM2, Belfer testified that "it was clear from the outset that Andy Fastow's compensation should be monitored as part of the overall transaction."⁵²⁵ Yet, this was not what occurred. When the Finance Committee and the Board approved Fastow's participation in LJM2 in October 1999, no mention was made of his compensation.⁵²⁶ When that committee approved LJM3 one year later, and Winokur suggested that the Compensation Committee should review the compensation, LeMaistre, the Chair of the Compensation Committee, was present at this meeting, as were all of the other Compensation Committee members, including Blake, Duncan and Savage.⁵²⁷ Despite Winokur's suggestion, the only action the Compensation Committee took in response was to ask an Enron staff person for a list of all outside compensation reported by the Section 16 officers, including Fastow.⁵²⁸ None had been reported.⁵²⁹ LeMaistre testified that he took no other action because he thought Skilling, Lay and the Audit Committee members were reviewing Fastow's compensation.⁵³⁰

⁵²⁵ Belfer Sworn Statement, at 186. With respect to LJM1, Outside Directors testified that they believed Fastow's LJM1 compensation would be *de minimis*. For example, Belfer testified: "I think LJM1, while it permitted some subsequent transaction, was very modest in the scope and was largely viewed as a runoff to hedge Rhythms, and it has this separate Price Waterhouse opinion, so I don't think there was much of an effort made to, with regards to monitoring the compensation of Fastow" Belfer Sworn Statement, at 186.

⁵²⁶ See 10/11/99 Finance Committee Minutes; Minutes of Enron Board Meeting, Oct. 11-12, 1999 (the "10/11-12/99 Board Minutes") [AB000194646-AB000194673].

⁵²⁷ 10/6/00 Finance Committee Minutes, at 1. Duncan testified that he did not recall hearing Winokur's suggestion to the Compensation Committee and that the matter was never on the Compensation Committee's agenda. Duncan Sworn Statement, at 67-68 ("Q. What steps, if any, did you take, either as a compensation committee member or otherwise, to understand Mr. Fastow's compensation from the LJM transactions? . . . A. I didn't take any steps. I didn't take any steps to find out or analyze.").

⁵²⁸ LeMaistre Sworn Statement, at 230-32.

⁵²⁹ According to LeMaistre, he routinely asked Enron personnel for any outside compensation reported by the Section 16 officers, and none was ever reported. *Id.* at 232-33.

⁵³⁰ *Id.* at 241.

When asked why he did not call Skilling and request information about Fastow's compensation, LeMaistre testified:

I considered that, but I thought the proper channels would be for that to come forward. It was the responsibility of Mr. Skilling to do that; and if he had that information, to share it with the staff of the compensation committee.⁵³¹

In addition, despite Fastow being present at the October 2000 Finance Committee meeting, and at many Board and committee meetings after that, apparently none of the Outside Directors ever simply asked him for a report on his LJM-related compensation.⁵³² Richard Foster ("Foster"), a consultant with McKinsey who regularly attended Board and committee meetings as a guest at Lay's invitation, testified that the Board expressly did not intend to review Fastow's LJM-related compensation.⁵³³

⁵³¹ *Id.*

⁵³² When asked why no one at the meeting asked Fastow for a report on his compensation, LeMaistre testified, "Let me simply say that at that point in time nobody had any reason to believe that what was told to us was not accurate in terms of modest income. Therefore, nobody was concerned about it" LeMaistre Sworn Statement, at 234-35. *See also* Lay In-Person Interview (stating that no one asked Fastow about his compensation because the Board relied on Fastow's representations that he would not spend much time on or receive significant compensation from LJM); 5/1/00 Finance Committee Minutes, at 3 (reflecting statement by Fastow that he was devoting approximately three hours a week to the LJM vehicles).

⁵³³ Sworn Statement of Richard N. Foster, McKinsey, to Steven M. Collins and Christina Hull Eikhoff, A&B, Sept. 30, 2003 (the "Foster Sworn Statement"), at 106-07. Foster, a senior level director with McKinsey, was invited to join Enron's Board as a director in May 2000. Foster Sworn Statement, at 20; 8/7-8/00 Board Minutes, at 20 (unanimously approving offering Foster a position as an "advisor to the Board" without voting privileges). Foster declined because McKinsey had a policy generally prohibiting its employees to serve on boards of public or private companies. Foster Sworn Statement, at 21. He then began attending Enron's Board and committee meetings "in an unofficial capacity." Foster Sworn Statement, at 26. He attended all Board meetings and nearly all committee meetings from October 2000 through October 2001. Foster Sworn Statement, at 24, 28. Some of the Outside Directors testified that Foster both observed and participated in the Board and committee discussions. Meyer Sworn Statement, at 159-60; Harrison Sworn Statement, at 188; Savage Sworn Statement, at 294.

According to Foster, the Board determined that it was not entitled to know that sum because the money was not being paid by Enron.⁵³⁴

C. Duty to Inquire

The SPE transactions created red flags that, had the Outside Directors recognized them and responded, might have caused the Outside Directors to know that the Senior Officers were misusing SPE transactions in a manner that resulted in the dissemination of materially misleading financial information. This failure to recognize or respond to red flags by the Outside Directors, who necessarily could not have a detailed knowledge of the day-to-day operations of the company, is subject to criticism. However, the evidence reviewed by the Examiner is not sufficient for a fact-finder to conclude that any of the Outside Directors failed to act in good faith, or that they acted with a conscious disregard for known risks.

⁵³⁴ Foster testified:

Q. Was there any discussion ... about the level of Mr. Fastow's compensation from LJM?

A. I do recall that his compensation was, at LJM, was represented to be confidential to the other side of the transaction, that Enron should not know about what that compensation is because it would violate the arm's length nature of the transaction, and being assured that the compensation levels were reasonable for private equity transactions.

....

Q. So there were assurances that the level of Mr. Fastow's compensation was reasonable, but the company could not know the details without violating the confidentiality of LJM1 or LJM?

A. Without violating the arm's length guarantee that the transactions were all at arm's length, because that would give the seller and the buyer insight into each other's cost structure and that would not be viewed as arm's length.

Q. How was the finance committee assured, then, that Mr. Fastow's compensation was reasonable?

A. By his word, presumably. There was no audit provision that I recall.

Foster Sworn Statement, at 106-07. *See also* LeMaistre Sworn Statement, at 236 (testifying that he asked Enron legal counsel to help draft the questions for his discussion with Fastow about LJM-related compensation in October 2001, because he thought the questions would be "invading really what is an arm's length institution.").

Lay and Skilling, however, as a result of their day-to-day involvement at the company, had more occasion to encounter red flags than the Outside Directors and, thus, more responsibility to respond to them. The evidence shows that both Lay and Skilling either knew or should have known from the existence of red flags they encountered that the Senior Officers were misusing the SPE transactions in a manner that resulted in the dissemination of materially misleading financial information.

Red flags about the SPE transactions included:

- Enron's ability to obtain large amounts of cash and financing through means other than incurring debt or issuing equity, with significantly disproportionate amounts of reported cash flows from operations being generated at the end of each accounting year;
- The significant volume of highly unusual SPE transactions, and information presented to the Finance Committee by Enron's officers, including the CFO and the Treasurer, indicating the SPE transactions were in substance different from the manner in which they were being accounted for and disclosed; and
- Reports from Andersen and Enron's CFO that Enron depended heavily on SPE transactions that required a high level of accounting and disclosure judgment, and for which accounting rules changed often.

Skilling also failed to respond to red flags created by Fastow's involvement with LJM2. Allowing the CFO to benefit personally on the opposite side of transactions with the company was a circumstance that created heightened risks for Enron. Red flags to which Skilling should have responded included:

- Attempts from officers to obtain Skilling's approval of the transactions between Enron and LJM2;
- Indications that both sides of the transactions were being negotiated by Enron employees, all of whom reported to Fastow; and
- The Finance Committee being told in Skilling's presence that Skilling was reviewing Fastow's compensation from LJM2.

Ability to Generate Cash Flows From Operations

As reported in the Second Interim Report, Enron's widely employed mark-to-market accounting resulted in a large part of the company's revenues being generated from increases in the values of assets rather than from third party sales. In order to meet rating agency expectations, one of Enron's primary financial objectives was to present financial statements that made it appear the company's revenues were not disproportionate to the cash it received from its operating activities. Thus, Enron constantly sought sources of cash that could be characterized as cash flows from operations so that this figure would more closely match revenues. Fastow often told the Finance Committee that "funds flow continued to be the primary focus"⁵³⁵ and in one Finance Committee meeting, he described Prepay Transactions as "financings to bring cash forward to match earnings."⁵³⁶

Winokur, Chair of the Finance Committee, testified that the pressure to match cash to earnings was widely known:

Well, the company as a whole had these debt ratios, rating agencies ratios to which we referred, so everybody knew that to maintain the investment grade rating and to make sure the mark to market earnings and the funds flow didn't get too far out of balance, that whatever people were doing they had to make sure the two stayed reasonably in sync.

Certainly to the extent anybody, either because their assets aren't doing as well or more likely the case is because they had lots more assets opportunities would always be trying to find ways to generate funds flow to match up with the mark to market earnings. . . .⁵³⁷

⁵³⁵ See, e.g., 10/12/98 Finance Committee Materials, at AB0247 00242 (handwritten notes of Corporate Secretary on slide from CFO Report); 5/3/99 Finance Committee Minutes, at 1; 10/11/99 Finance Committee Materials, at AB0247 00836-AB0247 00837 (slides from CFO Report); 10/11/99 Finance Committee Minutes, at 1-2; Minutes of Enron Finance Committee Meeting, Feb. 7, 2000 (the "2/7/00 Finance Committee Minutes"), at 2 [AB000201463-AB000201466].

⁵³⁶ 8/13/01 Finance Committee Materials, at 2-5 (slides from CFO Report).

⁵³⁷ Winokur 11/21/02 Sworn Statement, at 123-24. See also Lay In-Person Interview (stating that from the early 1990s, Enron had a disparity between earnings and cash, motivating it to monetize assets).

In addition, beginning in 1998, Enron made significant amounts of unbudgeted capital investments, causing the company to need sources of financing in amounts that had not been specified at the beginning of the year.⁵³⁸ The following chart shows the annual budgeted amounts of capital investments for the company, compared to the amounts of the actual expenditures:

⁵³⁸ Blake testified about his concern over this level of investment:

Q. And you also recall that during the course of the year, the executive committee, which I know you didn't sit on, or the board would be asked to approve acquisitions or other capital expenditures that might not have been in the original plan for that year. Do you recall, sir?

A. Yes, absolutely.

Q. It appears – and again, we can look at specific handouts – but that in the '98-'99 time period going forward, that a pattern would therefore develop where the expenditures during the course of the year that had not been part of the plan caused the company to, at least at a point in time in the year, to be behind plan as well in terms of funds flow. Do you recall that generally, sir?

A. Yes, I do, absolutely.

Q. Okay. Did you ever have a concern, other than as you've previously discussed, for example, in connection with Azurix, that management was being too aggressive, if you will, or was putting undue stress on the organization by the acquisitions and causing, therefore, a lot of focus year end on getting back into the planned ratios?

A. Yes, I was concerned.

Q. Okay.

A. It's kind of a management call in terms of balance. On one hand you want to grow earnings, and where there's opportunities you want to seize the moment. On the other hand, you have to do it within your means.

The concern I had was our ability to monetize or securitize assets or the disposition or sale of companies or whatever on a timely basis to be able to meet the investment appetite of the company. That was my concern.

Blake Sworn Statement, at 61-63.

Enron's Capital Investments⁵³⁹

Year ⁵⁴⁰	Budget	Actual	Over Budget
1998	\$772.5 million ⁵⁴¹	\$5.824 billion ⁵⁴²	\$5.052 billion
1999	\$1.1 billion ⁵⁴³	\$5.021 billion ⁵⁴⁴	\$3.921 billion
2000	\$2.054 billion ⁵⁴⁵	\$4.363 billion ⁵⁴⁶	\$2.309 billion

At each regularly scheduled meeting of the Finance Committee in 1997 through 2000, five times each year either Fastow or McMahon presented a chart showing this comparison for the year-to-date.⁵⁴⁷ Thus, all of the directors present, including Lay and Skilling, were aware of this need for financing. For example, the chart presented at the December 1999 Finance Committee meeting is reproduced below, showing the investments to be \$3.921 billion over plan:⁵⁴⁸

⁵³⁹ Fastow referred to the capital investments as "discretionary" in his CFO Reports. Enron budgeted separately for capital expenditures that Fastow referred to as "non-discretionary." The Outside Directors did not receive regular reports comparing the actual non-discretionary capital expenditures to the budgeted amounts.

⁵⁴⁰ Enron's bankruptcy occurred prior to year-end 2001, and the Examiner has been unable to obtain any information regarding the total amount of capital expenditures and investments made during 2001.

⁵⁴¹ Materials from Enron Board Meeting, Dec. 9, 1997 (the "12/09/97 Board Materials"), at AB0245 01495 (slide from 1998-2000 Operating & Strategic Plan presentation) [AB0245 01342-AB0245 01549].

⁵⁴² Materials from Enron Board Meeting, Dec. 8, 1998 (the "12/08/98 Board Materials"), at AB0245 03348 (slide from Operating & Strategic Plan presentation) [AB0245 03084-AB0245 03589].

⁵⁴³ *Id.* at AB0245 03345 (slide from Operating & Strategic Plan presentation).

⁵⁴⁴ 12/13/99 Finance Committee Materials, at 22 (part of the Treasurer Report).

⁵⁴⁵ 12/11/00 Finance Committee Materials, at 23 (part of the Treasurer Report).

⁵⁴⁶ *Id.*

⁵⁴⁷ *See, e.g.*, 12/13/99 Finance Committee Materials, at 22; 5/1/00 Finance Committee Materials, at 35; 8/7/00 Finance Committee Materials, at 22; 12/7/00 Finance Committee Materials, at 19.

⁵⁴⁸ 12/13/99 Finance Committee Materials, at 22 (part of the Treasurer Report).

1999 Investments to Date (in millions USD)

	<u>Actual</u>	<u>Original Estimate</u>	<u>Over (Under)</u>
Transmission & Distribution	100	19	81
Wholesale	4,265	652	3,613
Retail	571	160	411
Communications	10	5	5
Corp/Other	75	264	(189)
	<u>5,021</u>	<u>1,100</u>	<u>3,921</u>

AB0247 00978

*Issued equity, private transactions etc. to cover average
Fastow anything above that approved in plan needs add'l
financing*

22



According to the corporate secretary's handwritten notes on this slide, Fastow told the Finance Committee "[a]nything above that approved in plan needs add'l [sic] financing."⁵⁴⁹ However, the Finance Committee understood the company's strong bias against raising such financing through debt, because that would adversely affect the company's credit ratings, or through issuing equity, because that would be dilutive and potentially decrease the stock price.

⁵⁴⁹ *Id.* Skilling's testimony to the SEC appears to confirm his understanding that the company would first commit to new investments, and then later deal with the burden of finding the financing: "So once the business unit wants to spend the money, that would go through the Dash process. And once the money had been spent, it was up to the finance group and treasury to come up with that money." Skilling 11/1/02 SEC Testimony, at 64.

Belfer testified regarding the company's desire to avoid increasing debt:

Q. If the company frequently exceeded its capital expenditure budget, would that have been of concern to you?

A. It would be a concern if it affected the overall financial structure of the company.

Q. Does that mean if it caused the debt load to increase in order to raise the funds?

A. Yes. Let me put it to you this way. If it would be adversely viewed by the rating agencies it would certainly be a cause of concern to the finance committee.

Q. Do you recall any instances where the company needed to raise additional funds to meet excess capital expenditures but needed to do so in ways that avoided increased debt loads?

A. I think that Enron was a company that had continuing need for increased capital, and Enron developed various alternatives for meeting that need.⁵⁵⁰

Winokur's testimony illustrates an understanding of the concerns with issuing new equity:

[w]e have to finance growth and the fact that there's a delay in the generation of cash flow and earnings. How do we do that? . . . To the extent that we sell equity, our earnings per share will go down to the extent that these assets aren't generating accounting earnings or book earnings.⁵⁵¹

⁵⁵⁰ Belfer Sworn Statement, at 104-05.

⁵⁵¹ Winokur 11/20/02 Sworn Statement, at 157-58. Skilling spoke about the expectation that Enron would not issue new equity at an October 2000 analyst call:

We have been running about \$2.5 billion capital expenditures, and I would have imagined that that sort of expenditure number will keep up. As I have mentioned in the past, we are working extremely hard to find places where we can monetize assets, increase the velocity of capital through Enron and you will be seeing a lot of that over the next couple of quarters. So, in aggregate, we would expect, not only expect, we are pretty certain, no new equity issues and in fact I think it is going in the other direction. We expect to see enhanced liquidity over the next couple of quarters.

Enron Q3/2000 Conference Call, Oct. 17, 2000, at 29 [ELIB00001903-00001-ELIB00001903-00031].

Despite these constraints on the types of financings in which Enron preferred to engage, it was able to generate significantly disproportionate amounts of cash flows from operations just prior to the close of each accounting year. As reflected in the following chart, which was compiled from information in Enron's public SEC filings, in 1998, 1999 and 2000, Enron generated all or almost all of its reported cash flows from operations in the fourth quarter of the year:

Reported Cash Flows from Operations

Year	YTD as of Sept. 30	YTD as of Dec. 31	Generated in 4 th Quarter	
1998	\$317 million ⁵⁵²	\$1.640 billion ⁵⁵³	\$1.323 billion	81%
1999	\$(43) million ⁵⁵⁴	\$1.228 billion ⁵⁵⁵	\$1.271 billion	104%
2000	\$100 million ⁵⁵⁶	\$4.779 billion ⁵⁵⁷	\$4.679 billion	98%

There is no apparent seasonality in Enron's business that would account for the large amount of cash flows from operations in the fourth quarter of each year. Instead, Enron appears to have generated these disproportionately large amounts of cash through

⁵⁵² Enron Form 10-Q filed with the SEC for the Quarter ended Sept. 30, 1998, at Financial Condition, Cash Flows. In Enron's Form 10-Q for the quarter ended one year later, September 30, 1999, Enron reported this historical amount for year-to-date September 30, 1998 as a negative \$29 million. See Enron Form 10-Q filed with the SEC for the Quarter ended Sept. 30, 1999 (the "Enron 9/30/99 Form 10-Q"), at Financial Condition, Cash Flows.

⁵⁵³ Enron 9/30/99 Form 10-K, at Consolidated Statement of Cash Flows.

⁵⁵⁴ Enron Form 10-Q filed with the SEC for the Quarter ended Sept. 30, 1999, at Financial Condition, Cash Flows.

⁵⁵⁵ Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 1999, at Consolidated Statement of Cash Flows.

⁵⁵⁶ Enron Form 10-Q filed with the SEC for the Quarter ended Sept. 30, 2000, at Financial Condition, Cash Flows.

⁵⁵⁷ Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 2000, at Consolidated Statement of Cash Flows.

the use of SPE transactions.⁵⁵⁸ For example, in 1999, Enron completed a large number of SPE transactions in the last two weeks of December that generated virtually all of the cash flows from operating activities for that year. By the end of 1999, Enron had spent during the year almost \$4 billion more on capital investments than it had budgeted. To raise cash, Enron completed at least eleven SPE transactions in the last two weeks of the year, generating \$114 million of net income and more than \$1.2 billion of cash flows from operating activities, while keeping the repayment obligations off the balance sheet entirely or on the balance sheet as something other than debt.⁵⁵⁹

This urgent need for cash and flurry of structured financings were discussed at the December 1999 Finance Committee meeting.⁵⁶⁰ Belfer, who was present at that meeting, testified that:

it was a little disturbing to have these come so close to the end of the year, but there was some discussion of that, as I recall, and the idea was to not put ourselves in a situation like that again if we could avoid it.⁵⁶¹

⁵⁵⁸ Lay told the Examiner that at least some of the cash received in fourth quarter 2000 was due to unusual circumstances. According to Lay, Enron received substantial cash deposits of \$1.5 billion to \$2 billion during the second half of 2000 due to extraordinary commodity price increases that year. Lay In-Person Interview.

⁵⁵⁹ Third Interim Report. Showing an even larger number, McMahon presented a chart to the Finance Committee at its December 13, 1999 meeting listing eight closed or pending transactions totaling \$2.8 billion. 12/13/99 Finance Committee Materials, at 26 (part of Treasurer Report). However, at least one of the listed transactions, Margaux, was listed at \$525 million, even though that transaction ultimately closed in 2000 raising only \$125 million.

⁵⁶⁰ According to the minutes of the December 13, 1999 Finance Committee meeting: “[McMahon] reviewed the year-to-date investments and status of capital commitments by business unit and commented on the year-end transactions the Company would be undertaking to fund the cash outflows.” Minutes of Enron Finance Committee Meeting, Dec. 13, 1999 (the “12/13/99 Finance Committee Minutes”), at 2 [AB000196895-AB00196898]. See also *id.* at 1 (stating that Lay and Skilling were present at the meeting).

⁵⁶¹ Belfer Sworn Statement, at 151. Similarly, Urquhart testified that he recalled the discussion at this meeting, stating that the concerns expressed about the year-end need for cash were “[n]ormal business comments that people always make, why the hell do we always have to have this happen in the last quarter. That’s in every business I’ve ever been in. So it didn’t ring any bells for me.” Urquhart Sworn Statement, at 112.

However, at the end of 2000, the company had exceeded its capital investments budget by over \$2.3 billion, and it completed at least 18 structured financings in the second half of 2000 for almost \$11 billion.⁵⁶²

Not only did Enron use SPE transactions to generate this cash, but it also did a number of the transactions with LJM2, raising the question of whether it was difficult or impossible to complete them with an outside third party. In his "LJM2 Update" to the Finance Committee in May 2000, Fastow reported: "Q41999: 8 days/6 deals/\$125 million."⁵⁶³

Lay, Skilling and the Finance Committee members were aware that all of this financing was accomplished without adversely affecting Enron's debt and, therefore, its credit ratings. When Fastow and McMahon presented the CFO Report and the Treasurer Report, respectively, to the Finance Committee at its February 2000 meeting, they showed the directors who were present, including Lay and Skilling, that the "Targeted Key Financial Ratios" were substantially the same as they were a year previously,⁵⁶⁴ and the four major rating agencies had not changed their outlooks on Enron, except that Moody's had recently determined to review Enron for an upgrade.⁵⁶⁵ At the December 1999 Finance Committee meeting, Fastow presented a slide that listed the "Highlights" of his 1999 finance initiatives.⁵⁶⁶ These included executing over \$21 billion of funding

⁵⁶² 12/11/00 Finance Committee Materials, at 25 (part of Treasurer Report).

⁵⁶³ 5/1/00 Finance Committee Materials, at 20 (slide from CFO Report).

⁵⁶⁴ 2/7/00 Finance Committee Materials, at 8 (slide from CFO Report); 2/7/99 Finance Committee Materials, at 8 (slide from CFO Report).

⁵⁶⁵ Minutes of Enron Finance Committee Meeting, Feb. 7, 2000 (the "2/7/00 Finance Committee Minutes"), at 2 [AB000201463-AB000201466]; 2/7/00 Finance Committee Materials, at 23 (part of Treasurer Report); Minutes of Enron Finance Committee Meeting, Feb. 7, 1999 (the "2/7/99 Finance Committee Minutes"), at 21 (slide from Treasurer Report) [AB0247 00561-AB0247 00623].

⁵⁶⁶ 12/13/99 Finance Committee Materials, at 18 (slide from CFO Report).

transactions and over \$5 billion of “balance sheet management transactions,” while at the same time reducing bank debt by \$6 billion and convincing Moody’s to move Enron to a positive watch position for possible upgrade.

Materiality of the SPE Transactions

The SPE transactions that Enron used liberally in the five years leading up to the Petition Date accounted for significant amounts of Enron’s reported cash flows and earnings. As reported by the Examiner in the Second Interim Report,⁵⁶⁷ in the year 2000 alone, the six accounting techniques employed by Enron in certain of its SPE transactions constituted more than 100% of Enron’s net reported cash flows from operations, and almost one-third of Enron’s reported income before interest, minority interests and income taxes (“IBIT”). With Enron’s manner of accounting for the SPE transactions, in 2000 the company reported \$3.01 billion of net cash flows from operations, but if the SPE transactions had been accounted for in accordance with GAAP, net cash flows from operations would have been a negative \$153.9 million. Similarly, with Enron’s manner of accounting for the SPE transactions, it reported in 2000 just under \$2.5 billion of IBIT, but with proper accounting, Enron’s IBIT would have been only \$1.8 billion.

Each type of SPE transaction, as accounted for by Enron, had a material effect on Enron’s financial condition. For example, in 2000:⁵⁶⁸

- *Prepays*: The Prepays accounted for over \$1.5 billion of reported cash flows from operations. They also increased price risk management liabilities by over \$4 billion, with that amount not being reflected as debt on Enron’s balance sheet.

⁵⁶⁷ See Second Interim Report, Appendix Q (Schedules Depicting Impact of Enron’s Six Accounting Techniques).

⁵⁶⁸ See *id.*

- *FAS 140s*: The FAS 140 Transactions accounted for almost \$1.2 billion of reported cash flows from operations. Enron reduced its total assets by \$812 million, since it considered that this amount of assets had been sold through the FAS 140 Transactions.
- *Tax Transactions*: The Tax Transactions accounted for over \$60 million of reported cash flows from operations. They also created a \$547 million deferred tax liability for Enron, which the company did not reflect on its balance sheet.
- *Share Trust Transactions*: These transactions accounted for \$418 million of reported cash flows from operations. Enron reduced its total assets by almost \$4.2 billion, since it considered that this amount of assets had been sold through the Share Trust Transactions. Had the Share Trust Transactions been accounted for in accordance with GAAP, Enron would have reported almost \$5.5 billion of additional balance sheet liabilities as a result.
- *Non-Economic Hedges*: These include the Rhythms and Raptor hedges. Had these transactions been accounted for in accordance with GAAP, Enron's reported assets would have been reduced by \$867 million, and its reported liabilities would have been increased by \$349 million.
- *Minority Interest Transactions*: Enron reported \$1.74 billion of minority interest investments, rather than debt.

The Finance Committee members were aware of these types of transactions.

They received presentations on specific transactions from time to time, and the CFO Reports and Treasurer Reports often identified the transactions by type and amount.⁵⁶⁹

For example, at the October 1999 Finance Committee meeting, Fastow presented a chart

⁵⁶⁹ See, e.g., Minutes of Enron Finance Committee Meeting, May 5, 1997 (the "5/5/97 Finance Committee Minutes"), at 2-3 (reviewing Project Theresa, a Tax Transaction) [AB000186616-AB000186618]; 5/1/00 Finance Committee Minutes, at 3 (reviewing Raptor I, a non-economic hedge transaction); Minutes of Enron Finance Committee Meeting, Dec. 8, 1997 (the "12/8/97 Finance Committee Minutes"), at 2 (approving equity hybrid financing (Project Nighthawk), a Minority Interest Transaction) [AB000469806-AB000469809]; 8/7/00 Finance Committee Minutes, at 6 (reviewing Project Tammy, a Tax Transaction); 8/7/00 Finance Committee Materials, at AB0247 01374 (slide from Treasurer Report) (identifying Whitewing, a Share Trust Transaction, and Hawaii, a FAS 140 Transaction, as "Balance Sheet Management" vehicles); 10/11/99 Finance Committee Materials, at 15 (slide from CFO Report identifying Prepays as a "Funds Flow Management Transaction").

called "Funds Flow Management Transactions."⁵⁷⁰ That chart listed, among other transactions, the following:

- "Merchant Asset Exchange," which was described as the \$250 million "Creation of Minority Interest for Funds Flow."⁵⁷¹ This transaction apparently referred to Nahanni, which Enron completed in December 1999, for a total of \$500 million.⁵⁷²
- "JEDI 1 Stock Leverage," which was described as the \$250 million "Monetization of Additional ENE Stock Value."⁵⁷³
- "Prepays," with the description "Commodity Prepay" for \$245 million.⁵⁷⁴
- "Rhythms Monetization," which was described as the \$345 million "Monetization of Value."⁵⁷⁵

That same CFO Report included another chart titled "Selected Funds Flow/Balance Sheet Vehicles," which listed certain transactions for years 1993 through 2000, including Prepays, Nighthawk, JEDI II, Rawhide, Marlin, Firefly, Yosemite, Margaux and Condor.⁵⁷⁶ This chart did not include any amounts, but the minutes reflect that Fastow "discussed issues impacting funds flow and how the Company was managing funds flow, including vehicles currently in place and the strategy for the future."⁵⁷⁷

The Treasurer Report presented at the August 2000 Finance Committee meeting included a list of "Balance Sheet Management" transactions, including, among others, the following:

⁵⁷⁰ 10/11/99 Finance Committee Materials, at AB0247 00836 (slide from CFO Report).

⁵⁷¹ *Id.*

⁵⁷² *See* Second Interim Report, Annex 3 to Appendix I (Minority Interest Transactions).

⁵⁷³ 10/11/99 Finance Committee Materials, at AB0247 00836 (slide from CFO Report).

⁵⁷⁴ *Id.*

⁵⁷⁵ *Id.*

⁵⁷⁶ *Id.*

⁵⁷⁷ 10/11/99 Finance Committee Minutes, at 1-2.

- “Whitewing Purchases,” described as an “Off balance vehicle to purchase assets from Enron,” totaling \$561 million.⁵⁷⁸
- “FAS 125’s,” described as \$468 million of “Asset sales to third parties supported by Enron total return swaps.”⁵⁷⁹
- “Hawaii,” described as a \$242 million “Add-on to existing \$400MM FAS 125 line”⁵⁸⁰

At least one Outside Director acknowledged a concern with the growing materiality of the SPE transactions. When asked whether the amount of activity involving SPEs caused him any concern, Blake testified that Enron needed to use SPE transactions “in order to protect the financial well-being of the company and to provide the funds flow in order to keep our ratios intact and preserve our investment grade rating and make sure we had a provision of funds to grow the business.”⁵⁸¹ He then said:

The amount of SPEs that [were] involved became more and more, and it became a concern on our ability to provide oversight and the like from an [sic] finance committee standpoint. But I deemed it as an important part of the overall need to preserve the financial strength of the company and sustain its earnings growth.⁵⁸²

Indications that Substance Differed from Disclosure

There is evidence of information provided at Finance Committee and Audit Committee meetings indicating that certain of the SPE transactions were not being disclosed in accordance with their substance.

⁵⁷⁸ 8/7/00 Finance Committee Materials, at AB0247 01374 (slide from Treasurer Report).

⁵⁷⁹ *Id.*

⁵⁸⁰ *Id.*

⁵⁸¹ Blake Sworn Statement, at 67.

⁵⁸² *Id.* at 68. At this point in the testimony, Blake’s legal counsel requested a break, immediately after which Blake modified his testimony to say in part, “Was I satisfied that we had adequate control over the SPEs? I would say yes. . . . I do believe that the board did have sufficient oversight relative to that activity. And if this is in conflict with my previous statement, I’d like to correct the record accordingly.” *Id.* at 70-71.

Prepays Were Debt. At the February 1998 joint meeting of the Audit and Finance Committees, Fastow presented a detailed nine-page status report of Enron's capital that identified both on and off balance sheet obligations of all types.⁵⁸³ The first heading on the first page was "Balance Sheet Obligations," and its first subheading was "Debt Classified as Non-Debt Liabilities."⁵⁸⁴ The first three items identified under that subheading were three Prepay Transactions entered into with JPMorgan Chase and its SPE, Mahonia.⁵⁸⁵ Fastow did not present that same chart to the Board or its committees after that.

However, as mentioned above, on a chart provided to the Finance Committee, Fastow included the Prepays under the heading "Selected Funds Flow/Balance Sheet Vehicles,"⁵⁸⁶ along with financing vehicles such as Nighthawk and Rawhide, which were Minority Interest Transactions. In the Treasurer Report presented to the Finance Committee in August 1999, a \$500 million natural gas Prepay is included on a list of "1999 Financings."⁵⁸⁷

Beginning in August 2000, Fastow included in his CFO Reports to the Finance Committee a chart showing Enron's interest rate exposure.⁵⁸⁸ These charts included

⁵⁸³ See Agenda for Joint Audit and Finance Committee Meeting, Feb. 9, 1998 [AB000473540]; Draft Enron Capital Management Capital Activity Report (the "Capital Activity Report"), at AB0246 00815-AB0246 00823 (Enron Capital: Status Report as of 9/30/97) [AB0246 00725-AB00246 00838].

⁵⁸⁴ Capital Activity Report, at AB0246 00815. See Second Interim Report, Appendix E (Prepay Transactions), for a discussion of Prepays entered into with JPMorgan Chase.

⁵⁸⁵ *Id.*

⁵⁸⁶ 10/11/99 Finance Committee Materials, at AB0247 00840 (slide from CFO Report).

⁵⁸⁷ Materials from Enron Finance Committee Meeting, Aug. 9, 1999 (the "8/9/99 Finance Committee Materials"), at 20 (slide from Treasurer Report) at 20 [AB0247 00716-AB0247 00815].

⁵⁸⁸ 8/7/00 Finance Committee Materials, at 13 (slide from CFO Report); 10/6/00 Finance Committee Materials, at AB0247 01538 (slide from CFO Report); 12/11/00 Finance Committee Materials, at 13 (slide from CFO Report); 2/12/01 Finance Committee Materials, at 2A-6 (slide from CFO Report); 4/30/01 Finance Committee Materials, at AB0247 02071 (slide from CFO Report); 8/13/01 Finance Committee

Prepays and characterized them as presenting a fixed interest rate exposure for the company. A number of the Finance Committee members testified, however, that they understood Prepays to have no interest rate risk. These Outside Directors appeared to have believed that, in a Prepay Transaction, Enron would receive cash upfront from a third party representing the purchase price of a commodity, and that Enron would then have the obligation to deliver that commodity at some point in the future.⁵⁸⁹ Savage testified as follows:

Q. If Enron's obligation was to deliver a commodity at a future time, to your understanding, would the nature and the quality of that obligation vary with interest rates?

A. Not directly. Not directly.

Q. Indirectly?

A. . . . I don't think so. Not in a normal prepay transaction, I don't think so.⁵⁹⁰

Belfer testified in a similar fashion:

Q. [W]ould such a [prepay] transaction, as you understood it, involve interest rate sensitivity to Enron?

A. No.

Q. Why is that?

A. Because it was, the way I understood it, except to the extent it was hedged, this was a transaction where the commodity risk stayed with Enron.

Materials, at AB0247 02302 (slide from the CFO Report); 10/8/01 Finance Committee Materials, at AB0247 02545 (slide from CFO Report).

⁵⁸⁹ See, e.g., Savage Sworn Statement, at 123; Meyer Sworn Statement, at 76; Blake Sworn Statement, at 107; Urquhart Sworn Statement, at 63-64; Wakeham Sworn Statement, at 100-01; Winokur 11/20/02 Sworn Statement, at 148-49; Pereira Sworn Statement, at 161-62. Lay also described Prepay Transactions in this manner. Lay In-Person Interview

⁵⁹⁰ Savage Sworn Statement, at 128-29.

Q. And if Enron hedged that risk to a third party in the marketplace would Enron then have any interest rate sensitivity in the transaction?

A. I don't think so.⁵⁹¹

As discussed in Appendix E (Prepay Transactions) to the Second Interim Report, however, in its Prepay Transactions, Enron eliminated the commodity risk. The risk circled back to Enron, causing the transaction to be effectively debt, which Enron was obligated to repay in the future plus a fixed rate of interest. Thus, the inclusion of the Prepay Transactions on Fastow's interest rate exposure chart was a proper depiction of the true substance of these transactions. Fastow presented this chart to the Finance Committee seven times, at each of its regularly scheduled meetings from August 2000 through October 2001.⁵⁹² When Lay was asked during his interview with the Examiner why the Prepay Transactions would be included on these charts, he did not recall noticing that they had been included.⁵⁹³ He stated, however, that a Prepay Transaction as he understood the structure would not have any significant interest rate risk.⁵⁹⁴

FAS 140 Transactions Were Not True Sales. At the August 1999 Finance Committee meeting, the Treasurer Report included a list of "1999 Financings."⁵⁹⁵ Among the "Refinancings" on that list were two FAS 140 Transactions marked with the notation "Total Return Swaps," along with "takeouts" of two other FAS 140

⁵⁹¹ Belfer Sworn Statement, at 160-61.

⁵⁹² 8/7/00 Finance Committee Materials, at AB0247 01363 (slide from CFO Report); 10/6/00 Finance Committee Materials, at AB0247 01538 (slide from CFO Report); 12/11/00 Finance Committee Materials, at AB0247 01656 (slide from CFO Report); 2/12/01 Finance Committee Materials, at AB0247 01927 (slide from CFO Report); 4/30/01 Finance Committee Materials, at AB0247 02071 (slide from CFO); 8/13/01 Finance Committee Materials, at AB0247 02302 (slide from CFO Report); 10/8/01 Finance Committee Materials, at AB0247 02545 (slide from CFO Report).

⁵⁹³ Lay In-Person Interview.

⁵⁹⁴ *Id.*

⁵⁹⁵ Materials from Enron Finance Committee Meeting, Aug. 9, 1999 (the "8/9/99 Finance Committee Materials"), at 20 (slide from Treasurer Report) [AB0247 00716-AB0247 00815].

Transactions.⁵⁹⁶ This characterization of the FAS 140 Transactions as refinancings or “takeouts” was inconsistent with Enron’s desired accounting treatment of the FAS 140 Transactions, which depended on there being “true sales” of the assets from Enron to the applicable SPEs.⁵⁹⁷

This inconsistency may have been recognized by at least Jaedicke, the Chair of the Audit Committee, at the joint meeting of the Audit and Finance Committees in December 1999. At that meeting, Buy presented a chart showing the amounts in Enron’s merchant portfolio, and one column of the chart identified FAS 140 Transactions as part of the company’s “Net Off-Balance Sheet Portfolio.”⁵⁹⁸ The corporate secretary’s handwritten notes on the slide indicate that “Jaedicke asked FASB 125.”⁵⁹⁹ Causey apparently answered the question by explaining that these transactions were subject to Total Return Swaps, which meant that Enron kept the risk associated with the assets. The

⁵⁹⁶ At the time these were referred to as “FAS 125” transactions. FAS 125 was superseded by FAS 140 in early 2001.

⁵⁹⁷ See Second Interim Report, Appendix M (FAS 140 Transactions). Outside Directors appeared to be aware of this requirement that no sale could occur where the risk of the asset was not transferred. Blake testified with respect to the FAS 140 Transactions:

In order – in order for it to be constituted as a sale and that there is no continuing obligation – in other words, for it to be unconsolidated or taken off your balance sheet, there has to be a transfer of risk to a third party of which you are not responsible. There has to be a determination, then, that the vehicle itself, whatever the economics were of that vehicle, had, in fact, been transferred to the third party, the SPE. Otherwise, you couldn’t – you couldn’t deconsolidate it or unconsolidate it.

Blake Sworn Statement, at 84. Urquhart Sworn Statement, at 116-18 (testifying that he understood Enron’s “off balance sheet portfolio” to include assets in which Enron had an equity interest, but not to include assets in which Enron only retained an interest through an operating agreement).

⁵⁹⁸ Materials from Joint Meeting of Audit and Finance Committees, Dec. 13, 1999 (the “12/13/99 Joint Committee Materials”), at 4 (part of Merchant Portfolio Summary) [AB0246 01365-AB0246 01412].

⁵⁹⁹ *Id.*

corporate secretary's notes have the name "Causey" and beside his name the statement: "Total Return Swap keep [sic] risk but off-balance sheet."⁶⁰⁰

Lay told the Examiner that he did not recall this exchange between Jaedicke and Causey, but that he would have questioned Causey's answer had he heard it.⁶⁰¹ According to Lay, he understood that the FAS 140 Transactions transferred risk and that all associated debt was nonrecourse to Enron.⁶⁰²

The indication that Enron's FAS 140 Transactions did not accomplish "true sales" was also present in a chart Fastow provided to the Finance Committee in August 2001.⁶⁰³ That chart included a list of FAS 140 Transactions, showing the deal name, the related business unit, the origination date, and the maturity date.⁶⁰⁴ The designation of a maturity date for a transaction characterized as a true sale of an asset without recourse raises substantial issues about the merits of that characterization.

⁶⁰⁰ *Id.* There may be evidence that the Audit Committee discussed how the Total Return Swaps resulted in Enron's retention of risk at some point following the end of first quarter 2001. Counsel for Andersen produced documents to the Examiner that included handwritten notes ostensibly made by David Duncan on copies of presentations he made to the Audit Committee. Handwritten notes on a copy of a the selected observations regarding the first quarter 2001 state: "Nature of the securitization is that Enron retains the volatility related to the fair value of the business through a Total Return Swap." Andersen Presentation Slide entitled "2001 Financial Reporting, Selected Observations Through First Quarter" [AB0911 2307]. These notes have not been authenticated. In addition, David Duncan invoked his Fifth Amendment privilege and, therefore, the Examiner has been unable to obtain his testimony regarding whether he actually informed the Audit Committee of the handwritten comments included on this presentation copy. See Appendix C (Role of Arthur Andersen) to this Report.

⁶⁰¹ Lay In-Person Interview.

⁶⁰² *Id.*

⁶⁰³ 8/13/01 Finance Committee Materials, at 2-11 (slide from CFO Report).

⁶⁰⁴ *Id.*

In addition, Enron's repayments under the FAS 140 Transactions appear to have been included on lists of capital commitments provided to the Finance Committee. At each of the seven Finance Committee meetings between February 1999 and May 2000, the CFO Report or the Treasurer Report included a list of Enron's capital commitments for the year-to-date, separated by business unit.⁶⁰⁵ All but one of these lists included a type of commitment identified only as "TRS Repurchases," which were often for substantial amounts.⁶⁰⁶ For example, at the October 1999 meeting, Fastow told the Finance Committee that there were four such commitments at the company, totaling \$927 million of the total \$4.2 billion committed.⁶⁰⁷

A reasonable interpretation of "TRS Repurchases" is that they referred to Enron unwinding the FAS 140 Transactions in which Enron had entered into Total Return Swaps. These Total Return Swaps had resulted in Enron's obligation to repurchase assets, which meant Enron had not effected "true sales" of the assets. However, none of the Finance Committee members who provided testimony to the Examiner on this matter could identify these commitments.⁶⁰⁸ For example, when shown a copy of the capital

⁶⁰⁵ Materials from Enron Finance Committee Meeting, Feb. 7, 1999 (the "2/7/99 Finance Committee Materials"), at 11 (slide from CFO Report) [AB0247 00561-AB0247 00623]; Materials from Enron Finance Committee Meeting, May 3, 1999 (the "5/3/99 Finance Committee Materials"), at 9 (slide from CFO Report) [AB0247 00670-AB0247 00701]; Materials from Enron Finance Committee Meeting, Aug. 9, 1999 (the "8/9/99 Finance Committee Materials"), at 9-11 (slides from CFO Report) [AB0247 00716-AB0247 00815]; 10/11/99 Finance Committee Materials, at AB0247 00833-AB0247 00834 (slide from CFO Report); 12/13/99 Finance Committee Materials, at 23-25 (part of the Treasurer Report); 5/1/00 Finance Committee Materials, at 36.

⁶⁰⁶ 5/3/99 Finance Committee Materials, at 9 (slide from CFO Report); Materials from Enron Finance Committee Meeting, Aug. 9, 1999 (the "8/9/99 Finance Committee Materials"), at 9-11 (slides from CFO Report) [AB0247 00716-AB0247 00815]; 10/11/99 Finance Committee Materials, at AB0247 00833-AB0247 00834 (slide from CFO Report); 12/13/99 Finance Committee Materials, at 23-25 (part of Treasurer Report); 5/1/00 Finance Committee Materials, at 36.

⁶⁰⁷ 10/11/99 Finance Committee Materials, at AB0247 00833-AB0247 00834 (slides from CFO Report).

⁶⁰⁸ See, e.g., Chan Sworn Statement, at 159-60; Savage Sworn Statement, at 163; Urquhart Sworn Statement, at 111; Belfer Sworn Statement, at 149.

commitment list from the December 1999 Finance Committee meeting and asked to explain generally the concept of capital commitments, Belfer responded that he could explain it with respect to everything on the list other than the “TRS Repurchases.”⁶⁰⁹ Lay also did not recall having any understanding of the transactions identified by this term.⁶¹⁰

Other Asset Transfers Were Not True Sales. For a variety of reasons, including Skilling’s “asset light” business strategy⁶¹¹ and the need to raise cash, Enron management wanted to move large amounts of assets off the company’s balance sheet during the five-year period prior to the bankruptcy. However, Enron experienced difficulty in selling the assets to third parties and particularly in making the sales quickly.⁶¹² This led to the use of transactions with LJM1 and LJM2, as well as the use of several Enron-controlled SPEs that had the stated purpose of buying assets and holding them until the assets could be sold to an unaffiliated third party. Several presentations to the Finance Committee referred to this as “bridging” the asset sales. These entities included Whitewing and Hawaii, which were used to complete a number of the “true sales” in the FAS 140 Transactions.

⁶⁰⁹ Belfer Sworn Statement, at 149. He also commented that he was not certain what was included in a category called “Other” that reflected a cost of \$319 million. *Id.*

⁶¹⁰ Lay In-Person Interview.

⁶¹¹ Skilling 11/1/02 SEC Testimony, at 203-09.

⁶¹² 7/12/01 Call Transcript, at 13-14; Enron 4Q 2000 Conference Call Transcript, Jan. 22, 2001 [ELIB00001906-00001-ELIB00001906-00029].

None of the directors appeared to question the term “bridging” or the term “true sale” when the asset had only been transferred to an Enron-related SPE while Enron sought a permanent buyer. In addition, on at least one occasion, in August 2000, the Treasurer Report that was provided to the Finance Committee included a slide called “2000 Balance Sheet Management” describing how these asset bridging vehicles were at full capacity. This slide stated that Enron needed to expand the capacity of Whitewing by \$700 million, and of Hawaii by \$150 million,⁶¹³ in effect so that Enron could “buy” more assets from itself.

High Level of Accounting and Disclosure Judgment

The members of the Finance and Audit Committees were told that the accounting for and disclosure of the SPE transactions required a high degree of judgment and attention, given the company’s significant reliance on the transactions and the volatility in applicable accounting and disclosure rules. In December 1999, Fastow told the Finance Committee that “[a]ccounting treatment for structured finance transactions” was one of Enron’s “Major 2000 Finance Issues,” because the company “[h]eavily relied on” such transactions and the “rules always changed.”⁶¹⁴

In addition, Andersen routinely told the Audit Committee that “complex accounting for structured transactions” was one of the company’s “high priority financial reporting risk areas.”⁶¹⁵ In February 1999, Andersen showed the Audit Committee the

⁶¹³ 8/7/00 Finance Committee Materials, at 23 (slide from Treasurer Report).

⁶¹⁴ A slide within Fastow’s CFO Report at the December 13, 1999 Finance Committee meeting was titled “Major 2000 Finance Issues,” and it included a bullet point that read “Accounting treatment for structured finance transactions.” 12/13/99 Finance Committee Materials, at AB0247 00971. Handwritten notes beneath that bullet point made by the corporate secretary, Rebecca Carter, recorded Fastow’s oral remarks as “Heavily relied on, rules always changed.” *Id.*

⁶¹⁵ Materials from Enron Audit Committee Meeting, May 1, 2000 (the “5/1/00 Audit Committee Materials”), at AB0246 01579 (quoting from an Andersen presentation, capitalization omitted)

following slide, which rated Enron's "Risk Profile" with respect to "Highly Structured Transactions," assigning an "H" (as opposed to an "M" or an "L") in all three categories of accounting judgments, disclosure judgments and rule changes.⁶¹⁶

Selected Observations 1998 Financial Reporting

Category	Risk Profile			Comment
	Accounting Judgements	Disclosure Judgements	Rule Changes	
Highly Structured Transactions Energy Asset Securitizations	(H)	(H)	(H)	- Judgement Relates To General Applicability of Model And Any Retained Control Features - Significance of Earnings Heightens Need for Disclosure - Ongoing Rulemaking Activity Could Drastically Limit Model
Other Income Related	(H)	M	M	Judgement Usually Relates To Extent of Any Continued Involvement And/Or Contingency Exposures
Commodity and Equity Portfolio Commodities (MTM) and Merchant Investments (Fair Value)	(H)	(H)	M	- Inherent Judgement Around Methodologies - Significance of Merchant Earnings Heightens Need For Disclosure
Prudency	(H)	(H)	L	- Assessment and Documentation Procedures Recently Enhanced - Relationship to SEC Hot Areas
Purchase Accounting	(H)	M	L	Judgement Relates To Original Valuations and Accounting for Subsequent Activity
Balance Sheet Issues Equity Investments	(H)	(H)	M	- Judgement Relates To Control And Retained Economic Parameters - Continue Appropriate Commitment/Guarantee/Contingency Disclosures
Portfolio Monetizations	(H)	M	(H)	- Judgement Relates To Extent of Any Continued Involvement - Ongoing Rulemaking Activity (Could Be Positive)
Other				

EC 000051134

AB000197428

ARTHUR
ANDERSEN

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Don't know
Don't know

The following year, in February 2000, Andersen told the Audit Committee that the "sophistication of [the] company's business practices introduces a high number of accounting models and applications requiring complex interpretations and judgement,"

[AB0246 01569-AB0246 01600]; Materials from Enron Audit Committee Meeting, Apr. 30, 2001 (the "4/30/01 Audit Committee Materials"), at AB0246 01925 [AB0246 01882-AB0246 01925].

⁶¹⁶ Materials from Enron Audit Committee Meeting, Feb. 7, 1999 (the "2/7/99 Audit Committee Materials"), at AB0246 01067 [AB0246 01057-AB0246 01167].

citing “syndication vehicles” and “complex sales structures (various assets)” as examples.⁶¹⁷ Then one year later, in February 2001, Andersen told the Audit Committee that Enron had a “[h]igh dependency on transactions to meet objectives,” where the “[a]pplication of GAAP often requires significant judgement,” and the “[e]xtent of necessary disclosures can be judgemental,” referring to “[h]ighly structured transactions” such as “[s]yndication and off-balance sheet vehicles.”⁶¹⁸

LJM2 Red Flags to Skilling

Approvals. In October 2000, when the Finance Committee and the Board authorized Fastow’s involvement in LJM3, the minutes reflect that Fastow told the Finance Committee about “the mechanisms that had been put in place to mitigate any potential conflicts including: . . . 3) Messrs. Buy, Causey, and Skilling approve all transactions between the Company and the LJM funds”⁶¹⁹ The minutes of the meeting reflect that Skilling was present for Fastow’s presentation, but there is no record that Skilling contradicted Fastow.⁶²⁰ Outside Directors testified that they assumed

⁶¹⁷ Materials from Enron Audit Committee Meeting, Feb. 7, 2000 (the “2/7/00 Audit Committee Materials”), at AB0246 01488 (capitalization omitted) [AB0246 01470-AB0246 01568].

⁶¹⁸ 2/12/01 Audit Committee Materials, at AB0246 01769. There may be additional evidence that Andersen discussed with the Audit Committee concerns about possible inadequacies in Enron’s disclosures. David Duncan’s prepared notes for the February 2001 Audit Committee meeting stated: “While the company has many good disclosure practices, we have discussed the risk that some might view the level of detail available, not so much in the financial statements, but in the MD&A, as less than desirable in some areas. We understand that the Company must balance the detail provided in these disclosures with commercial and practical constraints, but we often suggest additional details just the same.” Financial Comments, produced by Andersen [AB0911 2292]. These notes have not been authenticated. In addition, David Duncan invoked his Fifth Amendment privilege and, therefore, the Examiner has been unable to obtain his testimony regarding whether he actually informed the Audit Committee of the comments included in these notes. See Appendix C (Role of Arthur Andersen) to this Report.

⁶¹⁹ 10/6/00 Finance Committee Minutes, at 2.

⁶²⁰ 10/6/00 Finance Committee Minutes, at 1 (noting Skilling’s presence). Skilling testified to the HEC that he did not recall this part of the meeting and may have stepped out of the room, Skilling HEC testimony, at 125-26, 129, although the minutes of the meeting do not reflect that he left at any time. 10/6/00 Finance Committee Minutes.

Skilling was reviewing transactions prior to that time.⁶²¹ Skilling, however, has testified that he was not required to approve the transactions.⁶²²

Skilling failed to respond to a direct request from at least one officer of Enron for such approvals. According to Mintz, General Counsel for Enron Global Finance, the legal department formulated a special LJM approval sheet to supplement the typical transaction DASHs, and those LJM approval sheets were supposed to be signed by, among others, Causey and Skilling.⁶²³ Although Skilling testified that no Enron transactions were supposed to be closed without completed DASHs,⁶²⁴ it is not clear that DASHs were completed for every LJM2 transaction. Instead, it appears that LJM approval sheets were generated, and Skilling failed or refused to complete them in most instances. In connection with the investigation of Sherron Watkins' letter in Fall 2001, Mintz provided eighteen LJM approval sheets to Vinson & Elkins.⁶²⁵ Skilling had signed only three.⁶²⁶

According to Mintz's testimony to the HEC, in May 2001 he sent Skilling a memo discussing the procedures for obtaining Skilling's signatures on the LJM approval

⁶²¹ See, e.g., Harrison Sworn Statement, at 153 ("And I guess it was my impression that any and all of those [referring to transactions with LJM1] would be vetted independently and valued and reviewed by the various appropriate legal and accounting and maybe most importantly Skilling, since he was overseeing this."); Meyer Sworn Statement, at 108.

⁶²² 2/7/02 HEC Hearing Transcript, at 124.

⁶²³ Memorandum from Lisa Henriques, Wilmer Cutler, to Enron File, regarding Interview with Jordan Mintz, General Counsel, Jan. 4, 2002 (the "Mintz 1/4/02 Wilmer Cutler Interview"), at 3 [AB000000580-AB000000585].

⁶²⁴ 2/7/02 HEC Hearing Transcript, at 127 (testifying that "those transactions could not have been completed if it was necessary for me to authorize those transactions. It couldn't have been done.").

⁶²⁵ These included: Cuiaba (9/99), Cuiaba 2 (5/00), Nowa Sarzyna (12/99), CLO Notes/Equity (12/99), Bob West (12/99), Megs (12/99), Cortez (1/00), Yosemite (2/00), Raptor I (4/00), Blue Dog (5/00), Raptor II (6/00), Osprey Add-On (6/00), Backbone (6/00), Margaux (6/00), Raptor IV (9/00), Fishtail (12/00), Catalytica (12/00), ENA-CLO repurchase (5/01).

⁶²⁶ Skilling had signed Blue Dog, Margaux and Raptor IV.

sheets.⁶²⁷ Skilling did not respond, and Mintz attempted to schedule a meeting with Skilling, but that also failed.⁶²⁸ Skilling testified that he did not recall receiving Mintz's memo: "Had I received that memo, what I would have done is looked at the specific transactions. If Rick Buy and Rick Causey had signed those transactions, and I looked at the transactions and they looked reasonable, I would have had no trouble signing for those transactions."⁶²⁹

Skilling testified that he "was not required to approve those [LJM] transactions"⁶³⁰ and that he did not recall being presented with the LJM approval sheets.⁶³¹ When asked if he ever told the Board he was not reviewing the transactions, Skilling responded: "I wouldn't have to. In October of 1999, when the process was established for approval of transactions with LJM, the process is absolutely crystal clear. It involved approval by Mr. Causey and Mr. Buy."⁶³²

⁶²⁷ 2/7/02 HEC Hearing Transcript, at 43.

⁶²⁸ *Id.* at 43. Mintz also testified to the HEC that he had discussed his concerns with Causey and Buy, trying to determine if Skilling's signature on the approval sheets was substantive or ministerial. *Id.* at 47. Causey apparently told Mintz "I wouldn't stick my neck out." *Id.* at 47. Mintz said that both Buy and Causey "shared with me that Jeff [Skilling] was very fond of Andy [Fastow], don't go there." *Id.*

⁶²⁹ *Id.* at 132.

⁶³⁰ *Id.* at 124.

⁶³¹ *Id.* at 128.

⁶³² *Id.* at 126. In Lay's interview with the Powers Committee, he said only that he

never reached out on his own to investigate whether the controls the Board put in place to ensure arm's-length transactions were followed. . . . Skilling was responsible for ensuring that the controls were in place. . . . Also, the Audit and Finance Committees would look over the procedures at the annual meeting where they discuss the year's transactions.

Both Causey and Buy were responsible for making sure that the transactions with LJM1 and LJM2 were fair to the company and at arm's-length. Lay thought it was clear to Causey and Buy that they were supposed to look at the deal and make sure it was fair. They were supposed to look not only to see if there were independent people on each side of the deal, but also at the terms of the deal.

Lay 1/16/02 Wilmer Cutler Interview, at 8.

Negotiations. The evidence shows that Enron's transactions with LJM2 were being negotiated by Enron employees on behalf of both Enron and LJM2, and that the Enron employees on both sides of the transactions reported to Fastow. For example, the DASHs for Raptors I, II and IV stated: "Person(s) negotiating for Enron: Ben Glisan," and "Person(s) negotiating for LJM: Michael Kopper."⁶³³ In May, June and September, 2000 when those transactions were completed, both Kopper and Glisan were Enron employees; Glisan reported to Fastow, and Kopper reported to Glisan. Skilling signed the DASH for Raptor IV dated September 11, 2000 on March 12, 2001,⁶³⁴ so it is reasonable to infer that he saw this identification of the negotiators.

In any event, the conflict was brought to at least Skilling's attention in March 2000 by McMahon, who testified to the HEC that he met with Skilling to request changes be made.⁶³⁵ According to McMahon:

[T]he LJM situation had gotten to basically a point that was just untenable for myself and my group. We found ourselves negotiating against people who represented LJM. They were Enron employees. Andy Fastow was the ultimate senior person that all those people reported to. He set compensation and promotion.⁶³⁶

McMahon then testified that Skilling said he understood the concerns and "would remedy the situation" that McMahon had outlined.⁶³⁷ According to McMahon, Skilling

⁶³³ LJM2 Approval Sheet for Raptor, at 1 [AASDTEX000419918-AASDTEX000419923]; LJM2 Approval Sheet for Raptor II, at 1 [AASDTEX000419934-AASDTEX000419938]; LJM2 Approval Sheet for Raptor IV, at 1 [VEL 00179-VEL 00182].

⁶³⁴ LJM2 Approval Sheet for Raptor IV, at 1 [VEL 00179-VEL 00182]. Skilling made a presentation at an annual meeting of LJM2 partners in October 2000. The materials for that meeting listed five other Enron employees as being involved in LJM2, including Kathy Lynn, Anne Yaeger, Joyce Tang, Chris Loehr and Ace Roman. LJM Investments Annual Partnership Meeting, Oct. 26, 2000, at 4 [AB0971 00246-AB0971 00289]. Skilling testified that he attended the meeting for only the time required to make his presentation and that he did not see those materials. Skilling 12/5/01 SEC Testimony, at 269-72.

⁶³⁵ 2/7/02 HEC Hearing Transcript, at 61-63.

⁶³⁶ *Id.* at 62.

⁶³⁷ *Id.* at 63.

asked Joe Sutton, who was a member of the Office of the Chairman at the time, to meet with McMahon.⁶³⁸ Following that meeting McMahon was moved to another position within Enron where he did not report directly to Fastow.⁶³⁹

Fastow's Compensation. The Outside Directors testified that they believed Skilling was reviewing Fastow's compensation from the LJM entities, and particularly LJM2, beginning in at least October 2000.⁶⁴⁰ At the October 2000 Finance Committee meeting, Fastow stated that "a review of his economic interest in the Company and the LJM funds is presented to Mr. Skilling."⁶⁴¹ Skilling was present at that meeting and apparently never contradicted Fastow's report.⁶⁴²

Skilling told the Powers Committee that he received conceptual information about Fastow's LJM1 and LJM2 compensation on two occasions, once in the spring of 2000 and once in the spring of 2001.⁶⁴³ According to the record of the Powers Committee interview:

Fastow provided information to Skilling that was intended to demonstrate that his interest in Enron significantly outweighed his interest in LJM. In handwritten documents, which Skilling did not retain, Fastow compared his compensation from LJM assuming a 25% rate of return over five years on its investments with the benefit to him if Enron's stock price appreciated at a 15% rate, which is the rate the Compensation Committee

⁶³⁸ *Id.* at 66-67.

⁶³⁹ *Id.*

⁶⁴⁰ See, e.g., Belfer Sworn Statement, at 187 ("Q. Who was to monitor Mr. Fastow's compensation? A. Well, Mr. Fastow reported to Mr. Skilling, and the board understood that Mr. Skilling was to monitor the compensation."); Harrison Sworn Statement, at 165 ("Q. Was Mr. Fastow's level of compensation from LJM2 a matter of concern to you? A. I would say it – it – it was of interest, but I felt that interest was satisfied by virtue of the different checks and balances and the fact that Skilling would be reviewing that. I didn't see Skilling as someone that gave money away."); Savage Sworn Statement, at 101.

⁶⁴¹ Minutes of Enron Finance Committee Meeting, Oct. 6, 2000 (the "10/6/00 Finance Committee Minutes"), at 2 [AB000201482-AB000201486].

⁶⁴² *Id.* at 1.

⁶⁴³ Skilling 11/27/01 Wilmer Cutler Interview, at 5. Skilling recalled only the 2001 information when he testified to the SEC. Skilling 12/5/01 SEC Testimony, at 227.

used to project the increase in officer's [sic] holdings of Enron stock. Skilling recalled that the benefit from the increase in Enron stock was four or five times greater.⁶⁴⁴

Thus, the information Fastow provided did not include a disclosure of the actual amounts he had received from LJM1 and LJM2. Skilling told the Powers Committee that he never asked Fastow for the actual dollar amounts, explaining that "he did not do so because determining Fastow's actual compensation from LJM would be too difficult because LJM was investing in long-term assets; therefore, the actual return on LJM's investment would not be known for a long time (maybe years)."⁶⁴⁵ Skilling said that "as long as the transactions were arms-length and Enron considered alternatives, Skilling did not care what Fastow made."⁶⁴⁶

Enron officers believed differently. In a January 2001 email to Ron Astin ("Astin") of Vinson & Elkins, Mintz asked for assistance in determining what to disclose in Enron's proxy statement about Fastow's LJM-related compensation.⁶⁴⁷ Mintz said: "I spoke, again, with Andy about this earlier today and he believes (perhaps rightly so) that Skilling will shutdown LJM if he knew [sic] how much Andy earned with respect to the Rhythms transaction."⁶⁴⁸

In Lay's interview with the Examiner, he could not explain why neither he, Skilling nor any other Board member did not simply ask Fastow for the amount of his

⁶⁴⁴ Skilling 11/27/01 Wilmer Cutler Interview, at 5.

⁶⁴⁵ *Id.* at 5-6.

⁶⁴⁶ *Id.* at 6.

⁶⁴⁷ Email from Jordan Mintz, General Counsel, Enron Global Finance, to Ron Astin, Partner, Vinson & Elkins, and copy to Rex Rogers, Enron, regarding Proxy (Confidential Communications), Jan. 16, 2001 [AB0911 1156-AB0911 1157].

⁶⁴⁸ *Id.* (Mintz also said: "Andy's point is that he 'outnegotiated' the banks in that transaction--not Enron. We need to be 'creative' on this point within the contours of Item 404 [of SEC Regulation S-K] so as to avoid any type of stark disclosure, if at all possible.").

LJM compensation, at some point before the fall of 2001.⁶⁴⁹ In Lay's interview with the Powers Committee, Lay discussed Fastow's compensation from LJM1 and LJM2 separately. According to the record of that interview, Lay said that he

never directly asked how much Fastow would make from his involvement in LJM[1]. Lay did not think it was relevant because Fastow was concerned that if he created LJM it would impair his career at Enron. Fastow was willing to create the structure, but wanted to ensure that his career at Enron would not be affected by being involved with LJM.⁶⁵⁰

With respect to LJM2, Lay did not recall any discussion about Fastow's compensation during the Finance Committee meeting that approved LJM2. Lay said he was shocked to learn in October 2001 that Fastow had made \$30 million from LJM2, because he thought Fastow was reluctant to create both it and LJM1, and he thought Fastow was only spending a few hours per week on LJM related work.⁶⁵¹

D. Duty of Candor

As an agent of the corporation, an officer has a duty to disclose to the board of directors information material to the board's ability to make an informed decision. As discussed in several places in this Appendix, the evidence shows a number of examples where Enron's officers withheld information from the Outside Directors, provided information in a manner that was misleading, or even intentionally misrepresented certain facts. A significant example in which at least Skilling failed to provide material information to the Board involved Kopper's personal interest in the transaction involving the Chewco limited partnership.

⁶⁴⁹ Lay In-Person Interview.

⁶⁵⁰ Lay 1/16/02 Wilmer Cutler Interview, at 6.

⁶⁵¹ *Id.* at 7.

As discussed in more detail in Annex 1 to Appendix L (Related Party Transactions) to the Second Interim Report, Enron formed Chewco in the fall of 1997. Enron's purpose for forming Chewco was to have it acquire a 50% limited partnership interest in JEDI from CalPERS, which wanted to liquidate its position in the partnership. Enron already held the other 50% interest in JEDI and treated JEDI as an unconsolidated entity. Thus, Enron did not want to purchase CalPERS' interest directly, because that would have meant bringing JEDI onto Enron's balance sheet as a consolidated subsidiary.

In order to accomplish the objectives of both Enron and CalPERS, Enron formed Chewco, with Kopper holding both the ownership and management interests. At that time, Kopper was a Vice President in Enron's Capital Management Group and reported directly to Fastow. Enron treated Chewco as an independent entity, despite Kopper's involvement and even though Enron financed the entire \$383 million amount needed for Chewco to purchase CalPERS' interest. Chewco's purchase from CalPERS closed in November 1997 with Enron guaranteeing a \$383 million bridge loan. It was restructured in December 1997 with permanent financing from Enron, provided directly through an Enron guarantee of Chewco's bank debt, and indirectly through a JEDI-provided line of credit.

Just over three years later, in March 2001, Enron purchased Chewco's interest in JEDI for \$35 million, even though Chewco was entitled to less than \$20 million in distributions from JEDI.⁶⁵² Several months later, at the request of Kopper, Enron agreed

⁶⁵² See Second Interim Report, Annex 1 to Appendix L (Related Party Transactions).

to pay Chewco an additional \$2.6 million under a tax indemnity agreement.⁶⁵³ Mintz testified that no such payment was due, but that Fastow insisted the payment be made, telling Mintz that Skilling had personally approved it.⁶⁵⁴ On a net basis, including purchase price, tax payment and management fees, Kopper and a friend who had co-invested with him received a total return of \$14.2 million on their initial investment of just over \$125,000.⁶⁵⁵ In 2002, the SEC brought an action against Kopper alleging that Kopper “secretly shared” a portion of the money with Fastow.⁶⁵⁶

Kopper’s involvement in Chewco was not disclosed to the Board when it approved the transaction, and Kopper never received proper approval for the conflict of interest under Enron’s Code of Ethics. The evidence, as described below, shows that Skilling was aware of Kopper’s involvement and that he failed to disclose that information to the Board, even though he was present at the meeting.

The evidence shows that, early in the development of the Chewco transaction structure, Skilling had a “hallway conversation” with Fastow regarding establishing a private equity fund to purchase CalPERS’ interest, in which members of Fastow’s wife’s family would invest.⁶⁵⁷ Skilling testified that he told Fastow he did not think this was a good idea, but only because Enron was moving to a compensation system that was based on subjective reviews of an employee’s performance. Skilling was concerned Fastow’s

⁶⁵³ *See id.*

⁶⁵⁴ Mintz 9/29/03 Deposition, at 34-41.

⁶⁵⁵ *See* Second Interim Report, Annex 1 to Appendix L (Related Party Transactions).

⁶⁵⁶ Complaint, *U.S. SEC v. Michael J. Kopper*, No. H-02-3127 (S.D. Tex. filed Aug. 21, 2002), Docket No. 1.

⁶⁵⁷ Skilling 11/4/02 SEC Testimony, at 36-38.

idea would perpetuate an objective system of compensating employees based on a formula of the company's profitability.⁶⁵⁸

Fastow then pursued the idea of using Enron insiders as investors in Chewco instead of his wife's family. On September 8, 1997, Vinson & Elkins lawyers Astin, Bob Baird and Joe Dilg met with Fastow, Kopper and Enron in-house attorneys Kristina Mordaunt, Carol St. Clair and Rex Rogers to discuss the proposal.⁶⁵⁹ Initially Bill Brown, another Enron officer working with Fastow in the finance area, was considered to be the Chewco general partner, but Kopper was ultimately selected for this role.⁶⁶⁰

Fastow presented the Chewco transaction to the Executive Committee of Enron's Board at a special meeting on November 5, 1997.⁶⁶¹ Fastow did not identify any of the investors or partners in Chewco, and no one told the Executive Committee that Kopper was the sole manager and ultimate owner of Chewco, despite Kopper being present at the

⁶⁵⁸ *Id.* at 38. When asked why he did not think it was a good idea, Skilling replied that the company was trying to eliminate compensation structures that provided "formulaic" profitability, and that Fastow's proposal "looked like a way that might have done it to an employee's family." *Id.* Skilling then explained "formulaic" profitability: "if our profit does this, you make this much money, or if you're [sic] trading makes this much money, you make this much money" *Id.* When asked "Were there any other reasons?" for rejecting Fastow's proposal, Skilling replied "No." *Id.*

⁶⁵⁹ Author unknown, Handwritten Notes of meeting among employees of Enron and Vinson & Elkins, including Fastow, regarding Enron insiders investing in Chewco, Sept. 8, 1997 [AB000465810-AB000465813].

⁶⁶⁰ Sworn Statement of William Brown, former Vice President, Enron, by William C. Humphreys, A&B, June 12, 2003, at 287-88.

⁶⁶¹ See Minutes of Enron Executive Committee Meeting, Nov. 5, 1997 (the "11/5/97 Executive Committee Minutes"), at 2 [AB000456818-AB000456821].

meeting.⁶⁶² According to the minutes of the meeting, Skilling was present,⁶⁶³ and Lay joined late during the Chewco presentation.⁶⁶⁴

Skilling and Lay were also at the Board meeting on December 9, 1997, when the Chair of the Executive Committee reported to the full Board about the Chewco transaction.⁶⁶⁵ No mention was made during that meeting of the identity of the Chewco investors or partners, or of Kopper's involvement.⁶⁶⁶

Skilling admitted on several occasions that he knew of Kopper's involvement at the time the Chewco transaction was presented to the Executive Committee.⁶⁶⁷ In an interview conducted by the Powers Committee, Skilling said that he "was sure" he had told the directors about Kopper's involvement, although he did not recall the content of the discussion nor discussing the need for a conflict waiver.⁶⁶⁸ Contrary to Skilling's statement, however, Chewco was described to the Executive Committee as a "special purpose vehicle not affiliated with the Company or CalPERS."⁶⁶⁹

⁶⁶² See *id.*; Materials from Enron Executive Committee Meeting, Nov. 5, 1997 (the "11/5/97 Executive Committee Materials") [AB000472445-AB000472465]. As a result, the directors did not know that Kopper was entitled to a \$500,000 per year management fee, or that he would receive over \$141,000 of the first year's fee within less than two weeks after the December 1997 closing, repaying more than fully Kopper's \$125,000 cash investment in Chewco. Ultimately, Kopper and his friend, Dodson, received \$14.2 million in distributions and management fees from Chewco. See Accounting Sheet entitled "Net Cash Retained by Chewco," Date unknown [EVE 61999]; First Amendment to the Purchase Agreement among JEDI, Enron Capital Management Limited Partnership, Enron Corp., and Chewco Investments, L.P., July 30, 2001 [AB000465805-AB000465807]; Summaries of Distributions to Chewco and Chewco Cash Activities, 1997-2001, undated, at 2 [AB0252 01179-AB0252 01182].

⁶⁶³ 11/5/97 Executive Committee Minutes, at 1.

⁶⁶⁴ *Id.* at 3.

⁶⁶⁵ Minutes of Enron Board Meeting, Dec. 9, 1997, at 1 [AB000184686-AB000184725].

⁶⁶⁶ *Id.* at 2.

⁶⁶⁷ Skilling also makes a distinction in his SEC testimony, though not in his Powers interview, between Kopper's ownership of Chewco and his management of Chewco. Skilling 11/4/02 SEC Testimony, at 41-44, 83-84. Before the SEC, he knew only that Kopper was to be a manager, not an owner of Chewco. *Id.*

⁶⁶⁸ Skilling 11/27/01 Wilmer Cutler Interview, at 4.

⁶⁶⁹ 11/5/97 Executive Committee Minutes, at 2.

With respect to granting authority for Kopper's conflict under the Code of Ethics, Skilling testified to the SEC that it was necessary to have presented Chewco to the Board, but he could not recall what might have been said to the Board about this issue.⁶⁷⁰ He testified that he was certain, however, that Chewco was a significant transaction and that Enron's outside lawyers (i.e., Vinson & Elkins) and accountants (i.e., Andersen) knew about it.⁶⁷¹ A number of the Board members have testified that they were never told of Kopper's involvement or the conflict of interest it created, and none have testified that they were aware of these facts.⁶⁷² Apparently, the Board members never asked for the identity of Chewco's investors, even though the directors authorized Enron to guarantee almost \$400 million of the unknown investors' indebtedness.⁶⁷³

There is little evidence indicating whether Lay knew about Kopper's involvement in Chewco. Skilling testified to the SEC that Kopper's role was "general knowledge within Enron."⁶⁷⁴ In his interview with the Powers Committee, however, Lay stated that he did not know Kopper and would not recognize him.⁶⁷⁵ Lay also stated to the Examiner that he first became aware of Kopper's interest in Chewco in October 2001 when an article in *The Wall Street Journal* published that information.⁶⁷⁶ With respect to

⁶⁷⁰ Skilling 11/4/02 SEC Testimony, at 54-56.

⁶⁷¹ Skilling 12/5/01 SEC Testimony, at 87, 162-63.

⁶⁷² See, e.g., Blake Sworn Statement, at 154; Duncan Sworn Statement, at 102-03; Belfer Sworn Statement, at 189-90; Willison Sworn Statement, at 55-58; Winokur 11/21/02 Sworn Statement, at 103; Mendelsohn Sworn Statement, at 151-52.

⁶⁷³ See, e.g., Belfer Sworn Statement, at 190-91 ("Q: Did you or anyone else on the Board inquire as to the nature of Chewco's business and other facts that might reflect on its creditworthiness? A: I believe that this inquiry wasn't made, because Enron was buying a half of a pool of assets, and this was represented to us as a fair transaction, so we relied upon management's representations."); Duncan Sworn Statement, at 97.

⁶⁷⁴ Skilling 11/4/01 SEC Testimony, at 83.

⁶⁷⁵ Lay 1/16/02 Wilmer Cutler Interview, at 5.

⁶⁷⁶ Lay In-Person Interview.

Skilling, there is no indication in the evidence reviewed by the Examiner to explain why Skilling apparently failed to inform the Board of Kopper's involvement.⁶⁷⁷

⁶⁷⁷ There were other Enron officers and employees present at the Executive Committee meeting who, if they knew about Kopper's involvement, also failed to tell the committee members. The minutes show that Fastow, Derrick, William D. Gathmann, Steven J. Kean, Mark E. Koenig, Richard S. Shapiro and Thomas E. White were also present, in addition to Peggy B. Menchaca, the corporate secretary. 11/5/97 Executive Committee Minutes, at 1. Lay joined the meeting late, but before the presentation regarding Chewco. *Id.* The Examiner has not found any evidence that any of the officers or employees at the meeting, other than Skilling, Fastow and perhaps Derrick, knew about Kopper's involvement. Astin, a partner at Vinson & Elkins, testified that he believes he told Derrick in a voicemail prior to the meeting that Kopper was personally involved in Chewco. Sworn Statement of Ronald T. Astin, Partner, Vinson & Elkins, to Rebecca M. Lamberth, A&B, July 18, 2003, at 108; Sworn Statement of Ronald T. Astin, Partner, Vinson & Elkins, to Rebecca M. Lamberth, A&B, Aug. 12, 2003, at 146. Astin's time records reflect that he left a voice mail message for Derrick at that time. Vinson & Elkins Invoice No. 20019639, regarding Chewbacca-JEDI I, Nov. 20, 1997, at 2 [EVE 903549-EVE 903569]. Derrick testified that he did not recall knowing about Kopper's involvement. Sworn Statement of James V. Derrick, Jr., Vinson & Elkins, to Rebecca M. Lamberth, A&B, May 20, 2003, at 214-15.

V. ANALYSIS OF EVIDENCE OF BREACH OF FIDUCIARY DUTIES BY LAY, SKILLING AND OUTSIDE DIRECTORS

As discussed in Annex 2 to this Appendix and Annex B (Legal Standards) to the Third Interim Report, officers and directors have fiduciary duties to the corporation and its shareholders, including duties of care and good faith. These duties require, among other things, that corporate fiduciaries make decisions on an informed basis, following a decision-making process that takes into consideration all material information reasonably available. Absent conflicts of interest on the part of the decision-makers, decisions made in good faith and on an informed basis generally will be protected by the business judgment rule and will not be subject to judicial second-guessing. However, a decision that lacks any rational business purpose will not be protected from judicial scrutiny by the business judgment rule and, if challenged, the decision-makers may be required to prove that their decision was fair to the corporation. Absent such proof of fairness, the decision-makers may be found to have breached their fiduciary duty of good faith if the evidence shows they made the decision in bad faith. The lack of a rational business purpose for the decision can support an inference of bad faith.

The fiduciary duties of officers and directors also require the exercise of diligence in overseeing the business and affairs of the corporation. Thus, officers and directors have a duty to monitor corporate affairs, as well as a duty to inquire into red flags indicating that potential problems exist within the corporation. A director who negligently fails to fulfill his or her duty of oversight, but who does not (i) abdicate his or her monitoring responsibilities, (ii) exhibit a conscious disregard for known risks, or (iii) otherwise fail to act in good faith, may be protected from liability to a corporation and its shareholders, if the corporation has adopted a director exculpation provision in its charter.

However, a director who is also an officer of the corporation is not protected by exculpation when acting in his or her capacity as an officer with respect to the duty of oversight or any other fiduciary duty.

A. Duty to Make Informed Business Judgments

Rhythms

There is sufficient evidence for a fact-finder to conclude that Lay, Skilling and the Outside Directors who were members of the Board in June 1999 breached their fiduciary duty of good faith by authorizing Enron to enter into the Rhythms hedging transaction. Enron effectively paid significant value in a transaction in which it had no possibility of obtaining an economic return. If the value of the Rhythms stock did not decline below the strike price of the hedge, Enron would receive no payment from the hedge. If the Rhythms stock became worthless, the most Enron could receive upon settlement of the hedge was a return of one-half of the Enron stock (or the proceeds therefrom) that Enron itself had transferred to the hedging vehicle. Thus, according to the information provided to the Board when it approved the Rhythms transaction, Enron gave up stock valued at \$234 million, and the most it could receive in return was one-half of that value plus payment under a \$50 million promissory note. The transaction, therefore, had significant and tangible economic cost to Enron.

In addition, the transaction was designed to give Enron only a potential financial statement benefit. If the Rhythms stock declined and the hedging vehicle had sufficient credit capacity to offset the amount of the decline, Enron could avoid incurring a net charge to its reported earnings.

As a result, the transaction had no rational business purpose. Therefore, the business judgment rule will not protect from judicial scrutiny the Board's decision to authorize the transaction. There is evidence that Lay, Skilling and the Outside Directors who approved the Rhythms transaction were provided or otherwise had information that showed the transaction had no rational business purpose, and such lack of a rational business purpose supports an inference that these directors acted in bad faith by granting the transaction approval.

The Board members involved had been told that Enron could not obtain a hedge with a third party because the Rhythms investment was large, the stock price was volatile, and Enron was contractually prohibited from entering into a hedge. Thus, Enron structured a hedge with a counterparty that was controlled by its own CFO. Fastow's presentation of the transaction to the Board members informed them that Enron was giving up stock valued at \$234 million, to receive a promissory note of \$50 million and other "value" that was derived solely from the company's own stock. Even if the Board members believed that Enron was obtaining the full "Direct Value" of \$165 million indicated in Fastow's presentation, nothing in that presentation explained why Enron would pay \$234 million in exchange.

Fastow told the Board that PWC would render a fairness opinion on the transaction, but it had not been received at the time the Board approved the transaction. No representatives from PWC attended the meeting, and there also were no representatives from either Andersen or outside legal counsel present. Moreover, a PWC fairness opinion finding that what Enron received was fair in relationship to what it gave

up would not relieve Lay, Skilling or the Outside Directors of their obligations to assess the business purpose of the transaction.

Lay and Skilling, who were actively engaged in Enron's day-to-day business as its two most senior officers, had advance notice of the transaction. Evidence indicates that Skilling may have even participated in the planning stages, and that Lay, when presented with an explanation of the transaction, instructed his subordinates to "get it done." Both participated at the Board meeting by answering questions for the Outside Directors regarding the economic terms of the transaction. Skilling testified to the SEC that he understood the structure of the transaction, and so it is reasonable to infer that he knew the hedge provided no economic value to Enron. Lay told the Examiner that he knew a hedge that does not transfer economic risk is not a true hedge, but he stated that he believed there was sufficient outside investment in LJM1 to provide value to Enron. However, he could not recall ever learning the amount of that outside investment, which turned out to be only \$16 million.

The Board members were aware that Enron was asking for authorization to enter into a transaction with a highly unusual conflict of interest. Yet, they granted the approval, implementing no internal controls on this transaction or other transactions that might be accomplished with LJM1. The Board gave its approval on short notice with little time to consider the consequences, even though there was no particular urgency expressed by management.

Moreover, if there were any material facts not known to the Board, it may have been because the process surrounding the meeting at which the Board granted its approval did not permit them to consider all the material information available. The

meeting was only one hour long with six significant items on the agenda for approval. It was a special meeting held by telephone with at least two Outside Directors recalling less than ideal conditions, and the Outside Directors received the information for the meeting by facsimile on Friday evening for a Monday morning call. The proposed transaction was not reviewed in advance by the Finance Committee, despite the fact that this was Enron's typical practice.

Raptors

There is sufficient evidence for a fact-finder to conclude that Lay, Skilling and the Outside Directors who were members of the Board in May through August 2000 breached their fiduciary duty of good faith by authorizing Enron to enter into three of the Raptors hedging transactions. As with the Rhythms transaction, the Raptor hedges were supported only by Enron's own stock and cash, which Enron itself had transferred to the transaction structures. Thus, the Raptors hedges could produce no economic benefit to Enron. Instead they were designed solely to provide Enron with a financial statement benefit and had no rational business purpose. Therefore, the business judgment rule will not protect from judicial scrutiny the Board's decision to authorize the transactions.

The lack of a rational business purpose supports an inference of bad faith, as with the Rhythms transaction. There is evidence that Lay, Skilling and most of the members of the Board in May through August 2000 were provided or otherwise had information that showed the transactions had no rational business purpose.

In connection with Raptor I, which was approved in May 2000, Glisan told the Finance Committee, with Lay and Skilling present, that the transaction did not transfer economic risk, but was designed to eliminate volatility in Enron's income statement.

Glisan also gave the Finance Committee sufficient information for them to understand that Enron's stock and cash were the only assets supporting the value of the hedges. He told them that as Enron's stock price increased, the credit capacity supporting the hedge would increase. Winokur, Chair of the Finance committee, testified that he knew this also meant the converse – that the credit capacity supporting the hedge would also decline with any decline in Enron's stock price.

Glisan also showed the Finance Committee a structure chart that identified Enron's \$41 million put payment, but he did not explain that the payment was designed to give the hedging vehicle the necessary cash to repay LJM2's investment. Glisan told the directors present at the meeting that Andersen was comfortable with the transaction, but he also stated that accounting scrutiny was a significant risk in the project.

When the Executive Committee and Finance Committee, respectively, approved Raptor II a month later and Raptor IV just two months after that, those directors were told that the structures were the same as Raptor I. In addition, Fastow made a presentation regarding Raptor II in which he told the Executive Committee that Raptor I could not be used to hedge any assets for six months. He apparently did not explain this restriction, because it resulted from the requirement that LJM2 receive a mandatory cash distribution before any hedges could be effected. Glisan has admitted that he knew Raptor I was structured so that the cash distribution would be a return of capital to LJM2, with Enron buying a put for no reason other than to provide the cash to make the distribution, and that he knew this structure caused Enron's accounting for the transaction to be in error. He also acknowledged that the transaction had no business purpose.

B. Duty to Monitor

As discussed in Annex 2 to this Appendix, courts have generally been reluctant to impose liability on officers and directors for failing to monitor corporate affairs adequately, absent sustained inattention or abdication of duty. Courts have acknowledged that actively engaged boards of directors and executive officers will not always be able to detect and prevent misconduct occurring within the corporation. Although the monitoring activity of Lay, Skilling and the Outside Directors is subject to criticism, it does not appear to constitute either sustained inattention or abdication of duty.

Lay and Skilling

The evidence shows that Lay and Skilling were actively involved in the day-to-day financial and other affairs of Enron. Lay served as CEO and Chairman of Enron from 1986 until February 2001. Skilling was COO for most of that time, being promoted to CEO in February 2001. At Enron, the CEO and COO shared the duties of the Office of the Chairman.

As the top officers in the company, Lay and Skilling met weekly with the other senior management, they were involved in numerous areas of review and approval of business opportunities and transactions, and they shared administrative responsibilities. They had a division of duties between them, with Lay taking more of an interest in international operations and Skilling more involved in other operational areas, like broadband. However, they worked closely together and also worked closely with the Board, setting agendas for meetings and conducting pre-meeting agenda reviews with other senior management.

With respect to financial affairs, they were both involved in the annual budgeting process, and they regularly monitored the financial performance of the company. They met throughout the quarter with appropriate personnel to get reports on capital investments and estimates on other performance measures. They helped allocate resources at the end of each quarter to meet earnings expectations. Skilling always reviewed the quarterly and annual SEC filings, including the disclosures; Lay also reviewed portions of these filings. Both regularly participated in road shows regarding the company's projects and met with rating agencies, and Skilling regularly met with lenders. Both Lay and Skilling met regularly with the Executive Committee, where significant projects were discussed and approved; with the Finance Committee, where there were detailed reviews of the company's financing needs and structures designed to meet those needs; and with the Audit Committee, which reviewed Enron's financial statements and had numerous discussions with Andersen about the company's financial disclosures.

Outside Directors

The evidence shows that Enron's Board appeared to be engaged in monitoring the SPE transactions and did not abdicate this responsibility. The Board, the Finance Committee and the Audit Committee met frequently and received voluminous information and detailed reports. There is evidence that the Outside Directors spent a reasonable number of hours focused on Enron's financing activities. The Audit Committee met frequently with Andersen and consistently received favorable reports from the auditors.

The actions of the Outside Directors were not without flaws, however. For example, the Finance Committee appears to have done little review of Enron's debt maturity schedules, and the Outside Directors appear to have had little knowledge of the true size of Enron's total obligations. Enron's management often used confusing terminology in reports to the Board, but the Outside Directors appear to have allowed this to happen without insisting on clearer and more precise definitions and descriptions.

The Outside Directors likely deserve the most criticism for the flaws in their monitoring of Enron's transactions with LJM2 and Fastow's compensation from that entity. The Outside Directors implemented few controls to ensure fairness to Enron, did little to follow up on those controls, and took almost no action to monitor Fastow's compensation. While this record of monitoring the relationship between Enron and LJM2 is less than desirable, the Outside Directors took enough actions that their conduct likely is not properly characterized as sustained inattention or abdication of their monitoring responsibility.

C. Duty to Inquire

As discussed in Annex 2 to this Appendix, when indications, or "red flags," of potential problems arise within a corporation, its officers and directors have an affirmative duty to respond to those red flags by making further inquiry. A negligent failure to recognize and respond to red flags breaches this duty. However, when director exculpation applies, as in the case of Enron, the actions of the directors must involve a knowing violation of law or amount to intentional misconduct or conduct not in good faith in order to establish liability. Courts have concluded that a conscious disregard of known risks will constitute a lack of good faith.

Directors who are also officers, however, are not entitled to exculpation when acting in their capacities as officers; rather, they are subject to a negligence standard. Moreover, because of their positions, they have greater occasion to encounter red flags and, correspondingly, more responsibility for recognizing and responding to red flags.

Red Flags Regarding SPE Transactions Generally

Enron's SPE transactions created certain red flags that, had the Outside Directors recognized them and responded, might have caused them to know that the Senior Officers were misusing the transactions to disseminate materially misleading financial information. This failure to recognize or respond to red flags by the Outside Directors, who necessarily could not have a detailed knowledge of the day-to-day operations of the company, is subject to criticism. However, none of the evidence available to the Examiner indicates that the Outside Directors had actual knowledge that the Senior Officers were using the SPE transactions in a manner that violated law. In addition, the available evidence is not sufficient for a fact-finder to conclude that any of the Outside Directors acted with a conscious disregard for known risks in failing to recognize or respond to the red flags.

Lay and Skilling, however, as a result of their day-to-day involvement at the company, knew or should have known that their subordinate officers misused the SPE transactions, and it is reasonable to infer that Lay and Skilling knew or should have known that such misuse resulted in the dissemination of materially misleading financial information. The evidence available to the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient to support a finding that Lay and Skilling were at least negligent in not responding to the red flags.

Those red flags included:

- Enron's ability to obtain large amounts of cash and financing through means other than incurring debt or issuing equity, with significantly disproportionate amounts of reported cash flows from operations being generated at the end of each accounting year.

Lay and Skilling were aware of Enron's intense focus on generating large amounts of cash flows from operations, including for purposes of matching its cash flows to its mark-to-market earnings. They were also aware of the significant amounts of capital investments Enron made each year, exceeding its annual capital budgets by \$5 billion in 1998, almost \$4 billion in 1999, and over \$2 billion in 2000. This spending had to be funded, and with sources of financing not identified when budgets were set.

Enron obtained a disproportionately large amount of this financing at year end. In each of 1998, 1999 and 2000, Enron generated all or almost all of its reported cash flows from operations in the fourth quarter. With the company's strong bias against using debt or equity to obtain financing, and the difficulty the company had in selling assets quickly and efficiently, it had to raise much of this financing through the use of the SPE transactions, including SPE transactions with related parties like LJM2.

- The significant volume of highly unusual SPE transactions, and information presented to Lay and Skilling by Enron's officers, including the CFO and the Treasurer, indicating the SPE transactions were in substance different from the manner in which they were being accounted for and disclosed.

The six accounting techniques employed by Enron in certain of its SPE transactions accounted for significant amounts of the company's reported cash flows and earnings. In 2000, they constituted more than 100% of the company's net reported cash flows from operations, and almost one-third of its IBIT.

Fastow, McMahon and other officers routinely provided detailed information at Finance Committee meetings, which Lay and Skilling always attended, regarding Enron's capital structure. This information often included descriptions or characterizations of the SPE transactions that indicated they were being accounted for and disclosed in a manner inconsistent with their substance. For example, on one occasion Fastow referred to Prepay Transactions as "Debt Classified as Non-Debt Liabilities," and he often included them on lists of financings rather than commodity sales. Similarly, there were numerous references to FAS 140 Transactions such as their having maturity dates and not shifting risk to the buyers, concepts that were inconsistent with the "true sales" of assets that Enron considered the FAS 140 Transactions to accomplish.

- Reports from Andersen and Enron's CFO that Enron had a heavy dependence on SPE transactions that required a high level of accounting and disclosure judgment, and for which accounting rules changed often.

Andersen routinely told the Audit Committee, at meetings attended by Lay and Skilling, that "complex accounting for structured transactions" was one of the company's "high priority financial reporting risk areas."⁶⁷⁸ Fastow told the Finance Committee, with Lay and Skilling present, that accounting for the SPE transactions was a major issue for 2000, because of the company's heavy reliance on those transactions and the volatility of the accounting rules.

⁶⁷⁸ Materials from Enron Audit Committee Meeting, May 1, 2000 (the "5/1/00 Audit Committee Materials"), at AB0246 01579 (quoting from an Andersen presentation, capitalization omitted) [AB0246 01569-AB0246 01600]; Materials from Enron Audit Committee Meeting, Apr. 30, 2001 (the "4/30/01 Audit Committee Materials"), at AB0246 01925 [AB0246 01882-AB0246 01925].

Red Flags Regarding LJM2

Skilling also failed to respond to red flags created by Fastow's involvement with LJM2, where the conflict of interest created a heightened risk for Enron. These red flags included: (i) attempts to obtain Skilling's approval of transactions between Enron and LJM2; (ii) indications that both sides of the transactions were being negotiated by Enron employees, all of whom reported to Fastow; and (iii) the Finance Committee being told in Skilling's presence that Skilling was reviewing Fastow's compensation from LJM2.

Approval. The Finance Committee expected Skilling to review and approve all transactions between Enron and LJM2, having been told by Fastow, with Skilling present, that this was the case. In addition, subordinate officers expected at least Skilling to approve the transactions between Enron and LJM2. The legal department at Enron had developed procedures to ensure that the transactions were completed on an arm's length basis, which included a separate approval sheet requiring the signature of either Lay or Skilling. Despite efforts by legal counsel to meet with Skilling to discuss the matter, Skilling testified that he was never responsible for approving those transactions. Of eighteen LJM transaction approval sheets collected in the fall of 2001, Skilling had signed three and Lay had signed only one.

Negotiation. At least some of the LJM transaction approval sheets indicated that Enron employees were negotiating the deals against each other, and in the spring of 2000 McMahon complained to Skilling about this conflict.

Compensation. Skilling took essentially no action to inquire about the amount of compensation that Fastow was receiving from LJM2. Skilling obtained conceptual

information about compensation from Fastow on two occasions, but he never simply asked Fastow for the details of his compensation from LJM2.

D. Duty of Candor

As an agent of the corporation, an officer has a duty to disclose to the board of directors information material to the board's ability to make an informed decision.⁶⁷⁹ There is evidence with respect to the Chewco transaction that at least Skilling knew that Kopper controlled and had a personal financial interest in the Chewco partnership, a fact Skilling did not disclose to the Board when it approved the transaction. Although none of the other Board members asked for the identity of the debtor for whom they approved a \$383 million guaranty, Skilling's failure to disclose the material fact that the transaction involved a conflict of interest involving an Enron officer is evidence that Skilling breached his fiduciary duty.

⁶⁷⁹ See *Potter v. Pohlad*, 560 N.W.2d 389, 394 (Minn. Ct. App. 1997) ("We agree that officers, as agents of the corporation, have an obligation to disclose information material to the board's ability to make an informed decision regarding major acquisitions."); *Science Accessories Corp. v. Summagraphics Corp.*, 425 A.2d 957, 962 (Del. 1980) (An agent has a "duty to disclose information that is relevant to the affairs of the agency entrusted to him." This duty "carr[ies] over into the field of corporate employment so as to apply not only to officers and directors but also to key managerial personnel.") (citations omitted).

VI. DEFENSES

A. Reliance on Officers

Outside Directors

A director “is entitled to rely on information, opinions, reports or statements including financial statements and other financial data if prepared or presented by: (a) one or more officers or employees of the corporation whom the director reasonably believes to be reliable and competent in the matters presented”⁶⁸⁰ The Outside Directors may contend that they reasonably relied on the presentations and recommendations of management in deciding to approve the Rhythms transaction and Raptors I, II and IV. In so doing, they would contend that they could not have acted in bad faith.

The evidence indicates that senior management of Enron, knowledgeable in the matters presented, recommended that the Board approve each of these transactions. The evidence suggests that the Board relied, at least in part, on these recommendations in approving the transactions. Thus, the Outside Directors would likely be able to establish these elements of this defense.

In order to prevail on the defense, however, the Outside Directors must also show that their reliance on the recommendations of senior management was reasonable. A director does not act in good faith if he or she is aware of facts or circumstances concerning the matter in question that render reliance on such information, opinions,

⁶⁸⁰ Or. Rev. Stat. § 60.357(2)(a); Third Interim Report, Appendix B (Legal Standards), at 7.

reports or statements unwarranted.⁶⁸¹ A director is not entitled to rely on information, opinions, reports or statements “when the director has actual knowledge that makes (or has a measure of knowledge that would cause a person, in a like position under similar circumstances, to undertake reasonable inquiry that would lead to information making) reliance unwarranted.”⁶⁸²

As described above in this Appendix, the Board (or the relevant committees of the Board with respect to the Raptors) was presented with information indicating that these transactions constituted non-economic hedges in which Enron would transfer substantial value in exchange for financial statement benefits only. All of these transactions involved doing business with entities managed by the company’s CFO, who was among the management group recommending approval of the transactions. A fact-finder could conclude that the information actually presented to the Outside Directors, either on its face, or coupled with additional knowledge after reasonable inquiry, caused reliance by the Outside Directors on the recommendations of management to be unwarranted.

Lay and Skilling

As officers, Lay and Skilling were also entitled to rely on information prepared or presented by “[o]ne or more officers or employees of the corporation whom the officer reasonably believes to be reliable and competent in the matters presented”⁶⁸³ Lay and Skilling may also assert that they relied on information provided to them by other senior officers of the company in acting or failing to act as described above in this Appendix with respect to recommendation and approval of the Rhythms and Raptor

⁶⁸¹ Or. Rev. Stat. § 60.357(3).

⁶⁸² 2 ABA Model Bus. Corp. Act Ann. § 8.30 Official cmt. at 8-164.

⁶⁸³ Or. Rev. Stat. § 60.377(2)(a).

transactions, the monitoring of transactions with LJM1 and LJM2, and their response to various red flags concerning the company's SPE transactions.

Given the size and complexity of Enron, even the two most senior officers could not have possessed complete information about all aspects of the company's operations, and it is reasonable that Lay and Skilling would have relied on other officers and employees of the company to report on important matters and issues within their respective areas. The evidence suggests that, although the SPE transactions became an increasingly important part of Enron's business in the years leading up to the bankruptcy, there were nevertheless areas of the business (for example, international and broadband) that also required the attention of Lay and Skilling. Thus, they may contend, and likely will be able to produce evidence that, being in charge of a large, complex company, they were responsible for its many different areas of operations, necessarily relied on other officers and employees to keep them informed of significant developments, and, thus, were entitled to rely on information provided by those officers.

As with the Outside Directors, Lay and Skilling must also show, however, that their reliance was reasonable. In particular, an officer does not act in good faith if he or she is aware of facts or circumstances concerning the matter in question that renders reliance on such information, opinions, reports or statements unwarranted.⁶⁸⁴ Given the depth of information, described above in this Appendix, that was available to Lay and Skilling concerning the Rhythms and Raptors transactions, other transactions with LJM1 and LJM2, and the SPE transactions, and given the evidence of Lay and Skilling's active involvement in Enron's financial matters, a fact-finder could conclude that reliance by

⁶⁸⁴ *Id.* at § 60.377(3).

Lay and Skilling on information provided by other officers and employees was unwarranted.

B. Reliance on Professionals

Outside Directors

A director is also entitled to rely on information provided by “[l]egal counsel, public accountants or other persons as to matters the director reasonably believes are in the person’s professional or expert competence. . . .”⁶⁸⁵ With respect to the approval of the Rhythms transaction, the Outside Directors may contend that they relied on PWC’s fairness opinion and on Andersen’s approval of the accounting for the transaction. With respect to Raptors I, II and IV, the Outside Directors may contend that they relied, at least in part, on Andersen’s approval of the accounting for the transactions.

The minutes for the June 28, 1999 Board meeting at which the Rhythms transaction was presented and approved do not reflect any attendance by Andersen representatives or any mention of Andersen’s view of the transaction. Some of the Outside Directors nevertheless testified that they recalled being informed, or at least having the impression, that Andersen had approved the accounting for the transaction. With respect to the PWC fairness opinion, the minutes reflect that the Board was told that such an opinion would be forthcoming. However, management did not provide the directors with a copy of the opinion, even in draft form, and no PWC representative attended the meeting.

At the Finance Committee presentation on Raptor I, Causey stated that Andersen had spent considerable time analyzing the structure and was comfortable with the

⁶⁸⁵ *Id.* at § 60.357(2)(b).

transaction. There is no evidence that this information was provided to the Board when it approved Raptor I, nor is there any evidence that Andersen's view was communicated to the Executive Committee when it approved Raptor II or to the Board when it approved Raptor IV.

Thus, there is no clear and consistent evidence that the Board was informed of Andersen's accounting views or the details of the PWC fairness opinion. Nevertheless, it is reasonable to infer that the Board actually relied on Andersen's approval of the accounting for these transactions and on the PWC fairness opinion they were told would be forthcoming.

Even if the Outside Directors succeeded in establishing actual reliance, however, they would also have to show that such reliance was reasonable. The evidence may support a finding that the Outside Directors reasonably relied on Andersen to determine the proper GAAP accounting for these transactions and that they reasonably relied on PWC to determine the fairness of the Rhythms transaction from Enron's point of view. However, it is not clear that reliance on such professionals eliminated the Board's obligation to determine whether the transactions had a rational business purpose. In light of the information the Outside Directors actually had about the transactions, whether the Board could reasonably rely on Andersen or PWC to make a determination on this issue, even had these professional firms undertaken to do so, would raise an issue of fact for the fact-finder.

Lay and Skilling

Lay and Skilling may contend that they relied on a number of highly qualified professionals, including Enron officers who were accountants and lawyers, Andersen,

Vinson & Elkins and other outside lawyers, to reach proper judgments about the accounting for and disclosure of the various SPE transactions. Neither Lay nor Skilling held any professional degrees or certifications in the areas of accounting or law. However, they were both experienced in corporate matters and were deeply involved in, and knowledgeable about, many aspects of the company's operations, including Enron's SPE transactions and related matters, as described above in this Appendix. Based on this evidence, along with evidence suggesting that Enron's inside professionals were not always candid with senior management and did not always provide the company's outside professionals with complete and accurate information concerning the transactions,⁶⁸⁶ the Examiner believes that the reasonableness of any reliance by Lay and Skilling on such professionals is a question of fact for resolution by the fact-finder.

C. Reliance on Committees of the Board

A director is also entitled to rely on information and reports provided by a committee of the board if the director reasonably believes the committee merits confidence.⁶⁸⁷

The Rhythms transaction was presented directly to the Board and was not reviewed by any committee in advance. However, Raptors I and IV were first presented to the Finance Committee, which then recommended the transactions to the full Board for approval. The Executive Committee alone approved the formation of Raptor II. In each

⁶⁸⁶ See Second Interim Report, Appendix C (Role of Enron's Officers).

⁶⁸⁷ Or. Rev. Stat. § 60.357(2)(c).

instance, important details about the transaction were provided to the committee but not to the Board. In Raptors I and IV, the Board acted largely on the recommendation of the Finance Committee, and in Raptor II the Board did not act at all.

The directors who were not present in the three committee meetings in which Raptors I, II and IV were presented may argue that they should have no liability as Board members for approving the transactions, because they had a right to rely on the recommendations of the Finance Committee as to Raptors I and IV, and because they made no decision on Raptor II. Thirteen of the Board members, however, heard the presentations of one or more of the Raptor transactions at the committee level:

- Raptor I – Finance Committee Meeting: Lay, Skilling, Winokur, Belfer, Blake, Savage, Duncan and Harrison.
- Raptor II – Executive Committee Meeting: Lay, Skilling, Duncan, Belfer, LeMaistre and Winokur.
- Raptor IV – Finance Committee Meeting: Lay, Skilling, Winokur, Belfer, Blake, Chan, Jaedicke, LeMaistre, Meyer, Pereira, Savage, Urquhart, Gramm, Harrison and Mendelsohn.

Only directors Wakeham and Mark-Jusbasche were not present at any of these committee presentations. Thus, they are the only directors who did not hear the facts of the transaction as described to the committees, did not have the opportunity to raise questions or seek additional information from the presenters.

D. Good Faith

Lay, Skilling and the Outside Directors may contend that even if a particular transaction lacked a rational business purpose, that would simply vitiate the protection of the business judgment rule and would not automatically constitute an act of bad faith.

However, bad faith can be inferred from the lack of a rational business purpose.⁶⁸⁸ The directors would be permitted to introduce evidence to support their claim that they acted in good faith, and the fact-finder would resolve the conflicting evidence, including inferences therefrom, in reaching a decision.

E. Exculpation and Indemnity

As discussed in Appendix B (Legal Standards) to the Third Interim Report, Oregon law contains a so-called director “exculpation” statute that permits an Oregon corporation to include in its articles of incorporation a provision that eliminates or limits the personal liability of directors to the corporation or its shareholders for monetary damages for certain conduct as a director.⁶⁸⁹

Consistent with this statute, Enron’s articles of incorporation provide that a director shall not be personally liable to Enron or its shareholders for monetary damages for conduct as a director except for liability for, among other things, “acts or omissions not in good faith or which involve intentional misconduct or a knowing violation of law.”⁶⁹⁰ This director exculpation provision will likely apply to any claim by the company or its shareholders against the Outside Directors alleging breach of fiduciary duty.⁶⁹¹ Thus, the Outside Directors may assert exculpation in defense of any such claim,

⁶⁸⁸ See Third Interim Report, Appendix B (Legal Standards), at 17-20; Annex 2 (Legal Standards) to this Appendix, at 6.

⁶⁸⁹ Or. Rev. Stat. § 60.047(2)(d).

⁶⁹⁰ Section A, Article VII, Articles of Incorporation of Enron.

⁶⁹¹ Under certain circumstances, the courts have held that the fiduciary duties of a board to the corporation and to its shareholders may expand to include fiduciary duties to creditors. The more recent decisions in the area find that upon the corporation’s insolvency (or when the corporation is within the “zone of insolvency”), the board of directors must manage the corporation in a manner consistent with the interests of creditors (and, potentially, shareholders as well). Certain courts have recognized the standing of creditors (and, in certain cases, bankruptcy trustees as the representative of creditors) to initiate litigation against directors to recover damages for the breach of the fiduciary duty to creditors. These cases typically involve situations where the directors have breached their duty of loyalty (such as preferring themselves).

and they would be exculpated for any of their actions that were taken in good faith. Thus, if a fact-finder were to conclude that the Outside Directors acted in bad faith in approving the Rhythms and Raptors transactions, exculpation would not protect them from related claims.

Enron's director exculpation provision would not be available to Lay and Skilling as a defense to claims by the company or its shareholders for breach of their duties as officers, because by its terms, the exculpation provision does not extend to officers.⁶⁹²

Under certain circumstances, directors and officers of Oregon corporations can be entitled to indemnification from the corporation with respect to claims made against them in their capacities as directors or officers.⁶⁹³ However, such claims may be subject to disallowance pursuant to Section 502(e)(1)(B) of the Bankruptcy Code.⁶⁹⁴ An officer or

Other courts have held that claims of this sort are individual or personal claims, which a trustee or debtor in possession does not have standing to assert. Ultimately, the law of the state of incorporation should govern these types of claims and the law in Oregon is not fully developed on this particular set of issues. Accordingly, individual creditors and/or the Debtors (in their capacity as debtors in possession and representatives of the estates) may be able to state a claim against the Enron Board in connection with certain decisions made by the Enron Board while Enron was insolvent. One aspect of that litigation may be the ability of the plaintiff in the litigation to take the position that the director exculpation provision in Enron's articles of incorporation does not apply to the plaintiff (suing on behalf of the creditors) and, potentially, that the so-called business judgment rule does not apply. The Examiner has analyzed the conduct of the Enron Board under the assumption that the director exculpation provision contained in Enron's articles of incorporation and the business judgment rule would apply. If, and to the extent, litigation were brought by a plaintiff with standing (be that the debtor in possession, a litigation trustee appointed under the terms of the Debtors' proposed Joint Plan or an individual creditor), the conduct of the Enron Board may be subject to review without consideration of these doctrines.

⁶⁹² Section A, Article VII, Articles of Incorporation of Enron.

⁶⁹³ Third Interim Report, Appendix B (Legal Standards).

⁶⁹⁴ Any claim filed for mandatory indemnification by a member of the Board may be subject to disallowance under the terms of 11 U.S.C. § 502(e)(1)(B) and the cases thereunder. See *In re Drexel Burnham Lambert Group, Inc.*, 148 B.R. 982, 985-93 (Bankr. S.D.N.Y. 1992) (disallowing contingent contractual claims for indemnification); *In re Wedtech Corp.*, 85 B.R. 285 (Bankr. S.D.N.Y. 1988) (recognizing that the concept of reimbursement under Section 502(e)(1)(B) would include indemnity claims). If, and to the extent that, members of the Enron Board filed proofs of claim in respect of the mandatory indemnification provisions of the articles of incorporation, or pursuant to any contractual provisions regarding indemnification, the Debtors and the Committee may seek disallowance of those claims, to the extent contingent, under Section 502(e)(1)(B).

director's right of indemnification would not, however, provide relief from, or alter the liability standard for, any claims brought by the company against such officer or director.⁶⁹⁵

⁶⁹⁵ Third Interim Report, Appendix B (Legal Standards).

VII. CONCLUSIONS

Acting in their capacities as directors, Lay, Skilling and the Outside Directors authorized Enron to enter into the Rhythms hedge and three of the Raptors hedges, none of which had a rational business purpose. In these transactions, Enron transferred substantial value for non-economic hedges, meaning the value of each hedge to Enron was based solely on the value of securities and cash that Enron itself had transferred to the hedging vehicles, providing Enron no economic value but only a financial statement benefit. There is evidence that Lay, Skilling and the Outside Directors were aware of facts demonstrating this lack of rational business purpose. From this evidence, an inference can be drawn that they acted in bad faith by approving the transactions and, therefore, breached their fiduciary duties of good faith.

With respect to their duty to exercise diligence in overseeing the business and affairs of the company, the evidence is sufficient to show that Lay, Skilling and the Outside Directors were actively engaged in performing their monitoring functions. Lay and Skilling were hands-on managers involved in the daily operation of Enron's business. The Outside Directors on the Board and its committees were not involved in the day-to-day operations, but they were generally engaged in activities designed to fulfill their supervisory roles.

However, the evidence also shows that, in light of their day-to-day involvement at the company, Lay and Skilling knew or should have known their subordinate officers misused the SPE transactions in a manner that resulted in the dissemination of materially misleading financial information. Both Lay and Skilling failed to respond to indications of potential problems related to the use of SPE transactions. In addition, Skilling failed

to respond to red flags regarding the SPE transactions that Enron entered into with LJM1 and LJM2. By failing to respond to such red flags, Lay and Skilling were at least negligent and, therefore, breached their fiduciary duties as officers.

The Outside Directors, however, may not have recognized the same red flags as indicators of the wrongful conduct of the Senior Officers. They did not have the intimate knowledge of Enron's day-to-day operations that Lay and Skilling shared. Although the Outside Directors may be criticized for failing to inquire about aspects of Enron's financing activities that might have led them to knowledge of the Senior Officers' wrongful conduct, the evidence does not support a conclusion that the Outside Directors acted in bad faith or with a conscious disregard for known risks in failing to recognize and respond to red flags.

As discussed in the Second Interim Report, the use and disclosure of Enron's SPE transactions resulted in the dissemination of financial information known by the Senior Officers to be materially misleading. This wrongful conduct caused direct and foreseeable harm to Enron, and resulted in harm to innocent parties that dealt with Enron, including certain creditors in the Bankruptcy Case.

There is also evidence showing that, between May 1999 and October 2001, Lay borrowed from Enron and repaid using shares of his Enron stock a total of over \$94 million. In May 1999, Skilling repaid approximately \$2 million of a loan from Enron with shares of his Enron stock. The Compensation Committee, which had granted approval for the repayments, did not have authority under Oregon law to authorize Enron to repurchase its stock. Because the Board neither approved, nor apparently ratified the Compensation Committee's approval of the repayments by Lay and Skilling, the

evidence is sufficient for a fact-finder to conclude that such repayments are voidable at the election of Enron. Upon such event: (i) Enron would return to Lay 2,131,282 shares of common stock, and Lay would be liable to repay loans in the amount of \$94,267,163 plus any applicable interest; and (ii) Enron would return to Skilling 26,425 shares of common stock, and Skilling would be liable to repay his loan in the amount of \$2,000,042 plus any applicable interest.

ATTACHMENT A

BIOGRAPHIES OF OUTSIDE DIRECTORS

Robert A. Belfer

Belfer has spent his professional career in the oil and gas business. After earning an undergraduate degree from Columbia University in 1955 and a law degree from Harvard University in 1958, he joined Belco Petroleum Company ("BPC"), which was founded by his father¹ and went public in 1959.² Belfer became CEO of BPC around 1983, and he continued in its management after its acquisition by InterNorth Inc. around the same time.³ He left BPC in 1986 and was self-employed as an investment manager until 1992, when he formed a company called Belco Oil & Gas Company ("BOGC").⁴ BOGC went public in 1996⁵ and, in August 2001, it merged with Westport Resources, a Denver-based independent exploration and production company.⁶ Belfer continues to serve as a director of the merged entity.⁷

Belfer joined the board of directors of InterNorth at the time that it acquired BPC in 1983.⁸ After InterNorth merged with HNG, he continued on the Board and, thus, became a director of Enron. During 1985 until around 1998, he was also a director of NacRE Corporation, a reinsurance company, where he served on the finance and investment committees.⁹ He has also served on the boards of directors or boards of trustees of several charitable organizations, including Weil Cornell College of Medicine, Albert Einstein College of Medicine, the American Jewish Committee and The Kennedy School.¹⁰

Norman P. Blake, Jr.

Blake earned bachelor's and master's degrees in international relations and international economics from Purdue University, and that university has also awarded him an honorary doctorate.¹¹ He spent much of his professional career at General

¹ Belfer Sworn Statement, at 6.

² *Id.* at 10.

³ *Id.* at 7-8.

⁴ *Id.* at 8.

⁵ *Id.* at 16-17.

⁶ *Id.* at 15.

⁷ *Id.* at 15-16.

⁸ *Id.* at 15.

⁹ *Id.* at 28.

¹⁰ *Id.* at 28-29.

¹¹ Blake Sworn Statement, at 4.

Electric Company ("GE"), serving in various senior management positions responsible for strategic and operational planning.¹² In the mid-1970s, he reported to Jack Welch at GE as a staff executive for strategic planning and business development operations for the consumer products and services sector.¹³

In 1984, Blake left GE to accept the position as president, chairman and CEO of Heller Financial.¹⁴ In 1990, he moved to USF&G, an insurance company headquartered in Baltimore, to be its president, chairman and CEO.¹⁵ When USF&G merged with the St. Paul Companies in 1998, Blake left to become president, chairman and CEO of Promus Hotels, a position he held until that company merged with Hilton Hotels in 2000.¹⁶ In January 2000, Blake became the CEO of the U.S. Olympic Committee and served in that capacity for approximately nine months.¹⁷ In February 2001, Blake became president, chairman and CEO of Comdisco, Inc., a position he held until the company emerged from bankruptcy protection in August 2001.¹⁸

Blake joined Enron's Board in 1994 at the invitation of Lay. A director on the board of USF&G, who served while Blake was at the helm of that company, introduced Blake and Lay for the specific purpose of permitting Lay to consider Blake for a position on the Board.¹⁹ When he joined the Board, Blake served for one year on the Audit Committee at Lay's request.²⁰ Lay then asked him to move to the Compensation Committee and later to the Finance Committee.²¹ Blake's experience as a director included serving on an internal board at GE, as well as the boards of directors of all of the companies for which he served as chairman and CEO.²² In addition, while he served on Enron's Board, he also served as an outside director of Owens-Corning, sitting on its audit committee and its financial restructuring committee.²³

Ronnie C. Chan

Chan, a native of Hong Kong, studied and lived in the U.S. for a number of years. Immediately upon earning a master's degree in biology from California State University

¹² *Id.* at 5-8.

¹³ *Id.* at 6-7.

¹⁴ *Id.* at 7.

¹⁵ *Id.*

¹⁶ *Id.* at 7-8.

¹⁷ *Id.* at 8.

¹⁸ *Id.*

¹⁹ *Id.* at 12.

²⁰ *Id.* at 26.

²¹ *Id.* at 27.

²² *Id.* at 9-10.

²³ *Id.* at 10.

in Los Angeles, he began work on a master's degree in business, which he received from the University of Southern California.²⁴ He lived in California from 1967 to 1985, except for two years, 1981 to 1983, when he returned to Hong Kong.²⁵ He has resided continuously in Hong Kong since 1985.²⁶

His primary business activity is serving as chairman of the board of a group of companies owned by a holding company called Hang Lung Group, Ltd.²⁷ This holding company develops and rents real property and is publicly traded in Hong Kong, although Chan's family trust is a significant shareholder.²⁸ Chan also has an affiliation with the Morningside/Springfield Group, a private company run by Chan's brother, that buys and manages mature-stage companies.²⁹

Chan joined Enron's Board in 1996 at Lay's invitation.³⁰ According to Chan, he became known to Lay because of his publications and speeches relating to Asia's economic and political development.³¹ Chan and Lay served together on the Council of the World Economic Forum that holds an annual world economic conference in Davos, Switzerland.³²

John H. Duncan

Duncan graduated from the University of Texas at Austin in 1949 with a bachelor's degree in business administration.³³ He worked in his family's coffee business from 1949 to 1958, except for a period of time when he was an Air Force Second Lieutenant during the Korean War.³⁴ In 1958, along with a partner, he started Gulf + Western Industries.³⁵ Duncan was President of Gulf + Western Industries when it became a conglomerate in the 1960s.³⁶ Some of the more well known subsidiaries of the company included Paramount Pictures, Simon & Shuster and Prentice Hall.³⁷ The

²⁴ Chan Sworn Statement, at 5-6.

²⁵ *Id.* at 4-5.

²⁶ *Id.* at 4.

²⁷ *Id.* at 6.

²⁸ *Id.* at 9-10.

²⁹ *Id.* at 6-7.

³⁰ *Id.* at 11.

³¹ *Id.* at 12.

³² *Id.*

³³ Duncan Sworn Statement, at 6.

³⁴ *Id.*

³⁵ *Id.* at 6-7.

³⁶ *Id.* at 7-8.

³⁷ *Id.* at 8.

company relocated to New York and Duncan decided not to move with the company.³⁸ Instead, he relinquished the position of President and became Chairman of the Executive Committee, where he served until 1982.³⁹ Duncan has been a private investor since 1982.⁴⁰ Duncan joined the Board of Enron's predecessor, HNG, in 1968.⁴¹

Joseph H. Foy

After attending the Georgia Institute of Technology and being commissioned as an ensign in the Naval Reserve, Foy received a J.D. from Vanderbilt University.⁴² After law school, Foy moved to San Angelo, Texas and practiced law until 1965, when he joined HNG as Vice President and General Counsel.⁴³ Foy became Vice Chairman of HNG in 1973, and became President and CEO in 1974.⁴⁴ He left HNG in 1980 and joined the law firm of Bracewell & Patterson as a senior partner.⁴⁵ He retired from the practice of law in 1993.⁴⁶

Foy joined the board of HNG in 1970 while an employee of the company,⁴⁷ and he was elected to the Enron Board after the merger with InterNorth in 1984.⁴⁸ Foy was on the Board when it decided to hire Lay as Chairman and CEO.⁴⁹

Wendy L. Gramm

Gramm holds a Ph.D. in economics from Northwestern University.⁵⁰ In 1988, she was appointed to be Chair of the Commodity Futures Trading Commission ("CFTC"), a position that she described as requiring her to play a policy-making and decision-making role relying on an experienced and knowledgeable staff.⁵¹ Promptly after leaving the CFTC in 1993, she joined a number of boards of directors of for-profit corporations, including Enron, as well as several non-profit entities.⁵²

³⁸ *Id.*

³⁹ *Id.*

⁴⁰ *Id.* at 10.

⁴¹ *Id.* at 5; HNG 1984 Proxy Statement, at 2.

⁴² Foy Sworn Statement, at 8-9.

⁴³ *Id.* at 9-10.

⁴⁴ *Id.* at 12.

⁴⁵ *Id.* at 12-13.

⁴⁶ *Id.* at 8.

⁴⁷ HNG 1984 Proxy Statement, at 3.

⁴⁸ Foy Sworn Statement, at 13.

⁴⁹ *Id.*

⁵⁰ Gramm Sworn Statement, at 7.

⁵¹ *Id.* at 7-8, 14.

⁵² *Id.* at 15-19; 32.

She had met Lay earlier in a “social context” at an Enron-hosted reception in connection with the Republican party, with which Gramm’s husband, former Senator Phil Gramm, was affiliated.⁵³ When they met again at the Davos World Economic Forum in 1993, Lay initiated the process to invite Gramm onto the Enron Board.⁵⁴ She served on the Audit and Nominating Committees at Lay’s suggestion.⁵⁵

While serving on Enron’s Board, Gramm also served as a director and audit committee member of IBP, Inc., a beef processing company that was acquired by Tyson Foods, Inc. in 2001.⁵⁶ She also served on the boards of State Farm Insurance Company and Invesco Mutual Funds.⁵⁷ In addition, she served and is still serving on the board of Longitude, Inc. which, according to Gramm, has “produced a new mechanism for trading derivatives” or “for producing derivative-type products.”⁵⁸ That company apparently has a patent on certain software it developed that allows the trading of derivative instruments.⁵⁹

With respect to non-profit corporations, Gramm is on the Board of Regents of the Texas A&M University system, as well as the boards of the Independent Women’s Forum and the National Federation of Independent Business. In addition, she chairs the board of the Texas Public Policy Foundation.⁶⁰ In 1998, Gramm became a Distinguished Senior Fellow and Director of the Regulatory Studies Program at the Mercatus Center at George Mason University.⁶¹

Ken L. Harrison

Harrison was CEO of PGE when Enron acquired that company in 1997.⁶² Harrison attended Oregon State University, receiving an undergraduate degree in science and math in 1964 and a master’s degree in counseling psychology in 1966.⁶³ He started

⁵³ *Id.* at 9-10.

⁵⁴ *Id.* at 11-12.

⁵⁵ *Id.* at 33.

⁵⁶ *Id.* at 16-19; Tyson Foods, Inc. Form 8-K filed with the SEC on Sept. 28, 2001. She also served on the compensation and nominating committees of IBP, Inc. in addition to its audit committee. Gramm Sworn Statement, at 18-19.

⁵⁷ Gramm Sworn Statement, at 25, 27.

⁵⁸ *Id.* at 29.

⁵⁹ *Id.*

⁶⁰ *Id.* at 31-32.

⁶¹ *Id.* at 6.

⁶² Harrison Sworn Statement, at 13.

⁶³ *Id.* at 10.

his career at the predecessor to First Interstate Bank in Oregon, working as an analyst and money manager.⁶⁴ While working at the bank, he became a chartered financial analyst.⁶⁵

In 1975, Harrison joined PGE as an assistant to the President, and became Vice President of Finance and Chief Financial Officer in 1980.⁶⁶ He was named President in 1986, and CEO in 1988.⁶⁷ After Enron acquired PGE in 1997, Harrison continued to serve as CEO and Chairman of PGE, and joined the Enron Board as a director.⁶⁸

Harrison has served on the boards of Sprouse-Reitz stores, United Savings Bank, and several private start-up companies.⁶⁹ His community involvement has included serving as chairman of the Oregon Business Council and chairman of the Oregon Independent Colleges Foundation.⁷⁰

Robert K. Jaedicke

Jaedicke's professional career was spent primarily in the field of academia. After earning a bachelor's degree in business administration in 1952, and an M.B.A. in 1953, both at the University of Washington in Seattle, Jaedicke earned a Ph.D. in business administration at the University of Minnesota in 1957.⁷¹ He then went on to teach accounting courses at Harvard University and at Stanford University.⁷² In 1983, Jaedicke became Dean of the Stanford University School of Business, where he served for seven years.⁷³ After two years of taking leave and handling certain special projects at the university, he was named Dean Emeritus in 1992.⁷⁴

Jaedicke has published extensively on the topic of accounting. He testified that he has published approximately twenty articles in accounting journals,⁷⁵ and he has co-authored a number of textbooks and research collections, including a book called "Accounting Flows, Cash, Funds, Income," and one called "Quantitative Methods for Business Decisions."⁷⁶ Jaedicke passed the certified public accountant's exam and, for a

⁶⁴ *Id.*

⁶⁵ *Id.*

⁶⁶ *Id.* at 12-13.

⁶⁷ *Id.* at 13, 18.

⁶⁸ *Id.* at 18, 22.

⁶⁹ *Id.* at 18.

⁷⁰ *Id.* at 57.

⁷¹ Jaedicke Sworn Statement, at 5-6.

⁷² *Id.* at 6-9.

⁷³ *Id.* at 7; Stanford Graduate School of Business ("GSB") History on Robert K. Jaedicke, Dean, 1983-1990, available at <http://www.gsb.stanford.edu/history/jaedicke.html> (last visited Oct. 24, 2003).

⁷⁴ Jaedicke Sworn Statement, at 7.

⁷⁵ *Id.* at 10.

⁷⁶ *Id.* at 10-12.

brief period, he practiced as a "junior accountant," although not long enough to earn his CPA designation.⁷⁷ He also worked as a consultant on accounting matters from time to time throughout his academic career.⁷⁸

While serving on Enron's Board, Jaedicke also served on the boards of directors of a number of other corporations, including Boise Cascade Corporation, Gencorp Incorporated, Home State Mining Company, Wells Fargo Bank, State Farm Insurance Company, and California Water Service Company.⁷⁹ He served as chair of the audit committee of each of these corporations for at least part of his service on their boards of directors.

Jaedicke joined the board of directors of HNG in 1985 at Lay's request.⁸⁰ He came to Lay's attention through a Stanford University faculty colleague who had served as an officer of HNG.⁸¹ Jaedicke turned seventy-two in February 2001 and ordinarily would have left Enron's Board due to the mandatory retirement provision in the company's bylaws.⁸² However, Lay asked him to remain on the Board with a waiver of that provision by the other directors.⁸³ Jaedicke testified that Lay asked him to remain in part to help keep stability on the Board, since three other directors were leaving in 2001 and Skilling had just been named CEO.⁸⁴

Rebecca Mark-Jusbasche

Mark-Jusbasche holds an M.B.A. from Harvard University⁸⁵ as well as a masters degree in international management from Baylor University.⁸⁶ She joined Continental Resources in 1982, which was subsequently acquired by HNG.⁸⁷ The merger of HNG and InterNorth created the entity that ultimately became Enron. In 1986, Mark-Jusbasche was a Vice President of Finance at Enron, working almost exclusively on project financing activities associated with co-generation plants.⁸⁸ She started Enron Development Corporation in 1992, with the goal to take Enron's domestic and U.K.

⁷⁷ *Id.* at 13.

⁷⁸ *Id.* at 13-14.

⁷⁹ *Id.* at 14.

⁸⁰ HNG 1984 Proxy Statement, at 3; Jaedicke Sworn Statement, at 27-28.

⁸¹ Jaedicke Sworn Statement, at 27-28.

⁸² *Id.* at 24.

⁸³ *Id.* at 24-25.

⁸⁴ *Id.*

⁸⁵ Mark-Jusbasche Sworn Statement, at 5.

⁸⁶ *Id.*

⁸⁷ *Id.* at 5-7.

⁸⁸ *Id.* at 7-8.

development experience to other parts of the world.⁸⁹ With the consolidation of Enron's international activities into a single business unit, in 1996 Mark-Jusbasche was named Chairman and CEO of Enron International.⁹⁰ In the spring of 1998, she was promoted to Vice Chairman of Enron,⁹¹ and beginning in July 1998 she also became Chairman and CEO of Azurix, Enron's venture in the global water business.⁹² She became a member of the Enron Board in July 1999,⁹³ and she left Enron and its Board in August 2000.⁹⁴

Charles A. LeMaistre

LeMaistre received a medical degree from Cornell University in 1947.⁹⁵ He taught as a member of the faculty at Cornell until 1954, when he became a professor of medicine at Emory University.⁹⁶ From 1959 to 1966, he taught at the University of Texas Southwestern Medical School, and then moved into administration of the medical school, ultimately becoming its Chancellor.⁹⁷ In 1978, he accepted the position as President of M.D. Anderson Medical Center in Houston, and he retired from that position in 1996.⁹⁸

LeMaistre joined the board of directors of HNG in 1979 and, at Lay's request, remained with HNG after the merger that created Enron.⁹⁹ Before the merger, LeMaistre served on HNG's audit committee and as its chair for about four years.¹⁰⁰ From the time of the merger in 1985, LeMaistre served on Enron's Compensation Committee and became its Chair in 1987.¹⁰¹

While serving on HNG's and then Enron's boards, LeMaistre also served on the boards of directors of two other corporations, Capital National Bank in Austin, Texas, and Southwest Savings and Loan in Houston.¹⁰²

⁸⁹ *Id.* at 12.

⁹⁰ Enron biography of Joseph W. Sutton, Vice Chairman [AB0971 02998].

⁹¹ Mark-Jusbasche Sworn Statement, at 39-40.

⁹² *Id.* at 120-21, 137.

⁹³ 7/1/99 Enron Press Release.

⁹⁴ Mark-Jusbasche Sworn Statement, at 104.

⁹⁵ LeMaistre Sworn Statement, at 9.

⁹⁶ *Id.*

⁹⁷ *Id.* at 9-10.

⁹⁸ *Id.* at 10-11.

⁹⁹ *Id.* at 11-15.

¹⁰⁰ *Id.* at 29.

¹⁰¹ *Id.* at 15-16.

¹⁰² *Id.* at 25-26. LeMaistre testified that he served on the board of directors of Southwest Savings and Loan for approximately three years, resigning in either 1984 or 1985. *Id.* at 27. According to LeMaistre, that corporation joined a larger group called United Financial Group, "and their activities were quite different from the savings and loan association; and I simply didn't have the time to learn their business."

John Mendelsohn

Mendelsohn holds degrees from Harvard College and Harvard Medical School and is board certified in internal medicine, hematology and medical oncology.¹⁰³ He is currently the President of the M.D. Anderson Cancer Center, and prior to that was the Chairman of the Department of Medicine at Memorial Sloan Cancer Center.¹⁰⁴ He was also a Professor and Director of the Cancer Center at the University of California, San Diego School of Medicine.¹⁰⁵ Mendelsohn joined Enron's Board in 1999 at Lay's invitation, having met Lay at a number of civic events.¹⁰⁶

While doing research at the University of California, San Diego, Mendelsohn was the co-inventor of C225, known more popularly today as Erbitux, which acts by blocking growth factors from cell receptors and stops cell proliferation.¹⁰⁷ Mendelsohn was asked to join the board of ImClone in 1998 because Erbitux was one of the lead products ImClone was developing.¹⁰⁸

Jerome J. Meyer

Meyer received a bachelor of arts degree in economics and math from the University of Minnesota in 1960.¹⁰⁹ After starting his career as a design engineer at Firestone, he joined Univac and worked in the high tech and military fields for approximately seventeen years.¹¹⁰ From Univac, Meyer moved to Honeywell, where he worked in computer operations.¹¹¹ He left Honeywell for a two-year period during which he served as President and COO of Varian Associates, a high-tech company that produces

Id. at 26-27. He resigned from the United Financial Group board about 9-12 months after the merger. He testified that "[i]t was the complexity of the financial deals that would require that I really go to school and learn a great deal more about the kind of business – They were doing a great deal of arbitrage, which I found to be something I knew very little about and didn't feel competent to be a director on the board and told them so and resigned." *Id.* at 27. When asked if he found the types of transactions being done by United Financial Group to be more complex than Enron's transactions, LeMaistre testified that he did not, but that "at that particular time [referring to his resignation from United Financial Group], my position as president of M.D. Anderson was very demanding, and I had a limited amount of time to devote to any outside activities." *Id.* at 28. LeMaistre was then asked whether it was "fair to say that by the time that Enron began doing extremely complex transactions, you felt like you had the time to devote to understanding those?" *Id.* LeMaistre answered, "I took the time to understand." *Id.*

¹⁰³ Sworn testimony of John Mendelsohn, M.D., by the U.S. Department of Labor, Feb. 26, 2003.

¹⁰⁴ *Id.*

¹⁰⁵ *Id.*

¹⁰⁶ Mendelsohn Sworn Statement, at 6-8.

¹⁰⁷ *Id.* at 11-12.

¹⁰⁸ *Id.*

¹⁰⁹ Meyer Sworn Statement, at 8.

¹¹⁰ *Id.* at 9.

¹¹¹ *Id.* at 9-10.

electron devices, tubes used in x-ray machines, and radio and television transmitting locations.¹¹² He returned to Honeywell as CEO of its computer business, and then served as President of Honeywell's industrial operations.¹¹³ In 1990, Meyer joined Tektronix as CEO and became chairman soon afterward.¹¹⁴ Under Meyer's leadership, Tektronix sold its billion-dollar color printer business to Xerox.¹¹⁵

Meyer became a director of PGE around 1995, and joined the Enron Board when Enron acquired PGE in 1997.¹¹⁶ During his service on Enron's Board, Meyer was engaged full-time as CEO and chairman of Tektronix.¹¹⁷ Meyer also served at various times on the boards of directors of Standard Insurance, AMP (which was later acquired by Tyco), and Esterline Technologies.¹¹⁸ His non-profit board service included the Oregon Business Counsel and Oregon Public Broadcast.¹¹⁹

Paulo V. Ferraz Pereira

Pereira holds a bachelor's degree in metallurgical engineering from Pontificia Universidade Catolica do Rio de Janeiro and an M.B.A. from Harvard University.¹²⁰ After obtaining his M.B.A. in 1978, Pereira returned to Brazil and worked for a company called Embramec, where he analyzed potential investments opportunities for the Brazilian government.¹²¹ After a year and a half, Pereira started a software consulting company that produced software for microcomputers.¹²² In 1982, he joined Companhia Bozano, Someonsen, one of the largest diversified groups in Brazil of which Meridional Financial Group was the core business.¹²³ In 1985, he was promoted to Vice President in charge of Treasury, Corporate Finance, International Area and Products for Meridional Financial Group.¹²⁴

When Pereira joined Enron's Board, he was President and CEO of Meridional Financial Group, responsible for overseeing the group's holdings, which included: Banco Meridional do Brasil; Banco Bozano, Simonsen; Bozano, Somonsen Suguros; and

¹¹² *Id.* at 10-11.

¹¹³ *Id.* at 10.

¹¹⁴ *Id.* at 13.

¹¹⁵ *Id.* at 20.

¹¹⁶ *Id.* at 14-17.

¹¹⁷ *Id.* at 38.

¹¹⁸ *Id.* at 39.

¹¹⁹ *Id.* at 42.

¹²⁰ Pereira Sworn Statement, at 5-6.

¹²¹ *Id.* at 6-8.

¹²² *Id.* at 9.

¹²³ *Id.* at 10-12; 10/12/99 Enron Press Release.

¹²⁴ 10/12/99 Enron Press Release.

Bozano, Somonsen Leasing.¹²⁵ During his tenure as CEO of Banco Bozano, they sold the bank to Banco Santander and Pereira moved to the holding company. He is currently the Executive Vice President of the holding company.¹²⁶ Pereira also served as President and CEO of State Bank of Rio de Janeiro.¹²⁷ Pereira joined the Enron Board after being recruited by an executive search firm engaged by Enron.¹²⁸

Frank Savage

Savage has extensive experience in international finance. Savage earned his B.A. in political science and economics from Howard University in 1962, and received a master's degree in international relations from Johns Hopkins University in 1968.¹²⁹ In 1964, Savage joined Citibank International, where he was involved in a number of aspects of banking in the Middle East and Monrovia, Liberia.¹³⁰

In 1971, Savage was tapped by Equitable Life Assurance Society ("Equitable") to establish a "minority enterprise small business investment company" as part of a Nixon initiative to encourage minority-owned businesses.¹³¹ While at Equitable, Savage worked in the private placement department and managed several portfolios, including energy, transportation, and agribusiness.¹³² He also took responsibility for building Equitable's global business, and eventually became Chairman of the Board of Equitable Capital Management, a wholly owned subsidiary of Equitable.¹³³

Except for a brief time period, Savage remained with Equitable until it merged with Alliance Capital Management ("Alliance") in 1993, at which time he joined Alliance.¹³⁴ Alliance is owned by AXA.¹³⁵ After the merger, Savage became Chairman of the Board of Alliance Capital Management International, and he was also a member of the Alliance board of directors.¹³⁶ In July 2001, Savage resigned from Alliance to start the Africa Millennia Fund, a private equity fund to invest in projects in Africa.¹³⁷

¹²⁵ *Id.*

¹²⁶ Pereira Sworn Statement, at 12-13.

¹²⁷ 10/12/99 Enron Press Release.

¹²⁸ Pereira Sworn Statement, at 13-14.

¹²⁹ Savage Sworn Statement, at 7-8.

¹³⁰ *Id.* at 8-9.

¹³¹ *Id.* at 11-12.

¹³² *Id.* at 12-13.

¹³³ *Id.* at 15-17.

¹³⁴ *Id.* at 12, 16-17.

¹³⁵ *Id.* at 19-20.

¹³⁶ *Id.*

¹³⁷ *Id.* at 6, 17.

Savage currently serves on the boards of Alliance, Lockheed Martin, Qualcomm, Inc. and Bloomberg, L.P.¹³⁸ He has formerly served on the boards of Equitable, Arco Chemical, and Lyondell Chemical.¹³⁹ He joined the Enron Board in October 1999, and remained on the Board until March 2002.¹⁴⁰

John A. Urquhart

Urquhart is an engineer, trained at the Georgia Institute of Technology and Virginia Polytechnic Institute.¹⁴¹ He spent forty-one years at GE, where he was involved in GE's international operations, primarily overseeing construction of power plants in foreign countries as a senior manager under Jack Welch.¹⁴² Shortly before his retirement from GE in 1991, Urquhart joined Enron's Board at the request of Lay, having been connected to Lay through a former GE employee then working at Enron.¹⁴³ Promptly after his retirement, he entered into a consulting agreement with Enron under which he initially oversaw Enron's construction of the Teeside plant in the U.K., followed by significant involvement in a number of Enron's other international projects.¹⁴⁴ Urquhart estimated that overall his work for Enron consumed around 60% of his time, with that time commitment gradually declining in the later years.¹⁴⁵

This consulting arrangement, and Urquhart's service on the Board, lasted until 2001.¹⁴⁶ By that time, Enron had shifted to its "asset light" business strategy. Lay asked Urquhart not to stand for reelection to the Board in May 2001, because Lay wanted to use that Board seat to add someone more knowledgeable about finance matters or perhaps someone in the entertainment industry.¹⁴⁷

While serving on the Board, Urquhart was also Chairman and CEO of Enron Solar Energy Inc.,¹⁴⁸ as well as a member of the managing board of Amoco/Enron Solar Partnership, a joint venture formed to own Enron's solar business.¹⁴⁹ He was also a director of Enron Renewable Energy Corp.¹⁵⁰ In addition, Enron gave him officer titles

¹³⁸ *Id.* at 24-26, 28.

¹³⁹ *Id.* at 26-27.

¹⁴⁰ *Id.* at 24.

¹⁴¹ Urquhart Sworn Statement, at 6.

¹⁴² *Id.* at 7-9.

¹⁴³ *Id.* at 15-16.

¹⁴⁴ *Id.* at 17-18, 24-29.

¹⁴⁵ *Id.* at 17.

¹⁴⁶ *Id.* at 13; Enron 2001 Proxy Statement, at 26.

¹⁴⁷ Urquhart Sworn Statement, at 13.

¹⁴⁸ Enron 1998 Proxy Statement, at 6.

¹⁴⁹ *Id.*

¹⁵⁰ *Id.*

in a number of its other subsidiaries. Urquhart testified that he performed no services for those subsidiaries, but needed the titles in order to assist him in performing his consulting services for Enron.¹⁵¹

During the period 1997 to the Petition Date, Urquhart also served as a director of several companies not affiliated with Enron, including Aquarion Company, TECO Energy, Inc., Hubbell, Inc., The Weir Group, PLC and Catalytica Inc., all of which were equipment manufacturers.¹⁵²

Charls Walker

Walker holds B.B.A. and M.B.A. degrees from the University of Texas and a Ph.D. in finance from the Wharton School at the University of Pennsylvania.¹⁵³ Walker is Adjunct Professor of Finance and Public Affairs at the University of Texas at Austin, Adjunct Professor of Business Administration at Texas A&M University, and Visiting Distinguished Professor in the Practice of Business Management at Emory University. Earlier in his career, he taught at both the Wharton School and Georgetown University.¹⁵⁴

In the 1950s, Walker served as an economist with the Federal Reserve Bank of Philadelphia, special assistant to the President of the Republic National Bank of Dallas, and Vice President and Economic Advisor to the President of the Federal Reserve Bank of Dallas. From 1961 to 1969, he was Executive Vice President of The American Bankers Association.¹⁵⁵

Walker served as assistant and economic advisor to the Secretary of the Treasury in the second Eisenhower Administration and Deputy Secretary of the Treasury in the first Nixon Administration.¹⁵⁶ He served as co-chairman of the 1976 presidential debates. He is a past chairman of President Nixon's Committee on Minority Enterprises and was chairman of Governor Reagan's tax task force in the 1980 presidential campaign. He is currently an advisor to the Center for Deliberative Polling at The University of Texas.¹⁵⁷

¹⁵¹ Urquhart Sworn Statement, at 23-24.

¹⁵² Enron 1998 Proxy Statement, at 6; Enron 1999 Proxy Statement, at 6; Enron 2000 Proxy Statement, at 7.

¹⁵³ The University of Texas at Austin, Biography of Charls E. Walker [AB1128 00041].

¹⁵⁴ *Id.*

¹⁵⁵ *Id.*

¹⁵⁶ *Id.*

¹⁵⁷ *Id.*

Lord John Wakeham

Wakeham is a chartered accountant and a member of Great Britain's House of Lords.¹⁵⁸ He became qualified as a public accountant in 1955.¹⁵⁹ From 1955 to 1957, he served in the Army as a Lieutenant in the Royal Artillery.¹⁶⁰ In 1957, he joined the London office of an affiliate of Arthur Young & Company, a predecessor to Ernst & Young, as an auditor.¹⁶¹ In 1960, he left Arthur Young & Company and became affiliated with other smaller accounting firms and partnerships.¹⁶²

Wakeham became a full time politician in 1974.¹⁶³ One of his first government jobs in the early 1980s was as a parliamentary Under Secretary of State at the Department of Trade, then responsible for shipbuilding.¹⁶⁴ Wakeham served as Margaret Thatcher's chief whip during her tenure as Prime Minister in the 1980s.¹⁶⁵ He went on to become Leader of the House of Commons in the late 1980s, piloting arrangements to televise Parliament.¹⁶⁶ He was appointed Energy Secretary by Margaret Thatcher in 1989 with the task of privatizing the electricity industry.¹⁶⁷ In 1990, in his government position, Wakeham became involved with Enron's development of the Teeside power station.¹⁶⁸ In 1992, he was appointed a life peer by John Major,¹⁶⁹ and he retired from government in 1994.¹⁷⁰ He took the reins at the Press Complaints Commission in 1995 and has vigorously defended self-regulation for the newspaper industry.¹⁷¹ In 1999, he was appointed by Tony Blair to head a Royal Commission on Lords Reform.¹⁷²

¹⁵⁸ Wakeham Sworn Statement, at 5-6.

¹⁵⁹ *Id.* at 5.

¹⁶⁰ *Id.* at 6.

¹⁶¹ *Id.*

¹⁶² *Id.* at 7.

¹⁶³ *Id.* at 6.

¹⁶⁴ Andrew Clark & David Hencke, *Master fixer who ended up in a fix*, The Guardian, Jan. 30, 2002 (the "1/30/02 The Guardian Article"), available at <http://median.guardian.co.uk/presspublishing/comment/0,7495,642431,00.html> (last visited Oct. 24, 2003).

¹⁶⁵ *Lord Wakeham—the 'Fixit' man*, BBC News, Jan. 9, 2002 (the "1/9/02 BBC News Article"), available at http://news.bbc.co.uk/1/hi/uk_politics/1750283.stm (last visited Oct. 24, 2003).

¹⁶⁶ *Id.*

¹⁶⁷ 1/30/02 The Guardian Article.

¹⁶⁸ David Hencke & Michael White, *Enron Fallout Threatens Wakeham*, The Guardian, Jan. 30, 2002, available at <http://www.guardian.co.uk/guardianpolitics/story/0,3605,641564,00.html> (last visited Oct. 24, 2003).

¹⁶⁹ 1/9/02 BBC News Article.

¹⁷⁰ Wakeham Sworn Statement, at 6.

¹⁷¹ 1/9/02 BBC News Article.

¹⁷² *Id.*

Bruce G. Willison

Willison has an undergraduate degree in economics from UCLA and an M.B.A. from the University of Southern California.¹⁷³ After receiving his M.B.A., he worked for Bank of America in Los Angeles and Mexico City in corporate banking.¹⁷⁴ From 1973 to 1979, he was in the energy division and handled multinational energy companies headquartered in Oklahoma and Dallas/Ft. Worth.¹⁷⁵ In 1979, he went to Western Bancorporation, which became First Interstate Bancor, where he held various positions including strategic planning, director of marketing, head of trusts and investments, and head of world bank group.¹⁷⁶ Starting in 1986, he was Chairman and CEO of First Interstate Bank of Oregon. He was Chairman and CEO of First Interstate Bank of California from 1991 until the company was acquired by Wells Fargo in 1996.¹⁷⁷ In April 1996, Willison became President and CEO of H.F. Ahmanson, which was the holding company to Home Savings of America, and he served in that capacity until the company was acquired by Washington Mutual in October 1998.¹⁷⁸ In April 1999, Willison began work as Dean of the Anderson Graduate School of Management at UCLA.¹⁷⁹

Willison joined the board of directors of PGE in 1988. In connection with Enron's acquisition of PGE, Lay asked Willison to join the Enron Board,¹⁸⁰ in part because of Willison's financial and energy background.¹⁸¹ Willison resigned from the Enron Board in the fall of 1998.¹⁸²

Herbert S. Winokur, Jr.

Winokur holds a Ph.D. in applied math decision control from Harvard College.¹⁸³ Winokur worked in the Pentagon in the Office of the Secretary of Defense as an Army Lieutenant from 1967 to 1970.¹⁸⁴ He then formed a consulting firm called Inner City Fund and worked there until approximately 1973.¹⁸⁵ He then worked at a company called

¹⁷³ Willison Sworn Statement, at 8-9.

¹⁷⁴ *Id.* at 9.

¹⁷⁵ *Id.*

¹⁷⁶ *Id.* at 10-11.

¹⁷⁷ *Id.* at 11.

¹⁷⁸ *Id.* at 11-12.

¹⁷⁹ *Id.* at 12.

¹⁸⁰ *Id.* at 17-18.

¹⁸¹ *Id.* at 18.

¹⁸² *Id.* at 40.

¹⁸³ Winokur 11/20/02 Sworn Statement, at 13.

¹⁸⁴ *Id.* at 13-14.

¹⁸⁵ *Id.*

Buckeye Pipe Line as Vice President of Finance and Treasurer.¹⁸⁶ He later became the Senior Vice President of Buckeye's parent company, the Pennsylvania Company.¹⁸⁷

Winokur became President of Pinehurst, Incorporated, the golf resort and real estate complex in approximately 1977.¹⁸⁸ Sometime later, he became Senior Vice President of a company called Pacific Holdings, which was wholly owned by David H. Murdoch, and Winokur was responsible for all of Mr. Murdoch's investments.¹⁸⁹ In approximately 1983, Winokur became the Senior Executive Vice President and director of Penn Central Corporation (when Carl Whitkin was chairman) and was the number two operating executive at the company.¹⁹⁰ Winokur formed Capricorn Investors Partnership in 1987, where he raised the fund and had the responsibility to invest that fund in middle market companies with the focus on turnarounds and restructuring.¹⁹¹ Lay asked Winokur to join the Board when Lay became CEO of HNG.¹⁹²

¹⁸⁶ *Id.*

¹⁸⁷ *Id.*

¹⁸⁸ *Id.* at 14.

¹⁸⁹ *Id.* at 15.

¹⁹⁰ *Id.*

¹⁹¹ *Id.* at 15-16.

¹⁹² *Id.* at 17.

ATTACHMENT B

OUTSIDE DIRECTOR STOCK SALES 1997-2001

<u>Name</u>	<u>Aggregate Number of Shares Sold</u>	<u>Aggregate Gross Consideration Received</u>	<u>Number of Shares Attributed to Options</u>	<u>Aggregate Option Exercise Price Paid</u>	<u>Number of Shares Not Attributed to Options</u>	<u>Net Proceeds Received¹</u>
Belfer ²	291,871	\$16,683,662	12,661	\$119,322	279,210	\$97,797,512
Blake ³	21,200	\$1,705,328	21,200	\$386,437	-0-	\$1,318,891
Chan ⁴	8,000	\$337,250	-0-	-0-	8,000	\$337,250
Duncan ⁵	35,000	\$2,009,700	-0-	-0-	35,000	\$2,009,700
Foy ⁶	23,640	\$1,639,600	23,640	\$454,049	-0-	\$1,185,551
Gramm ⁷	9,044	\$469,983	7,608	\$261,840	1,436	\$208,143
Harrison ⁸	1,041,090	\$81,895,439	1,017,900	\$23,571,009	23,190	\$58,324,430
Jaedicke	13,360	\$841,438	13,360	\$94,618	-0-	\$746,820
LeMaistre	16,352	\$841,765	16,352	\$119,540	-0-	\$722,225
Mark-Jusbasche ⁹	1,276,278	\$85,752,631	953,873	\$32,162,171	322,405	\$53,590,460
Mendelsohn ¹⁰	50	\$40	-0-	-0-	50	\$40
Meyer	-0-	-0-	-0-	-0-	-0-	-0-
Pereira	-0-	-0-	-0-	-0-	-0-	-0-
Savage	-0-	-0-	-0-	-0-	-0-	-0-
Urquhart	25,000	\$1,850,000	25,000	\$953,125	-0-	\$896,875
Walker	21,760	\$1,180,291	14,520	\$354,590	7,240	\$825,701
Wakeham	-0-	-0-	-0-	-0-	-0-	-0-
Willison	-0-	-0-	-0-	-0-	-0-	-0-
Winokur	-0-	-0-	-0-	-0-	-0-	-0-
TOTALS	<u>2,782,645</u>	<u>\$195,207,127</u>	<u>2,106,114</u>	<u>\$58,476,701</u>	<u>676,531</u>	<u>\$217,963,598</u>

¹ For all Outside Directors other than Belfer (see the following note), Net Proceeds Received was computed by deducting the Aggregate Option Exercise Price Paid from the Aggregate Gross Consideration Received. Thus, the net amount does not take into consideration the amount paid for shares that were sold but were not attributable to reported stock option exercises, because that information was not available to the Examiner.

² According to Enron's March 2001 Proxy Statement, Belfer was one of the largest individual shareholders of Enron stock at that time with beneficial ownership of approximately 8.5 million shares. Enron 2000 Proxy Statement. Belfer testified that he sold some of his stock almost every year for diversification

purposes, Belfer Sworn Statement, at 42, and that if he exercised stock options, it was his practice to sell the shares immediately. *Id.* at 38.

According to Belfer, when Enron's stock price increased and his Enron holdings became a larger percentage of his net worth, his investment advisers counseled him that he should protect against a decrease in Enron's stock value. *Id.* at 39-40. In response, Belfer entered into costless collar arrangements with JPMorgan Chase and Morgan Stanley on approximately one million shares of Enron stock. *Id.* at 39-40. Under the costless collars, Belfer was protected if the stock price fell below a certain value, but he would only get the benefit of an increase in stock value to a defined ceiling. *Id.* at 39-40. Because Enron's stock value did in fact drop, Belfer benefited from the collars, and approximately \$80 million of his proceeds was derived from these transactions. See Forms 3, 4 and 5 filings made by Belfer pursuant to Section 16(a) of the Exchange Act.

³ Blake testified that in October 2000, he sold approximately 40% to 45% of his Enron holdings on the advice of his financial adviser. Blake Sworn Statement, at 16-18. Blake testified that he insisted on retaining a majority of his Enron holdings. *Id.* at 18.

⁴ Chan testified that he made a sale of shares in July 1999 for the following reason:

Well, I was one day on the phone with one of my fellow directors, Bob Belfer, and he in passing made the statement that he noticed that some of management was selling.

And I thought to myself, "Well if management is selling, it's usually a good time to sell." So I did.

....

Q: Did Mr. Belfer explain to you his – any theories or opinions that he had with regard to why management was selling?

A: I don't remember.

Chan Sworn Statement, at 38-39. Belfer did not provide testimony regarding this event.

⁵ Duncan made one sale of Enron stock in May 2001 when he was 73 years old. He explained the reasons for the sale in a letter to Lay dated May 14, 2001:

At age 73 (and growing older by the day) and building Brenda's dream house, and knowing, actuarially, that my allotted time is shorter than most, I simply, and finally, crossed the bridge to "lighten up" on all of my portfolio. So, I not only sold a few shares of Enron, but also some of my other significant holdings like: Group One, Coke, etc., and etc. I have thought about this for the last few months, but since I "liked" all the stocks in my portfolio and could not decide what to "lighten up" on, I finally decided to "lighten" across the board. Thus, I sold the [sic] about the same percentage of each security.

Lord knows, in doing this I pray I made a big mistake because, in all cases, I sold only about 15% of my holding and I am keeping the 85% that remains.

Letter from John Duncan, former Director, to Kenneth Lay, former CEO, Enron, May 14, 2001, at 1 [AB000484882-AB000484883]. Duncan went on to say that his sale should not be misinterpreted as a lack of faith in Enron's management because he was very proud of Enron. *Id.* Duncan testified that this letter accurately stated the reason for the sale. Duncan Sworn Statement, at 20.

⁶ Foy was 73 years old when he retired from the Enron Board in March 2000. Foy Sworn Statement, at 20-21. He testified that in each of 1999, 2000 and 2001, he exercised some of his stock options and then immediately sold the stock. *Id.* at 32. According to Foy's testimony, the stock options were nearing their expiration dates at the time he exercised them. *Id.* at 32.

⁷ In December 1998, Gramm's counsel issued an opinion that, in light of her marriage to a U.S. Senator, her ownership of Enron stock could result in a material conflict of interest as a result of legislation

involving electricity deregulation and other issues of concern to Enron. Consequently, Gramm disposed of all of her beneficial stock ownership, and subsequently received all of her director fee compensation in cash. Enron 1999 Proxy Statement.

⁸ Most of Harrison's stock transactions occurred in 2000, after Harrison had retired as an Enron employee, but while he was still serving on the Board because "virtually, my entire life's net worth was tied up in Enron stock. You know, it made sense to start diversifying." Harrison Sworn Statement, at 70-71. Harrison testified that he nevertheless retained approximately 50% of his stock options and 100% of the stock that he held outright. *Id.* at 71.

⁹ Mark-Jusbasche, who was a senior officer at Enron, testified that she exercised and sold stock options as they were awarded on a continuing basis. Mark-Jusbasche Sworn Statement, at 97. Mark-Jusbasche explained her practice as follows:

[M]y compensation plan had always been heavily cash-based, and it was tied to what I had accomplished over the course of a number of years. And so I really tended to treat the stock options as if they were an alternative to cash at the time, and I might have held onto them for a period of time, but I wasn't . . . really treating it as a long-term holder.

My view was I was dependent on Enron for my livelihood and my salary and a lot of things that I was putting at risk in the company, and given the strenuousness of creating those businesses over the years, I wasn't . . . putting those, quote, "bonus" amounts at risk. And by the time I had left the company completely in August of 2000, I sold out of stock shortly after that time. I didn't have anything that expired.

Id. at 100-01. Mark-Jusbasche also stated that she reduced her Enron holdings at the time she was preparing for the initial public offering of Azurix because she was Chairman and CEO of Azurix and she did not think it was appropriate for her to have a large holding in Enron, which was the largest shareholder of Azurix. *Id.* at 100-01, 121.

¹⁰ Mendelsohn reported on a Form 4 filed with the SEC on Dec. 10, 2001 that his spouse purchased 50 shares of Enron stock on March 23, 2001 for \$53.53 per share, and that she sold those 50 shares on November 28, 2001 for \$.79 per share. *See* Statement of Changes in Beneficial Ownership, Form 4, filed by John Mendelsohn with the SEC on Dec. 10, 2001, at 1.

ANNEX 1 (Lay's and Skilling's Use of Enron Stock to Repay Loans)

to

APPENDIX D

(Roles of Lay, Skilling and Outside Directors)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	BACKGROUND	3
III.	ANALYSIS.....	8
IV.	CONCLUSIONS.....	13

I. INTRODUCTION

Lay and Skilling each used shares of their Enron common stock to repay loans from the Company. In May 1999, the Compensation and Management Development Committee (the “Compensation Committee”) of Enron’s board of Directors (the “Board”) authorized the officers to make such repayments. From that date through October 2001, Lay borrowed from Enron over \$94 million by repeatedly drawing on a line of credit, and then repaying that amount with shares of his Enron stock. Skilling made only one repayment with Enron stock, repaying \$2 million of a loan that Enron had extended to him earlier. The effect of all the loan repayments was that Enron repurchased these shares of stock from Lay and Skilling.

As described in this Annex, the Compensation Committee did not have authority under applicable Oregon corporate law to approve Enron’s repurchase of shares. That authority was vested in Enron’s Board, but the Board apparently never approved the repayments or ratified the Compensation Committee’s approval. Therefore, there is sufficient evidence for a fact-finder to conclude that the repayments by Lay and Skilling are voidable at the election of Enron. Upon such event: (i) Enron would return to Lay 2,131,282 shares of Enron common stock, and Lay would be liable to repay loans in the amount of \$94,267,163 plus any applicable interest;¹ and (ii) Enron would return to

¹ As discussed in the Conclusions section of this Annex, the Examiner concluded in the Second Interim Report that Enron has an alternative cause of action against Lay for \$74.025 million of this amount under Section 548(a)(1)(B) of the Bankruptcy Code. See Second Interim Report, Annex 1 to Appendix P (Avoidance Actions). Subsequent to the submission of the Second Interim Report to the Court on January 21, 2003, see Notice of Submission of the Second Interim Report of Neal Batson, Court-Appointed Examiner, Jan. 21, 2003, Docket No. 8800, the Committee initiated an adversary proceeding against Lay and his wife seeking to recover approximately \$74 million under such a fraudulent conveyance theory. See *Official Comm. of Unsecured Creditors of Enron Corp., et al. v. Kenneth L. Lay and Linda P. Lay*, Adversary Proceeding No. 03-02075 (AJG) (Bankr. S.D.N.Y. filed Jan 31, 2003) (also seeking recovery of certain amounts related to annuities that Enron purchased from Lay and his wife).

Skilling 26,425 shares of Enron common stock, and Skilling would be liable to repay his loan in the amount of \$2,000,042 plus any applicable interest.

II. BACKGROUND

In 1987, Lay signed an employment agreement² and a loan commitment agreement³ with Enron. Pursuant to these agreements, Enron agreed to make cash advances to Lay from time to time (the “line of credit”), with the maximum amount not to exceed \$1.5 million.⁴ Enron increased the maximum amount several times, so that during 1997 through October 2001, the maximum was \$4 million.⁵

Skilling did not have a line of credit with Enron, but he had borrowed \$4 million from the company pursuant to a loan agreement signed in October 1997.⁶ Skilling’s loan was due in full on December 31, 2001, but the loan agreement provided that Enron would forgive \$2 million of the debt if Skilling remained employed with Enron in accordance with the terms of his employment agreement through that date.⁷

In May 1999, the Compensation Committee of Enron’s Board agreed to give both Lay and Skilling the right to repay amounts due under their loans with Enron stock.⁸

² Employment Agreement between Enron and Lay, May 15, 1987 [AB0252 00728-AB0252 00735].

³ Loan Commitment Agreement between Enron and Lay, May 15, 1987 [AB0252 00736-AB0252 00740]; First Amendment to Loan Commitment Agreement between Enron and Lay, May 1, 1989 [AB0252 00741].

⁴ Section 2.01, Loan Commitment Agreement between Enron and Lay, May 15, 1987 [AB0252 00736-AB0252 00740].

⁵ Section 3(b), Fifth Amendment to Employment Agreement between Enron and Lay, Feb. 28, 1994 [AB0252 00755-AB0252 00758]. The parties entered into agreements effective as of December 9, 1996 that superseded the 1989 employment agreement and amended the 1989 loan commitment agreement to extend the termination date to December 31, 2001. Employment Agreement between Enron and Lay, Dec. 18, 1996 (as amended on February 7, 2000 and January 23, 2001) [AB0252 00759-AB0252 00781]. In November 2001, Enron raised the maximum available to Lay under the line of credit to \$7.5 million. Amendment of Loan Agreement and Promissory Note between Enron and Lay, Nov. 4, 2001 [AB000430428-AB000430429].

⁶ Section 2.01, Loan Agreement between Enron and Skilling, Oct. 13, 1997 [AB000517438-AB000517442].

⁷ *Id.* Sections 2.02 and 2.07; *See also* Section 3, Third Amendment to Employment Agreement between Enron and Skilling, Feb. 7, 2000, at 1 [AB000517418-AB000517426].

⁸ Minutes of Enron Compensation Committee Meeting, May 3, 1999 (the “5/3/99 Compensation Committee Minutes”), at 8-11 [AB000197864-AB000197875].

According to the minutes of the Compensation Committee's meeting on May 3, 1999, "Skilling had requested that he be permitted to pay back 50% of an outstanding executive loan from the Company using already owned shares of Company stock."⁹ After the Compensation Committee approved that request,¹⁰ "Mr. Lay then requested the Committee to consider permitting him to effect a similar transaction,"¹¹ which the Compensation Committee also approved.¹²

Skilling on that day transferred to the company 26,425 shares of Enron common stock having an aggregate market value of \$2,000,042.¹³ He paid the remaining principal

⁹ *Id.* at 8; Sworn Statement of Charles A. LeMaistre, former Director, Enron, to William C. Humphreys, Jr., A&B, July 17, 2003 (the "LeMaistre Sworn Statement"), at 206-07; Sworn Statement of Rebecca Comeau Carter, former Senior Vice President and Corporate Secretary, Enron, to William C. Humphreys, Jr., A&B, Sept. 3, 2003 (the "Carter Sworn Statement"), at 203.

¹⁰ 5/3/99 Compensation Committee Minutes, at 8-10.

¹¹ *Id.* at 10.

¹² *Id.* at 10-11. According to Dr. Charles LeMaistre ("LeMaistre"), Chair of Enron's Compensation Committee, Lay and Skilling asked for this permission because "they had been over the years rewarded with a great deal of Enron stock; and they were stock heavy and liquidity poor, and that in order to meet his [sic] financial obligations they needed the freedom to pay the loan back not in cash but in stock." LeMaistre Sworn Statement, at 208.

¹³ Enron - Account Reconciliation, Officers' Loans, as of Sept. 30, 2001 [AB0522 08492]. Skilling reported this transfer of shares on a Form 4 filed with the SEC on February 10, 2000, stating that the transfer occurred on June 14, 1999. Statement of Changes in Beneficial Ownership, Form 4, filed by Skilling with the SEC on Feb. 10, 2000, at 1. Lay also reported his repayments with shares to the SEC on Forms 4 and 5. Statement of Changes in Beneficial Ownership, Form 4, filed by Lay with the SEC on Feb. 10, 2000, at 1; Statement of Changes in Beneficial Ownership, Form 4, filed by Lay with the SEC on Feb. 12, 2001, at 1; Annual Statement of Changes in Beneficial Ownership, Form 5, filed by Lay with the SEC on Feb. 14, 2002, at 1. In their reports to the SEC, both Lay and Skilling indicated that the transactions were a code type "D" for SEC purposes, which means "Disposition to the issuer of issuer equity securities pursuant to Rule 16b-3(e)." Form 4, Statement of Changes in Beneficial Ownership of Securities, General Instructions, Transaction Codes, 5 Fed. Sec. L. Rep. (CCH) ¶ 33,721, at 22,621 (May 21, 2003). Rule 16b-3(e) provides in relevant part that a transaction between an issuer and one of its officers will be exempt from Section 16(b) (i.e., short-swing profit restrictions) if the transaction was approved by the issuer's board of directors or a committee of the board composed solely of two or more non-employee directors. Transactions Between an Issuer and its Officers or Directors, 17 C.F.R. § 240.16b-3(e). The Compensation Committee's resolutions approving Lay's and Skilling's repayment of loans with stock expressly stated that the Committee's approval "shall evidence compliance with Rule 16b-3(e)." 5/3/99 Compensation Committee Minutes, at 9-10. Enron's Compensation Committee was comprised solely of four non-employee directors, but even if the approval satisfied Rule 16b-3(e), it was not valid under Oregon corporate law.

amount of his loan in cash when he resigned from the company in August 2001, just four months before that amount would have been forgiven.¹⁴

Within a few days after receiving approval from the Compensation Committee, Lay began to repay the outstanding balance under his line of credit with shares of Enron common stock.¹⁵ He borrowed the maximum under his line of credit and repaid it with stock twice in 1999 for a total of approximately \$8 million, and he repeated this cycle four times in 2000 for a total of over \$16 million.¹⁶

In 2001, he repeated the cycle 17 times.¹⁷ He repaid one \$4 million borrowing with stock in February 2001, and then borrowed and repaid another \$4 million in April.¹⁸ In May 2001 he borrowed his limit and repaid it with stock twice, and in the month of June alone the cycle occurred six times.¹⁹ The pattern continued in every month through October 2001, with Lay borrowing his limit under the line of credit and repaying it with his stock at least once, and sometimes four times, each month.²⁰ From the time that the Compensation Committee granted him the right to repay his loan with Enron stock in May 1999, through the last date for which the Examiner received this information, October 26, 2001, Lay repaid loans from Enron with a total of 2,131,282 shares of Enron

¹⁴ Check from Skilling to Enron in the amount of \$2,548,000, Sept. 15, 2001 (with handwritten note "2 MM Loan Repayment, Buyout of Split Dollar") [AB000255871]; Carter Sworn Statement, at 204. However, Skilling did not pay the interest accrued on the indebtedness and, as of the Petition Date, owed approximately \$89,000 in interest.

¹⁵ See List entitled "Sales to Enron Corp. to Repay Loan," produced by Enron (the "Lay Loan Transaction Chart") [AB000430358].

¹⁶ *Id.*

¹⁷ *Id.*

¹⁸ *Id.*

¹⁹ *Id.*

²⁰ *Id.*

common stock having a market value of \$94,267,163.²¹ The chart reproduced below, which Enron provided to the Examiner, shows Lay's stock repayment transactions:²²

²¹ *Id.* During 2001, as Lay was selling large amounts of his stock back to Enron, he publicly encouraged employees to buy Enron stock. Kurt Eichenwald, *Company Man to the End, After All*, N.Y. Times, Feb. 9, 2003, at 1. According to *The New York Times*, Lay's stock sales may not have indicated that he held a contrary view of the company's stock value, but may have instead been prompted by a "risky – some would say foolhardy – trading position." *Id.* at 2. Lay apparently pledged his Enron stock as collateral against bank and brokerage loans used to make other investments and, when Enron's stock price began falling in early 2001, Lay was required to make payments on those loans because the value of the collateral had declined. *Id.* at 2. *The New York Times* has suggested that Lay may have taken actions in the summer of 2001 to avoid having to generate cash through selling his shares back to Enron, as well as other actions consistent with his public statements that Enron stock was a good buy. *Id.*

²² Lay Loan Transaction Chart.

SALES TO ENRON CORP. TO REPAY LOAN

DATE	NO. OF SHARES	SALE PRICE	AGGREGATE SALES PRICE
5/11/1999	54,000	\$74.69	\$4,033,260.00
11/10/1999	98,487	\$40.81	\$4,019,254.47
2/15/2000	58,152	\$68.94	\$4,008,998.88
8/24/2000	47,815	\$85.50	\$4,088,182.50
11/20/2000	49,950	\$80.25	\$4,008,487.50
12/28/2000	47,320	\$84.62	\$4,004,218.40
2/1/2001	50,814	\$78.79	\$4,003,635.06
4/27/2001	63,152	\$63.50	\$4,010,152.00
5/14/2001	68,182	\$58.75	\$4,005,692.50
5/25/2001	75,491	\$53.00	\$4,001,023.00
6/12/2001	79,423	\$50.37	\$4,000,536.51
6/19/2001	86,665	\$46.18	\$4,002,189.70
6/22/2001	89,126	\$44.88	\$3,999,974.88
6/26/2001	90,518	\$44.19	\$3,999,990.42
6/27/2001	85,616	\$46.72	\$3,999,979.52
6/28/2001	82,747	\$48.34	\$3,999,989.98
7/26/2001	85,720	\$46.84	\$4,015,124.80
8/21/2001	110,706	\$36.25	\$4,013,092.50
8/23/2001	108,254	\$36.95	\$3,999,985.30
8/24/2001	110,041	\$36.35	\$3,999,990.35
8/30/2001	112,706	\$35.50	\$4,001,063.00
9/4/2001	114,346	\$35.00	\$4,002,110.00
10/23/2001	76,995	\$19.79	\$1,523,731.05
10/24/2001	103,614	\$16.41	\$1,700,305.74
10/25/2001	33,672	\$16.35	\$550,537.20
10/26/2001	147,770	\$15.40	\$2,275,658.00
	2,131,282		\$94,267,163.26

329262 k18 12-31-01
 63620 8-21-01
 53,500 7-20-01
 210,642
 1,29226 shares
 81616 ?

7-20-01 52,000 = 1576,000
 8-21-01 62,000 = 1,475,000
 8-21-01 85,000 = 519,500
 16,015 31.15 = 500,000
 1,998,940

AB000430358

EC 000771607

III. ANALYSIS

By accepting shares of stock from Lay and Skilling as repayment of their loans, Enron in effect repurchased those shares from the two officers. Although the Compensation Committee adopted resolutions authorizing the repayments, that Committee lacked authority to authorize the company's repurchase of its stock under applicable corporate law.

Enron is an Oregon corporation,²³ and under Oregon law boards of directors are authorized to create committees and appoint members of the board to serve on them.²⁴ Such committees are authorized to exercise the authority of the board of directors to the extent specified by the board or in the corporation's articles of incorporation or bylaws. However, in May 1999, when the Compensation Committee authorized Lay and Skilling to repay loans with stock, Oregon law contained a number of restrictions on the authority that can be given to a committee, including a restriction providing that a committee may not "[a]uthorize or approve reacquisition of shares, except within limits prescribed by the board of directors."²⁵

The Compensation Committee's authority was clearly set out in its charter adopted by the Board in 1998.²⁶ There is nothing in that charter authorizing the Compensation Committee to approve the reacquisition of shares by Enron under any circumstances. In addition, records of Enron's Board meetings do not reflect any grant of

²³ See Section A, Articles of Incorporation of Enron [AB0785 03888-AB0785 04147].

²⁴ Or. Rev. Stat. § 60.354(1).

²⁵ *Id.* § 60.354(5)(g). Oregon Revised Statutes Section 60.354(5) was amended on May 24, 2003 and no longer restricts a committee's ability to authorize the reacquisition of shares. However, the law described above was the law in effect at the time the Compensation Committee authorized Enron to repurchase shares from Lay and Skilling.

²⁶ Enron Compensation Committee Charter, undated [AB000189440-AB000189441].

authority to the Compensation Committee with respect to approving reacquisitions of Enron stock.

While the Compensation Committee lacked authority to approve reacquisitions of Enron stock, such transactions are within the power of a corporation generally. Therefore, the reacquisition of Enron stock from Lay and Skilling without proper authority was voidable, but not void. In *CarrAmerica Realty Corp. v. Kaidanow*,²⁷ the court found that while a corporation had the power to issue shares of stock in exchange for the cancellation of a debt, because it did so in a way that violated a statutory requirement, the shares were voidable.²⁸ However, the court also concluded that because the shares were voidable, not void, equitable defenses were available, such as laches and ratification.²⁹ In the course of finding that the corporation's board of directors had ratified the issuance of the shares, the *CarrAmerica* court held: "Directors may ratify a corporate action either expressly or impliedly. Ratification may be implied 'if the corporation, represented by the board of directors, who have knowledge of the facts,

²⁷ *CarrAmerica Realty Corp. v. Kaidanow*, 321 F.3d 165 (D.C. Cir. 2003).

²⁸ *Id.* Similarly, *Reade v. Pac. Coast Home Supply Ass'n*, 66 P. 443 (Or. 1901), involved an action to recover on a promissory note alleged to have been issued by a corporation. The plaintiff alleged that the officers of the corporation who issued the note did not have the requisite authority of the board. The Supreme Court of Oregon stated that "if, therefore, the note was given for the private debt, or in settlement of the personal obligation ... and its execution was not authorized by the defendant's charter, it was issued without authority..." and the corporation would have a valid defense. *Id.* at 446. See also *Michelson v. Duncan*, 407 A.2d 211 (Del. 1979).

²⁹ *CarrAmerica*, 321 F. 3d at 171. See also *Michelson*, 407 A.2d at 218-19. Ratification is the retroactive adoption and affirmance by a corporation of an act done by one of its officers or agents without authority. See William Meade Fletcher, *et al.*, 2A *Fletcher Cyclopedic of the Law of Private Corporations* § 751 (perm. ed., rev. vol. 2001). However, in order to ratify an unauthorized act, the ratification must be made with full knowledge of the material facts connected to the transaction to which it relates. See *Young v. Janas*, 103 A.2d 299, 301 (Del. Ch. 1954); see also *Minniti v. Cascade Employers Ass'n, Inc.*, 570 P.2d 1171, 1178 (Or. 1977) ("In order to constitute ratification by a principal of a previously unauthorized contract by an agent, there must be evidence from which a jury could properly find that the principal, with knowledge of the material facts, intended to ratify the contract.").

accepts and retains the benefits of the contract or act, or recognizes it as binding, or acquiesces in it.”³⁰

Similarly, in *Currie v. Bowman*,³¹ the Supreme Court of Oregon recognized that agents of a corporation’s board of directors have only those powers conferred upon them by resolution or by other express manner. That court also stated that when such an agent, without the requisite conferral of authority by the board of directors, undertakes an unauthorized action on behalf of the corporation, the corporation is not bound by that action absent board ratification.³²

The full Board of Enron met on May 4, 1999, one day after the Compensation Committee’s meeting at which it had granted permission for the stock repayments. According to the minutes of the Board meeting, no mention was made of the decision to allow Lay and Skilling to repay their loans using Enron stock.³³ The full Board met again in August 1999, and again the minutes reflect no mention of the Compensation

³⁰ *CarrAmerica*, 321 F.3d at 173 (quoting William Meade Fletcher, *et al.*, 2A *Fletcher Cyclopedia of the Law of Private Corporations* § 762 (perm. ed., rev. vol. 2001)).

³¹ *Currie v. Bowman*, 35 P. 848 (Or. 1894).

³² *Id.* at 850. *See also Phillips v. Colfax Co.*, 243 P.2d 276 (Or. 1952), in which a lender sought to recover on a loan allegedly made to the corporation through the actions of its president, who negotiated the loan. In defense, the corporation contended that the funds were lent to the president personally, and not to the corporation. Weighing against the plaintiff’s allegation that the president had entered into the loan on behalf of the corporation was the “[p]laintiff’s failure to bring to the record evidence of express or implied authority in [the president] to borrow money for the corporation.” *Id.* at 281. Due to the president’s lack of authority, the *Phillips* court found that the plaintiff’s attempts to establish the corporation’s liability on the loan “does not fail if [the plaintiff] can show that the loan negotiated by [the president] was afterward ratified by [the corporation].” *Id.* Noting that “[i]t is elementary that when a corporation, with full knowledge of the facts, accepts and retains the benefits of an unauthorized contract, it will be bound thereby,” the *Phillips* court ultimately concluded that there was sufficient evidence to create a triable issue of fact as to whether the corporation had ratified the unauthorized borrowing by knowingly accepting the benefits of the loan without repudiating it. *Id.*

³³ *See Minutes of Enron Board Meeting, May 4-5, 1998* [AB000189397-AB000189418]. At this meeting, the Compensation Committee sought approval from the Board for only three items, none of which involved the repayment of Lay’s and Skilling’s loans with stock. The minutes do not reflect that the Compensation Committee’s approval was ever reported to the Board as a decision made by that committee.

Committee's decision to allow the stock repurchases.³⁴ Several of the Outside Directors who were not members of the Compensation Committee denied knowledge that the Compensation Committee had granted this approval. The Outside Directors, including members of the Compensation Committee, have consistently denied any knowledge of Lay's repeated borrowings and repayments with stock.³⁵

In the absence of knowledge, there is not even a preliminary issue of ratification. Moreover, it is the knowledge and conduct of only the Board that is relevant to the question of ratification by its members. Knowledge of others at Enron who did not have the authority to approve the reacquisition of shares by the company is irrelevant. Ratification could only have come from the conduct of the body having the power to

³⁴ See Minutes of Enron Board Meeting, Aug. 10, 1999 [AB000196153-AB000196175].

³⁵ See, e.g., Sworn Statement of Ken L. Harrison, former Director, Enron, to Steven M. Collins, A&B, Aug. 27, 2003, at 186-87; Sworn Statement of John A. Urquhart, former Director, Enron, to Steven M. Collins, A&B, Sept. 5, 2003, at 131-32; Sworn Statement of Joe H. Foy, former Director, Enron, to William C. Humphreys, Jr., A&B, Aug. 26, 2003, at 169-70. Former director Robert A. Belfer testified that he noticed Lay was selling stock in the first quarter of 2001 and made inquiries:

Q. Did you notice in the first quarter of 2001 that Mr. Lay was selling stock, Enron stock?

A. I – yes.

Q. Did you make any inquiry about it?

A. Yes, I did.

Q. What did you do?

A. I mentioned this to either Mr. Winokur or Mr. Lay or both of them, and they made inquiry of Mr. Lay, who told them that he was exercising options and selling them, the stock that he, that ensued from the options.

Q. As opposed to repaying company loans with stock?

A. That is correct.

Sworn Statement of Robert A. Belfer, former Director, Enron, to Steven M. Collins, A&B, July 31, 2003, at 182-83. Lay told the Examiner that he recalled discussing his use of the Enron line of credit with LeMaistre in September 2001, when the Compensation Committee was considering revisions to his compensation package following his return to the CEO position. In-Person Interview with Kenneth L. Lay, former CEO, Enron, by William C. Humphreys, Jr., A&B, Oct. 18, 2003. Lay did not recall providing any previous notice to the Board of his draws under the line of credit, or his use of stock to repay those loans. *Id.*

approve Enron's reacquisition of its shares in the first place—i.e., the Board of Directors.³⁶

³⁶ See *Sea Lion Corp. v. Air Logistics of Alaska, Inc.*, 787 P.2d 109, 118 (Alaska 1990) (“[K]nowledge necessary to ratify an unauthorized act must be that of an entity with power to authorize it in the first instance.”) (citing *Ulloa v. Guam Econ. Dev. Auth.*, 580 F.2d 952, 956 (9th Cir. 1978)).

While knowledge of the affairs of a corporation by directors will be presumed in favor of an innocent third party for purposes of ratification, it will not be presumed in favor of an officer or director. *Alward v. Broadway Gold Mining Co.*, 20 P.2d 647, 650 (Mont. 1933). Similarly, in *Reade* the Supreme Court of Oregon stated that if the note had been assigned, before maturity to an innocent purchaser for valuable consideration, the corporation would not be able to assert the defense that it was issued without the requisite authority. *Reade*, 66 P. at 445.

IV. CONCLUSIONS

Enron took action it was legally entitled to take, but in a manner that failed to comply with the enabling statute. The Compensation Committee's decision to allow Lay and Skilling to repay their loans using Enron stock was not sufficient to authorize the transactions. Oregon law was clear at the time of these transactions: committees of the Board were not permitted to approve repurchases of company stock without specific authority from the Board. In this instance, that authority was apparently never granted to the Compensation Committee.

Lay and Skilling may argue that the repurchases of their shares were ratified by the Board. The burden of proving that the Board had knowledge of the Compensation Committee's decision will fall on Lay and Skilling. Based on the minutes of the Board meetings and the testimony of Outside Directors, it does not appear that Lay or Skilling would be able to meet that burden. Furthermore, any attempt by Lay and Skilling to claim they are innocent third parties should also fail because they were inside directors and should have had knowledge of Enron's policies. Thus, there is sufficient evidence for a fact-finder to conclude that the transactions Lay and Skilling consummated with Enron in reliance upon the Compensation Committee's improper approval are voidable at the election of Enron. Upon such event: (i) Enron would return to Lay 2,131,282 shares of Enron common stock, and Lay would be liable to repay loans in the amount of \$94,267,163 plus any applicable interest; and (ii) Enron would return to Skilling 26,425 shares of Enron common stock, and Skilling would be liable to repay his loan in the amount of \$2,000,042 plus any applicable interest.

In the Second Interim Report, the Examiner concluded that Enron has an alternative cause of action against Lay for \$74.025 million of the amount stated above under Section 548(a)(1)(B) of the Bankruptcy Code.³⁷ This is the amount that Lay borrowed from Enron and repaid with shares of his stock within the twelve months prior to the Petition Date (which is the applicable “reach back period” under the Bankruptcy Code).

The state law theory of voiding the repayments due to lack of proper approval, as described in this Annex, is an alternative to the presently pending claim against Lay under Section 548(a)(1)(B) for the avoidance of a constructively fraudulent transfer. This alternative state law theory would increase the claim against Lay by approximately \$20 million, which is the amount of loans Lay repaid with stock during the period that was more than twelve months prior to the Petition Date.

³⁷ See Second Interim Report, Annex 1 to Appendix P (Avoidance Actions).

ANNEX 2 (Legal Standards Applicable to Lay, Skilling and Outside Directors)

to

APPENDIX D

(Roles of Lay, Skilling and Outside Directors)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	CHOICE OF LAW	3
III.	BOARD DECISION-MAKING	4
IV.	BOARD OVERSIGHT	8
	A. GENERALLY.....	8
	B. THE DUTY TO MONITOR.....	9
	C. THE DUTY TO INQUIRE.....	18
V.	INSIDE DIRECTORS COMPARED TO OUTSIDE DIRECTORS	27
VI.	INDEMNIFICATION AND INSURANCE	32
	A. INDEMNIFICATION.....	32
	B. INSURANCE.....	34

I. INTRODUCTION

The role of a corporate director includes two principal functions: a decision-making function and an oversight function.¹ The decision-making function generally involves action taken at a particular point in time, while the oversight function generally involves ongoing monitoring of the corporation's business and affairs over a period of time.² The standard of conduct for performing both of these functions with respect to an Oregon corporation is set forth in Oregon Revised Statutes § 60.357(1), which provides:

A director shall discharge the duties of a director, including the duties as a member of a committee, in good faith, with the care an ordinarily prudent person in a like position would exercise under similar circumstances and in a manner the director reasonably believes to be in the best interests of the corporation.³

The following discussion begins with a brief summary of a director's fiduciary duty of care in the decision-making context and then provides a more in-depth explanation of a director's oversight responsibility.⁴ The explanation of board oversight divides oversight responsibility into two principal components: a duty to monitor and a duty to inquire. It observes that a failure to discharge the duty to monitor, where found actionable by the courts, has typically been characterized by abdication or sustained inattention, while actionable failures to satisfy the duty to inquire occur in cases of ordinary negligence. If a customary director exculpation provision applies, a director's failure to satisfy either component of oversight must amount to conduct "not in good faith" or must involve "intentional misconduct" or "a knowing violation of law" in order

¹ 2 *ABA Model Bus. Corp. Act Ann.* (3d ed. 2000 & Supp. 2002) § 8.31 Official cmt. at 8-204 (the "*ABA Model Bus. Corp. Act Ann.*").

² *Id.*

³ Or. Rev. Stat. § 60.357(1).

⁴ For a more complete discussion of fiduciary duties in the decision-making context, see Appendix B (Legal Standards) to the Third Interim Report.

to establish liability. However, a customary director exculpation provision would not apply when a director who is also an officer (i.e., an “inside director”) acts or fails to act in his or her capacity as an officer. Moreover, due to an inside director’s greater role in and responsibility for the corporation’s day-to-day affairs, he or she typically would have more occasion to encounter circumstances giving rise to a duty to inquire and, correspondingly, more exposure to liability for failing to satisfy this duty as compared to a non-officer (or “outside”) director.

II. CHOICE OF LAW

A fiduciary duty claim brought against a director of a corporation is governed by the law of the state where the corporation is incorporated, pursuant to the “internal affairs doctrine.”⁵ Enron is incorporated under the laws of the State of Oregon.⁶ Accordingly, Oregon law governs the fiduciary duty of Enron’s directors.

Because there are relatively few published opinions regarding fiduciary duties under Oregon corporation law, this Appendix will also refer to the corporation law of other states, particularly the State of Delaware, the jurisdiction widely recognized as having the most fully developed body of corporation law.⁷ In addition, because Oregon’s corporation law statute, the Oregon Business Corporation Act (“OBCA”), is based upon the Model Business Corporation Act developed by the Committee on Corporate Laws of the Section of Business Law of the American Bar Association (the “Model Act”), this Appendix will from time to time refer to the official commentary that accompanies the Model Act.

⁵ This result is true whether such a claim were brought in this court or a court sitting in Texas. In the Second Circuit, a bankruptcy court must apply the choice of law rules of the forum state unless the case implicates important federal bankruptcy policies. *Bianco v. Erkins (In re Gaston & Snow)*, 243 F.3d 599 (2d Cir.), *cert. denied*, 534 U.S. 1042 (2001). New York applies the internal affairs doctrine to such claims. *BBS Norwalk One, Inc. v. Raccolta, Inc.*, 60 F. Supp. 2d 123, 129 (S.D.N.Y. 1999), *aff’d*, 205 F.3d 1321 (2d Cir. 2000). The result would be the same if a fiduciary duty claim were brought against a corporation’s director in a Texas court. Under Texas law, the law of the jurisdiction of incorporation of a foreign corporation governs the internal affairs of the corporation, including but not limited to the rights, powers and duties of its board of directors. Tex. Bus. Corp. Act Ann. art. 8.02. *See also Hollis v. Hill*, 232 F.3d 460, 464-65 (5th Cir. 2000) (applying Texas law in a diversity action and recognizing Texas’ codified internal affairs doctrine).

⁶ Articles of Incorporation of Enron [AB0785 03888-AB0785 04147].

⁷ Oregon courts, as well as federal courts applying Oregon law, have in the past relied upon Delaware law for guidance regarding corporation law issues. *See, e.g., Stringer v. Car Data Sys., Inc.*, 841 P.2d 1183 (Or. 1992); *Chiles v. Robertson*, 767 P.2d 903 (Or. Ct. App.), *modified*, 744 P.2d 500 (Or. Ct. App. 1989); and *Kahn v. Sprouse*, 842 F. Supp. 423 (D. Or. 1993).

III. BOARD DECISION-MAKING

As explained more fully in Appendix B (Legal Standards) to the Third Interim Report, when directors of a corporation make business decisions on behalf of the corporation, they must satisfy their fiduciary duty of care.⁸ A doctrine known as the business judgment rule focuses the duty of care analysis of a business decision on the process by which the decision was reached (e.g., whether all material information reasonably available was taken into consideration), as opposed to the substance of the decision itself (e.g., whether a reasonably careful, or risk free, course of action was selected).⁹ Accordingly, where the business judgment rule applies, the duty of care may be characterized as a duty to exercise informed business judgment. Under Oregon law, the adequacy of the decision-making process (i.e., whether the business decision was sufficiently “informed”) would likely be measured by concepts of ordinary negligence.

There is a limit, however, on the amount of judicial deference afforded to the substance of a business decision by the business judgment rule. Even if a director makes a business decision in a manner that satisfies the duty of process due care, the business judgment rule will not protect a decision that cannot be attributed to any rational business purpose.¹⁰

⁸ As always, directors must also satisfy their fiduciary duties of good faith and loyalty, each of which is discussed more fully in Appendix B (Legal Standards) to the Third Interim Report.

⁹ See *Brehm v. Eisner*, 746 A.2d 244, 264 (Del. 2000) (“Courts do not measure, weigh or quantify directors’ judgments. We do not even decide if they are reasonable in this context. Due care in the decisionmaking context is *process* due care only.”) (emphasis in original).

¹⁰ The limited substantive review contemplated by this outer limit of the business judgment rule may be thought of as a manifestation of the fiduciary duty of good faith. See, e.g., *Parnes v. Bally Entm’t Corp.*, 722 A.2d 1243, 1246 (Del. 1999) (“The presumptive validity of a business judgment is rebutted in those rare cases where the decision under attack is ‘so far beyond the bounds of reasonable judgment that it seems essentially inexplicable on any ground other than bad faith.’”) (quoting *West Point – Pepperell, Inc. v. J.P. Stevens & Co. (In re J.P. Stevens & Co.)*, 542 A.2d 770, 780-81 (Del. Ch. 1988)); *In re RJR Nabisco, Inc. Shareholders Litig.*, No. 10389, 1989 WL 7036, at *22 n.13 (Del. Ch. Jan. 31, 1989) (stating that the limited substantive review contemplated in the business judgment rule (i.e., whether the decision is

In addition, when directors know they are making material decisions without adequate information and without adequate deliberation, their conduct may be considered to lack good faith. In the recent case of *In re Walt Disney Co. Derivative Litigation*,¹¹ the plaintiffs alleged that Disney's directors breached their fiduciary duties when they blindly approved an employment agreement with Michael Ovitz and then, again without any review or deliberation, ignored Michael Eisner's dealings with Ovitz regarding his non-fault termination, resulting in an award to Ovitz (allegedly exceeding \$140 million) after barely one year of employment. As alleged, Eisner, Disney's chief executive officer, decided unilaterally to hire Ovitz, Eisner's close friend for over 25 years, as Disney's president. The *Disney* court summarized the facts alleged in the complaint as follows:

No draft employment agreements were presented to the compensation committee or to the Disney board for review before the September 26, 1995 meetings. The compensation committee met for less than an hour on September 26, 1995, and spent most of its time on two other topics, including the compensation of director Russell for helping secure Ovitz's employment. With respect to the employment agreement itself, the committee received only a summary of its terms and conditions. No questions were asked about the employment agreement. No time was taken to review the documents for approval. Instead, the committee approved the hiring of Ovitz and directed Eisner, Ovitz's close friend, to carry out the negotiations with regard to certain still unresolved and significant details.

The [board] met immediately after the committee did. Less than one and one-half pages of the fifteen pages of [board] minutes were devoted to discussions of Ovitz's hiring as Disney's new president. Actually, most of that time appears to have been spent discussing compensation for director Russell. No presentations were made to the [board] regarding the terms of the draft agreement. No questions were raised, at least so far as the minutes reflect. At the end of the meeting, the [board] authorized Ovitz's hiring as Disney's president. No further review or approval of the employment agreement occurred. Throughout both meetings, no expert

irrational or egregious or so beyond reason) is really a way of inferring bad faith), *appeal refused*, No. 49,1989, 1989 WL 16907 (Del. Feb. 2, 1989).

¹¹ 825 A.2d 275 (Del Ch. 2003).

consultant was present to advise the compensation committee or the [board]. Notably, the [board] approved Ovitz's hiring even though the employment agreement was still a "work in progress." The [board] simply passed off the details to Ovitz and his good friend, Eisner.¹²

The complaint alleged facts depicting even less involvement by the Disney board in the decision to grant Ovitz a non-fault termination, which, in turn, triggered significant financial benefits to Ovitz. That decision allegedly was made by Eisner and one other director without ever consulting the board. Once the board was made aware of the decision, the directors allegedly did nothing to question it, explore alternatives or evaluate the implications of the non-fault termination.

Denying the directors' motion to dismiss the claims, the *Disney* court concluded:

These facts, if true, do more than portray directors who, in a negligent or grossly negligent manner, merely failed to inform themselves or to deliberate adequately about an issue of material importance to their corporation. Instead, the facts alleged in the new complaint suggest that the defendant directors *consciously and intentionally disregarded their responsibilities*, adopting a "we don't care about the risks" attitude concerning a material corporate decision. Knowing or deliberate indifference by a director to his or her duty to act faithfully and with appropriate care is conduct, in my opinion, that may not have been taken honestly and in good faith to advance the best interests of the company. Put differently, all of the alleged facts, if true, imply that the defendant directors *knew* that they were making material decisions without adequate information and without adequate deliberation, and that they simply did not care if the decisions caused the corporation and its stockholders to suffer injury or loss. Viewed in this light, plaintiffs' new complaint sufficiently alleges a breach of the directors' obligation to act honestly and in good faith in the corporation's best interests for a Court to conclude, if the facts are true, that the defendant directors' conduct fell outside the protection of the business judgment rule.¹³

¹² *Id.* at 287 (footnote omitted).

¹³ *Id.* at 289 (emphasis in original) (citation omitted).

The court also concluded that the plaintiffs' claims fell outside the protection of the director exculpation provision in Disney's charter because the claims were based on alleged actions that are either "not in good faith" or "involve intentional misconduct."¹⁴

¹⁴ *Id.* at 290.

IV. BOARD OVERSIGHT

A. Generally

The oversight responsibility of an Oregon corporation's board of directors is established indirectly by Oregon Revised Statutes § 60.301(2)'s broad provision making the board responsible for the exercise of corporate powers and the direction of how the corporation's business and affairs are managed.¹⁵ Proper discharge of the board's oversight responsibility has two principal components: (1) a duty to monitor by undertaking reasonable efforts to remain attentive to and informed of the corporation's business and affairs; and (2) a duty to inquire when indications of potential problems, or "red flags," arise. As explained by the drafters of the Model Act, the board's oversight function

refers to concern with the corporation's information and reporting systems and not to proactive inquiry searching out system inadequacies or noncompliance. While directors typically give attention to future plans and trends as well as current activities, they should not be expected to anticipate the problems which the corporation may face except in those circumstances where something has occurred to make it obvious to the board that the corporation should be addressing a particular problem. The standard of care associated with the oversight function involves gaining assurances from management and advisers that systems believed appropriate have been established coupled with ongoing monitoring of the systems in place, such as those concerned with legal compliance or internal controls--followed up with a proactive response when alerted to the need for inquiry.¹⁶

¹⁵ See Or. Rev. Stat. § 60.301(2); 2 *ABA Model Bus. Corp. Act Ann.* § 8.30 Official cmt. at 8-168.

¹⁶ 2 *ABA Model Bus. Corp. Act Ann.* § 8.30 Official cmt. at 8-169.

B. The Duty to Monitor

The duty of a board of directors to monitor corporate affairs is well established.¹⁷ The failure to discharge this duty, where found actionable, has typically been characterized by the courts in terms of abdication or sustained inattention, not a brief distraction or temporary interruption.¹⁸ The American Law Institute (“ALI”) notes “[c]ourts have generally recognized the dangers inherent in making *post hoc* judgments about the care exercised by directors and officers and have allowed them considerable leeway.”¹⁹ Nevertheless, according to the ALI, “sustained patterns of inattention to obligations by directors or officers or unreasonable blindness to problems that later cause substantial harm will create exposure to liability.”²⁰

In *Francis v. United Jersey Bank*,²¹ the primary issue was whether a corporate director was personally liable in negligence for failing to prevent the misappropriation of funds by other directors who were also officers and shareholders of the corporation. Over a period of approximately five years, the officers withdrew for themselves ever-increasing sums of money from the corporation under the guise of loans. The funding of the loans left the corporation insolvent and eventually led to its bankruptcy. The “loans” far exceeded the financial resources of the officers and were never repaid. Thus, the court characterized them as misappropriations rather than loans. The defendant (the officers’ mother) served as a director throughout this period of time, but was not actively

¹⁷ See American Law Institute, *Principles of Corporate Governance: Analysis & Recommendations* § 3.02 cmt. d (1994) (the “ALI Principles”) (“A significant aspect of oversight by the board is continuing attention to the conduct of the corporation’s business.”).

¹⁸ 2 *ABA Model Bus. Corp. Act Ann.* § 8.31 Official cmt. at 8-204.

¹⁹ ALI Principles § 4.01(a) cmt. h.

²⁰ *Id.*

²¹ 432 A.2d 814 (N.J. 1981).

engaged, knew virtually nothing about the corporation's affairs and never read or obtained the corporation's financial statements. The loans were listed as assets on the corporation's annual balance sheets and increased each year in tandem with corresponding increases in working capital deficits. The court held:

Directors are under a continuing obligation to keep informed about the activities of the corporation Directors may not shut their eyes to corporate misconduct and then claim that because they did not see the misconduct, they did not have a duty to look. The sentinel asleep at his post contributes nothing to the enterprise he is charged to protect Directorial management does not require a detailed inspection of day-to-day activities, but rather a general monitoring of corporate affairs and policies While directors are not required to audit corporate books, they should maintain familiarity with the financial status of the corporation by a regular review of financial statements.²²

Noting that even a cursory reading of the financial statements would have revealed the officers' misappropriations, the court held the defendant director liable for breaching her duty to monitor.

Similarly, in *Hoye v. Meek*,²³ the Tenth Circuit upheld a finding of liability on the part of the chairman and president of a bank for failing to avert substantial investment losses incurred by the bank. The chairman/president delegated virtually all authority to run the bank's day-to-day operations to his son and did not take an active role in the bank's affairs or regularly attend board meetings. Through the son's initiative, and apparently unknown to the chairman/president, the bank made a number of imprudent investments that ultimately led to the bank's failure and bankruptcy. The court concluded that the chairman/president breached his fiduciary duty of care by failing to monitor the bank's investments and failing to supervise his son. The court expressly rejected an

²² *Id.* at 822 (citations omitted).

²³ 795 F.2d 893 (10th Cir. 1986).

argument that the chairman/president's duty of care was lessened by his semi-retired status. The court also rejected an argument that, because the son had operated the bank at a profit for seven years, the directors' and president's duty to monitor was dissipated. The holding in *Hoye* did not depend on whether or to what extent the chairman/president had actual knowledge of the losses being incurred by the bank, but rather on his overall lack of attention to the bank's affairs. According to the court, "[The chairman/president] had a duty to keep abreast of [the bank's] investments, particularly investments that posed a double risk of decrease in market price and an increase in transactional costs."²⁴

When directors do remain actively engaged and attentive to corporate affairs, courts have been more reluctant to hold them liable for breach of the duty to monitor notwithstanding their failure to detect and prevent misconduct occurring within the corporation.

In *Devlin v. Moore*,²⁵ the receiver of the Oregon Trust & Savings Bank alleged that

each of the [bank's] directors . . . neglected and violated all and singular his duties and obligations, and that each was guilty of gross negligence and inattention in the discharge of his several duties and obligations, and of a reckless disregard of the interests of the corporation, its stockholders and creditors, resulting in large losses . . . on account of loans to insolvent and irresponsible parties and misappropriations of funds and property by some of the officers of the bank.²⁶

The Supreme Court of Oregon upheld findings of liability for two directors who were also officers of the bank and who actively participated in misappropriating bank funds.

As to the remaining directors, the court focused on whether they were negligent in their

²⁴ *Id.* at 896.

²⁵ 130 P. 35 (Or. 1913).

²⁶ *Id.* at 37.

supervision of the bank's affairs by failing to discover and prevent the officer misconduct. The court explained:

As a general rule, directors are charged with the duty of reasonable supervision over the affairs of the bank. It is their duty to use ordinary diligence in ascertaining the condition of its business, and to exercise reasonable control and supervision over its affairs. They are not insurers or guarantors of the fidelity and proper conduct of the executive officers of the bank and are not responsible for losses resulting from their wrongful acts or omissions, provided that they have exercised ordinary care in the discharge of their own duties as directors.

Ordinary care, in this matter as in other departments of the law, means that degree of care which prudent and diligent men would ordinarily exercise under similar circumstances. The degree of care required further depends upon the subject to which it is to be applied, and each case must be determined in view of all the circumstances of that particular case. If nothing has come to the knowledge to awaken suspicion that something is going wrong, ordinary attention to the affairs of the institution is sufficient. If, on the other hand, directors know, or by the exercise of ordinary care should have known, any facts which would awaken suspicion and put a prudent man on his guard, then a degree of care commensurate with the evil to be avoided is required, and a want of that care makes them responsible. Directors cannot, in justice to those who deal with the bank, shut their eyes to what is going on around them. Directors are not expected to watch the routine of every day's business, but they ought to have a general knowledge of the manner in which the bank's business is conducted, and upon what securities its larger lines of credit are given, and generally to know of and give direction to the important and general affairs of the bank.²⁷

Although the directors failed to detect and prevent the officer misconduct, the *Devlin* court concluded the directors were not liable. The court noted that, with the benefit of hindsight, the supervision of the bank's affairs was "faulty."²⁸ But, because the directors were actively engaged and made certain inquiries, the court concluded they were not negligent in discharging their duty of oversight. Rather, the court attributed the

²⁷ *Id.* at 45.

²⁸ *Id.*

board's failure to detect and prevent the officer misconduct to having been deceived by one of the officers.

In *Graham v. Allis-Chalmers Manufacturing Co.*,²⁹ the Supreme Court of Delaware considered the potential liability of directors for losses incurred by a corporation as a result of federal anti-trust law violations by certain of its employees. There was no claim that the directors had actual knowledge of the employee misconduct. Rather, the plaintiffs were "forced to rely solely upon the legal proposition . . . that directors of a corporation, as a matter of law, are liable for losses suffered by their corporations by reason of their gross inattention to the common law duty of actively supervising and managing the corporate affairs."³⁰ Addressing this theory of liability, the *Graham* court held:

If [a director] has recklessly reposed confidence in an obviously untrustworthy employee, has refused or neglected cavalierly to perform his duty as a director, or has ignored either willfully or through inattention obvious danger signs of employee wrongdoing, the law will cast the burden of liability upon him. This is not the case at bar, however, for as soon as it became evident that there were grounds for suspicion, the Board acted promptly to end it and prevent its recurrence.

Plaintiffs say these steps should have been taken long before, even in the absence of suspicion, but we think not, for we know of no rule of law which requires a corporate director to assume, with no justification whatsoever, that all corporate employees are incipient law violators who, but for a tight checkrein, will give free vent to their unlawful propensities.³¹

The Delaware Court of Chancery revisited *Graham's* holding and the duty of oversight in *In re Caremark International Inc. Derivative Litigation*.³² Caremark derived

²⁹ 188 A.2d 125 (Del. 1963).

³⁰ *Id.* at 130.

³¹ *Id.* at 130-31.

³² 698 A.2d 959 (Del. Ch. 1996).

a substantial part of its revenues from Medicare and Medicaid and was subject to federal anti-kickback laws that prohibit health care providers from paying remuneration to induce the referral of Medicare or Medicaid patients. Caremark maintained contracts and relationships with health care industry participants that, while not expressly prohibited by the anti-kickback laws, nevertheless raised a possibility of unlawful kickbacks. Caremark's directors were aware of these relationships and of the uncertainty regarding their legality. Caremark's directors took a number of steps apparently in an effort to address these uncertainties and assure compliance with law, including obtaining expert legal advice and developing and disseminating company policies designed to assure compliance. Nevertheless, following a series of governmental investigations, several indictments were obtained against Caremark and certain of its officers charging them with violations of the anti-kickback laws. In addition, several private insurance company payors asserted claims against Caremark for allegedly improper business practices stemming from the same conduct. Caremark paid in excess of \$250 million to settle the claims raised by the government and the private payors.

Caremark shareholders brought a derivative claim against Caremark's board of directors for breach of fiduciary duty. The *Caremark* court summarized the derivative claim as follows: "The claim is that the directors allowed a situation to develop and continue which exposed the corporation to enormous legal liability and that in so doing they violated a duty to be active monitors of corporate performance."³³ After characterizing the plaintiffs' theory of liability as "possibly the most difficult theory in corporation law upon which a plaintiff might hope to win a judgment," the court

³³ *Id.* at 967.

explained that “director liability for a breach of the duty to exercise appropriate attention” may arise in two distinct contexts:

First, such liability may be said to arise *from a board decision* that results in a loss because that decision was ill advised or “negligent”. Second, liability to the corporation for a loss may be said to arise from an *unconsidered failure of the board to act* in circumstances in which due attention would, arguably, have prevented the loss. The first class of cases will typically be subject to review under the director-protective business judgment rule³⁴

Addressing the second class of cases in which director liability is asserted for losses resulting from unconsidered inaction, the *Caremark* court said “as in this case, the claim asserted [in *Graham*] was that the directors *ought to have known* of [the employee misconduct] and if they had known they would have been under a duty to bring the corporation into compliance with the law and thus save the corporation from the loss.”³⁵ Without disagreeing with *Graham*’s holding that directors can be “blamelessly unaware” of loss-creating conduct when there are no “grounds for suspicion,” the *Caremark* court refused to generalize this holding too broadly.³⁶ The *Caremark* court stated that *Graham* does not mean “that corporate boards may satisfy their obligation to be reasonably informed concerning the corporation, without assuring themselves that information and reporting systems exist in the organization that are reasonably designed to provide to senior management and to the board itself timely, accurate information sufficient to allow management and the board, each within its scope, to reach informed judgments

³⁴ *Id.* (emphases in original) (citation omitted). Conversely, in cases involving the board’s unconsidered failure to act, the business judgment rule does not apply because, as a threshold matter, no business judgment has been made. See *Aronson v. Lewis*, 473 A.2d 805, 813 (Del. 1984) (“[T]he business judgment rule operates only in the context of director action. Technically speaking, it has no role where directors have either abdicated their functions, or absent a conscious decision, failed to act.”), *overruled on other grounds*, *Brehm*, 746 A.2d 244. For a discussion of the business judgment rule, see Appendix B (Legal Standards) to the Third Interim Report.

³⁵ *Caremark*, 698 A.2d at 969 (emphasis in original).

³⁶ *Id.*

concerning both the corporation's compliance with law and its business performance."³⁷

The *Caremark* court added:

Obviously the level of detail that is appropriate for such an information system is a question of business judgment. And obviously too, no rationally designed information and reporting system will remove the possibility that the corporation will violate laws or regulations, or that senior officers or directors may nevertheless sometimes be misled or otherwise fail reasonably to detect acts material to the corporation's compliance with the law. But it is important that the board exercise a good faith judgment that the corporation's information and reporting system is in concept and design adequate to assure the board that appropriate information will come to its attention in a timely manner as a matter of ordinary operations, so that it may satisfy its responsibility.³⁸

Turning to its analysis of the directors' conduct, the *Caremark* court began by saying:

In order to show that the Caremark directors breached their duty of care by failing adequately to control Caremark's employees, plaintiffs would have to show either (1) that the directors knew or (2) should have known that violations of law were occurring and, in either event, (3) that the directors took no steps in a good faith effort to prevent or remedy that situation, and (4) that such failure proximately resulted in the losses complained of....³⁹

Finding no evidence that the board actually knew of the unlawful conduct, the court turned to the issue of whether the board was culpable for being unaware of it:

Generally where a claim of directorial liability for corporate loss is predicated upon ignorance of liability creating activities within the corporation, as in *Graham* or in this case, in my opinion only a sustained or systematic failure of the board to exercise oversight—such as an utter failure to attempt to assure a reasonable information and reporting system exists—will establish the lack of good faith that is a necessary condition of liability. Such a test of liability—lack of good faith as evidenced by sustained or systematic failure of a director to exercise reasonable oversight—is quite high. But, a demanding test of liability in the oversight context is probably beneficial to corporate shareholders as a

³⁷ *Id.* at 970.

³⁸ *Id.*

³⁹ *Id.* at 971.

class, as it is in the board decision context, since it makes board service by qualified persons more likely, while continuing to act as a stimulus to *good faith performance of duty* by such directors.⁴⁰

The *Caremark* court concluded that the claims against the Caremark directors were “extremely weak” factually because the record did not support the conclusion that the directors either lacked good faith in the exercise of their monitoring responsibilities or conscientiously permitted a known violation of law to occur.⁴¹

In summary, courts have generally been reluctant to impose liability on directors for failing adequately to monitor corporate affairs absent some form of sustained inattention or abdication of duty. Courts have acknowledged that actively engaged boards will not always be able to detect and prevent misconduct occurring within the corporation. Thus, as long as reasonable efforts are undertaken to remain attentive to and informed of the corporation’s business and affairs, directors generally will be found to have discharged their duty to monitor, even if loss-creating activities go unnoticed.

Before turning to the second component of board oversight - the duty to inquire - a comment on director exculpation provisions and their impact on liability for breach of the duty to monitor is appropriate.⁴² Many director exculpation provisions (including Enron’s) contain an exception for “acts or omissions not in good faith or which involve

⁴⁰ *Id.* (emphasis in original).

⁴¹ *Id.*

⁴² Like the corporate codes of most states, the Oregon Business Corporation Act (the “OBCA”) expressly permits an Oregon corporation to include in its articles of incorporation a provision eliminating or limiting the personal liability of directors to the corporation or its shareholders for monetary damages for certain conduct as a director. *See* Or. Rev. Stat. § 60.047(2)(d). Consistent with this statute, Enron’s articles of incorporation provide that a director of Enron shall not be personally liable to Enron or its shareholders for monetary damages for conduct as a director, except for liability (i) for any breach of the director’s duty of loyalty to Enron or its shareholders, (ii) for acts or omissions not in good faith or which involve intentional misconduct or a knowing violation of law, (iii) for any unlawful distribution under Or. Rev. Stat. § 60.367, or (iv) for any transaction from which the director derived an improper personal benefit. *See* Article VII, Section A., Articles of Incorporation of Enron [AB0785 03888-AB0785 04147].

intentional misconduct or a knowing violation of law.” In this regard, it is noteworthy that the *Caremark* court characterized its test for liability in the oversight context (i.e., “sustained or systematic failure of a director to exercise reasonable oversight”) as conduct that lacks good faith.⁴³ Accordingly, a failure to monitor that amounts to sustained inattention or abdication is not likely to be protected by a customary director exculpation provision.

C. The Duty to Inquire

The foregoing discussion focused on the general duty of a board of directors to monitor corporate affairs. The following discussion turns to a director’s specific duty to inquire when, in the course of monitoring corporate affairs, red flags arise indicating a potential problem that merits more in-depth attention.⁴⁴ As stated by the drafters of the Model Act:

Embedded in the oversight function is the need to inquire when suspicions are aroused. This duty is not a component of ongoing oversight, and does not entail proactive vigilance, but arises when, and only when, particular facts and circumstances of material concern (e.g., evidence of embezzlement at a high level or the discovery of significant inventory shortages) suddenly surface.⁴⁵

The Supreme Court of Delaware alluded to the duty to inquire in *Graham v. Allis-Chalmers* when it indicated that directors could be liable if they have “ignored either

⁴³ *Caremark*, 698 A.2d at 971. Note that the *Francis*, *Hoye*, *Devlin* and *Graham* decisions discussed above predate the proliferation of director exculpation provisions and do not address the impact of such provisions. The first statute expressly permitting director exculpation provisions was passed in the State of Delaware in 1986.

⁴⁴ The circumstances surrounding a duty of inquiry can affect the manner and scope of inquiry that is appropriate. See *Fitzpatrick v. FDIC*, 765 F.2d 569, 577 (6th Cir. 1985) (“While it is true that there is no ‘invariable presumption of rascality as to one’s agents in business transactions,’ that does not mean that an officer or director should not inquire further when insider transactions are being considered by the board. The director’s duty of inquiry cannot be met by representations of propriety from interested parties; he must be personally satisfied that there was an adequate independent investigation showing the propriety of the transaction.”) (citation omitted).

⁴⁵ 2 *ABA Model Bus. Corp. Act Ann.* § 8.31 Official cmt. at 8-204 to 8-205.

willfully or through inattention obvious danger signs of employee wrongdoing.”⁴⁶ In addition, the Supreme Court of Oregon articulated this embedded duty of inquiry in *Devlin v. Moore* when it stated:

If nothing has come to the knowledge to awaken suspicion that something is going wrong, ordinary attention to the affairs of the institution is sufficient. If, on the other hand, directors know, or by the exercise of ordinary care should have known, any facts which would awaken suspicion and put a prudent man on his guard, then a degree of care commensurate with the evil to be avoided is required, and a want of that care makes them responsible.⁴⁷

In light of the “ordinary care” standard articulated by the *Devlin* court and the “ordinarily prudent person” language of the standard of care set forth in Oregon Revised Statutes § 60.357(1), it is likely that a court undertaking a duty to inquire analysis under Oregon law would apply a standard of ordinary negligence.⁴⁸ Thus, in addition to remaining informed generally of corporate affairs through on going monitoring, directors must exercise reasonable care to recognize and inquire about circumstances that “awaken suspicion.”

⁴⁶ *Graham*, 188 A.2d at 130.

⁴⁷ *Devlin v. Moore*, 130 P. 35, 45 (Or. 1913).

⁴⁸ See also *Hoye*; *FDIC v. Mason*, 115 F.2d 548 (3d Cir. 1940); *Atherton v. Anderson*, 99 F.2d 883 (6th Cir. 1938); ALI Principles § 4.01(a)(1)-(a)(2) cmt. a (“Although the specific wording of court decisions has varied, the decisions have long required a director or officer to be attentive to his or her functions and obligations and to make inquiry when the circumstances would alert a reasonable director or officer to the need therefor.”).

On the other hand, it is less clear whether the standard for the duty to inquire under Delaware law is ordinary negligence or something less exacting of fiduciaries, such as gross negligence. In *Rabkin v. Hunt*, No. 28436, 1987 WL 28436, at *3 (Del. Ch. Dec. 17, 1987), the Delaware Court of Chancery, citing *Graham*, concluded that ordinary negligence is the appropriate standard of liability in claims involving director inaction to which the business judgment rule does not apply. However, in *Cede & Co. v. Technicolor, Inc.*, 634 A.2d 345, 364 n.31 (Del. 1992), the Supreme Court of Delaware characterized the standard formulated in *Graham* as “quite confusing and unhelpful,” noting that while the *Graham* opinion “seems to apply a ‘prudent man’ standard, three paragraphs later it speaks of director liability in terms of reckless conduct.” (citations omitted).

In *Miller v Schreyer*,⁴⁹ the court denied a motion to dismiss a claim that the board of directors of an investment bank negligently failed to detect and prevent an alleged \$900 million illegal “parking scheme.”⁵⁰ The plaintiffs alleged that, in a series of transactions over a four-year period, high quality United States Treasury securities held by the investment bank were exchanged for junk bonds held by an insurance company for the purpose of falsifying the insurance company’s year-end balance sheets. The exchanges allegedly took place on or about December 31st and were reversed a few days later. As alleged, the transactions served no legitimate business purpose but were designed to artificially enhance the quality of the insurance company’s capital position on its year-end balance sheets, thereby misleading insurance regulators and staving off insolvency for several years. The plaintiffs alleged that the suspicious circumstances surrounding these trades should have come to the attention of a diligent board of directors. Denying the board’s motion to dismiss the claims, the court stated:

In view of the illegal purpose of the transactions, their magnitude and duration, their timing, and the identity of their beneficiary, the matter should have come to the attention of senior management even on a rudimentary audit.⁵¹

The court in effect concluded that the plaintiffs adequately alleged facts and circumstances that represented “obvious danger signs of employee wrongdoing.”⁵²

As with the duty to monitor, one must consider the impact of director exculpation provisions on liability for breach of the duty to inquire. Two recent federal circuit court

⁴⁹ 683 N.Y.S.2d 51 (N.Y. App. Div. 1999).

⁵⁰ *Id.* at 53.

⁵¹ *Id.* at 55.

⁵² *Id.*

cases have addressed claims of inadequate board oversight and failure to inquire under circumstances in which director exculpation provisions applied.

In *McCall v. Scott*,⁵³ shareholders of Columbia/HCA Healthcare Corporation brought a derivative claim against certain directors and officers of Columbia/HCA for breach of fiduciary duty under Delaware law. The claims arose following numerous governmental investigations and whistleblower lawsuits with respect to allegedly widespread and systematic health care fraud involving the company's hospitals, home health agencies and other facilities. Columbia/HCA, having grown rapidly through a series of mergers and acquisitions, allegedly owned and operated 45% of all for-profit hospitals in the United States, was the nation's ninth largest employer and was Medicare's single largest provider. According to the plaintiffs, "Columbia's senior management, with Board knowledge, devised schemes to improperly increase revenue and profits, and perpetuated a management philosophy that provided strong incentives for employees to commit fraud."⁵⁴ The plaintiffs further alleged that management set growth targets that could not reasonably be attained without committing Medicare and Medicaid fraud.

The court acknowledged that Columbia/HCA maintained information and reporting systems, including nationwide internal and external audits undertaken with attention to areas that could have legal ramifications for the company.⁵⁵ Accordingly, the *McCall* court did not focus on the duty to monitor, but rather on allegations that the board failed to address certain "red flags" that warned of fraudulent practices within the

⁵³ 239 F.3d 808 (6th Cir.), *amended*, 250 F.3d 997 (6th Cir. 2001) ("*McCall II*").

⁵⁴ *Id.* at 814.

⁵⁵ *Id.* at 820, n. 11.

company. The defendant directors argued that the claims should be dismissed because the directors were protected by the director exculpation provision in Columbia/HCA's charter. The plaintiffs countered that the exculpation provision did not apply because their claims were based not on gross negligence (which the court recognized as Delaware's standard of liability for breach of the duty of care and which the court acknowledged would be precluded by a director exculpation provision), but rather on reckless or intentional misconduct on the part of the directors, which is not protected by the director exculpation provision. The court agreed, stating:

We construe plaintiffs' complaint as alleging a breach of the directors' duty of good faith for the purposes of determining whether plaintiffs' claims are precluded by Columbia's [director exculpation] provision. Under Delaware law, the duty of good faith may be breached where a director consciously disregards his duties to the corporation, thereby causing its stockholders to suffer. Here, Plaintiffs accuse the directors not merely of "sustained inattention" to their management obligations, but rather of "intentional ignorance of" and "willful blindness" to "red flags" signaling fraudulent practices throughout Columbia. Accordingly, regardless of how plaintiffs style their duty of care claims, we find that they alleged a conscious disregard of known risks, which conduct, if proven, cannot have been undertaken in good faith. Thus, we hold that plaintiffs' claims are not precluded by Columbia's [director exculpation] provision.⁵⁶

To support its claim of director liability for intentional or reckless breach of the duty of care based on a conscious disregard of known risk, the plaintiff had to allege the existence of red flags sufficient for the court to infer director awareness of risks that were disregarded. The court considered alleged red flags emanating from audit information, ongoing acquisition practices, allegations brought in a whistleblower proceeding, an extensive federal investigation and an investigation by *The New York Times*. According to the court, the prior experience of certain directors as directors or managers of

⁵⁶ *McCall II*, 250 F.3d at 1001 (citations omitted).

businesses acquired by Columbia/HCA was a “significant factor” supporting an inference of director awareness of risks underlying the alleged red flags that emanated from those businesses.⁵⁷ In addition, the court considered the magnitude and duration of the alleged wrongdoing as relevant in determining whether the alleged failure of the directors to act amounted to a lack of good faith.⁵⁸

In *In re Abbott Laboratories Derivative Shareholders Litigation*,⁵⁹ shareholders of Abbott Laboratories brought a derivative suit against Abbott’s board of directors alleging breach of fiduciary duty for failing to address problems that led to a consent decree with the United States Food and Drug Administration (“FDA”). The consent decree followed six years of alleged violations of FDA regulations and required Abbott to pay a \$100 million civil fine, withdraw 125 types of medical diagnostic kits from the United States market, destroy certain inventory and make a number of corrective changes in its manufacturing procedures. Prior to entering into the consent decree with Abbott, the FDA conducted thirteen separate inspections of certain Abbott facilities, resulting in four formal certified warning letters to Abbott, several of which were sent to a member of Abbott’s board of directors. *The Wall Street Journal* publicly reported Abbott’s FDA problems in 1995.

The plaintiffs alleged that the directors were aware of the six-year history of noncompliance problems involving the FDA, that they had a duty to take necessary action to correct these problems and that they demonstrated gross negligence by ignoring the problems for six years. The plaintiffs did not allege that Abbott’s information and

⁵⁷ *McCall*, 239 F.3d at 819.

⁵⁸ *Id.* at 823.

⁵⁹ 325 F.3d 795 (7th Cir. 2003).

reporting system was inadequate. Accordingly, like *McCall*, the *Abbott* case focused on allegations that the Abbott directors failed to respond to red flags signaling potential problems within the company.

Regarding the directors' awareness of red flags, the court noted that several warning letters from the FDA were copied to a member of Abbott's board of directors. In addition, the court determined that Abbott's disclosure of FDA problems in reports filed with the SEC imputed knowledge of the disclosed problems to the directors. The court also noted that as early as 1995 the FDA problems were "public knowledge" (presumably referring to the report in *The Wall Street Journal*).⁶⁰ Accordingly, the court inferred that members of the Abbott board were aware of the FDA problems. The court then held:

Given the extensive paper trail . . . concerning the violations and the inferred awareness of the problems, the facts support a reasonable assumption that there was a "sustained and systematic failure of the board to exercise oversight," in this case intentional in that the directors knew of the violations of law, took no steps in an effort to prevent or remedy the situation, and that failure to take any action for such an inordinate amount of time resulted in substantial corporate losses, establishing a lack of good faith.⁶¹

In light of the board's alleged awareness of the FDA problems, the *Abbott* court characterized the board's alleged failure to act as an intentional decision.⁶² In *McCall*, on the other hand, the Columbia/HCA board's alleged failure to act in the face of red flags was characterized as "unconsidered inaction."⁶³ As a result, unlike the *McCall* court, the *Abbott* court confronted the business judgment rule, which only applies to board actions

⁶⁰ *Id.* See also *McCall*, 239 F.3d at 822, in which the court infers board awareness of a lawsuit described in the corporation's Annual Report on Form 10-K filed with the SEC.

⁶¹ *Abbott*, 325 F.3d at 809.

⁶² *Id.*

⁶³ *McCall*, 239 F.3d at 817.

and not to unconsidered inaction.⁶⁴ However, the application of the business judgment rule in *Abbott* did not provide a shield for the directors. The *Abbott* court found that the plaintiffs had “sufficiently pleaded allegations, if true, of a breach of the duty of good faith to reasonably conclude that the directors’ actions fell outside the protection of the business judgment rule.”⁶⁵ Notwithstanding this analytical difference between *Abbott* and *McCall*, the *Abbott* court found support for its holding in *McCall*’s emphasis on the magnitude and duration of the alleged wrongdoing. In particular, the *Abbott* court noted that “the magnitude and duration of the FDA violations in *Abbott* were so great that it occasioned the highest fine ever imposed by the FDA” and that the *Abbott* directors’ failure to act spanned a six-year period as opposed to an approximate two-year period in *McCall*.⁶⁶

Regarding *Abbott*’s director exculpation provision, the court noted that, while the plaintiffs’ complaint alleged a breach of the duty of care characterized by gross negligence, it also alleged intentional conduct in failing to address known federal violation problems. Citing *McCall*, the court concluded that the plaintiffs had adequately alleged a conscious disregard of known risks, which conduct, if proven, cannot have been undertaken in good faith and would not be protected by *Abbott*’s director exculpation provision. Accordingly, the court denied the directors’ motion to dismiss the claim.

In summary, when red flags arise in the course of monitoring corporate affairs, directors have an affirmative duty to respond to those red flags by making further inquiry.

⁶⁴ See *Aronson*, 473 A.2d at 813 (“[T]he business judgment rule operates only in the context of director action. Technically speaking, it has no role where directors have either abdicated their functions, or absent a conscious decision, failed to act.”), *overruled on other grounds*, *Brehm*, 746 A.2d 244.

⁶⁵ *Abbott*, 325 F.3d at 809 (citation omitted).

⁶⁶ *Id.*

Under Oregon law, a negligent failure to recognize and respond to red flags breaches this duty. However, when a director exculpation provision such as Enron's applies, a director's failure to respond to red flags must amount to conduct "not in good faith" or must involve "intentional misconduct" or "a knowing violation of law" in order to establish liability. Under *McCall* and *Abbott*, a failure to respond to red flags that amounts to a "conscious disregard of known risks" would constitute conduct not in good faith and, therefore, would not be protected by such a director exculpation provision. To meet this test for liability, a plaintiff must establish director awareness of risks that were disregarded. According to *McCall*, inferences regarding a director's awareness of risk can be supported by the director's prior experience managing a business unit from which red flags emanate. In addition, under both *McCall* and *Abbott*, inferences of risk awareness on the part of directors can be supported by reference to risks disclosed in a company's SEC reports.

V. INSIDE DIRECTORS COMPARED TO OUTSIDE DIRECTORS

Directors who are also officers or employees of a corporation are commonly referred to as “inside directors” and directors who serve only as directors are commonly referred to as “outside directors.” Most director exculpation provisions, including Enron’s, apply only to directors and not to officers. This raises a question of whether and to what extent a director exculpation provision applies to an inside director who is serving as both an officer and a director of a corporation.

This question was addressed in the context of a claim for breach of the duty of oversight in *Hahren v. Brown*.⁶⁷ In *Hahren*, representatives of John Hancock Mutual Life Insurance Company’s government relations department engaged in a series of illegal lobbying activities, resulting in fines and legal expenses paid by Hancock and alleged harm to Hancock’s reputation. A Hancock policyholder brought a derivative action against, among others, three inside directors for breach of fiduciary duty. The inside directors were members of Hancock’s management committee, which allegedly was responsible for overseeing all aspects of Hancock’s operations, including government relations. The plaintiffs alleged that members of the management committee were kept informed of lobbying activities on behalf of Hancock and that they knew or should have known of the conduct that was subsequently revealed as illegal. Based on these and other particularized allegations, the court concluded that the plaintiffs had adequately alleged events and conduct which, if true, support a claim that the inside directors “violated their duty of care in failing, as directors, senior officers and members of the management committee, properly to direct and manage the affairs of Hancock so that the illegal

⁶⁷ 710 N.E.2d 224 (Mass. App. Ct. 1999), *rev’d on other grounds*, 730 N.E.2d 859 (Mass. 2000).

activities . . . --of which [they] knew or should have known--would not have occurred or persisted.”⁶⁸ Therefore, the court denied the inside directors’ motion to dismiss the claim. Regarding Hancock’s director exculpation provision, the court stated:

the benefit of the exculpatory clause . . . is extended only to directors of Hancock, and [the inside directors] are all alleged to be senior officers of Hancock as well as directors. To the extent that the claims against these defendants arise out of the alleged failure of their performance as officers and members of the management committee which is charged with responsibility of overseeing all the operations of Hancock--viz., their alleged approval and support of the unlawful activities of [Hancock’s lobbyist]--the exculpatory clause is not available to them. The fact that these defendants are also directors may be regarded as mere happenstance.⁶⁹

Accordingly, when an inside director acts (or fails to act) in his or her capacity as an officer, he or she would not enjoy the protections of a director exculpation provision.

In addition, as explained in Appendix B (Legal Standards) to the Third Interim Report, although officers and directors are generally held to the same standards of conduct, the roles and responsibilities of officers present a different context in which to apply those standards and may subject officers to a higher degree of scrutiny than that given to directors.⁷⁰ For example, “full-time officers will generally be expected to be more familiar with the affairs of a corporation than outside directors.”⁷¹ Similarly, “[o]fficers will be expected to be more familiar with business affairs under their direct supervision than officers who do not have such responsibility.”⁷² Oregon’s statutory

⁶⁸ *Id.* at 231.

⁶⁹ *Id.* at 238.

⁷⁰ See Third Interim Report, Appendix B (Legal Standards). See also *Raines v Toney*, 313 S.W.2d 802 (Ark. 1958); *Mixon v. Anderson (In re Ozark Rest. Equip. Co.)*, 41 B.R. 476 (Bankr. W.D. Ark. 1984), *rev’d on other grounds*, 61 B.R. 750 (W.D. Ark. 1986); *Taylor v. Alston*, 447 P.2d 523 (N.M. Ct. App. 1968); *Bynum v. Scott*, 217 F. 122 (E.D.N.C. 1914).

⁷¹ ALI Principles § 4.01 cmt. a.

⁷² *Id.*

standard of care for corporate directors allows for these differing circumstances to be taken into account by requiring directors to exercise the care of an ordinarily prudent person “in a like position . . . under similar circumstances.”⁷³ Indeed, the drafters of the Model Act observe that the phrase “in a like position . . . under similar circumstances” is intended to recognize, among other things, that the “management responsibilities of a particular director may be relevant in evaluating that director’s compliance with the standard of care.”⁷⁴

The Supreme Court of the United States focused on the different roles and responsibilities of inside directors and outside directors in *Bates v. Dresser*.⁷⁵ In *Bates*, the Supreme Court considered whether directors of a bank neglected their duties by accepting a fraudulent cashier’s statement of liabilities and failing to inspect the depositors’ ledger. The court found that confidence in the cashier’s statement was warranted for the bank’s outside directors, but not for a director who was also the bank’s president. According to the court, the president was “the master of the situation” and had greater responsibility and greater knowledge due to his daily presence at the bank.⁷⁶ The president had hints and warnings to which the outside directors were not exposed and therefore had a greater responsibility to take steps to prevent the cashier’s fraud.

The distinction between inside and outside directors was also addressed in *Rowen v. LeMars Mutual Insurance Co. of Iowa*.⁷⁷ In *Rowen*, an individual, Mr. Alesch, owned and controlled an insurance agency and at the same time served as chief operating officer

⁷³ Or. Rev. Stat. § 60.357(1).

⁷⁴ 2 ABA Model Bus. Corp. Act Ann. § 8.30 Official cmt. at 8-170.

⁷⁵ 251 U.S. 524 (1920).

⁷⁶ *Id.* at 530.

⁷⁷ 282 N.W.2d 639 (Iowa 1979).

and a director of an insurance company with which the agency did most of its business. Alesch sought to sell his insurance agency to a third party purchaser and, in order to obtain a substantial premium in the sale, promised to deliver control of the insurance company to the purchaser. However, Alesch did not own the insurance company and therefore did not have the legal power to transfer control of it. Instead, Alesch agreed to use his considerable influence over the insurance company to secure the resignation of its directors and to guarantee the election of directors designated by the purchaser.

The court determined that the promise was unenforceable and that Alesch violated his fiduciary duties as an officer and director of the insurance company. The court also determined that the inside directors of the purchaser, who were managing its affairs and deciding its policy, conspired with Alesch to accomplish the illegal sale and were also liable. Turning to the outside directors of the purchaser, the court concluded that they were unaware of the illegal plan to take over the insurance company and did not actively participate in it. Thus, the court focused on whether they were liable for neglecting to detect the illegal conduct of the inside directors who conspired with Alesch. After acknowledging their duty to monitor corporate affairs, the court stated that the outside directors may within reasonable limits rely on the inside directors “until they have reason to suspect impropriety.” The court held:

We find no circumstances to arouse the suspicion of the outside directors. They had learned to rely on the management skill and judgment of the officers and executive committee. There had been no previous deception in their dealings with the directors. The record shows they had confidence in the business judgment of these men as well as in their integrity. We cannot say these directors should have viewed this transaction with suspicion and cynicism. Plaintiffs argue they should have been alerted by the substantial purchase price. However, that is pure hindsight. They were told this was an advantageous deal, as indeed it was for [the purchaser]. The question is whether they had a duty to make an

independent investigation concerning [the insurance agency] valuation. We hold they did not.⁷⁸

The circumstances concerning the directors of the insurance company were entirely different. In the first place, the court noted that the insurance company was the one victimized by the wrong and had a right to expect its directors to be more vigilant in protecting it. Without distinguishing between inside directors and outside directors, the court held:

Unlike [the purchaser]'s outside directors, these men were faced with questionable conduct directly affecting their own corporation. There were circumstances which should have clearly signaled a duty to inquire and investigate. The principal one was the request for en masse resignations, prepared and submitted for their signatures, as part of the overall plan by which [Alesch] was retiring from [the insurance company] and at the same time selling his agency. We find these directors failed to discharge their duties as directors when even the most ordinary diligence on their part would have prevented the surrender of their corporation to [the purchaser]. They cannot escape the consequences of this neglect of their fiduciary duty.⁷⁹

In summary, due to the inapplicability of Enron's director exculpation provision to officers, liability for the failure of an inside director of Enron to recognize and respond to red flags that arise in an area for which he or she has management responsibility as an officer would likely be evaluated under standards of ordinary negligence. Moreover, due to an inside director's greater role in and responsibility for the corporation's day-to-day affairs, he or she has more occasion to encounter red flags and, correspondingly, more responsibility for responding to them in the exercise of ordinary care.

⁷⁸ *Id.* at 653.

⁷⁹ *Id.* at 654.

VI. INDEMNIFICATION AND INSURANCE

A. Indemnification

Under certain circumstances, directors and officers of Oregon corporations can be entitled to indemnification from the corporation with respect to claims made against them in their capacity as directors or officers. However, such claims may be subject to disallowance pursuant to Section 502(e)(1)(B) of the Bankruptcy Code.⁸⁰

Because Enron's articles of incorporation do not provide anything to the contrary,⁸¹ Enron is obligated by statute to indemnify any Enron director or officer who is wholly successful, on the merits or otherwise, in the defense of any proceeding to which the director or officer is a party because of being a director or officer against reasonable expenses incurred by the director or officer in connection with the proceeding.⁸² In addition, any Enron director or officer who is a party to a proceeding may apply for indemnification to the court conducting the proceeding, or to another court of competent jurisdiction, and the court may order indemnification if it determines that (i) the director or officer is entitled to the mandatory indemnification described in the preceding sentence, in which case the court would also order Enron to pay the reasonable expenses incurred to obtain the court-ordered indemnification or (ii) the director or officer is fairly

⁸⁰ Any claim filed for mandatory indemnification by a member of the Enron Board may be subject to disallowance under the terms of 11 U.S.C § 502(e)(1)(B) and the cases thereunder. *See In re Drexel Burnham Lambert, Inc.*, 148 B.R. 982, 985-93 (Bankr. S.D.N.Y. 1992) (disallowing contingent contractual claims for indemnification); *In re Wedtech Corp.*, 85 B.R. 285 (Bankr. S.D.N.Y. 1988) (recognizing that the concept of reimbursement under Section 502 (e)(1)(B) would include indemnity claims). If, and to the extent that, members of the Enron Board filed proofs of claim in respect of the mandatory indemnification provisions of the articles of incorporation, or pursuant to any contractual provisions regarding indemnification, the Debtors and the Committee may seek disallowance of those claims, to the extent contingent, under Section 502(e)(1)(B).

⁸¹ Enron's articles of incorporation do not limit any of the indemnification rights extended to directors or officers under the OBCA. *See* Articles of Incorporation of Enron [AB0785 03888-AB0785 04147].

⁸² *See* Or. Rev. Stat. § 60.394 (regarding directors); Or. Rev. Stat. § 60.407(1) (regarding officers).

and reasonably entitled to indemnification in view of all the relevant circumstances, regardless of the limitations described in the following paragraph.⁸³

In addition to the “mandatory” and “court-ordered” indemnification rights described above, under the OBCA, an Oregon corporation *may* affirmatively provide indemnification to a director, officer, employee or agent made a party to a proceeding because he or she is or was a director, officer, employee or agent against liability incurred in the proceeding if:

- (a) The conduct of the individual was in good faith;
- (b) The individual reasonably believed that the individual’s conduct was in the best interests of the corporation, or at least not opposed to its best interests; and
- (c) In the case of any criminal proceeding, the individual had no reasonable cause to believe the individual’s conduct was unlawful.⁸⁴

However, an Oregon corporation may not provide such indemnification under the OBCA in connection with (i) a proceeding by or in the right of the corporation in which the director, officer, employee or agent is adjudged liable to the corporation or (ii) any other proceeding charging improper personal benefit to the director, officer, employee or

⁸³ See Or. Rev. Stat. § 60.401 (regarding directors); Or. Rev. Stat. § 60.407(1) (regarding officers).

⁸⁴ See Or. Rev. Stat. § 60.391(1) (regarding directors); Or. Rev. Stat. § 60.407(2) (regarding officers, employees and agents). In addition, under the OBCA, an Oregon corporation may advance the reasonable expenses incurred by a director, officer, employee or agent who is a party to a proceeding in advance of final disposition of the proceeding if (i) the director, officer, employee or agent furnishes a written affirmation of his or her good faith belief that he or she has met the standard of conduct described in the sentence to which this footnote relates and (ii) the director, officer, employee or agent furnishes a written undertaking to repay the advance if it is ultimately determined that he or she did not meet such standard of conduct. See Or. Rev. Stat. § 60.397(1) (regarding directors), Or. Rev. Stat. § 60.407(2) (regarding officers, employees, and agents).

agent in which the director, officer, employee or agent is adjudged liable on the basis that personal benefit was improperly received.⁸⁵

Enron's articles of incorporation provide that each person who is, or is threatened to be made, a party to any proceeding by reason that he or she was or is a director or officer of Enron *shall be* indemnified by Enron to the fullest extent authorized by the OBCA against all liability reasonably incurred by such person in connection with the proceeding.⁸⁶

B. Insurance

The OBCA permits Oregon corporations to purchase and maintain insurance on behalf of an individual against whom liability is asserted or who incurs liability and who is or was a director, officer, employee or agent of the corporation.⁸⁷ The coverage of that

⁸⁵ See Or. Rev. Stat. § 60.391(4) (regarding directors); Or. Rev. Stat. § 60.407(2) (regarding officers, employees, and agents).

⁸⁶ Article VII, Section B.(1), Articles of Incorporation of Enron [AB0785 03888-AB0785 04147]. Enron's articles of incorporation further provide that the indemnification rights include the right to be paid by Enron for expenses incurred in defending any proceeding in advance of its final disposition, provided that the director or officer delivers any written affirmation and written undertaking required by the OBCA. *Id.*

The OBCA also provides that the OBCA's statutory provisions for indemnification and advancement of expenses are *not* exclusive of any other rights to which directors, officers, employees or agents may be entitled under the corporation's articles of incorporation or bylaws, any agreement, general or specific action of its board of directors, vote of shareholders or otherwise. Or. Rev. Stat. § 60.414(1). Specifically with respect to officers, employees and agents of the corporation who are not directors, the OBCA gives an Oregon corporation the power to make or agree to make any further indemnification or advancement of expenses as authorized by its articles of incorporation or bylaws, by general or specific action of its board of directors or by agreement. Or. Rev. Stat. § 60.414(1)(b). Enron's articles of incorporation also provide that the Enron Board *may* provide indemnification to employees and agents of Enron who are not officers or directors with the same scope and effect as the indemnification provided to Enron's officers and directors. Article VII, Section B.(1), Articles of Incorporation of Enron [AB0785 03888-AB0785 04147]. Enron's bylaws contain no provisions regarding indemnification of directors, officers, employees or agents, Bylaws of Enron [AB0971 00550-AB0971 00565], and the Examiner is not aware of any indemnification agreements or board actions that provide additional rights to indemnification or advancement of expenses to any Enron directors or officers. The Examiner has located a copy of an Indemnification Agreement between Enron and Fastow purportedly granting certain indemnification rights to Fastow with respect to LJM1. The copy located by the Examiner bears a signature on behalf of Fastow but is not countersigned on behalf of Enron. The Examiner has attempted to locate a copy of the agreement bearing a signature on behalf of Enron, to no avail. Accordingly, the Examiner has treated the agreement as not being in effect.

⁸⁷ Or. Rev. Stat. § 60.411.

insurance may include liabilities against which the corporation does not have power to indemnify the individual under the OBCA.⁸⁸

In 1998, Enron purchased a Directors and Officers Liability Insurance policy from Associated Electric & Gas Insurance Services Limited (“AEGIS”), Policy No. D0079A1A98 (the “Policy”).⁸⁹ In addition to the Policy, there are excess policies that, together with the Policy, provide for insurance coverage of at least \$350 million for claims against officers and directors.⁹⁰

⁸⁸ *Id.*

⁸⁹ Directors and Officers Liability Insurance Policy from Associated Electric & Gas Insurance Services Limited; Policy No. D0079A1A98 [AB0971 01685-AB0971 01782]. The Policy originally applied to claims first asserted during the period from September 1, 1998 to September 1, 1999. The policy was subsequently renewed to extend to September 1, 2002. *Id.*

⁹⁰ The excess policies are as follows: Energy Insurance Mutual, policy no. 900630-00DO, \$65 million in excess of \$35 million; Federal Insurance Company, policy no. 8142-05-47, \$25 million in excess of \$100 million; Twin City Fire Insurance Company, policy no. NDA 0131301-98H, \$25 million in excess of \$125 million; Executive Liability Underwriters, policy no. ELU 82248-01, \$25 million in excess of \$150 million; Lloyd’s of London, policy no. 901/LK9802531, \$25 million in excess of \$175 million; St. Paul Fire and Marine Insurance Company, policy no. 568CM0934, \$25 million in excess of \$200 million; Federal Insurance Company, policy no. 8181-4314, \$25 million in excess of \$225 million; Royal & SunAlliance, policy no. PSF000633, \$25 million in excess of \$250 million; ACE, policy no. ENE-9459D, \$25 million in excess of \$275 million; Federal Insurance Company, et al, policy no. 8179-41-03, \$50 million in excess of \$300 million. Total coverage: \$350 million. See Motion of Debtors for an Order Authorizing and Approving Direct Payment and/or Advancement of Defense Costs to Individual Defendants in Securities and ERISA Lawsuits Under Debtors’ Directors and Officers Liability Insurance and ERISA Fiduciary Liability Insurance Policies, Jan. 18, 2002, Docket No. 1005, at 4, n.2.